

Ipca Laboratories Ltd. (IPCALAB)

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BSE Ltd ..

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai 400 023

. Scrip Code -524494

Dear Sirs, August 12, 2022

National Stock Exchange India Limited,

Exchange Plaza, C-1, Block-G,

Sandra Kurla Complex, Sandra -(East).

Mumbai-400051.

Scrip Code: IPCALAB

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations . . and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of our Conference Call which was held on Thursday, 11th August, . 2022 to discuss the Company's 01 FY2_3 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited ~-

Harish P. Karnath

Corporate Counsel & Company Secretary

Encl: a/a

Ipca Laboratories Ltd.

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IPCA Laboratories

Q1FY23 Earnings Conference Call

Event Date / Time : 11/08/2022 , 16:00 Hrs

Event Duration : 59minutes and 44 seconds

CORPORATE PARTICIPANTS:

Mr. Nitin Agarwal ,
Dan Capital Advisors

Mr. AK Jain,
Joint Managing Director

Mr. Harish Kamath
Corporate Counsel and Company Secretary.

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Q&A PARTICIPANTS:

1. Surya Pathra – Philip Capital
2. Anubhav Sahu – Envy Research
3. Prakash Agarwal – Axis Capital
4. Chirag Dagli – DSP Mutual Funds
5. Priya Harwani – Perpetual

6. Kunal Dhameja – Macquary Capital
7. Dino Pathiparamtil – Incred Capital
8. Kapil Agrawal – ITUS Capital
9. AbdulkaderPuranwala – Elara Capital
10. Mithesh Shah – Nirmal Bang Securities

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Moderator

Good evening, ladies and gentlemen. I'm Kritika, moderator for the conference call. Welcome to IPCA Laboratories Q1 FY23 earnings call posted by DAM Capital Advisors. As a reminder, all participants lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touch-tone telephone. Please note this conference is recorded. I would now like to hand over the floor to Mr. Nitin Agarwal of DAM Capital. Thank you. And over to you, sir.

Nitin Agarwal

Thanks, Kritika. Hi, good evening, everyone, and a very warm welcome to IPCA labs Q1 FY23 post earnings conference call hosted by Dan Capital Advisors. On the call today, representing IPCA labs, Mr. AK Jain, Joint Managing Director, and Mr. Harish Kamath, Corporate Counsel and Company Secretary. I'll hand over the call to Mr. Jain to make the opening comments and then we'll open the floor for questions. Mr. Jain, please go ahead, sir.

Ajit Kumar Jain

Thanks Nitin and Dam Capital for organizing this call. Good afternoon to all participants and thanks for taking our time and joining us for Q1 FY 23 earnings call. Today's earnings call and discussions and answer given may include some forward-looking statements based on our current business expectations. This must be viewed in conjunction with risks that pharmaceutical business faces or actual future financial performance may differ from what is projected or perceived. You may use your own judgment on information given during the call. Domestic formulation business for Q1 FY23 has delivered a growth of around 12% from around Rs. 613 crores to around Rs. 685 crores.

Domestic anti-malarial business has shown a significant decline in Q1 by almost around 68% and business from 39.5 crores last year Q1 is reduced to just around 12.6 crores, so excluding

anti-malarial domestic formulation business other therapies have delivered almost around 17% growth during the quarter. This is in spite the WIP base pricing increase on domestic schedule formulation benefit was not fully available during the quarter because we were maintaining around 2 months inventories around that time. Prices have become effective only from somewhere in June. We expect the domestic formulations business to grow around 12-13% in current financial year, FY23.

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The lower projection for growth in this business is on 2 accounts. We also have higher base of anti-malarial business in Q2 and higher base of anti-bacterial business that we had last financial year due to COVID-19. Our export formulation business was around 14% for this quarter, the business in Sri Lanka, Russia, and Ukraine declined for the quarter because of geopolitical issues and the stock market. For FY23, this business is expected to deliver around 13 to 15% growth. Export generic business for the quarter has declined by around 2% to around Rs. 213 crores from around Rs. 217 crores mainly because of decline in UK business because of issues with, we have stopped dealing with one of our distributors.

We are confident that in spite of some decline in

UK business overall for FY23, the generic business as expected to deliver around 5% growth. Institutional export business of anti-malarial had declined by around 17% in this quarter to around Rs. 97 crores from Rs. 116 crores. We have pressure on this business in FY23 and there may be some decline maybe around 8 to 10% in this business in FY23. API business has shown decline of around 10% for this quarter, is mainly because of sales return of Losartan. And now, EU has come out that there is no risk of azido impurity level that we had earlier in our earlier produced batches.

We have further improved our manufacturing processes to reduce the impurity level to a drastic low level and this API business is expected to deliver around 5% growth in the current financial year. Overall material cost to your overall total income has gone up to around 34.71% for FY23 as against 33.39% on same period last year. There is an increase of almost around 1.33% on this. Inventories of higher cost procurement are consumed for this quarter. The cost has started coming down. There is a softening trend in the prices of both raw materials and packing materials, but inventories, which were procured earlier was at higher prices. So, mostly that got consumed in this particular quarter.

Expenditure on fuel, travel, export fares are high to a very significant level and the increase in the cost compared to FY22. At the same time, increase in the number of sales staff as well as lower base of expenditure last year due to COVID delta wave resulted in the higher sales promotion and marketing costs. Practically, field staff has worked in last financial year for only two months, so the travel and everything was low. At the same time, we have also increased our sales staff in current financial year. So that is also increasing the promotional costs as well as our field cost.

The EBITDA margins for the quarter have declined to around 19.5% in our standalone accounts as against 27.1% in the same quarter in last financial year. We have revised our EBITDA guidelines for FY23, are as against 23% last year for the whole of the year 23.25, earlier revision was around 22%, but looking at now, the inflationary pressure we are revising our EBITDA guidelines to around 21% for financial year. There is a pressure on additional costs due to field staff due to the overall increase in the field strength.

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On taxation front, our post-tax profit will decline due to opting for 25% tax as against 18% tax earlier paid in cash and balance tax was paid through past mass credit available to the Company. Since we are now opting for 25% tax, the net credit would not be available and our overall current tax is expected to be around 27% because of those kinds of costs, which are there on marketing and sales promotions and CSR and all those will get disallowed. So, as against 25% tax, our overall current tax is likely to be around 27.5% in the current financial year. The deferred tax provision for the quarter is higher by around Rs. 8.76 crores.

This is mainly because whatever earlier net credit was there as a part of books, and there was a

higher deferred tax liability was there, the deferred tax liability is coming because we are at lower level because of 25% tax and the net credit that got set off and there is a difference of around Rs. 8.76 crores that has been charged to the P&L account as a part of deferred tax liability. And, therefore, deferred tax liability in the current quarter is higher by around Rs. 8.76 crores. Even the overall business scenario and some details, I now request participants to ask questions.

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question and answer session. If you have a question, please press * and 1 on your telephone keypad and wait

for your turn to

ask a question. If you would like to withdraw your request, you may do so by pressing * and 1 again. I repeat, ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. We will wait for a moment while the question queue assembles. First question comes from Surya Pathra from Phillip Capital. Please go ahead.

Surya Pathra

Thanks for this opportunity. Sir, just a couple of questions. First of all, let's say the European business cities [inaudible 00:09:38] see a kind of a pressure in terms of growth, largely led by UK. So, could you give some more colors, like we had registered around 43 odd products in our own name or rather, we're converting those registrations to our own name. So, what is it to stage of this conversion there and when do we really see the revival of the business in the UK, something on that side?

Ajit Kumar Jain

Let's say, by the current year end, probably we will be more or less, there'll be some decline, but overall, we will be able to recover in the current year itself as against 43 dossiers, because all these dossiers were registered in distributors name. So, now, we have to get our own registration. So, practically, up to now, we have launched 6 products only in UK and almost

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around similar number of approvals has recently received. So, next, I think in few months' time, almost around 5 to 6 more products will be launched.

With that, almost around 80-85% of the business, whatever distributors and our own we were doing that we'll be able to recover. And in the course of the year, we expect around 8 to 10 approvals more. So, depending on that approval, hopefully, the business would be recovered. And it's only I think, whatever decline is there, a small decline may remain that will remain in current year. From next year onwards, this business will start doing very well.

Surya Pathra

And is it fair to say this 20% kind of a decline in the overall European business in FY22, because last to do with the European destruction, sorry, UK disruption rather?

Ajit Kumar Jain

That was only last year, where from last year it has started because the distributors, we had business relations for almost around more than 20 years, and we had a significant business with them, but since their financial position deteriorated and their payments started coming late, and as a result of that, we never wanted that business cycle should disturb that way because of payment, and then, you stop dealing with them because the situation was not improving from their side. So, it's only because of payment. There are no such disputes with the parties or anything of any kind of litigations or those kinds of things. It was only because of payments not coming in time, we have said that we will not be able to do business and then, we will start our own distribution in the UK. So, that's what we have done.

Surya Pathra

Okay. The second question is on the domestic formulation business, sir. So, we had indicated about around 1200 odd people addition for the current year. So, what extent that we have done,

and they are also indicating about so the price hike, but possibly in the opening remarks, you've commented something that okay, the full benefit of the price hike was not visible, but whether we were able to take the price hike of around 6-7% on the entire non-CDL basket.

Ajit Kumar Jain

Yeah. That's what is going to happen in current years and in fact, domestic market we are doing very well. More particularly, we have increased the people in metro cities, because almost all bigger cities have expanded largely, and their populations are increasing in these cities. So, our more focus is now towards the city side, and we are increasing our coverage in cities in most

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divisions. And even in the Q1 itself, by enlarging Delhi, Calcutta, Mumbai, Hyderabad and Bangalore and Chennai, these cities have registered almost around 23% growth because of overall increase in the field sport. We have improved our ratings, we also improved our market share in domestic market. And as you have seen that excluding antimalarials, our growth is almost around 17% and antimalarial pie in this quarter, I think from 6%, it has come down to 2% in for the quarter.

But our Q2 base of anti-malarial is normally very high because it's around that time all antimalarial sale, but we are not seeing that kind of sales in current year. And we see that there will be a significant decline in antimalarial base even in the Q2 of the current year, and therefore, even though our other businesses will move up, but overall growth will come down because both your antimalarial and antibacterial, these are the two therapy antibacterial because of COVID-19 and delta wave and subsequent infections and all were very, very high and therefore antibacterial were last year for whole industry was good.

And this year, more particularly for your Azithromycin, the business was, we also had Azithromycin brand and that brand is declining current year because of it was significantly used for COVID-19 treatment. So, those issues will continue and because of that, we have taken an overall let's say growth guidelines to 12-13% for this year as against higher guidance of 13-15% kind of guidelines, because of these two declines, yes.

But overall, in domestic market, we are doing very well. And as I guess, 1200 people, overall increase almost around 800 people are already recruited, and I think balance will get recruited in next 2 quarters depending on the overall progress and all. So, almost around 1200 people will increase in the current year, that will also put a little more pressure on your field operating costs as well as on sales promotion cost. These costs will be higher, and normally, it takes around 2 years' time for people to become productive. So, hopefully for domestic, we are doing very well. Our market shares are increasing, most therapies are doing well. So, it's the right time for us to increase our overall penetration in India and that's why this step is taken.

Surya Pathra

Sure. So, just last one question, so obviously, the elevated costs, input costs, logistic and all that gives in a kind of a concern area since some time, and you are also kind of indicating a lower margin for the current year from the earlier guidance, so about 100 basis points kind of lower. So, sure, the commissioning of the Dewas plant and whether the likelihood of benefit flowing from the integrated operation on due to that new plant, whether that will not be seen this year, end of this elevated cost structure is likely to continue entire of this year that is why you are guiding this way or anything else that you're thinking about it for cutting your marketing guidance.

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Ajit Kumar Jain

Let's say cost heads. The major cost heads are like say, one is fuel, which has moved up

significantly, another is field cost has moved up. Sales promotion cost is moving up. Travel cost last year was hardly any. And now, let's say international and domestic travel so far of corporate staff and sales promotion teams and sales team and international marketing team, all those travels are happening. So, that cost is moving up and another is freight. So, these are the costs, which has mainly contributed; otherwise, all costs are more or less at the same level, but these are the costs which in the Q1 has almost headed almost around Rs. 60-70 crores to the overall cost, which includes fuel itself is around Rs. 12 crores, freight itself is also around Rs. 11 crores.

Field staff cost has gone up by almost around Rs. 14 crore and I think travel itself has gone up by around Rs. 6 crores and balance from sales promotion costs. So, I would say that, as far as fuel is concerned, in Q1 last year, the base was lower. We were procuring coal at around Rs. 7-8 which has gone to Rs. 15-16-17 in the in between period. Now, coal cost is coming down. It's around Rs. 12-13 kind of, from that base, it has come down, but from a base last year of Rs. 7-8, it is still at elevated level and is not likely to come down so drastically and its cost is coming down every month. But it's not likely to come down to anywhere near the level, which was prevailing in the Q1 last year.

So, the fuel costs definitely will remain high. Freight, I would say that container costs which has gone to 8-9000 has come down by almost around \$3,000 now, but the cost is coming down, but it's also not likely to be what was practically before 1 year those kinds of costs which was prevailing, and costs will remain elevated. As far as my field staff is concerned that cost will remain high because we are adding almost around 1200 people and also because of all these fuel costs has moving up, their travelling allowances and all those kinds of say daily allowances have moved up. So, that cost definitely will remain elevated, will not come down.

Q1 impact is higher because for 30 to 40 days the field staff are sitting at home. There was no travel or nothing and no sales promotion because of Delta wave around Q1 time. And, therefore, this year cost is not after we are comparing 2 months cost with practically 3 months costs. So, the cost increase in the Q1 is higher as compared to in the future. So, in future quarter, the increase may not appear to be that high, but yes, this cost will remain high because of overall increase in people and also increase in that not only your travelling cost, your ticket cost and all that, their allowances have also moved up because of higher petroleum costs, so that will remain elevated.

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And freight is coming down, but still it is nowhere nearer to what it used to be there earlier. So, cost pressure will continue to remain. Looking at the cost pressure and looking into overall business and everything, as against 23%, kind of EBITDA, 23.25% what we had in FY22 or earlier guidance of 22, but looking at overall overhead and overall field staff increase and other costs, we have further revised our whole working and it's coming out that I think probably we will be able to achieve around 21% EBITDA for the whole of the year. So, EBITDA from our last financial year, it's going down by almost around 2.25%. It's not 1%, 1% is from earlier guidelines.

Surya Pathra

Okay, sure sir. I have a couple of questions. I'll be in the queue sir. Thank you.

Moderator

Thank you, sir. Next question comes from Prakash Agarwal from Axis Capital. Please go ahead.

Prakash Agarwal

Yeah, thank you sir. Good afternoon. Just clarification. So, your EBITDA margin includes other income, right. I mean, then only we get 19%. So adjusted for quality etc., you're at 17.9%.

Ajit Kumar Jain

Yeah, that's how we calculate.

Prakash Agarwal

And the other clarification is, you mentioned that most of the high-cost inventory is largely consumed in this quarter. And the resultant would be that gross margins would likely to come back to 66-67, or it will have a step function?

Ajit Kumar Jain

Gross margin, definitely, costs are coming down. It's definitely there, but they are not near to the level, which was there earlier here, but let's say you're on domestic market, like say your schedule formulations, now it will be available for whole of the year that price increase and other price increase will also be in the region of almost around 7% in current year.

So, overall, it will have an offsetting effect of that. So, that also will come in the overall margin calculations.

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Prakash Agarwal

Any expectations sir on gross margins?

Ajit Kumar Jain

Overall, I'm not looking at much of gross margin pressure. More pressure is on the account of the overheads. And also, it seems we have done almost around significant improvements in 3 of our major API in cost reduction and that cost reductions are almost accounting for around 20 to 25% of the cost. And they are major selling APIs where we have new processes and those validations and submissions to the regulatory authorities are happening now.

So, overall, I think maybe in the somewhere in the Q3 and Q4, some of the effects of that also will start coming in, plus they have around 2 big intermediates we were importing from China, that we have completely internalised now, and there will be no more imports of those, except if there is a higher consumption, then some quantity we may import from and that is coming at an overall lower cost, our own internal manufacturing will be at a lower cost. So, that will also have some kind of a positive impact overall on margin.

So as far as gross margins are concerned, I'm not looking for a bigger pressure. Bigger pressure is on account of cost increase because of overall increase in number of field staff and still the cost of fuel, travel and freight they are at elevated levels.

Prakash Agarwal

That is clear sir. So, gross margin actually will improve from here is what I understand. And you have given 21% margin versus 19% in Q1. So, the remaining 9 months, margins should be healthier because of the reasons you said about cost reduction, price increase in India. Are there any big pieces which we are missing?

Ajit Kumar Jain

No, that's what I had talked about. Yeah.

Prakash Agarwal

Okay. And second question is on, you know, the new initiatives you're taking for the India Business. Currently, we see you're having a very strong growth in pain management, cardiovascular, but have we looked at, you know, new initiatives, new therapies, new product

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launches in India and export markets, anything new segments, we are looking at India API and export markets sir?

Ajit Kumar Jain

I would like to correct you a little. Let's say pain, they are continuously doing well. Even in the Q1 of current year, we had 20% growth on pain. Cardiovascular, our growth was lower. In fact, cardiovascular, anti-diabetic, in Q1, we just had a round 5% growth. The reason for that is that we have started two more divisions.

And with that, whenever you do the restructuring, there are disturbances because your doctor-product relationships and all those get disturbed and for some period, some coverage gets missed and all those issues happen. So, we were knowing that since the Q1, because of the overall reshuffling in the overall cardio basket, and that 2 more divisions we have started mainly because of the huge amount of good number of products which are blockbusters, are getting [inaudible 00:25:40] and their launches and we are doing very well.

Our overall cardiovascular reach is improving us at consultant level and all, and therefore, we wanted to have furthermore penetrations in these markets, more particularly to increase your overall chronic basket coverage. And therefore, this initiative is taken, but for short-term period, this kind of disturbance is there in Q1 that we had lower growth. Hopefully, we will do better in the Q2 now onwards. So, in fact, our other therapies' growths are very good. Antibacterial also has declined in this quarter only because of Azithromycin that last year Q1, we had around almost 48 crores business of antibacterial as

again at this year, we did only 40 crores.

So, these 2 therapies, one is antibacterial and antimalarial, both has declined and cardiovascular has had lower growth because of restructuring. In spite of that, we have 12% growth and excluding antimalarial itself, we have 17% growth. We have overall improved our market share in India and the market share has become almost around 1.85% now.

Prakash Agarwal

Okay. And exports and APS or any new initiative, new product launches or anything in the pipeline?

Ajit Kumar Jain

That's a continuous process is there on new product launches and all that. We are looking for much higher significant business increase in API in time to come with Dewas commissioning

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and with lot of products, which are commercialized now, on this lot of sampling and other things are done. Hopefully, in 3-4 years' time, our API business itself should be almost around 3 years' time or 4 years' time, maybe around 2000 crores basket.

Prakash Agarwal

Okay. And lastly, on Fiscal 24, since so much development is happening, how do we see the margin playing out for Fiscal 24, just little colour will help.

Ajit Kumar Jain

Let's say by enlarge this one year is a transition period because of all these 1200 people additions and that cost, that is what is putting larger pressure and hopefully, by year end, a lot of good tractions in the market with these people additions will start and next year should be much better because now cost pressures are also reducing, particularly on your chemical side and on the intermediate side, and our own production of certain intermediates and cost reductions on certain API, which are larger in volume terms. So, that will [inaudible 00:28:32] to the earlier level.

Prakash Agarwal

Can we come back to 23-24 then? 23-24%?

Ajit Kumar Jain

Around 23 is reasonably possible. We have not done the working right now, but it's possible to

achieve that kind.

Prakash Agarwal

Perfect. Thank you so much, and all the best.

Moderator

Thank you. Next question comes from Chirag Dagli from DSP Mutual Funds. Please go ahead.

Chirag Dagli

Thanks for the opportunity. Can you comment on your margins in India currently versus pre-COVID level?

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Management Team

Yeah. As far as India is concerned, gross margin, there is not much of a difference. The issue is only increase in the overhead because of additional people what we have added since Q4 of last financial year. This is I'm talking about India a formulation business.

Chirag Dagli

Correct. So, just you are broadly.

Moderator

Sorry to interrupt sir. Your voice is too low. Could you please be louder?

Chirag Dagli

Hello. Is it better now?

Moderator

There is some electric noise from your line.

Ajit Kumar Jain

There is a lot of disturbance, sir

Chirag Dagli

I'm actually on my handset.

Ajit Kumar Jain

No, there is still a lot of disturbance.

Chirag Dagli

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I will come back again.

Ajit Kumar Jain

Yeah. Thank you.

Chirag Dagli

Thank you.

Moderator

Thank you, sir. Next question comes from Priya Harwani from Perpetual. Please go ahead.

Priya Harwani

Hi. So, first question is like just a clarification on institutional sales. In the dimension, there will be some pressure in FY23. So, what the guidance exactly set for FY23?

Ajit Kumar Jain

Actually, we are not given very big growth numbers, but unfortunately, looking into the current scenario and sourcing and fund allocation and other things by institutions, we feel there could be some reduction in this business compared to the previous year.

Pri

ya Harwani

Okay, okay. And sir second question is on branded formulation business on export size, so you said there was a decline in business in Russia, Ukraine and Sri Lanka. So, how's the situation now, like in July or maybe in mid-August?

Ajit Kumar Jain

Overall, I think we have guided for current year, that this business will grow almost around 15%, 13 to 15%. The business in Russia is happening good. As I have told in earlier, I think we had our Q4 results, that initial period in Russia, the currency fluctuation was very high. Currency went up to very, very high level. Ruble was almost around 120 to 125 level. At that

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time, we were little slow in shipping. So, practically, we have lost a lot of time in April. So, practically in April, hardly any shipments were the re.

And because that would have added it from the past levels of currency, if this kind of levels were there, and for some time, we have stopped even billing there because in Russia, distributor we have said because, otherwise, reimbursement of cost difference would have been too high to them. If we sold at 120 level, then practically, they would have asked the reimbursement of that cost difference to us. So, when currency started stabilizing around at a lower level, then we started billing and then thereafter, the traction has been very good.

In fact, Russian markets are doing very well. So, business definitely is improving. In fact, that inventory level in that market has significantly come down and therefore, business will again move up. It's only in case of Sri Lanka, we have no overdue in Sri Lanka for the matter, because we are getting all the payments in time. Mostly the businesses are happening in LCs, and we have distributors there. They have a very large network and lot of exports also they have and therefore, they are able to overall get the foreign currency and do the business, but businesses are not happening because it's also people's affordability levels.

So, businesses are not happening to the level, which was happening earlier. So, there will be definitely some reduction in Sri Lanka market. In Q1 itself, I lost business of almost around 5 crores in Sri Lanka. So, overall, all markets are doing well and hopefully, we should be able to do almost around 1-15% kind of growth overall in branded promotional market.

Priya Harwani

Okay. Thank you so much.

Moderator

Thank you, Ma'am. Next question comes from Kunal Dhameja from Macquary Capital. Please go ahead.

Kunal Dhameja

Thank you for taking my question. So first one clarity on the EBITDA margin guidance, we said 21%, but is it including the other income, etc. at guidance?

Ajit Kumar Jain

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Yeah. I have clarified that. Normally, we include other income. So, I think probably your method is that you exclude the other income. Yeah. So, there are both other incomes and.

Kunal Dhameja

Okay. And on the manufacturing, on the other expenses side, is the Dewas commercialization already included in the Q1 thing or there's some more overhead that can come from there, you know, future quarter.

Ajit Kumar Jain

Dewas, initially, we started production of two intermediates. We have just received the drug license now. I think last 10 days back, we have received the drug license. And now, the process of establishment basis of API as well as their validation basis, that process will happen off around 5 to 6 API. So, from now to March will be the Dewas plant will be doing only the establishment and validations establishing the entire chemistry. They will take the transfer of technologies on your entire analytical methods and manufacturing and all those kinds of practice, training, and by and large they will be

only the validation, which would happen, because our first priority to do the validations and thereafter do the stability, because without stability from that plant, you can't ship anything to anybody.

So, next 6 months is practically whole plant will be busy only on the establishment and validations. And once you have, let's say around 6 months, when your stability data, then on the API preview, then you can give a higher kind of stability and shelf life on the product. So, actual business would start happening only from next financial year. Dewas will not contribute to any kind of turnover in current financial year, because unless we generate the data, we will not be able to do business. These data will then be supplied to be filed with regulatory authorities, then we will invite the regulatory authority for approvals and all.

For the meantime, let's say India related business and a lot of other market related business, where those approvals are not required to be taken merely on submission of data, we can start. So, those kinds of businesses will start first. And thereafter, once regulatory inspections happen, then other markets like EUs and lots of those markets like Brazil, Mexico, all those kinds of markets will be added to that. So, that's the process. So, Dewas will have to go through that process. So, for some time, these kind of let's say operating losses would be there and that is all factored in our calculations here.

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Kunal Dhameja

Okay. And the last one on the India business, so on NADM businesses, you suggested that

price increases will kick in from Q2, but on non-NA DM piece, have we taken the price increase, or you know, are they still going to pitch in the same Q2 or Q3, or is it currently factored in quarter?

Ajit Kumar Jain

In India business, let's say on 1st April, as government announced the prices on schedule formulations, we've taken the pricing, but that production started in April and by the time they say for 2 months, we have sold our old stocks off with a lower pricing, so practically somewhere, pricing has come effective from June and somewhere from July, but now, everywhere the prices are effective.

As far as the non-schedule formulations are concerned, the prices can be taken, and the increase can be taken in a cycle of 12 months. And most of our cycles are falling in the Q2 and Q3. So, Q1 mean [inaudible 00:37:40] that significant, but overall, as we have added around 6 to 7% price increase would happen and that some price increase has happened in Q1 also, but major increases are happening in the Q2 and Q3.

Kunal Dhameja

Thank you and all the best.

Moderator

Thank you, sir. Next question comes from Dino Pathi paramtil from Incred Capital. Please go ahead.

Dino Pathiparamtil

Hi. Thanks for taking my questions, two quick questions. Sir any further update on our US business restarting, anything further?

Ajit Kumar Jain

As far as the US business is concerned, whatever regulatory content, we've already submitted to them, and for all the plants we have made a request for inspection. They have started now visiting India and probably that inspections have started off the companies now, so I think a lot

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of inspections are currently happening. Hopefully, our plants will also get inspected, but it's very difficult to say that when the inspections would happen, but we understand that there is nothing pending from our side to be given to FDA. So, hopefully, from that end, the US inspections would happen, but when FDA, any day they can come today or tomorrow, anytime they can come. We are ready for it.

Dino Pathiparamtil

Understood. Right. Suppose that inspection happens, and you're cleared, you know, can you immediately

start selling some of your old food products immediately in the US market or is it going to be a cycle of fresh approvals product-wise ?

Ajit Kumar Jain

Let's say we are on import alert. So, after inspection, suppose there are some kind of minor observations are there, they need to be replied within certain number of days.

Dino Pathiparamtil

No, no. I'm talking about once everything is cleared. Once the plant is cleared, immediately your old, approved products.

Ajit Kumar Jain

My disclaimer is that nobody's waiting for me. So, I had to go and disturb the market and create the market again. And it's a cycle that some people get tied up for 6 months, some get tied up for 3 months, so whenever they come back for buying, then we start pitching, so it will take some time to get back to the market. So, it's not that from day one the business will start and business will start in a big way. It will take its own time. But we are concerned that we are still able to get higher businesses on those products, because we have cost efficiencies on our major products, and we still have cost leadership, and on those very products, we are further reducing the cost. So, we have the ability to disturb market big way.

Dino Pathiparamtil

Got it sir. One final question on tax rates. So, you were mentioning in the initial comments about the tax, something about the deferred tax liability regarding MAT. So, what is the fuller reported tax rate that you're looking at for this year and also, say for next couple of years?

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Ajit Kumar Jain

That's what I have clarified. Earlier, our guidelines were there that probably we will fall in 25% tax rate not from this financial year, but from next financial year, but Supreme Court has come out with the decisions on all those sales promotion costs of past and other things, and because of that judgement, your even past cases, which are there in your appeals and all, whatever assessments are open, let's say 3 years assessments are open and there are certain assessments, which are there in the appeals and all, for small issues, the litigations are there, but now, these cases will be looked, they're fresh and practically, a lot of those possibly get disallowed.

And therefore, we thought that whatever MAT credit available with us, let us utilize that credit for the past disallowances and therefore, instead of opting for the 25% next year, we have opted for this year. So, there are no past liabilities. Past liabilities will get adjusted on your past MAT credit available. From this year, we will be on 25% current rate of tax, but the finance sector has changed practically some kind of that there will be absolutely when you are opting for 25%, there will be no incentive, or no kind of deductions will be there. And finance sector has also come out that whatever say brand recalls and all that are given to the doctors on small values and practically, to remember the brands and all those kinds of things, that will also be likely to get disallowed.

And, therefore, that will also put an additional burden on pharma company. So, we said that as against 25% tax, our tax rate is likely to be around because of disallowances. There could also be mismatch between the book depreciation and IT depreciation. So, the overall tax rate could be around 27.5% in the current year and that tax rate will continue. And then, because of timing difference, there could be deferred tax, but that deferred tax amount is not very large. So, overall, let's say around 27.5 to 28% would be the current tax and deferred tax in the current financial year and future financial years.

Dino Pathiparamtil

Perfect. Thank you very much.

Moderator

Thank you, sir. So, next question comes from a Kapil Agrawal from Itus Capital. Please go ahead.

Kapil Agrawal

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Hi sir. Am I audible?

Ajit Kumar Jain

Yeah Kapil. Yes, you're audible.

Kapil Agrawal

I wanted to understand a little better on what's happening around the UK. From my understanding, you were partnering with only 1 distributor in the UK. And when you had a single distributor, you decided to facilitate your own distribution. So, I wanted to understand what are the dynamics that would lead you to not partner with multiple distributors in the UK and why did you decide to, instead of partnering with some other distributors that you decide to distribute on your own?

Management Team

Kapil, we were doing business with this partner when we were nobody in UK. So, our relationship with this distributor is of 25 years. So, from zero, he took us till 300 crores, there was absolutely no issue, but since last two years, the distributor is having its own problem because he also had its own manufacturing facilities in UK. Because of this COVID and Brexit and all, so his own operations is also into some kind of a trouble. So, because of all that, the remittances from him were not coming in time. That is the reason we decided that better we start our own distribution network in UK. So, that is how we started.

Now, we are having already six products in market and another six products will get added during maybe in a quarter or two. Few more products' registration will come before the end of this year. Another few products are under registration. So, going forward, we will have a good number of our own products registered and under market in the UK and we are very confident and whatever business now we are doing is our own business and it is a more predictable business, and it will grow year after year instead of depending on a distributor and we see a good scope in UK market

Kapil Agrawal

Understood sir.

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Ajit Kumar Jain

And also doing business in many European countries where we have multiple distributors. We have learnt from UK. So, you should not depend on one distributor. And actually, what happened in UK, we were new, and this distributor came to us and all our dossiers, even though we developed it was registered in his name. So, because of that, we could not start our own distribution immediately, neither we could give those dossiers to somebody else.

Whereas our model in other European market, we are present in many countries. We give product to multiple distributors. They have to exclusively buy from me because it is my dossier, but I am not exclusive to him. I can give same product to any other party. So, that kind of a business arrangement we have in multiple countries, Australia, New Zealand, many of the European countries, Canada, which is our business model.

Kapil Agrawal

Got it. That's it from me. Thank you.

Moderator

Thank you, sir. Next question comes from Abdulkader Puranwala from Elara Capital. Please go ahead.

AbdulkaderPuranwala

Yeah. Hi. Thank you for the opportunity. So, my first question is on your entire business. So, what is the total number of [inaudible 00:47:15] do we have right now? And secondly, did we call out the productivity of these [inaudible 00:47:21] would be at par in the next two years?

Management Team

By the end of this current year, more or less we should be having around 6000 sanction pills spent in the market.

AbdulkaderPuranwala

Okay. Yeah. And so, on the productivity front, you know, by what time could we ask to be productive as the current ones?

Ajit Kumar Jain

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Our current productivity is around Rs. 4 lakh per rep on an average basis. There are newer divisions where productivities are low. There are o

lder divisions, where productivity is as high that Rs.10-12 lakh Rs.7-8 Lakh. So, it all depends on establishment of brand by their divisions and over a longer period of time as the business gets established, the productivity keeps on rising. So, since we wanted to increase our penetrations, by and large the field force additions are happening and that number one is an existing division to increase the penetrations because our survey suggested that our own internal surveys that overall, we do have lower number of peoples in metro cities where we need to have more penetration metros, all bigger cities are growing faster and there the doctor coverage was a little lower side because of lower field people.

So, one, we have increased more penetrations to the bigger cities and number 2, we have started two more cardiac diseases. We also splitted our Rheumatoid Arthritis division, which is in pain management and created one more division because we wanted to add more number of products in Rheumatoid arthritis segments and all, and with more number of brands coming in, it becomes difficult for a rep to concentrate on that and in a division, you can have only 3-4 power brands. So, brands can grow only if there are more number of power brands and a rep can't concentrate more than 3-4 kind of power brands. So, we needed to create one more division in Rheumatoid Arthritis.

So, basically, it's more metro coverage, more penetrations in Rheumatoid Arthritis and Cardiovascular divisions where the addition of people are happening. Almost around 1200 people are getting added in the current year, out of which almost around 800 are already recruited, balance people are in the process of recruitments and all in the current financial year, so by the year end, we should almost have [inaudible 00:50:03] medical reps in the industry.

AbdulkaderPuranwala

Sure sir. Appreciate in that clarification. So, next question is on this API guidance with the year of 5%. Are we factoring an entire normalization of Losartan in the year in this guidance for 5%?

Ajit Kumar Jain

Normally, what happens then when disturbance happens, other suppliers penetrate in between. So, somewhere some Chinese suppliers has also entered into the supply chain. And it takes some time to get back that market back. Even though let's say the regulators has come back and said that whatever our impurity levels were the re in parts per million, earlier they have expressed that that could be risk, but now they've come out that yes, absolutely at that level of

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impurity, there are no risks, but meantime, market got disturbed, because of that guideline. And

it took us some time to come up with process.

First, we came out with a process where overall, let's say impurities have come down, but our productivity has drastically gone down because of an additional strip of verifications were added, costs were also increasing, but that process was not efficient. So, we were simultaneously working to come out with newer process where we have added a process, where efficiencies are gained back, your capacities are gained back, then also we improve the overall yield factors, thereby reducing the cost. So, that process registrations are on.

So, we will be able to aggressively compete and gain in the market share, but it will take some time and therefore, we have overall lowered the guidelines from the current year and Q1, anyway, we have recalled, and those kinds of losses are there on account of lower business and all. So, looking at that kind of things, we have reduced the overall guidelines to a lower level in current year. Hopefully, next year and next three years, as I already guided, we are looking almost from API side around 2000 crores kind of business. And we have those kinds of product pipeline and now, capacity is getting built

Id up for our Dewas plant and all, so hopefully, that journey will perform. We expect to do very well on API in a longer period of time.

AbdulkaderPuranwala

Got it sir. Thank you and wish you all the best.

Moderator

Thank you. Next question comes from Mithesh Shah from Nirmal Bang Securities. Please go ahead.

Mithesh Shah

Yeah. Thanks for taking my question. I just want to repeat the same thing about the tax rate. You said that rate increased from 25 to 27.5% mainly because some of the assets not considered in the depreciation. Is it right?

Management Team

No. Some of the expenses will get disallowed. For example, CSR expenses, correct. So, in your Profit before tax, you are reducing there, but for income tax, you have to add it back because it is a disallowable level expenditure. Similarly, Mr. Jain said because of the supreme court judgments, certain small recall items, what we use for brand recall and all, those expenses

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may also get disallowed. Because of all this, the taxation actual rate will be 25 plus another 21/2 %.

Mithesh Shah

But that recall.

Management Team

profit before tax.

Mithesh Shah

That recalls are from the export market, right?

Management Team

No. Domestic market.

Mithesh Shah

Domestic market. Okay. Got it. Thanks.

Management Team

So, whatever sales promotion or whatever expenses, you're incurring like brand recall, you give pen, paper weight, such expenses.

Mithesh Shah

Got it. So, that is.

Management Team

Where the name of the brand will be put?

Mithesh Shah

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So, that is applicable for the across the industry, right?

Ajit Kumar Jain

Yes, across industry, every player will have to pay higher taxes because all those expenditure will get disallowed under Income Tax Act.

Mithesh Shah

Got it. Thanks a lot.

Ajit Kumar Jain

Law is also amended, and Supreme Court decision has also come. So, both are there. Yeah. The Supreme Court judgement is impacting the past open assessment and your current taxation rates are changing because of budget.

Mithesh Shah

Yeah. And just one more question that 1200 MR's you are adding, you said that that will be productive in next two years. So, that will be optimal productivity they will reach in the two years?

Ajit Kumar Jain

Normally, a rep takes two years' time to become productive. That's what our past experience is there. Productive means, I would say that he starts recovering his cost, his supervision costs all the promotional costs we incur on them, and then he starts contributing towards the margin. Till such time let's say his travel cost, his salary costs, by the time he starts giving us the business at a breakeven level and above breakeven level, it will take around 2 years' time.

Mithesh Shah

Got it. Thanks. That's it from my end. Thanks a lot .

Moderator

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Thank you, sir. Next question comes from Anubhav Sahu from Envy Research. Please go

ahead.

Anubhav Sahu

Hello. Yeah. Thanks for the opportunity. A couple of questions. One, I probably missed out. What is your overall sales guidance for FY23?

Management Team

It was around 9-10% growth. Yeah.

Anubhav Sahu

9-10%. I mean here also, have you revised down? I mean or.

Ajit Kumar Jain

It's around that, earlier we were talking around 10-11%, so it is 9-10% now, so we are going 1% down.

Anubhav Sahu

Okay, and for domestic business?

Ajit Kumar Jain

Domestic business, we have guided around 12%.

Anubhav Sahu

Okay, and if we exclude antimalarials any numbers you have?

Management Team

It will be higher, anywhere between 17-20%.

Anubhav Sahu

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Okay, got it. Second sir, could you tell what would be our utilization level for the facilities, which are impacted by import alerts, like Pitampura, Silvassa and all?

Management Team

There are two formulation facilities, which were having a US FDA approval that is at Silvassa and Pithampur. Pithampur, we are using to some extent for other generic market, whereas Silvassa capacity utilization is bare minimum, hardly anything. Pithampur maybe around 30-35%. Whereas Ratlam capacity, whatever was there, which were using for US market, most of them we have now started using for other markets globally.

Anubhav Sahu

Okay. And for Ratlam, we also did the debottlenecking also.

Management Team

That is correct, yeah. And we have also come out with a new facility at Dewas, which will help in scaling up my API production as and when required for US market including.

Anubhav Sahu

Okay, but Dewas is primarily for APIs, right?

Management Team

It is for API.

Anubhav Sahu

Okay. And sir, what is your use of good Krebs Biochemicals? How do you foresee the business right now and when can we actually break even at the EBITDA level?

Ajit Kumar Jain

I think Krebs is the listed company. So, it's not good on my part to talk to you on Krebs. I think, probably you can raise the question to the Krebs.

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Anubhav Sahu

Okay. Thank you.

Moderator

Thank you. We are having a follow up question from Kunal Dhameja from Macquarie Capital. Please go ahead.

Kunal Dhameja

Thanks for the opportunity again. Just one on the daily allowance, you said that daily allowances for medical reps have increased. So, can you just give some clarity on what was the number before and what is it now?

Ajit Kumar Jain

There are various kinds of allowances. I will not be able to give number, but let's say petroleum cost has moved up. So, their travel costs have moved up. So, somewhere, those allowances are gone up, plus all food prices have moved up. The daily allowances on food and travel have gone up.

Management Team

And 6000 people in field so that will definitely put some pressure on cost.

Kunal Dhameja

So, can you quantify the allowances as percentage in revenue?

Ajit Kumar Jain

Allowances increased are 10-12%. Yeah. Well, there are two kinds of effects. One is increase in allowances and secondly, increase in field people.

Kunal Dhameja

Numbers.

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Ajit Kumar Jain

Both have increased, yeah.

Kunal Dhameja

Both are happening simultaneously, okay. yeah. Than k you. Got clarified

Moderator

Thank you. That would be the last question for the day. I would now like to hand over the floor to Management for closing comments.

Management Team

No, madam. We have answered most of the questions. There are no further comments from our side. Thank you. And thank you all the participants .

Moderator

Thank you. Ladies and gentlemen, this concludes you r conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines sir. Thank you and have a pleasant evening.

Management Team

Yeah, thank you all. Bye

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Note: 1. This document has been edited to impro ve readability
2. Bla nks in this transcript represent inaudible or incom prehensible words.

Call: Nov 2022

THRU ONLINE FILING

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai 400 023

Scrip Code -524494

Dear Sirs,

Dear Sirs, November 16, 2022

National Stock Exchange India Limited,

Exchange Plaza, C-1, Block-G,

Sandra Kurla Complex, Sandra -(East).

Mumbai-400051.

Scrip Code: IPCALAB

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations

and

and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of

our Conference Call which was held on Monday, 14th November, 2022 to discuss the

Company's Q2FY23 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

Encl: a/a

Ipca Laboratories Ltd.

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Transcript – IPCA Laboratories Q2 FY23 Earnings Call

Event Date / Time

Event Duration

CORPORATE PARTICIPANTS:

Mr. A. K. Jain

Joint Managing Director

Mr. Harish Kamath

Corporate Counsel and Company Secretary

Q&A PARTICIPANTS

1.Nikhil Mathur

2.Surya Patra

3.Kunal Randeria

4.Amit kadam

5.Chirag Dagli

6.Ms. Damayanti Kerai

7.Tushar Manudhane

8.Rashmi

9.Rahul Jeewani

IPCA Laboratories Q2 FY23 Earnings Call

IPCA Laboratories

Q2 FY23 Earnings Call

Event Date / Time : 14/11/2022, 16:30 Hrs.

Event Duration : 51 mins 33 secs

PARTICIPANTS:

Joint Managing Director

Mr. Harish Kamath

Corporate Counsel and Company Secretary

Q&A PARTICIPANTS :

: HDFC Mutual Funds

: Phillip Capital India Pvt Ltd

: Antique Stock

: Canara Robeco Mutual Fund

: DSP Blackrock

Ms. Damayanti Kerai : HSBC

Tushar Manudhane : Motilal Oswal
: Dolat capital
: IIFL Securities Limited
- 1 -
Hrs.

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Moderator

Good evening, ladies and gentlemen. I'm Kritika, moderator for the conference call. Welcome to IPCA Laboratories, Q2 FY23 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participants' lines will be in the 'listen only' mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should any assistance during the conference call, please signal an operator by pressing * then 0 on your touch tone telephone. Please note this conference is recorded. I would now like to hand over the floor to Mr. Nitin Agarwal. Thank you and over to you, Sir.

Nitin Agarwal

Thank you. Hi, good afternoon, everyone and a very warm welcome to IPCA Labs' Q2 FY23 post earnings call hosted by Dam Capital Advisors Private Limited. On the call, to represent today, IPCA Lab management, we have Mr. A. K. Jain, Joint Managing Director and Mr. Harish Kamath, Corporate Counsel and Company Secretary. I'll hand over the call to the management team to make the opening comments and then we'll take it forward from there.

Management Team

Thanks Nitin and Dam Capital Advisors for organizing this call. Good afternoon to all participants. And thanks for taking out time and joining us for Q2 FY23 Earning Call. Today's earning call and discussions and answer given may include some forward-looking statements based on our current business expectations that must be viewed in conjunction with risks that pharmaceutical industry faces, or actual future financial performance may differ from what is projected and perceived. You may take your own judgment on the information given during the call.

Domestic formulation business for the quarter [inaudible 00:01:53] 10% growth, and domestic antimalarial business has shown a decline of almost, around 19% for the quart

er. IPCA is second fastest growing in IPM among the top 20 players in mid-September 2022. We have gained 3 ranks over 2018, and now we are 17th player, rank 17 In IPM. Most therapy growth is better than the Indian pharmaceutical market mid-September 2022. Except the cardiovascular therapy, where we have reorganized and restructured our business to build a strong focus, the teams are stabilizing now, and we will see much better results in future.

Our market share has improved to 1.86% in last 4 years from 1.59% in 2018 and for Q2 FY23, our market share has further improved to around 1.91% overall of the pharmaceutical market. Our export promotional business has delivered a growth of almost around 33% for the quarter. Export generic business, including institutional, has delivered almost around 8% growth for the

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quarter. Institutional business per se, has delivered around 12% growth and generics has delivered around 4% growth for the quarter. Our active pharmaceutical business has declined by around 15% for the quarter, mainly due to the lower demand in Latin America and Asia and pricing pressures witnessed in this business.

Our overall, for the year, API business is expected to deliver a negative growth of around 2% for the whole of the financial year 2023. Material cost to income is at around 32.83% for Q2 FY23 as against 33.09 for the same period last year. There is an improvement of around 0.26%. We are seeing the softening trend in prices of intermediate and starting material, some of like solvents, API, your aluminum foil, plastic, PVC, PVDC. The paper marginal cost has gone up for paper and even glass product, that has slightly gone up. In overall, on the other expenditure side, there is an overall increase of almost around 23% for the quarter.

And this increase is mainly on account of two head, one is energy cost for the quarter is almost higher by almost around 16 crores because of increase in the overall coal prices, SSD prices, and electricity rate revisions by the state electricity boards and all. And marketing costs have significantly gone up. The marketing costs has also gone up on account of overall increase in the sales strength, significant increase in sales strength in the current financial year in Q1-Q2. EBITDA margins have declined to around 21.04% for the quarter on standalone accounts basis as against 23.05% in same period last financial year. Having given the broad numbers, now I request my friends to ask questions.

Moderator

Thank you, Sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. I repeat, ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. We will wait for a moment while the question que assembles. First question comes from Nikhil Mathur from HDFC Mutual Funds. Please go ahead.

Nikhil Mathur

Yeah, hi, good evening, everyone. My first question is on the RM front. We were able to that RM prices are kind of softening. So, can you give some indication on key RMs model of prices today and what they were six months back? How much decline have you witnessed, and how far are we from, say 1 year, 2 years back?

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Management Team

I would say that, almost around, on material to material wise, somewhere there are almost around 30-40% decrease, somewhere there is around 18-20% decrease, in somewhere around 8-9% decrease on the main raw material, we are today consuming. That's the overall on RM side. On, broadly on API side let's say, product like paracetamol and

all, there almost around

18-20% kind of decreases are there. Product like Erythromycin or Pantoprazole or Aceclofenac we consume, there are around 10-15% kind of overall decrease is there on those kinds of materials. And if you look at the, your solvent prices, solvent prices have gone up by almost 2%, but overall, other solvents, like say Acetone, IPA, Methanol, and MDC is around 9-17%, is overall decline in all those materials.

That's overall range which we have. And like on metal prices, if you look at Aluminum foil, from, which used to be a year back around Rs. 300, now come to around Rs. 200, a level. LULU foil, from 400 to almost around close to Rs. 320, kind of a little less than Rs. 320 or maybe the caps we use on bottle from Rs. 400 to Rs. 320 - 325. That's the kind of range. Plastic PVDC similar kind of trends, trends are there around, almost around somewhere 30-35, 16 to 30-35% kind of reductions are there.

So, those kinds of prices trends are there. And on energy front also, if you look at the coal, used to be almost around Rs. 15 / Kg. Now it has come to around Rs. 12-12.90 / Kg. Furnace oil, from, I think, per metric ton, from 70,000 has come to around Rs. 44,000 - 45,000 level. So, that's the kind of decline is there. But, somewhere, like say, your, what we are using is biofuel, those prices have gone up from, maybe around Rs. 7 a Kilo to almost around Rs. 8.7-8.8 per Kilo. So, it's-- somewhere prices have gone up, but majority of the prices are coming down.

Nikhil Mathur

Right. So, but Sir can, again if I look at the mix, mix must improve right, on last couple of quarters basis and the prices have come up, so, why is gross margin still way short of what we used to do, let's say pre-COVID?

Management Team

Let's say, the gross margin, there is an improvement, but there is always a time lag because you keep on buying every month by month. Inventory prices are going down and you have inventory. So first you consume the-- we follow the FIFO method. So that impact will, greater impact will come now in the coming quarters, earlier, in first quarter level, when we were consuming material the prices of whatever there in inventory was very, very high compared to what is prevailing today. And what we bought in Q1 compared to the second quarter inventory,

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but Q1 whatever buying's are there, that getting consumed in Q2. So, that process is on, but I think overall impact will start coming in the subsequent months, and impact has already started coming in, little bit.

Nikhil Mathur

Okay, got it Sir. Second question is around India? Can you help me with the growth x of antimalaria and [inaudible 00:10:32] .

Management Team

I think excluding antimalarials, our growth is almost on 13%.

Nikhil Mathur

Okay, so Sir, I mean, if I remember correctly here, almost 1200 MRs have been added in last 2-3 quarters. Why isn't the positive impact of those MR additions yet reflecting in numbers?

Management Team

I didn't get you.

Nikhil Mathur

So, my point is that the steady present growth, it would have a component of obviously volume and pricing increase as well. It doesn't seem that the kind of MR additions that we have done, almost 30% of the [inaudible 00:11:07] increase in over the last 2-3 quarters and the prescription uptake is not yet visible in domestic sales numbers. So, any reason why?

Management Team

Domestic we are already-- among the top 20 companies, we are the second highest growing company. The market growth is very bad. We are going around one and a half times the market growth overall. And whenever you recruit the new people, it take time to-- for them to become productive. It will take almost around 2 years' time for them to start giving breakeven to the company. So, an initial 2, 3 months goes in their trainings and over a

ll induction in the field and

all that. So, they don't become immediately productive. So right now, in the 2nd quarter, they are the burdens on-- as far as the cost is concerned, there are hardly any productivity is expected. It's only now some kind of impact will start coming in, but overall, we will not be recovering

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costs. It will take almost around 2 years' time to do even recover their costs. 3rd year onwards they will start contributing profits to the company.

Nikhil Mathur

One last question on this only. Can you quantify the extent of cost build up, I mean, how much of cost is sitting and absorbed today in the P&L from these MR additions and marketing initiatives that you alluded to?

Management Team

No, we don't segregate the cost on new people and old people, all that. That doesn't happen.

I'm telling you generally that's the trend. [multiple people] . An overall cost increase only on account of addition of people will be anywhere between 120 crore to 150 crore for the whole of the year. And people are not added at a time. So, in this financial area itself, maybe around-- it's around 100 crore kind of overall cost impact will be there for the whole of the financial year, on the new people addition during the year.

Nikhil Mathur

Sure Sir got it. Thank you so much.

Moderator

Thank you, Sir. Next question comes from Surya Patra, from Phillip Capital India Private Limited. Please go ahead.

Surya Patra

Hello, thanks for the opportunity, Sir. And I mean in delivering kind of okay kind of results despite the challenges. So, first question is on the UK market, where we have been registering out of our own 43 odd products, who are only from the third-party name, what is the progress there at the end of- what is the annualized revenue rate that we have achieved so far for our own registration base products?

Management Team

Say 1st two quarters are impacted because of the overall significant business around that time we had with Bristol. So, that business is not there in 1st two quarter. From Q3 onwards the business was hardly anything, it may be around 9-10 crore of our distributor related business.

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So, we will start seeing good growth, as far as the UK business is concerned, in the second half of the year. And overall, for the year, there will be marginal decline will be there in the business, but the business progression has been very good.

We have, whatever product we have launched we have got good amount of market share on those kinds of products and there are at least around 7 to 8 products are under launch currently. Including SPUs, it will be maybe around more than around 20 products will be there and for our launch in the next second half of the year. So, we are seeing a good traction coming on as far as UK is concerned and whatever products we have launched we have had a good market share in on those kinds of products.

Surya Patra

Okay Sir. So, my second question is, let's say on the API, a underperformance what we have seen. There could be multiple reasons. Reason could be Saturn also, could be the non-activation of the purified process, what we had filed for the recondition and all that. So, two things here Sir, could you give us some sense of what is the outlook for your API business here on for the export market? That is one. And Saturn is a category, what is your outlook there, because there are enhanced competition, that is what we are witnessing, some other people who are claiming about qualitative product compared to [inaudible 00:15:58] product bases.

Management Team

As far as API business is concerned, this impact is mostly not on account of Saturn. Saturn has impacted, but it's only very small.

The major geographies where the impact has come is, one is Latin America, and one is Asia. These are the two geographies where the major impact we have seen is, basically because of slowdown in the demand and customers postponing the order executions. That's what's the one of the major reason and also there is a significant-- because there is a slowness in demand, there is also a significant pricing pressure. So, that is also there.

So, on that account, there is an overall decline in API business. And, if you look at geographically, it's only the two geographies where we have done well in European markets, we have done in well in other like [inaudible 00:17:00] market, we did well. And India Business

also was good, but it's only the Latin and your Asia business that has given us a decline of almost around 50 crore of business in API industry. And overall, for the year, the overall API business, there will be some recovery and we see that overall, for the year API business may see around 2 to 3% kind of decline. So, there will be some recovery is expected in the 2nd half of the year.

Surya Patra

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Okay, and Saturn as a category Sir?

Management Team

Saturn as a category has a significant pricing pressure. So that's also resulting in the overall lower business. But that's not the only reason. Saturn has not done that bad in the quarter. Saturn decline is very, very small, but it's an overall decline is there, in there because of low demand and pricing pressure.

Surya Patra

Okay. So, regards the institutional business, considering the kind of launch of antimalarial vaccines in various areas and all that, and the pricing pressure that is there for institutional business, generally what outlook one should build for your institutional business, going ahead Sir?

Management Team

Vaccine has not made any significant impact as far as the antimalarial business is concerned in the market. And anyway, with the vaccine some kind of antimalarial drugs will also need to be given. So, that's not likely to have an impact. But in the current financial year, I'd say that this is a year where the retendering was done and all that, and because of that, there is a-- some kind of slowdown in ordering. So that's the reason we have said that this year overall antimalarial business may not grow.

But as such, also, we don't foresee a very great, long term, let's say, or medium-term increase in antimalarial business, because by and large, because of all these climatic conditions and all, antimalarial as a category itself is not doing that well. And India, this business has significantly declined. Currently, let's say, this businesses are happening in other markets, but we don't know what kind of impact that might have in future. So, we are not projecting a significant growth as far as this category of business is concerned. And on institutional business we are there are only antimalarials. So, that's the kind of scenario over a longer period of time.

Surya Patra

Okay, just last question Sir, from my side. About the Dewas , whether the second unit has commissioned? The new, second unit, and what is the utilization of the first unit and obviously you have already indicated that Dewas first unit will be contributing meaningfully starting next

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year. But what is the current status of that and also, if you can say something about the progress in the Nagpur site.

Management Team

See, Dewas, we have planned to validate almost around 10 APIs and that validation programs have started. And after starting our validation programs, we had to do around 6 months stability and then, each market regulatory filings will start happening. So, it has very recently started th

e

first page, we started some intermediate business from unit 1, for our captive consumption, that did not contribute any kind of top line to the company. So, and now since that phase is over, so we have started now, started validating API. So, during the next 1-year time, almost around 10

APIs will be validated there.

And filing will start from now, or at least around 6 months' time, the 1st filing will start take place from that site. And thereafter, say at least 4 or 5 filings happens, European authorities and other authorities will start, maybe after filing maybe 3, 4 months, 5 months after, at least some regulatory inspections should start happening and business will scale up only after that. So, we see that overall, for 1 year nothing meaningful contributions would come from this site, till the time we file all the products and till the time regulatory inspections of the site happens.

Surya Patra

Okay. Sure, Sir, Thank you.

Moderator

Thank you, Sir. Next question comes from Kunal Randeria from Antique Stock. Please go ahead.

Kunal Randeria

Yeah, hi, Kunal here. So, Sir, on the API business, as to probe a bit more. Can you tell us what exactly is the issue? I mean, why is there lower demand or why are customers postponing their orders? Is it because anticipate better pricing in the coming months or what exactly is happening here?

Management Team

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See, India itself market has started, say, having overall lower growth. So similar kind of trend is also there in other markets. That, there is a-- demand slowdown is there in the market. So, that's a factor which is contributing.

Kunal Randeria

Okay, so demand slowed down. And Sir, I think.

Management Team

The market is not growing to that level which they were growing earlier.

Kunal Randeria

And Sir, this is happening across the world or is there any specific market you would like to call out?

Management Team

I think that the greater impact we have seen is one is in Latin and another in Asia.

Kunal Randeria

Okay, got it Sir. Sure. Then the second question from the branded business, I have seen a bit lumpy, rather generic, which export business, being a bit lumpy. Perhaps it's because of the Ukraine issue. So, should we consider this quarter as the base or was an element of some channels selling also happening here?

Management Team

What has happened that, as we have talked earlier in call, that when Ukraine war started, we were not sure because currency was at very, very high level and at what level it will get settled and all that and it will start selling aggressively around that time, that will result in a huge

amount of losses. But, because Rubel-Dollar around that time practically was more than double than the current level. So, that was the scenario earlier. So, we didn't make that kind of shipment. We significantly reduced the overall inventories in those markets with the stock list and all, with our distributors and all.

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And when they started stabilizing around 60-70 level, we started making shipments. So, first quarter there was some kind of overall decline, but not even in account of sales in that market, on account of overall reduction in the inventories in the market. And some of those inventories were replenished in this quarter. What we see that, this quarter as far as the [inaudible 00:24:39] market is concerned because of air-shipment, it has almost around practically doubled the business, around 93% kind of growth. But our projection for the whole of the year in that market, the [inaudible 00:24:52] market, growth is around 15% and we are on track.

Kunal Randeria

Got it Sir. And just last one. So, if I were to sort of take a 3-ye

ar view on your domestic

business, how do you see the composition changing, in reference to, still expect the same to be a growth driver and its contribution to move up from say 50% to 60%, or all the other therapies should grow just as quickly as [inaudible 00:25:19].

Management Team

See, most of our therapies are growing, except say, little, because of this year, we have reorganized our Cardiac business. So, they're just having some kind of some lower growth. Lower growth is there on Cardiac business compared to market. But, all other therapies, we are growing faster than the market. So, the neuro therapies are all doing very well. But pain forms, say, a significant part of our business. It's almost around 50% of business is pain, and pain include both Rheumatoid, Arthritis and Osteoarthritis. In both segments, we have been, let's say compared to the market growth, our growth is significant, significantly higher, is practically around, if you look at, I will just give the number, one minute.

As far as the pain is concerned, I think overall market is growing by around 12%, and we are growing, I think, in September mid, so it's the 1st 2 quarters business, almost around 21% is the growth in the pain segment. Whereas if you look at the cardiac market, the market is growing by 7%; We have grown by 4%. As far as anti-infectives are concerned, market has grown by around 4%; we have grown by 5%. Dermatology, market has grown by 3%; we have grown by 14%. Then on cough and cold and that kind of portfolio market has grown by 12%; we have grown by 24%.

Then on CNS segment, market growth was 9%; we have grown by 30%. Urology market growth was 17%, we have grown by around 35%. And after market growth was around 13%; we have grown by over 21%. So that's the kind of overall numbers we have as far as therapy device is concerned. And this number is what we are talking is as per this IQR number.

Kunal Randeria

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Got it. And this, just this one last one. So there have been reports in the media since the last couple of months that the government is looking to ban Aceclofenac combinations. Just want to gather your thoughts on this.

Management Team

There is no such report, that market is, government is looking to ban any kind of Aceclofenac asides that's the wrong reading of the report. The report was saying that last quarter, that it was parliamentary question-answer that, relating to one of our products, which is there. Others are

also there in that market. That has been the product which was earlier, it was covered under that 300 and some drugs which was covered under Madras High Court, and then the government of India appointed Kokate committee and Kokate committee has gone into, and then thereafter the Drug Technical Advisory Board has reviewed and finally that combination is approved in the market.

We have approval from the DCGI of that combinations. So maybe almost around a year back that approval has come. But you need to generate the kind of, with that approval, one rider was there that you need to generate some kind of data and give it to them, safety and efficacy data. Now, if you look at safety, millions and millions of people are every month receiving those kinds of doses. So, there are no side effects. So, the question of anything going wrong on safety, efficacy of data does not arise. So that's not the issue. But we have submitted the protocol to the government, but our government has yet to approve the protocol.

So, once the protocol approval-- and that's wherever protocols were to be approved for industry player, none of the player has got any kind of approval because government is in COVID time, they have not approved any kind of thing and subsequently they're looking into it. Hopefully there will be approval of protocol. It will take 6 months

' time to generate those kinds of data and submit to the government. But product approvals are already there in hand. So absolutely, there's absolutely zero risk as far as that product is concerned.

Kunal Randeria

Okay, thank you and all the best.

Moderator

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Thank you, Sir. Ladies and gentlemen. If you have a question, please press * and 1 on your telephone keypad. I repeat. If you have a question, please press * and 1 on your telephone keypad. We will wait for a moment while the question que assembles. We are having a question from Amit Kadam from Canara Robeco Mutual Fund.

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Amit Kadam

Yeah. Hi. Good evening, Sir. Am I audible?

Management Team

Yeah, good evening.

Amit Kadam

Yeah, Sir, my question is on other expense. I think you've partly explained also. But then I just want further clarity on it. So, this quarter, we had other expenses of somewhere around 435 odd crore, which is sequentially, it's like 35 crore higher than Q1, of which you mentioned that 16 crore is related to the higher power costs-- that sequentially there was 16 crore higher power costs. But that balance part is because of the marketing cost and promotional costs, is it that fully related to that particular thing?

Management Team

95% of this increase in the cost on other expenditure is only because of these two heads, one is the fuel and power, and second one is marketing cost. Because of let's say, once the COVID started opening up-- during COVID time, there was hardly any, neither there was domestic travel, and international travel. So, travel costs have gone up. We have recruited almost around, more than 1200 people, overall increase will be 1500 people during the year. So, their traveling

cost is also the part of it. And because petroleum prices have gone up, their overall traveling costs itself has gone up, per kilometer rates and all those has moved up. So, people increase, travel cost increases and also promotional costs increase.

These are the main factors for overall increase in-- plus some expenditures have gone up on analysis side because lot of this Nitrosamines related impurity testing's and all, we have a lot of equipment ourselves in the company, but some of the validation studies or some kind of method development studies and all which, in order to get it faster, we are also using outside services. So, that cost has a little moved up. And also, during COVID-19, overall maintenance is of the plants and all because agencies were not available and all that. So, those activities have also gone up and therefore little repair cost is higher. But, by and large, the marketing costs, which include fill staff costs, travel costs, the power and energy costs. These are the major factors, which has increased your other expenditure.

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Amit Kadam

So, just an extension to this thing, so, how do we look at this cost, like 435 crore, how do we see this as a quarterly run rate going ahead, like example, like power cost, which is like a 16 crore, I think that it is subjected to how the coal price behave. But the balance, which is marketing and everything, it may not be complete, temporary one, because some part is related to the increase in MR. So, that will continue. So, just wanted to know what the sustainable and what is just like something which is temporary, something training, and I think which would fade away. Just wanted to know the bifurcation, so that will help me to properly gauge what is a sustainable OpEx, and how do we see this going forward? Thank you.

Management Team

Normally trend is of marketing cost is that the Q2 and

Q3, it is at a higher level. Q1 and Q4 is normally at lower level. So, I would not say that it is linearly, it is going up or going down. But it also depends on, these are the 2 periods where we have major domestic businesses coming in. And so, therefore, major spending also happens in this particular quarter, Q2 and a little lower in the Q3. Q4 comes down significantly because more of those kinds of, our domestic sales also come down in the in the Q4 because of a lot of seasonality and other factors.

So, the trend of marketing costs in current year would remain high. I will say that we are done the CAGR of that expenditure from 2019-20 and that growth is around 10%. So compared to because, lot of these costs looking higher, because then later part of the COVID period, we have not spent that kind of money which was happening earlier. So that's also one of the factors. So, from next financial year it will become like a normal cost increase of around 8-10% kind of.

Amit Kadam

So, is it like maybe for next year, whatever the base, what we form in FY23, from there, this numbers could just be growing at like 10 odd percent?

Management Team

Yeah, 8-10%. Right.

Amit Kadam

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8-10. Okay and this particular thing, with that signal, volatility and OpEx and oil, coal price, hard to infer what will be the correct number, but it will broadly remain in this current range for the balance part of the year. They will form a base for FY23.

Management Team

Yes

Amit Kadam

Okay, I am done. Thank you.

Moderator

Thank you, Sir. Next question comes from Chirag Dagli from DSP Blackrock. Please go ahead

Chirag Dagli

Yes Sir, thank you for the opportunity. Sir, what does the INR weakening mean for us?

Management Team

Chirag, if you see that way, the Q2 realization of the USD for example is actually lower than the price oddities is there today. So, even at today's USD-INR rate also, I will benefit if it continues like this for another 2 quarters. My average realization for 1st half of the current year is, USD is less than Rs. 80 / Dollar.

Chirag Dagli

Okay. So, if this remain where we are then 6 months down the line, we will start benefiting.

Management Team

In fact, if we look at in the Q2, our currency realizations on dollar were around 79.85. But other currencies which are cross currency there, that realizations have gone down by almost around 7-8%, like Sterling, Euro, New Zealand Dollar. Australian Dollar was around 2% kind of lower realization. So, most other currencies, there was a lower kind of realization compared to dollar. Now Dollar accounts for almost around 60% of business and other currencies account for 40. So, now Dollar, Rupees have little gone, but I think Dollar, Rupee realization in coming months will remain higher than 79.85. but cross currency realizations will improve because dollar Index

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is going down and other currencies are moving up. So, hopefully that will be beneficial in time to come.

Chirag Dagli

Understood sir. And Sir What is our overall margin outlook. We are seeing quarters being very volatile, especially for margins, given the large, fixed cost base that we are getting on the P&L. So, if you just think about the sustainable margin for the business and this is not this year, but generally, how are you thinking about margins?

Management Team

I think that our EBITDA margin should remain around 21%. That's what we have given forecast last, we have guided in last, Q1 end. This year, this quarter also is around that and hopefully it will remain at that level. Because material costs trend is better and except these energy cost and marketing costs these are the two factors. So, overall, it should

be around 21% for the year.

For the rest of the period

Management Team

Chirag, these people who are added, they also go on giving us benefit quarter after quarter. Even that will also add little bit to my EBITDA margin going ahead.

Chirag Dagli

Understood Sir. And the India Business margin should be materially higher than this 21

Management Team

Our India Business gross margins are at a consistent level of 67-68% always. It has not materially changed.

Chirag Dagli

Understood. And Sir, the last question was on Dewas , you talked about the second unit, and you talked about 10 products? Is this for the continuous manufacturing?

Management Team

Not continuous manufacturing.

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Chirag Dagli

Understood, any update?

Management Team

[inaudible 00:39:13] but, not continuous manufacturing, it's not continuous manufacturing. Continuous manufacturing with our plant at Aurangabad. We are likely to put second plant outside also at Aurangabad. That's under process.

Chirag Dagli

Any update on, if you've had any successes on continuous manufacturing for any products?

Management Team

It's too early to give, a lot of work is happening and is bound to succeed but it will take time because it's all a lot of R&D and other things are involved. Some of the steps what we are currently doing, we had significant success. Some of the chemistries are, we are still consulting where we more particularly using this corrosive chemical like Phosphoric acid and Phosphorus Oxychloride, we are yet to get some kind of answers and all. So, today, those kinds of products, everything is not going on continuous basis. There are some steps which are we are yet to get the answers are on conventional basis, some other steps are on continuous basis. So, it's a mix kind of thing.

Chirag Dagli

Understood, okay Sir, thank you so much.

Management Team

A lot of learnings are happening and with the time we will learn more.

Chirag Dagli

Okay, Sir. Thank you.

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Moderator

Thank you, Sir. Next question comes from Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai

Hi, thank you for the opportunity. Sir, any update on potential FDA inspection for the effective plant and what are the current utilization for the existing facilities?

Management Team

No, madam as far as US FDA is concerned, we are awaiting re-inspection. It is status quo. As far as the plant utilization is concerned, there were 2 formulation manufacturing units which were meant for US market, out of which the Silvassa facility is, maybe working at 15-20% capacity. This Silvassa facility was recently inspected by UK, MHRA. Hopefully we should get accreditation in a month or so, and the second facility which is there in SEZ, Indore. That is working at around the 35-40% capacity. That facility we are using for Europe, Canada, Australia, New Zealand and South Africa market.

Damayanti Kerai

Okay. So, is there a possibility we will further increase utilization of the Indore plant for export market because we are yet to hear back from the?

Management Team

As and when there is a demand, and the quantity requirements increase. We are working on all that.

Damayanti Kerai

Okay, Sir. My second question is on the MR addition front, you are done right whatever you have targeted and now focus is on scaling.

Management Team

That is right. Correct. Right.

Damayanti Kerai

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Okay. Right. And my last question is, how should we look at our tax rate for this year and then coming year also?

Management Team

As we explained in the last quarte

r comm call, we are now at 25% tax rate. But there are certain expenditures which are not allowed as a deduction. For example, CSR expenses. Even though it is mandatory, you don't get any tax advantage on that. Similarly, there are certain marketing expenses. Because of Supreme Court judgment, we don't take tax benefit on such expenses. Because of all this, our tax rate will be 25% plus another, maybe around 3% more because of all these disallowances.

Management Team

There will be some kind of element of deferred tax credit, deferred tax also, because whatever facility you're recently put, there, add depreciation allowance. So deferred tax put together maybe around 28-29% kind of overall tax rate.

Damayanti Kerai

28-29% is the rate at which we can work with.

Management Team

Yeah.

Damayanti Kerai

Okay Sir. Thank you.

Moderator

Thank you, Madam. Next question comes from Tushar Manudhane from Motilal Oswal. Please go ahead.

Tushar Manudhane

So just on this cardiovascular therapy in the opening remarks, you refer to some restructuring. Can you elaborate on that?

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Management Team

We have added more division and more people, who are a little bit restructuring of the existing product going to a new division, those things have also happened. But, it will get streamlined, will be a question of a quarter or 1 more.

Tushar Manudhane

Okay, so particularly for this quarter, what has been the growth of this, for cardiovascular therapy?

Management Team

As per IMS data, our cardiovascular divisions are growing around 4% and market maybe growing around 6%. That is what Mr. Jain, said. Our growth in the Cardiovascular is lower than the market growth. So, except there therapy, in all other therapy our growth is better than the market growth.

Tushar Manudhane

Got it. And just lastly on the Dewas facility, how much operation cost to be there in the P&L now?

Management Team

Till now the cost is hardly any because it's commercialized now. Cost addition will be greater [inaudible 00:44:47] in the 2nd half. Cost may remain at, may be around two and half Crore per month roughly, plus additional depreciation whatever is there.

Tushar Manudhane

Understood Sir. Thank you.

Moderator

Thank you, Sir. Next question comes from Rashmi from Dolat Capital.

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Rashmi

Yeah, thanks for the opportunity first. Can you update on Ramdev plant and Lyka plant? In Ramdev plant, I think last year, as you mentioned that, we were looking to file some products for the European market. Have you done that and when do we expect approval and the commercialization of those products, and currently is it taking only to the domestic market or the rest of the world market? And second question is on Lyka plant, I think, again from this plant, have we started supplying products to any of the market, it is update on that thing and also on the capacity utilization for both the plants.

Management Team

Ramdev, Rashmi many products' development work is ongoing. A few products are at the late stage and one more, few product also, we have also filed dossier. That to get commercial benefit out of that will take time, because you will need the product registration and all. See, earlier most of their business was coming from intermediate sale which we have more or less completely stopped now. So, it maybe another 3, 4 quarters for Ramdev to come to its full capacity utilization. As far as Lyka is concerned, [inaudible 00:46:35] work is ongoing.

Rashmi

So, from the Lyka plant, we are not currently catering to any market, right?

Management Team

No, that is what I said, we are taking to market where I am promoting my branded formulation.

That is one of the reason why we acquired some stake in this company. The product dossiers are being prepared and they will be filed in many countries going forward. But then filing and ultimate registration and commercialization will take time. There is a gestation period in this business.

Rashmi

Okay, for both the plants?

Management Team

Country to country registration time also varies. Somewhere you get registration in 6 months, somewhere you get registration in 1 year, 2 year, some places even 3 years.

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Rashmi

Okay. And Sir, on the guidance part, do you maintain your guidance for India market, then generic market, what you have given in the last quarter.

Management Team

[inaudible 00:47:36] business where we gave guidance of about 5% growth. Instead of that we believe by the end of this year, there will be some degrowth, 2-3%. Other than this all-other guidance, whatever are given, we will maintain that.

Rashmi

Okay. And on the EBITDA margin front, this year I understand that you also mentioned that there would be, operational costs will be still high and we have added people. So next year how do we see EBITDA margin from your current guidance of around 21%? Whether we will be able to see any kind of expansion or we could remain more or less at the same level, or we will see some kind of cost softening and that will actually lead to some kind of expansion?

Management Team

Actually speaking, this financial year is very difficult, cost pressure, demand issues, so many regulatory problems with the API, Nitrosamines impurity and, plus, over and above that we have added about 1500 people in the domestic market. In spite of that we are delivering this kind of EBITDA margin. We are very confident on these people become productive people who are added in the domestic market, plus all these demand issue and all other problems which are there, regulatory-wise, once they're all resolved, EBITDA margin will definitely improve.

Rashmi

Okay, and what are the.

Management Team

[inaudible 00:49:04] 24-25% EBITDA margin 3-4 years down the line.

Rashmi

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Okay. And the guidance which you are giving is basically including the other income also, right?

Management Team

Other income is, Madam, more or less it is repetitive income, every quarter, it is there.

[inaudible 00:49:24] given include other income. Definitely yes.

Rashmi

Okay, Sir. I got it. Thank you so much.

Management Team

Thank you.

Moderator

Thank you, Madam. Next question comes from Rahul Jeewani from IIFL Securities Limited. Please go ahead.

Rahul Jeewani

Yeah, hi, Sir. Thanks for taking my question. Again, on the EBITDA margin guidance which We have provided of 21% for FY23, I think we refer to the margins for the standalone business. But if we see between the standalone and the console business, there is a margin differential of almost 200 basis points. So, if you can also comment that, how are you looking at the margins for the console business this year and potentially over the next 2-3 year period as well?

Management Team

Basically, the difference is mainly because in this quarter, there was some exceptional losses in the Bayshore accounts. So, all these COVID sale and the post COVID, whatever returns and discounts and all, because of that, it was a exceptional thing, this particular quarter. Otherwise, more or less the standalone and consolidated EBITDA margin should be more or less similar. Only two companies are facing difficulty little bit, Pishah and Ramdev. As I said, Ramdev should be back on track maybe in another 2, 3 quarters. Pishah may take another year or so. Other than that, whatever this difference is there,

it will definitely come down going forward.

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Rahul Jeewani

Okay, sure. Thanks. That's it for my side.

Moderator

Thank you, Sir. There are no further questions. Now, I would like to hand over the floor to the management for the closing come.

Management Team

Thank you, everybody, for participating in this Con call. There is nothing further to add. Thank you. Thank you, everyone.

Moderator

Thank you, Sir. Ladies and gentlemen, this concludes the conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have pleasant day. Thank you, Sir.

Note: 1. This document has been edited to improve readability
2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Feb 2023

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February 20, 2023

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SE Ltd.
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 023
Scrip Code – 524494 National Stock Exchange India Limited,
Exchange Plaza, C-1, Block-G,
Bandra Kurla Complex, Bandra – (East).
Mumbai-400051.
Scrip Code : IPCALAB

Dear Sirs,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of our Conference Call which was held on Thursday, 16th February, 2023 to discuss the Company's Q3FY23 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

Encl: a/a

"IPCA Laboratories
Q3 FY '23 Earnings
Febru

MANAGEMENT : M R. A.K.

LABORATORIES

MR. HARISH

COMPANY

LIMITED

MODERATOR : M R. NITIN

Page 1 of 22 IPCA Laboratories Limited

Q3 FY '23 Earnings Conference Call"

February 16, 2023

A.K. JAIN – MANAGING DIRECTOR – IPCA

LABORATORIES LIMITED

HARISH KAMATH – CORPORATE COUNSEL AND

COMPANY SECRETARY – IPCA LABORATORIES

LIMITED

NITIN AGARWAL – DAM CAPITALIPCA

COUNSEL AND

LABORATORIES

Moderator: Ladies and gentlemen, good day and welcome to the IP CA Laboratories Q3 FY '23 Conference Call, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen

after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over

Nitin Agarwal: Thanks, Mike. Good afternoon, everyone, and a very warm welcome to IPCA Lab's Q3 FY '23 Earnings Call

Labs' Management

Counsel and Company Secretary. I will hand over the call to the IPCA Management team to make the opening comments and we'll open the floor for questions. Please go ahead, sir.

Ajit Kumar: Good afternoon. Thanks, Nitin and DAM Capital, for organizing this call. Good afternoon to all participants, and thanks for taking out time and joining us for Q3 FY '23

Today's earnings call and discussions and answer given may include statements based on our current business expectations that must be viewed in conjunction with risks that pharmaceutical industry, business faces. Our actual or future financial performance

may differ from what is projected and perceive information given during the call.

Domestic Formulation business has delivered 9% growth for the quarter from INR 645 crores to INR 702 crores

of around 10%. In segment both Rheumatoid Arthritis and Osteoarthritis continue to lead the business with 15% growth for the quarter.

Cardiovasculars and Anti quarter. Antimalarials, contin

quarter, it has declined by almost around 36%, Anti malarial domestic business. And overall for all three quarters, this business is declining by almost around 37%.

In spite of all that, we

last five years. In 2018, our market share was around 1.85%, '19 it became 1.61%, '20, it became, 1.76%, '21 it became around 1.77%, '22 it has become 1.86%. So on a continuous basis, we are improving. Not only improving our market share, we are also improving our rank. We were 21st company, now we are 17th company as per IQVIA's numbers.

We have five brands in Top 300 brands and all five brands in current year have improved its further ranking. Zerodol

year. Your Zerodol IPCA Laboratories Limited February 1

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Thanks, Mike. Good afternoon, everyone, and a very warm welcome to IPCA Lab's Q3 FY Earnings Call, hosted by DAM Capital Advisors. On the call today representing IPCA Labs' Management are Mr. A.K. Jain, Managing Director, and Mr. Harish Kamath, Corporate Counsel and Company Secretary. I will hand over the call to the IPCA Management team to make the opening comments and we'll open the floor for questions. Please go ahead, sir.

Good afternoon. Thanks, Nitin and DAM Capital, for organizing this call. Good afternoon to all participants, and thanks for taking out time and joining us for Q3 FY '23 Earnings Call. Today's earnings

call and discussions and answers given may include some forward statements based on our current business expectations that must be viewed in conjunction with risks that pharmaceutical industry, business faces. Our actual or future financial performance may differ from what is projected and perceived. You may take your own judgment on the information given during the call.

Domestic Formulation business has delivered 9% growth for the quarter from INR 645 crores. First nine months of the year, the domestic business has delivered a growth of around 10%. In segment both Rheumatoid Arthritis and Osteoarthritis continue to lead the business with 15% growth for the quarter.

Cardiovasculars and Anti-diabetics segment growth has been lower at around 2% for the quarter. Antimalarials, continuously in last three quarters, continued its decline. Even in this quarter, it has declined by almost around 36%, Anti malarial domestic business. And overall for all three quarters, this business is declining by almost around 37%.

In spite of all that, we have continued to improve our market share in Indian pharma market in last five years. In 2018, our market share was around 1.85%, '19 it became 1.61%, '20, it became, 1.76%, '21 it became around 1.77%, '22 it has become 1.86%. So on a continuous basis, we are improving. Not only improving our market share, we are also improving our rank. We were 21st company, now we are 17th company as per IQVIA's numbers.

We have five brands in Top 300 brands and all five brands in current year have improved its ranking. Zerodol -SP is 17th rank brand now with nine-rank jump over last calendar

year. Your Zerodol -P is 57th rank with six-rank jump over last year. Hydroxychloroquine is IPCA Laboratories Limited February 16, 2023

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rank jump over last year. Hydroxychloroquine is

almost around 132 rank with 14

rank jump over last year, and Folicitax is 284th rank with 33

all five top brands have jump the ranks in the current financial year overall. These numbers are based on the IQVIA trade audits late December '22.

We have consistently outpaced the industry growth in last four years, with the highest growth in Top 30 company. With three

Acute Therapies, and one

Chronic segment. In late December '22, we have outplacement industry in both acute and Chronic growth as per the IQVIA numbers. With the addition of almost around 1,500 reps in the current year, we hope that we will continue to improve our penetration further improve our market share in domestic market.

Most of the product where the NLEM pricing was to announce is already announced and published now. We expect almost around 15% reduction in the control segment Scheduled Product pricing in the

be announced. And everything is announced now.

The price reduction is in the range of around 15%. And with almost around 12% price rise, which will happen in April, overall, p

Scheduled Formulation prices would be almost around 3% to 3.5%, in between. And by and large, the impact of these price reductions will happen only for the four months in t

time the new prices will come, from May onwards, I think overall reduction will come down too, but Q4, impact would be full.

Overall, our Scheduled Formulations' contribution to

significantly now, because one is Antimalarials, which are mostly Scheduled Formulations.

That has declined. And also because of this reduction in pricing and all. So overall, Scheduled Formulations are now contributing o

is not covered in the Scheduled. It's all non

On Export Branded Formulation market, this quarter we have delivered growth of around 17% from INR 109

has been around 11%, and I think for whole of the year we should be growing in excess of around 17% to 18%, the fourth quarter growth will be further significant in the Promotional market segment. Mark

better growth for the quarter. [

Generic export business including Institutions has delivered 14% growth, and excluding Institutions, the growth in Generic business has been around 6% for the quarter. After first two quarters of decline, because of various issues which were facing, industry was facing lower demand of API, price reduction, nitrosamine impurities, azido impuri

therefore business of active pharma Ingredients has declined in first two quarters. IPCA Laboratories Limited February 1

Page 3 of 22 almost around 132 rank with 14 -rank jump over last year. Zerodol TH is 264th rank with rank jump over last year, and Folicitax is 284th rank with 33 -rank rank jump over last year. So all five top brands have jump the ranks in the current financial year overall. These numbers are

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consistently outpaced the industry growth in last four years, with the highest growth in Top 30 company. With three -rank gain over previous year, IPCA is ranked now 13 th in Acute Therapies, and one -rank gain over the Chronic segment. Now, we are ranked 18 Chronic segment. In late December '22, we have outplacement industry in both acute and Chronic growth as per the IQVIA numbers. With the addition of almost around 1,500 reps in the current year, we hope that we will continue to improve our penetrations in the market and further improve our market share in domestic market.

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which will happen in April, overly, probably, for next financial year, the overall reduction in Scheduled Formulation prices would be almost around 3% to 3.5%, in between. And by and large, the impact of these price reductions will happen only for the -- maybe around three to four months in the month of February, March, then April is the going to be the major. By the time the new prices will come, from May onwards, I think overall reduction will come down too, but Q4, impact would be full.

Overall, our Scheduled Formulations' contribution to the overall business has gone down significantly now, because one is Antimalarials, which are mostly Scheduled Formulations. That has declined. And also because of this reduction in pricing and all. So overall, Scheduled Formulations are now contributing only 17% of our business. So rest of our product portfolio is not covered in the Scheduled. It's all non-Scheduled Formulations.

On Export Branded Formulation market, this quarter we have delivered growth of around 17% from INR 109 crores to around INR 125 crores. For the first nine months, the business growth has been around 11%, and I think for whole of the year we should be growing in excess of around 17% to 18%, the fourth quarter growth will be further significant in the Promotional market segment. Market like Latin America, Middle East, Africa, Southeast Asia has delivered better growth for the quarter. [SEAs 0:07:02] has delivered around 11% growth for the quarter. Generic export business including Institutions has delivered 14% growth, and excluding institutions, the growth in Generic business has been around 6% for the quarter. After first two quarters of decline, because of various issues which were facing, industry was facing lower demand of API, price reduction, nitrosamine impurities, azido impurities, all these issues, and therefore business of active pharma Ingredients has declined in first two quarters. IPCA Laboratories Limited February 16, 2023

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all five top brands have jump the ranks in the current financial year overall. These numbers are consistently outpaced the industry growth in last four years, with the highest growth rank gain over previous year, IPCA is ranked now 13 th in

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around 7% from INR 1,084

get covered in the fourth quarter of the current financial year. We hope that probably, there may not be any decline in t

also. It's just going to be a marginal site. And although ongoing issues like nitrosamine impurities or azido impurities and all which the regulators were facing, all those issues are now since have passed. There are no issues left of that nature now.

This quarter, material cost to total income ratio has come to around 34.13% as against 32.46% in third quarter in last financial year, an increase of almost around 1.67%. Largely the inputs cost rise was there, mostly in the solvents or maybe aluminum foil, but ongoing China COVID issues and higher cost inputs got converted at lower API prices. That has resulted.

And KSM price trends are also towards decline and therefore whatever KSMs we were holding, because of the price reduction, this impact is there, but we don't foresee that our gross margin in time to come, we will be able to go back. Gross margin is not a concern for us. It's a short-term issue.

For the first nine months of current year, our higher than 33% in last financial year. The price softening trend, we hope to improve our gross margin in coming quarter. The other expenses include forex loss of almost around INR 16 crores for the quarter

Apart from the above, other expenditures have largely gone up because of higher promotional cost in the post

around 1,500 is also contributing to the higher cost. With their becoming productive in next financial year, we hope that this ratio will also get corrected.

Our fourth quarter growth is expected to be almost around 10% to 12% range, and we expect that much better growth will come from Branded Promotional market. Generic formulations and API business, all three will contribute better growth. EBITDA margin for the fourth quarter may get further impacted due to the change in the Scheduled pricing and price reductions, which will get some impact during the fourth of the year. But we are confident that next financial year, our margins will certainly improve.

Having given the broad numbers and guidelines, I request now, participants, to ask questions.

Moderator: We have the first question from the line of Kunal Dhamesha from Macquarie.

Kunal Dhamesha: The first question is on the MR additional. I think till last quarter, we were at 1,200. Now we have said we will add 1,500. So are we done with that addition? Is

baked into Quarter 3 number?

Harish Kamath: Yes, that number is done now. Almost around 1,500 people are added. There are certain vacancies, but broadly it's done now. IPCA Laboratories Limited

February 1

Page 4 of 22 API business, this quarter, has delivered around 4% growth to around -- from INR 310

crores. For the first nine months of the current year, the business has declined by around 7% from INR 1,084 crores to around INR 1,004 crores. But most of these declines will get covered in the fourth quarter of the current financial year. We hope that probably, there may not be any decline in the API business in the current year. There may not be a growth also. It's just going to be a marginal site. And although ongoing issues like nitrosamine impurities or azido impurities and all which the regulators were facing, all those issues are now have passed. There are no issues left of that nature now

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For the first nine months of current year, our material cost ratio is around 33.88%, marginally higher than 33% in last financial year. The price softening trend, we hope to improve our gross margin in coming quarter. The other expenses include forex loss of almost around INR 16 for the quarter as compared to a gain of around INR 10 crores in last financial year.

Apart from the above, other expenditures have largely gone up because of higher promotional cost in the post-COVID era. And large addition of medical representative additions of almost round 1,500 is also contributing to the higher cost. With their becoming productive in next financial year, we hope that this ratio will also get corrected.

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Kunal Dhamesha: And sir, if that is done, then why we are not

Because I believe the fixed salaries, it would be part of employee expenses, right? And the allowances will be part of other expenses...

Harish Kamath: Last financial year, our business growth in domestic was 28%, 29%. And therefore our incentive payment last year was very, very high. It was the much, much above normal incentive because from incremental sales, people get much higher incentive. And this year, the overall growth payments are also lower. And that is offsetting the increase in the cost. So overall, it's appearing that overall manpower cost has gone up by 13%, but in fact, excluding incentive, it's on higher side.

Kunal Dhamesha: And secondly, if I look at on a nine around 650 basis point. That excludes any forex loss or gain from both the years. Can you kindly provide some kind of clarity in terms of what are the major drivers impact that is already baked in into these nine months? Similarly, let's say, power and fuel cost

increase, which are the major drivers of this 650 bps, and which of them you see reversing over the next year?

Harish Kamath: Number one was material cost. Practically, it's around 1%. It has gone up by 0.89%. The second head has been the personnel costs, which has moved by 0.72%. The major increase has come in the manufacturing as our expenses, which is almost around 4%. So, that is an increase. Material cost front, we are not worried now because overall, there is a softening and by and large, all the old KSM inventories which were weighted more particularly in API and API business outflows, and particularly also the certain inventory of nitrosamine, which was at a higher price compared to the current prices.

So practically, 17%, 18% higher prices. That has also not only increased the material cost, it has also depressed the margin because KSM prices have come down. So that has happened in many, in fact, KSM price. And KSM prices are soft. So overall, material cost ratios are going to be soft, and I think overall margins will improve.

Personnel cost is higher because it has resulted 0.72% kind of overall increase in personnel costs.

As far as manufacturing and other expenditures are concerned, by and large on manufacturing side, as against our growth of, let's say, around 9%, 10% overall increase is around 13% is the increase in manufacturing side.

Largely, the power tariffs were not increasing for last two years during COVID times. So most of State boards have increased the power tariffs. The energy cost continues to remain very high.

I think, overall energy cost number increase is almost around 45% for current year. So, that has been very high, because of all the coal and other coal furnace oil and all that we buy for energy, that has been at a very, very high level.

Analytical cost has also moved significantly, because now lot of batches need to be tested for nitrosamine tests and so many other tests are introduced there. So, testing cost has increased. IPCA Laboratories Limited February 1

Page 5 of 22 And sir, if that is done, then why we are not able to see the jump in the employee expenses? Because I believe

the fixed salaries, it would be part of employee expenses, right? And the allowances will be part of other expenses...

Last financial year, our business growth in domestic was significant higher, almost around 28%, 29%. And therefore our incentive payment last year was very, very high. It was the much, much above normal incentive because from incremental sales, people get much higher incentive. And this year, the overall growth numbers are lower and therefore incentive payments are also lower. And that is offsetting the increase in the cost. So overall, it's appearing that overall manpower cost has gone up by 13%, but in fact, excluding incentive, it's on higher side.

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February 16, 2023

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significantly, plus this year also, lot of work has been to reestablish the me particularly for all those kind of testing. And since lot of work has at the same time, so lot of work also need to be given outside because everything cannot be done in 0:17:02]. So, even that cost has been high.

Then, travel costs mostly doubled. That's another cost. Shipping costs, in first two quarters was very, very high, but from third quarter onwards, the shipping costs have started coming down. Then it's a promotional costs. The major impact during the year has been promotional costs. And practically, that has moved up by almost around 50% in the current year.

So that is a major impact, is also addition of the people and also various activities which we wanted to do as a company on various therapy areas and all that

in last two, three years, and lot of those activities was done. And because of that, the promotional cost is on a higher side. And that is the major contributing factor for this.

With the productivity additions and with

down. Energy costs, we are not seeing much of trend in further reduction, but if petroleum product cost comes down little bit, then probably that cost may come down. But overall, there'll be reduction in the

softening and all that. So with that, the margins will improve.

Kunal Dhamesha: And would you be comfortable providing any broad range in terms of EBITDA margin improvement for next year

Harish Kamath: I think it could be remain in the range of around 2 1%.

Moderator: We have the next question from the line of Cyndrell a Carvalho from JM Financials.

Cyndrella Carvalho: Sir, in terms of the NLEM impact that you've mentioned, have we take already or some of it will flow in Q4 as well?

Harish Kamath: I think most of the impact is going to come in Q4, because price enhancement started late, in late December. And so December impact is, I will say that very marginal. Most products started getting announce in early December, and the n, I think it has now completed. I think we have almost 104 SKUs, which are in price control. All product prices are a

announced. 10, 12

prices are announced yesterday only.

So, all those price an

numbers. It's around INR 70

reductions is there. And it's working out to be around 15% of the NLEM product sales. Out of this is, 12%, as I already said that around 12%, we will get the wholesale price increase. So overall impact will be 3%, 3.5%, not more than that. And that too, it will remain for three to four months, because we are now keeping very low in inventories of products we'll be able to do a faster implementation. IPCA Laboratories Limited

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Page 6 of 22 significantly, plus this year also, lot of work has been to reestablish the methods, more particularly for all those kind of testing. And since lot of work has at the same time, so lot of work also need to be given outside because everything cannot be done in-house at a [inaudible]. So, even that cost has been high.

Raw material costs mostly doubled. That's another cost. Shipping costs, in first two quarters was very, very high, but from third quarter onwards, the shipping costs have started coming down. Then it's a promotional costs. The major impact during the year has been promotional costs. And practically, that has moved up by almost around 50% in the current year. So that is a major impact, is also addition of the people and also various activities which we wanted to do as a company on various therapy areas and all that. Those activities were not there in last two, three years, and lot of those activities were done. And because of that, the promotional cost is on a higher side. And that is the major contributing factor for this. With the productivity additions and with people becoming productive, these costs will come down. Energy costs, we are not seeing much of trend in further reduction, but if petroleum product cost comes down little bit, then probably that cost may come down. But overall, there'll be reduction in the cost, because of higher productivity additions and also material cost softening and all that. So with that, the margins will improve.

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So, all those price announcement, I would say, I can give the number now. We have got the numbers. It's around INR 70 crores reduction on annual basis as far as NLEM portfolios price reductions is there. And it's working out to be around 15% of the NLEM product sales. Out of this is, 12%, as I already said that around 12%, we will get the wholesale price increase. So overall impact will be 3%, 3.5%, not more than that. And that too, it will remain for three to four months, because we are now keeping very low in inventories of products we'll be able to do a faster implementation. IPCA Laboratories Limited

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So it's only going to be say your January, February, March and April, these are the four months in which the impact would be there. And thereafter the has also come down. Now, it's only 17%, whereas largely Antimalarials are in big way in price control. Our Antimalarial business has gone down. And with that, overall, NLEM contributions to the overall, say, business is only at around 17% now as on January overall, 83% of our portfolio is out of price control, I would say. And so those impacts are going to be marginal now.

Cyndrella Carvalho: Sir, in Q4, we'll see some impact on the overall gross margin because of this?

Harish Kamath: Yes, Q4 will be the highest product would be there.

Cyndrella Carvalho: And sir, we've not building any [crores number that we are seeing, right?

Harish Kamath: That INR 70 crores is for full year. I'm taking full little more also because of the trade inventories in the market also. Trade will ask for credit notes. And we will have to give them credit notes. So we are in process when the prices are announcing, all these fields are verifying all the stockist inventories and other things. And all those credit note business will also be there in the fourth quarter. So fourth quarter impact would be greater for

Cyndrella Carvalho: And sir, if we look at our India domestic business, our Zerodol franchise continues to do well. But are there any other segments or specific therapies which are kind of impacted our overall growth?

Harish Kamath: The Cardiovascular numbers are concerned, they're looking at that, we are, in fact, in Chronic segment, we are having jump of one months is only around 4%. So, it's a low number. We expect it to grow much faster. So that number is lower.

Antimalarials has declined by around 37%. But our other segments like, and Antibacterial this year has declined by

COVID issues and others. On that, there is a very marginal decline, on Antibacterials in first nine months, we did a business of INR 134 10 crores decline. So it's not significant that is building base for our future growth also in Antibacterials.

Our CNS business is growing by around 18%. Cough and Cold, despite last year's significant business, we have growth of around 10 by around 13%. Ophthalmology portfolio

is around 17% kind of growth. So by and large, Neuro therapies are also doing very well for us, yes. IPCA Laboratories Limited February 1

Page 7 of 22 So it's only going to be say your January, February, March and April, these are the four months in which the impact would be there. And thereafter the -- and our NLEM contribution e down. Now, it's only 17%, whereas largely Antimalarials are in big way in price control. Our Antimalarial business has gone down. And with that, overall, NLEM contributions to the overall, say, business is only at around 17% now as on January overall, 83% of our portfolio is out of price control, I would say. And so those impacts are going to be marginal now.

Sir, in Q4, we'll see some impact on the overall gross margin because of this?

Yes, Q4 will be the highest impact. Because Q4 will be all 15% kind of impact on NLEM product would be there.

And sir, we've not building any [inaudible 0:21:31], because of the price cut in the INR 70 number that we are seeing, right?

INR 70 crores is for full year. I'm taking full -year basis. And in Q4, the impact maybe a little more also because of the trade inventories in the market also. Trade will ask for credit notes. And we will have to give them credit notes. So we are in process of verifying as and when the prices are announcing, all these fields are verifying all the stockist inventories and other things. And all those credit note business will also be there in the fourth quarter. So fourth quarter impact would be greater for industry.

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Cyndrella Carvalho: And sir, on the Cardio, Diabetes, even the s what is our strategy here? What are we trying to play to gain higher share and faster growth?

Harish Kamath: As far as this segment is concerned, now we have very good recognitions at marketplace with whatever work we have done in the last few years on our CTD range and other range, and we have added two more divisions in Cardiovasculars in current financial year.

In fact, the one of the reasons for little lower growth is also because of the addition of people because doctor

reason for lower growth that is around 4%. But with addition of these two marketing divisions in Cardiovascular and the addition of products, we will certainly have time to come in Cardiovascular.

Moderator: We have the next question the line of Dheeresh Pathak from White Oak Capital.

Dheeresh Pathak: Sir, for the domestic business, the Cardio and Diabetes and the Antimalarial portfolio has done well. So for the full year last year, FY '22, what would have been the sales in the domestic business for these two therapies?

Harish Kamath: I'll give you the number, just a minute.

Ajit Kumar: Yes, Dheeraj, Antimalaria last year was 5% of my d and Anti-diabetes was 17%. So both put together around 22%. Out of that, 17% portfolio is

growing at 4%, only that 5% portfolio of Antimalarial, they are de

Dheeresh Pathak: But you're saying

Because you said Pain and Rheumatoid is growing at 14%, 15% and then you listed Opthal, Neuro, Derma, everything going at mid to high

Ajit Kumar: 17%, 18%. Yes. So other t

Dheeresh Pathak: So sir, what are we doing to increase the growth? Because Cardio and Diabetes, that covered market would not have grown at 4%, right? Have you lost market share? What is in this...

Ajit Kumar: In fact, we have increased. In fact, our rank has jumped in cardiovascular side. That's what I said in the opening remarks as far as on Chronic segment, overall, our rank has also jumped. I've now become 18th company in Chronic segment. We were compared to market, we have done better and compared to...

Dheeresh Pathak: So why is the market only growing at 4% in those molecules?

Ajit Kumar: It's only because of [

because the product reshuffle has happened. So with that, all those markets get disturbed.

Whenever there is a realignment in business and all that, some disturbance happens. And this is the year where we have added two more cardiac divisions

all that. So there is a suffering on that account, yes. IPCA Laboratories Limited

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Page 8 of 22 And sir, on the Cardio, Diabetes, even the segment is also not improving as highlighting, so what is our strategy here? What are we trying to play to gain higher share and faster growth?

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In fact, the one of the reasons for little lower growth is also because of the addition of people because doctor-product relationships and all get disturbed and all that. So that is also one reason for lower growth that is around 4%. But with addition of these two marketing divisions in Cardiovascular and the addition of products, we will certainly have a much higher growth in time to come in Cardiovascular.

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But you're saying ex of this, the balance 78% of the portfolio is growing at mid

Because you said Pain and Rheumatoid is growing at 14%, 15% and then you listed Opthal, Neuro, Derma, everything going at mid to high - teens?

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Whenever there is a realignment in business and all that, some disturbance happens. And this time and reshuffled the products and

Dheeresh Pathak: No. Sir, you have anyway grown better than the market. I'm saying, why is the market in those Cardio and Diabetic portfolio is not growing more than

What has happened to the market overall?

Ajit Kumar: Market overall, there is probably in Chronic segment, people were keeping, one is higher stocks. The people buying because of COVID times and all six

many people were buying that way. So those demand has now is normalized. So now buying is on a normal pattern. So that could be one factor.

Second factor also could be that a lot of the people who are in old age and all that and taking so many medicines, they've also disappeared from the market. So that's also maybe one factor, which because a lot of old people have died, which were using a lot of cardiovascular drugs, significant amount of cardiovascular drugs.

So post-COVID also, that also may

we have never seen this kind of growth in Cardiovasculars and Antidiabetics for last 15, 20 years. This market has been significantly moving up. It's only the current year that your market itself has not done that well.

Dheeresh Pathak: Which are the main molecules that were presented in Cardio and Diabetes?

Ajit Kumar: We have presence on diabetes all the main kind of molecule like, we have sulfonamide urea we have, we have are all these newer

Dheeresh Pathak: Metformin, the newer ones also you have HBMC

Ajit Kumar: For which, we're not marketing as an individual single drug, but we have these newer product portfolios. And like glimepiride we have, glimepiride we have Vildagliptin

Dheeresh Pathak: And in cardio?

Ajit Kumar: On cardio side, we are on beta blockers, and we are also there on chlorthalidone. And now the newer molecules whatever has come in the market, we have introduced at the same time.

Dheeresh Pathak: And sir, last question, could you say the 21% EBITDA margin for FY '24?

Ajit Kumar: Yes. That's what I told, yes.

Moderator: We have the next question from the line of Amit Kadam from Canara Robeco Mutual Fund.

Amit Kadam: Sir, I have two questions. On

of API prices, my gross margin had impact. So just wanted to understand, on that particular API, so on API, our gross margins would have been better or has it done better in the at least sequentially?

Harish Kamath: If you exclude API business, definitely, yes. IPCA Laboratories Limited

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Page 9 of 22 No. Sir, you have anyway grown better than the market. I'm saying, why is the market in those Cardio and Diabetic portfolio is not growing more than 4%? You've done internally, right?

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Amit Kadam: And then just wanted to understand how the

basket, how our export numbers are looking forward, especially like the regions like

ROWs? And then just your early commentary on how we need to look at the tender business going forward in FY '24?

Ajit Kumar: I would only say that your ROW markets, we are doing well. I think for first nine months, we had 11% growth. This quarter,

much better. And overall, I think branded promotional market for the whole of the year would be growing around

around 15 % to 16% for the whole of the year for in the Branded Promotional market. In most markets, we are doing better now. All these issues of whatever COVID related issues and all that are not there.

As far as your Institutional business is concerned, probably i

300 crores to something plus. We expect one more product approval that could have a scope of almost around INR 50

think the institutions may reduce

overall, Institutional business,

I'm not giving much bigger number. I think overall, may remain between INR 325

Institutional Generic business.

Amit Kadam: Sir, in the API business, has the drawdown in terms of like the price coming or going down, so has that stopped?

Ajit Kumar: No, prices now, there is no such dropping has already happened. Because whatever KSM's, the trend has gone down, that has with that even prices dropped. Already happened. We are not seeing now further decrease in overall in the prices. And we are also not seeing the KSM prices further going down. With that only now, with the demand picking up,

also start moving in next year, a little bit. And API prices will also move in line with that.

Amit Kadam: But how the market has behaved in last few months, just to understand where it's getting settled?

Ajit Kumar: Most, I think API

the API business in first two quarters. This quarter, we have done better, around 4% growth. In fourth quarter, we are looking at much better growth. Overall, I think we will have recovery in the API business in fourth quarter. Currently, we are at around 7%, 8% kind of decline in API business. I think that may entirely get covered in fourth quarter. That's what we are looking for.

So probably there may not be a growth. We may

1,311 crores kind of business. We may be more or less at the same number, more or less in API businesses. Good ground will be getting covered. And all those issues which are that regulators were looking for, azido,

that needed to be tested for all that and revised method needs to be worked out to test every product and all that. You're all filing in various markets on that. All those works are now done. IPCA Laboratories Limited

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Page 10 of 22 And then just wanted to understand how the – like, now the prices are for the overall API basket, how our export numbers are looking forward, especially like the regions like ROWs? And then just your early commentary on how we need to look at the tender business going forward in FY '24?

I would only say that your ROW markets, we are doing well. I think for first nine months, we had 11% growth. This quarter, we had delivered 17% growth. Fourth quarter is going to be much better. And overall, I think branded promotional market for the whole of the year would be growing around -- in the fourth quarter is going to be significant. The growth may come to % to 16% for the whole of the year for in the Branded Promotional market. In most markets, we are doing better now. All these issues of whatever COVID related issues and all that are not there.

As far as your Institutional business is concerned, probably it's going to be in the range of INR to something plus. We expect one more product approval that could have a scope of almost around INR 50 crores, INR 60 crores addition in the business. But with that addition, I think the institutions may reduce the buying of your KL. That's what we are looking at. And so overall, Institutional business, I'm not giving much bigger number. I think overall, may remain between INR 325 crores to INR 350 crores, that's the kind of number could be there in your Institutional Generic business.

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So probably there may not be a growth. We may be at last year, we did almost around INR kind of business. We may be more or less at the same number, more or less in

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% to 16% for the whole of the year for in the Branded Promotional market. In most

markets, we are doing better now. All these issues of whatever COVID related issues and all

it's going to be in the range of INR to something plus. We expect one more product approval that could have a scope of addition in the business. But with that addition, I see the buying of your KL. That's what we are looking at. And so overall, Institutional business, I'm not giving much bigger number. I think overall, may remain, that's the kind of number could be there in your Sir, in the API business, has the drawdown in terms of like the price coming or going down, so No, prices now, there is no as such dropping has already happened. Because whatever KSM's, the trend has gone down, that has with that even prices dropped. Already happened. We are not seeing now further decrease in overall in the prices. And we are also not seeing the KSM prices further going down. With that only now, with the demand picking up, KSM prices will also start moving in next year, a little bit. And API prices will also move in line with that. But how the market has behaved in last few months, just to understand where it's getting players had poor businesses in first two quarters. We also had a decline in the API business in first two quarters. This quarter, we have done better, around 4% growth. In fourth quarter, we are looking at much better growth. Overall, I think we will have some recovery in the API business in fourth quarter. Currently, we are at around 7%, 8% kind of decline in API business. I think that may entirely get covered in fourth quarter. That's what we were at last year, we did almost around INR kind of business. We may be more or less at the same number, more or less in API businesses. Good ground will be getting covered. And all those issues which are that nitrosamine impurities in all those products, every product that needed to be tested for all that and revised method needs to be worked out to test every product and all that. You're all filing in various markets on that. All those works are now done.

So there are no those disturbing factors, and all those excess inventories in the market, because the developed markets were definitely carrying higher, higher inventories of API and higher inventories also of the generics. So those also, inventories have now that. So probably API business

will also have a good recovery in the next financial year.

Amit Kadam: Sir, next year, in FY '24, on this particular base, any new product launches and new geographies will be, because we have an expectation of organic growth to Q2?

Ajit Kumar: Yes, the expanded capacity, by and large, what's happening, we have, I think, lined up almost around 11 to 12 product validations at Dewas. And each product validations around two or three months' time. So most of the time, we'll be going and filing. And I think filings will start somewhere in, I think, in early next year, beginning, filing should start.

Thereafter, the inspection should happen of that plant.

month stability and then your dossier compilations and then filing.

Some of the regulators may come early, some regulators may come late. So hopefully, next year, some, at least a few inspections should start happen start getting approval. Post that, the business would increase. So right now, we are not in our projections, we are not adding any kind of business increase coming from Dewas plant because some of those kind of product

because there, you will not need any kind of approvals all those approvals are already in place, licenses and other things. Even GMPs are in place. So that's not an issue at all. But your developed market business will only start after the inspection of the plant.

Moderator: We have the next question line of Surya Patra from Phillip Capital.

Surya Patra: Sir, if you can give us an understanding whether the high cost inventory is likely to sustain for or what more period? So whether it will be depleted in the coming quarter or if it will take a few more quarters to deplete so that some sense on the margin front that we will have?

Ajit Kumar: I think most of the inventories are now depleted. It's only quarter, I think will

where I think compared to the market, I think current pricing, my overall procurement average price may be around \$30 to \$40 high

since the procurement and did not happen so prices has

0:38:18] in that prices have dropped to around \$140 or so. My average holding maybe at around \$180.

So that's only the KSM where it may have some impact for the next six, eight months, six months, I would say. But all others have normalized, will normalize in this quarter. Yes, next quarter.

Surya Patra: And sir, if you can give some sense about the promotion period? Or directionally, how much that it would have gone up versus last year? IPCA Laboratories Limited February 1

Page 11 of 22 there are no those disturbing factors, and all those excess inventories in the market, because the developed markets were definitely carrying higher, higher inventories of API and higher

inventories also of the generics. So those also, inventories have now getting depleted and all that. So probably API business will also have a good recovery in the next financial year. Sir, next year, in FY '24, on this particular base, any new product launches and new geographies will be, because we have an expanded capacity available so on that, can we see that organic growth to Q2?

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ng any kind of business increase coming from Dewas plant because some of those kind of product on may happen and we may sell in domestic markets and all because there, you will not need any kind of approvals all those approvals are already in place, licenses and other things. Even GMPs are in place. So that's not an issue at all. But your market business will only start after the inspection of the plant.

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Ajit Kumar: I think almost it's around 40%, 45% that has moved up compared to last year. And more or less, these numbers would remain at same le
the promotional costs will not go up. And that will add to the margins now. And a lot of these people added, there also, the marketing cost or pro motional costs have gone up. But whereas it has not added margin. Yes.

Surya Patra: Sir, about the revised or the new process about the sartan the after the impurities issue that you had filed, so, any update on that? So have we start ed

Harish Kamath: No, we are back on normal business, both Valsartan as well as Losartan. There are no pending issues, Surya.

Ajit Kumar: All approvals are received.

Harish Kamath: Everything is in place. There is no issue.

Surya Patra: Sir, you have provided some update about the Dewas. But if you, means, sir, since some time, we have not heard about the Nagpur site, which was expected to a kind of KSM or intermediate site. So if you can give some sense ab out it?

Ajit Kumar: Nagpur, I t hink two months back, we have got the final clearan ce from the government on environment side, because they have put earlier one condition that you need to get a Forest Department approval. And it took almost around one, 1.5 years' time to represent and se that the forest clearance is not required for this site, which finally the Environment Ministry in Delhi has accepted the Maharashtra Government's rec ommendation that this site doesn't need any kind of forest clearance, because there are cer tain pa
that much kilometers from all these wildlife and ev erything. So it doesn't fall in that category, but it has taken almost around very long time becau se forest is a multi, multilayer kind of approval, so they're most st

So it took a long time. And finally, we got. We are working on some kind of flow chemistry projects, which will be put at Nagpur. But because of these delay, one particular product which we were to transfer to Nagpur that we are putting a
ordered. So that is not going at your Nagpur, it is going at Aurangabad. Probably, it's only in the next financial year, something would happen on that. So right now, we are only at, basically drawing board stage, not

Surya Patra: Sir, just last one question. So this tax rate that we have guided, so I think we are currently at a much higher than the indicated tax rate levels for the current year. So how should we be building on that for next year?

Ajit Kumar: See, the tax rate now from 18% has moved to 25% bec ause our opting for that method. And now because of all these judgment of Supreme Court and also last budget revision or disallowances all the promotional costs.

additional tax. So tax rate is likely to be in the range of around 29% to 30% kind of rate. IPCA Laboratories Limited February 1

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Moderator: We have the next question line of Kunal R. from Nuvama.

Kunal Randeria: Sir, this testing cost of the A also? And is it an ongoing expense?

Harish Kamath: It is not only for sartan, most of the other APIs also. And more or less, that cost is now already, I don't think going forward, there

Ajit Kumar: See, nitrosamine is one kind of thing, which is to be tested for all APIs, including our Antimalarials and everything, all generics, all your formulations and all APIs, everything need to be tested. And it's in

somewhere 15 part per billion. So everything has to be done. And it can come from anywhere. It may not be there in your product, but it may come from water, it may come from anywhere. It can come from any kind of excipients which is being used. So a lot of validations need to be done and see to it and all these numbers have to be filed with regulator.

It's a huge amount of work industry has done in last financial year. On API, formulations, excipients, everywhere it needs to be tested because all the new standards are set. So that was a very, very tough work, which industry has done in last year. It's a big, big...

Kunal Randeria: But sir, if it comes from water also

Ajit Kumar: Yes, so, testings are going to be ongoing....

Harish Kamath: But initial testing, method validation, development, that takes a lot of time and a lot of money. Once it becomes a routine

Ajit Kumar: Because when you establish, so many components you need to test. But once you are final

product, finally everything is okay, then only our final product testing because there are 10 components and all 10 components need to be tested. But suppose in final product, it's coming in the range or lower than that range, then subsequently, it's only one test.

Kunal Randeria: Sure, sir. And sir, maybe some aspiration guidance...

Ajit Kumar: Establishing the method of testing, method of

Kunal Randeria: And I assume, all the manufacturers would be going have been testing...

Ajit Kumar: Yes, everybody has done that. Everybody, every formulation, it's

Kunal Randeria: And sir, maybe some on a slightly longer term, maybe a two or a three maybe some aspiration guidance for generic export and API, you would like to share?

Ajit Kumar: Like I said, as we have

API business should double. Formulations, we are continuously doing very well in the market.

We are growing around 1.5x the market growth. And with that, and domestic because with the addition of people and all, it should continuously add to the market share. IPCA Laboratories Limited February 1

Page 13 of 22 We have the next question line of Kunal R. from Nuvama.

Sir, this testing cost of the APIs that you spoke of, is it restrictive to sartans or other products also? And is it an ongoing expense?

It is not only for sartan, most of the other APIs also. And more or less, that cost is now already, I don't think going forward, there would be anything of that nature.

See, nitrosamine is one kind of thing, which is to be tested for all APIs, including our Antimalarials and everything, all generics, all your formulations and all APIs, everything need to be tested. And it's in parts per billion. Somewhere it's maybe around 35 part per billion, somewhere 15 part per billion. So everything has to be done. And it can come from anywhere. It may not be there in your product, but it may come from water, it may come from anywhere. can come

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But sir, if it comes from water also, that means it has to be an ongoing thing, right? Because...

Yes, so, testings are going to be ongoing....

But initial testing, method validation, development, that takes a lot of time and a lot of money.

Once it becomes a routine part of your process of testing, then there is not much issue.

Because when you establish, so many components you need to test. But once you are final product, finally everything is okay, then only our final product testing because there are 10 components and all 10 components need to be tested. But suppose in final product, it's coming in the range or lower than that range, then subsequently, it's only one test.

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Yes, everybody has done that. Everybody, every formulation, it's a big, big exercise, yes.

And sir, maybe some on a slightly longer term, maybe a two or a three-year kind of outlook, maybe some aspiration guidance for generic export and API, you would like to share?

Like I said, as we have already talked that we are already talking that from here onwards, our API business should double. Formulations, we are continuously doing very well in the market.

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In the last four years, we have had a significant market share from 1.58% to 1.86%. So we will continue to do that. And the first time I think in current year, we will be crossing, market business of around INR 500
around 15% to 16%, 17% on ROW market business.

So overall, the growth in time to come is going to be good. But overall, we will give the guidelines when our
around the time first quarter results and all, our annual results. Around that time, we will give the guidance for the next financial year.

Kunal Randeria: And just as one follow
maybe would it be new products? Or do you believe there is a lot of headroom for existing ones?

Harish Kamath: Even in the existing product, there is a lot of headroom. So it will be both, well as volume growth in the existing products.

Ajit Kumar: Plus capacity additions and new product...

Kunal Randeria: So I assume demand is not a concern for you. It's just...

Harish Kamath: It is not recorded, no.

Moderator: We have the next

Nikhil: Two questions. Sir, like last quarter, and this was an industry phenomenon in API, that the KSM prices were high but the API prices has fallen. As a result, the profitability in API business has been impacted.
fallen, but they are not falling anymore. And the KSM prices have also fallen, but not falling too much.

Harish Kamath: That is right, yes.

Nikhil: So if we look at the profitability of prices and everything, are we back to the normal profitability or is it....

Harish Kamath: No, not in the third quarter. See what has happened, actually, whatever KSM we purchased at higher prices, they go

on for last two to three quarters. Maybe some pain will be there in the fourth quarter. But from the next financial year, first quarter onwards, everything should be back to normal.

Nikhil: So the net profitability on API should be back to what it was in...

Harish Kamath: I mean to say that the gross margin on API business will improve.

Nikhil: And this 12% price increase on the NLEM which we mentioned is the WPI price increase, which the whole industry will take? IPCA Laboratories Limited

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Page 14 of 22 In the last four years, we have had a significant market share from 1.58% to 1.86%. So we will continue to do that. And the first time I think in current year, we will be crossing, market business of around INR 500 crores. And at that level, we should continue to grow around 15% to 16%, 17% on ROW market business.

So overall, the growth in time to come is going to be good. But overall, we will give the guidelines when our overall budget for the current financial year is finalized and maybe at around the time first quarter results and all, our annual results. Around that time, we will give the guidance for the next financial year.

And just as one follow-up to this. If you talk of API doubling, what would be the main driver, maybe would it be new products? Or do you believe there is a lot of headroom for existing
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It is not recorded, no.

We have the next question from the line of Nikhil from SIMPL.

Two questions. Sir, like last quarter, and this was an industry phenomenon in API, that the KSM prices were high but the API prices has fallen. As a result, the profitability in API business has been impacted. Now, during the call, you mentioned that the API prices have fallen, but they are not falling anymore. And the KSM prices have also fallen, but not falling
That is right, yes.

So if we look at the profitability of the API business, based on the correction in the KSM

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No, not in the third quarter. See what has happened, actually, whatever KSM we purchased at higher prices

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Harish Kamath: Yes.

Nikhil: And last question, sir, like if we look at last 1.5 years for IPCA, the cost pressures were too significant. So prior to, like in around second half of '21 and all, we were close to a 24%, 25% kind of EBITDA margin. And then there was a high freight cost and then the API cost increases and the testing increases, all of that has impacted very badly and this quarter was a worst quarter.

Do you think from here on, with the cost pressures and everything freight and power cost and everything can we come back to what we were doing at around 24%, 25% on a longer period, not in next two, three years, but is the business still able to maintain that 24%, 25% or do you think it could be a

Harish Kamath: See, last two years, there were also benefit of COVID business, correct? Because of that, margins were very, very good. But having said this, now Mr. Jain has already explained. This year, there is an unusual, one is increase in the material cost, correct?

So these two things are taking away around 5% to 6% of my margin. As we progress, our business will grow because of addition of the people. This material cost, whatever negative is there, it will become positive going forward. And as the people will become productive, even the other expenses portion where we are today 4% increase is there, that will also become normalized. So going forward, definitely, margins

Ajit Kumar: No, so, current year, even Dewas plant all costs are debited to P&L account, there are no business. It will

depreciations and all your people cost, the

to P&L account, and there are no top line coming from that plant. So it's only validation mode.

So it's a one -

getting debited to P&L. It's not only people costs, it's also the

plant and capacity cost is also

adding to the overheads.

Nikhil: And last thing, what would be capex guidance for next year, '24 would just look at utilize, improving the

Harish Kamath: INR 200 crores

the total capex, including routine maintenance capex.

Ajit Kumar: Only new thing what we have budget we have is a bio tech project which where we have around INR 150

year. We have almost around five products in pipeline now, two around are in clinical stage now. So we are building the capacity for biotech projects.

Nikhil: This INR 500

Ajit Kumar: Yes. IPCA Laboratories Limited

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Page 15 of 22 And last question, sir, like if we look at last 1.5 years for IPCA, the cost pressures were too significant. So prior to, like in around second half of '21 and all, we were close to a 24%, 25% of EBITDA margin. And then there was a high freight cost and then the API cost increases and the testing increases, all of that has impacted very badly and this quarter was a worst quarter.

Do you think from here on, with the cost pressures and everything getting normalizing on freight and power cost and everything can we come back to what we were doing at around 24%, 25% on a longer period, not in next two, three years, but is the business still able to maintain that 24%, 25% or do you think it could be a difficult task?

See, last two years, there were also benefit of COVID business, correct? Because of that, margins were very, very good. But having said this, now Mr. Jain has already explained. This year, there is an unusual, one is increasing the people, expenses, energy cost as well as increase in the material cost, correct?

So these two things are taking away around 5% to 6% of my margin. As we progress, our business will grow because of addition of the people. This material cost, whatever negative is there, it will become positive going forward. And as the people will become productive, even the other expenses portion where we are today 4% increase is there, that will also become normalized. So going forward, definitely, margins should improve.

No, so, current year, even Dewas plant all costs are debited to P&L account, there are no business. It will -- all cost only because till the time we start filing and getting approval, depreciations and all your people cost, testing costs, all the energy cost, everything is debited to P&L account, and there are no top line coming from that plant. So it's only validation mode. -year 1.5 years, that pain is there in pharma industry everywhere. So that is also debited to P&L. It's not only people costs, it's also the plant and capacity cost is also adding to the overheads.

And last thing, what would be capex guidance for next year, '24-'25? Any large capex or we would just look at utilize, improving the utilization...

crores is our depreciation and maybe INR 400 crores to INR 500 crores the total capex, including routine maintenance capex.

Only new thing what we have budget we have is a bio tech project which is coming up in MP, where we have around INR 150 crores kind of investment. So that will be commissioned next year. We have almost around five products in pipeline now, two around are in clinical stage now. So we are building the capacity for biotech projects.

This INR 500 crores was cumulative for two years? IPCA Laboratories Limited
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And last question, sir, like if we look at last 1.5 years for IPCA, the cost pressures were too significant. So prior to, like in around second half of '21 and all, we were close to a 24%, 25% of EBITDA margin. And then there was a high freight cost and then the API cost increases and the testing increases, all of that has impacted very badly and this quarter was a getting normalizing on

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So these two things are taking away around 5% to 6% of my margin. As we progress, our business will grow because of addition of the people. This material cost, whatever, 1.5%, 2% negative is there, it will become positive going forward. And as the people will become productive, even the other expenses portion where we are today 4% increase is there, that will should improve.

No, so, current year, even Dewas plant all costs are debited to P&L account, there are no all cost only because till the time we start filing and getting approval, sting costs, all the energy cost, everything is debited to P&L account, and there are no top line coming from that plant. So it's only validation mode. year 1.5 years, that pain is there in pharma industry everywhere. So that is also debited to P&L. It's not only people costs, it's also the plant and capacity cost is also '25? Any large capex or we crores level will be is coming up in MP,

kind of investment. So that will be commissioned next year. We have almost around five products in pipeline now, two around are in clinical stage

Harish Kamath: No, it is each year.

Moderator: We have the next question from the line of Tushar M. from Motilal Oswal.

Tushar Manudhane: Sir, just extending this discussion on...

Moderator: Sorry to interrupt, Tushar, your audio is not very clear. If you go off the speakerphone or come closer to the mic?

Tushar Manudhane: I will come back in the queue, maybe.

Moderator: We have the next question from the line of Dheeresh Pathak WhiteOak Capital.

Dheeresh Pathak: Sir, on this forex loss and gain that we show, what is the underlying nature of the reason for this? Can you just explain like which currency is it linked to this operation linked to? What is it?

Ajit Kumar: By and large, all these forward contracts, we have today not much of forex liability, but we have assets in terms of bills outstanding and all that. So your realizations at lower forwards, the readjustment is all debited to P&L account. If you look at current year, we have realized gain of around INR 35.22

If you look at other breakup of that INR 41.9 of INR 10.73

books, and foreign currency

So INR 21 crores

against the import of material on outstanding payments and by and large better realizations on bills, but on forward

realizations. So overall, INR 21

on loans account, that's more breakup.

Dheeresh Pathak: But sir, on the asset side also, we'll the higher exchange rate in the revenue line item, right?

Ajit Kumar: That's what I said, the realization higher is INR 40 crores. And on import side, there are around INR 10

crores is on account of your business transaction. Around INR 21 same level is on account of outstanding loans. Realized loss is INR 6.6 loss booked in books is around INR 35.22

that when the contract gets matured and we debit instantly to the P&L account.

Dheeresh Pathak: Sir, on this did Artemisinin, did you say that three quarters, we've been having this, right? So why is it not running, why is it not rolling over? Because how much inventory do you carry off the KSMS and for Artemisinin? IPCA Laboratories Limited February 1

Page 16 of 22 No, it is each year.

We have the next question from the line of Tushar M. from Motilal Oswal.

Sir, just extending this discussion on this biotech. So what sort of projects are we working Sorry to interrupt, Tushar, your audio is not very clear. If you go off the speakerphone or come closer to the mic?

I will come back in the queue, maybe.

have the next question from the line of Dheeresh Pathak WhiteOak Capital.

Sir, on this forex loss and gain that we show, what is

the underlying nature of the reason for this? Can you just explain like which currency is it linked to and which market is this operation linked to? What is it?

By and large, all these forward contracts, we have today not much of forex liability, but we have assets in terms of bills outstanding and all that. So your realizations at lower forwards, the readjustment is all debited to P&L account. If you look at current year, we have realized gain of -- realized loss is around INR 6.68 crores, unrealized loss booked in account is around INR 35.22 crores. And overall net loss because of forex is around INR 41.9

If you look at other breakup of that INR 41.9 crores, there's that INR 21 crores of INR 10.73 crores is on account of packing credits outstanding which were repriced in the books, and foreign currency loans, your ECBs is around INR 10.3 crores.

crores is on account of loans. And INR 20.86 crores is on account of your balances, against the import of material on outstanding payments and by and large better realizations on bills, but on forward side, there is a loss of INR 48.84 crores and INR 40

realizations. So overall, INR 21 crores on trade account. And around INR 21 on loans account, that's more breakup.

But sir, on the asset side also, we'll be benefiting, right? Because the realization will book at the higher exchange rate in the revenue line item, right?

That's what I said, the realization higher is INR 40 crores and forward gain loss is INR 48.84

. And on import side, there are around INR 10 crores loss. So overall, it's around INR 21 is on account of your business transaction. Around INR 21 crores is more or less around same level is on account of outstanding loans. Realized loss is INR 6.68 crores. Unrealized loss booked in books is around INR 35.22 crores. And we don't create a reserve kind of things that when the contract gets matured and we debit instantly to the P&L account. Sir, on this did Artemisinin, did you say that you will still have loss on the three quarters, we've been having this, right? So why is it not running, why is it not rolling over? Because how much inventory do you carry off the KSMS and for Artemisinin? IPCA Laboratories Limited February 16, 2023

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Ajit Kumar: Artemisinin, no you sign contracts, though it's seasonal. It comes in the agri season, you need to

do the contract for the entire year. So, your contracts are at higher price, not that you are inventory at higher price. So those contracts you have to honor. It's not that we are keeping every inventory in pipeline, because when your agri output comes, around that time, you need to do the contracts.

Harish Kamath: This particular product is \$140 to \$800, just imagine the fluctuation in the price of this commodity.

Ajit Kumar: This year because of tenders there was lower procurement from the authority. So prices have gone down. There are only three, four manufacturers and your contract has to be with only with them because they are all WHO prequalified, again, suppliers of artemisinin. Everything comes from China. 95% of that comes from China, and only three, four manufacturers.

Dheeresh Pathak: No, sir, if everybody is having the same higher cost of agri...

Harish Kamath: I'm the largest consumer, that is the issue. Unless I...

Ajit Kumar: What happens that, suppose your procurement price and now open market prices have gone down. So opportunity to procure at a lower level is

would be pricing those API sales at the current price, current artemisinin price. It doesn't matter as far as your Antimalarial formulation business is concerned business, yes, it matters because we will do the pricing based on not my procurement price, but market price and then same price. Further, I'll not be able to sell APIs.

Dheeresh Pathak: And sir, apart from artemisinin, the other

Harish Kamath: No, there are no other KSMS.

Ajit Kumar: No KSMS of that nature is there.

Dheeresh Pathak: No. Like you said, you're explaining that we are carrying higher priced KSM and the API cost has come down, that

Harish Kamath: No. That is what happened till Q3 end, as we speak now, there are not many KSM left out now. See, from procurement to utilization, there is a time gap, because every stage you have to carry inventory. We are

API, that is why our inventory of KSM in few material is higher than average.

Ajit Kumar: Plus these all sartan inventories were stuck up, which was at much, much higher price. See at \$9, it was double the rate earlier. So my procurement of those which months, all these issues, approvals and all that a lot of those inventories are now getting disposed off. That's the major issue.

Moderator: We have the next question IPCA Laboratories Limited
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Page 17 of 22 Artemisinin, normally, it's a seasonal product. So normally, you don't carry the inventory, but you sign contracts, though it's seasonal. It comes in the agri season, you need to do the contract for the entire year. So, your contracts are at higher price, not that you are inventory at higher price. So those contracts you have to honor. It's not that we are keeping every inventory in pipeline, because when your agri output comes, around that time, you need to do the contracts.

This particular product, as you know, the price varies. It is an agricultural commodity. History is \$140 to \$800, just imagine the fluctuation in the price of this commodity.

This year because of tenders there was lower procurement from the authority. So prices have gone down. There are only three, four manufacturers and your contract has to be with only with them because they are all WHO prequalified, again, suppliers of artemisinin. Everything comes from China. 95% of that comes from China, and only three, four manufacturers.

No, sir, if everybody is having the same higher cost of agri...

I'm the largest consumer, that is the issue. Unless I...

What happens that, suppose your procurement price and now open market prices have gone down. So opportunity to procure at a lower level is -- suppose you are selling API, market would be pricing those API sales at the current price, current artemisinin price. It doesn't matter as far as your Antimalarial formulation business is concerned. But when you do the API business, yes, it matters because

because we will do the pricing based on not my procurement price, but market price and then same price. Further, I'll not be able to sell APIs.

And sir, apart from artemisinin, the other KSMs you carry for like three months?

No, there are no other KSMs.

No KSMs of that nature is there.

No. Like you said, you're explaining that we are carrying higher priced KSM and the API cost has come down, that is affecting the API gross margin.

No. That is what happened till Q3 end, as we speak now, there are not many KSM left out now. See, from procurement to utilization, there is a time gap, because every stage you have to carry inventory. We are backward integrated. So, right from intermediate, we manufacture API, that is why our inventory of KSM in few material is higher than average.

Plus these all sartan inventories were stuck up, which was at much, much higher price. See at it was double the rate earlier. So my procurement of those which -- because of six, eight months, all these issues, approvals and all that a lot of those inventories are now getting disposed off. That's the major issue.

We have the next question from the line Saion Mukherjee from Nomura Securities. IPCA Laboratories Limited
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Normally, it's a seasonal product. So normally, you don't carry the inventory, but you sign contracts, though it's seasonal. It comes in the agri season, you need to do the contract for the entire year. So, your contracts are at higher price, not that you are carrying inventory at higher price. So those contracts you have to honor. It's not that we are keeping every inventory in pipeline, because when your agri output comes, around that time, you need agricultural commodity. History

This year because of tenders there was lower procurement from the authority. So prices have gone down. There are only three, four manufacturers and your contract has to be with only with them because they are all WHO prequalified, again, suppliers of artemisinin. Everything manufacturers.

What happens that, suppose your procurement price and now open market prices have gone down. Suppose you are selling API, market

would be pricing those API sales at the current price, current artemisinin price. It doesn't

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business, yes, it matters because we will do the pricing based on not my procurement price, but KSMs you carry for like three months?

No. Like you said, you're explaining that we are carrying higher priced KSM and the API cost

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because of six, eight months, all these issues, approvals and all that a lot of those inventories are now getting from the line Saion Mukherjee from Nomura Securities.

Saion Mukherjee: Sir, on EBITDA margin, so there has been a lot of volatility in the past. I mean before the US FDA issues happened, we were at early 20s. Of course, it went up last year and now it has come down, and you're guiding for 21% next year. What's your assessment from a, let's say, three, five-year perspective, where do you see as the business normalizes, the EBITDA margin you think would sort of settle at?

Ajit Kumar: I think from next year onwards, for the next three years, I would see that not significant expansion will happen in field for size. And therefore, and businesses will improve. So overall margins from that level will further keep on rising, maybe around 1%

Saion Mukherjee: Sir, you made a comment around the NLEM 100 control or the prices were revised, right? So since the revisions just happened and there

's an annual income impact of INR 70 products within a few months? I mean this will get negated? I mean is there a visibility on that?

Ajit Kumar: 1 April, yes.

Saion Mukherjee: There's visibility on that, okay.

Ajit Kumar: Yes. That's the visibility for

Harish Kamath: So whatever price on 31, March, whichever product, you can increase to that extent. It is simple.

Saion Mukherjee: There's no ambiguity.

Kunal Dhamesha: No, there is no ambiguity.

Saion Mukherjee: And sir, on US FDA, we interactions on why the FDA is, I mean, where are we on the remediation and any progress there, and why we are not seeing much progress on...

Harish Kamath: From our side, remediation work, everything we are in dialogue with....

Ajit Kumar: So, your GMP inspections, GMP has given in writing that we are nothing, we don't need anything further from you, and we have responded to the inspection team. Now inspection when they schedule, it's another team, which we are regularly taking, but they don't tell that when they will come for inspection. So they have their own priorities and subsequent. But we are certainly in the they don't need anything from our side as far as remediation part, and all those issues are things of past.

It's only, they need to now schedule the inspection, that's all. That's not done by the GMP department. That's IPCA Laboratories Limited

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Page 18 of 22 Sir, on EBITDA margin, so there has been a lot of volatility in the past. I mean before the US FDA issues happened, we were at early 20s. Of course, it went up last year and now it has come down, and you're guiding for 21% next year. What's your assessment from a, let's say, year perspective, where do you see as the business normalizes, the EBITDA margin you think would sort of settle at?

I think from next year onwards, for the next three years, I would see that not significant expansion will happen in field for size. And therefore, and businesses will improve. So overall margins from that level will further keep on rising, maybe around 1% every year or so.

Sir, you made a comment around the NLEM 100 -odd SKUs which have come under price control or the prices were revised, right? So since the revisions just happened and there's an annual income impact of INR 70 crores, this WPI increases would be allowed in these products within a few months? I mean this will get negated? I mean is there a visibility on

There's visibility on that, okay.

Yes. That's the visibility for that, Yes. It's....

So whatever price on 31, March, whichever product, you can increase to that extent. It is

There's no ambiguity.

No, there is no ambiguity.

And sir, on US FDA, we haven't heard much. So I'm just wondering if you have any interactions on why the FDA is, I mean, where are we on the remediation and any progress there, and why we are not seeing much progress on...

From our side, remediation work, everything is complete. We are just awaiting inspection, and we are in dialogue with....

So, your GMP inspections, GMP has given in writing that we are nothing, we don't need anything further from you, and we have responded to the inspection team. Now inspection when they schedule, it's another team, which we are regularly taking, but they don't tell that when they will come for inspection. So they have their own priorities and subsequent. But we

are certainly in the -- because now there is absolutely, nothing is asked by FDA as far as or they don't need anything from our side as far as remediation part, and all those issues are things of past.

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don't know when they will come. And they don't tell that when they will schedule. We are sending another reminders to them.

Saion Mukherjee: So, when will the last set of queries you have

Ajit Kumar: I think a year back. Final clearance has come six months back. They don't need anything further from us, yes.

Saion Mukherjee: And sir, can you also give us, you mentioned about this biotech project, some capex you are doing. So if you can give some details of what are the products, what kind of overall thought process on this project?

Ajit Kumar: I think it's too early. We will not like to talk of products right now, yes.

Saion Mukherjee: So these are biosimilar products or what...

Ajit Kumar: Biosimilar, Yes.

Saion Mukherjee: And you want to do it for the Indian market, you have a CDMO plan or...

Ajit Kumar: We have taken the developed markets consultations from the regulators. And all your clinical trials and everything is going to be in line with that. Indian market, you cannot make money because, it has to be for global markets, yes.

Saion Mukherjee: But sir, typically, the costs are very high. So if you have to run clinical trials, will that mean there would be significant increase in R&D investments over the next three, four years as these projects come to clinics?

Ajit Kumar: I think there are some kind of the

crores. So we have five candid

come. In current year also, our spend on biotech would be around INR 20 crores higher.

Saion Mukherjee: This is the R&D expense, INR 20

Ajit Kumar: Yes, yes, R&D expense.

Saion Mukherjee: And sorry, sir, finally, if I can ask any update you can give on your key subsidiaries, how they're doing and any material update there you want to share on the subsidiaries?

Ajit Kumar: On subsidiary side, we have a company

They're a good profitable company. This year, there was a significant expansion there on their

side. So because of that, I think their profitability have little come down, but they are a

profitable company over

around GBP 14 million to GBP 15 million kind of business with around 27% kind of overall

EBITDA margins in current year. IPCA Laboratories Limited

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But sir, typically, the costs are very high. So if you have to run clinical trials, will that mean would be significant increase in R&D investments over the next three, four years as these projects come to clinics?

I think there are some kind of the -- each clinical trials may cost around INR 15 crores. So we have five candidates in pipeline. So overall cost would be going up in time to come. In current year also, our spend on biotech would be around INR 20 higher.

This is the R&D expense, INR 20 crores, INR 25 crores?

Yes, R&D expense.

And sorry, sir, finally, if I can ask any update you can give on your key subsidiaries, how they're doing and any material update there you want to share on the subsidiaries?

On subsidiary side, we have a company called Onyx in UK. They are doing well in UK.

They're a good profitable company. This year, there was a significant expansion there on their side. So because of that, I think their profitability have little come down, but they are a profitable company overall. And we expect that current year, they should be doing almost around GBP 14 million to GBP 15 million kind of business with around 27% kind of overall EBITDA margins in current year. IPCA Laboratories Limited

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And sorry, sir, finally, if I can ask any update you can give on your key subsidiaries, how they're doing and any material update there you want to share on the subsidiaries?

Yes, called Onyx in UK. They are doing well in UK.

They're a good profitable company. This year, there was a significant expansion there on their side. So because of that, I think their profitability have little come down, but they are a

overall. And we expect that current year, they should be doing almost around GBP 14 million to GBP 15 million kind of business with around 27% kind of overall

And then there is another company which we have is Trophic Wellness

marketing kind of company where we have almost around 55% stake. That company is also doing well, and they are also profitable. As far as the Onyx business extension further in the US, we have one small API manufacturing and contract

company called [

could

not do much on that. So, but we have started getting now projects there. And this year,

they have reduced their losses also

do better.

Only concern we have is the US market is Bayshore, which is frontline, we are awaiting that once our FDA get cleared and they get to market, our products, and till such first time, there are -- they are right now procuring products from third parties and then selling. So that

company has losses. As far as the another company, associate company called Kraps at Nellore and Vizag, they have reduced their losses and I hope, I think, next year come in profit. The current developments, what we have on our product mix and all currently going on.

So these are the broad number of subsidiaries that we have. And Ramdev is basically was for again, for FDA approved site, and that site

there are a lot of our APIs are now under filing from that site. So then that will be another site, which is they have approved site and from there, we will then once our formulation facility gets cleared, that

Moderator: We have the next question from the line of Prakash Agarwal from Axis Capital.

Prakash Agarwal: Just trying to understand the margin bridge. I know you talked about it a little, but you are currently at 16%, guiding for 21%. I understand top line will improve marginally, but raw material, something you've been saying that it's not under your control as things come from China, etcetera. So how do you think you'll regain to that 20%, 21%, which was levels?

Ajit Kumar: See, overall gross margins will improve because most of the portfolios are outside the price control. It's --

the promotional cost next year.

business with promotional costs now going up, it will also add to almost around 2% to the overall margin levels in the business. Gross margin levels itself will improve by around 1%, 1.5% on that because KSM prices are soft, and this was a very unusual situation in current year. So because of that, the cost is higher.

And overall, our capacity utilization with business is going up, will also increase to the overall operating performance and margin

if things start on commercial side, at least some recovery of expenditure will start because currently today, all costs are getting debited to P & L account and there are no revenue coming right now because of all validation exercise and filing is currently going. So that will also contribute to the margin. IPCA Laboratories Limited

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Page 20 of 22 And then there is another company which we have is Trophic Wellness. It's a nutraceutical marketing kind of company where we have almost around 55% stake. That company is also doing well, and they are also profitable. As far as the Onyx business extension further in the US, we have one small API manufacturing and contract research kind of company in US, small company called [phisca 1:07:22], but because of these COVID issues and all our UK team could not do much on that. So, but we have started getting now projects there. And this year, they have reduced their losses also significantly. And hopefully, in time to come, they should Only concern we have is the US market is Bayshore, which is frontline, we are awaiting that once our FDA get cleared and they get to market, our products, and till such first time, there they are right now procuring products from third parties and then selling. So that company has losses. As far as the another company, associate company called Kraps at Nellore and Vizag, they have reduced their losses and I hope, I think, next year, that company will come in profit. The current developments, what we have on our product mix and all currently So these are the broad number of subsidiaries that we have. And Ramdev is basically was for again, for FDA approved site, and that site anyway, we are merging with our operations and there are a lot of our APIs are now under filing from that site. So then that will be

another site,

which is they have approved site and from there, we will then once our formulation facility gets cleared, that also will be sourcing API from that site also.

We have the next question from the line of Prakash Agarwal from Axis Capital.

Just trying to understand the margin bridge. I know you talked about it a little, but you are currently at 16%, guiding for 21%. I understand top line will improve marginally, but raw material, something you've been saying that it's not under your control as things come from China, etcetera. So how do you think you'll regain to that 20%, 21%, which was

See, overall gross margins will improve because most of the portfolios are outside the price -- 83% of portfolios are price controlled. More or less, there will be no increase in the promotional cost next year. It will remain more or less at the same kind of

business with promotional costs now going up, it will also add to almost around 2% to the overall margin levels in the business. Gross margin levels itself will improve by around 1%, that because KSM prices are soft, and this was a very unusual situation in current year. So because of that, the cost is higher.

And overall, our capacity utilization with business is going up, will also increase to the overall operating performance and margin. And once in the middle of the year, I think overall, Dewas, if things start on commercial side, at least some recovery of expenditure will start because currently today, all costs are getting debited to P & L account and there are no revenue coming right now because of all validation exercise and filing is currently going. So that will also contribute to the margin. IPCA Laboratories Limited

February 16, 2023

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So all those factors and there are no more addition of people next year. So it's only going to be a wage inflation, whatever addition. So all that, so that will also contribute towards the better sales. So it will also add to the overall margin. So all those factors will add, will go back to that around 21% kind of EBITDA margin.

Prakash Agarwal: So if I understood it correct, you are saying that 150 basis points from gross margin coming back to 65% and top line being early

early-teens, you will see 20%, 21% margin. Is that correct?

Ajit Kumar: Yes, more or less, yes.

Prakash Agarwal: And secondly, if I see your emerging market businesses, ROW Generics as well as the Export Formulation overall, there in the last two, three years, there were a lot of inventory stocking, etcetera. And that's why the growth has been a little volatile, not only for you, but across the pharma companies. Do you think the inventories and the demand, etcetera, have been normalized? And a company like yourself could come back to at least early teens in both, in the overall Export Formulation market?

Ajit Kumar: Yes. Even current year, I think my European businesses is growing by around 20%. It's only the UK business because of

will not be there of at a year back of Bristol. So UK will also grow very well. Other markets are also growing good. We should be able to margin.

Prakash Agarwal: And API, sir?

Ajit Kumar: API, we'll say that around next year, till the time, those capacities from Dewas are available and approval, only thereafter the business will start moving faster, but it should have around 10% kind of growth.

Prakash Agarwal: And that high base of the sartan 10% or...

Ajit Kumar: There are no now those kind of issues on all the impurities and everything else, whatever work was required to be done, has been done.

Prakash Agarwal: And early teens is good

overall growth for the company?

Ajit Kumar: I think it should be almost around 12% to 13% kind of overall growth.

Moderator: Thank you. That was the last question. I would now like to hand i closing comments.

Harish Kamath: Hi. There is nothing further to add, unless there are questions, I think we can close this con call. Thank you, everyone, for participating in our Q3 FY '23 con call. Thank you. IPCA Laboratories Limited February 1

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So if I understood it correct, you are saying that 150 basis points from gross margin coming back to 65% and top line being early -teens and then operating leverage cost being lower than teens, you will see 20%, 21% margin. Is that correct understanding, sir?

Yes, more or less, yes.

And secondly, if I see your emerging market businesses, ROW Generics as well as the Export Formulation overall, there in the last two, three years, there were a lot of inventory stocking, etcetera. And that's why the growth has been a little volatile, not only for you, but across the pharma companies. Do you think the inventories and the demand, etcetera, have been normalized? And a company like yourself could come back to at least early - teens in both, in t

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And that high base of the sartan etcetera is all behind us now. So on this base, we can grow There are no now those kind of issues on all the impurities and everything else, whatever work was required to be done, has been done.

And early teens is good to modelling or we should look at mid- teens to high overall growth for the company?

I think it should be almost around 12% to 13% kind of overall growth.

Thank you. That was the last question. I would now like to hand it over to the management for closing comments.

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Moderator: Thank you. On behalf of DAM Capital Advisors Limited, tha t concludes this conference.
Thank you for joining us and you may now disconnect your lines. IPCA Laboratories Limited
February 1
Page 22 of 22 you. On behalf of DAM Capital Advisors Limited, tha t concludes this conference.
Thank you for joining us and you may now disconnect your lines. IPCA Laboratories Limited
February 1 6, 2023

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Call: Apr 2023

THRU ONLINE FILING

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April 27, 2023

B

SE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai 400 023

Scrip Code – 524494 National Stock Exchange India Limited,

Exchange Plaza, C-1, Block-G,

Bandra Kurla Complex, Bandra – (East).

Mumbai-400051.

Scrip Code : IPCALAB

Dear Sirs,

Dear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of our Conference Call which was held on Tuesday, 25th April, 2023 to discuss our acquisition of 33.38% shareholding in Unichem Laboratories Ltd.

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

Encl: a/a

"Ipca

Corporate Announcement

MANAGEMENT : M R. AJIT

CHIEF F

LIMITED

MR. PRANAY

CHIEF E

LIMITED

MR. PRASHANT

IPCA L

MR. HARISH

COMPANY

LIMITED

MODERATOR : M R. UTSAV

LIMITED

Page 1 of 24 a Laboratories Limited

Corporate Announcement Call"

April 25, 2023

JIT.KUMAR . JAIN – MANAGING DIRECTOR

FINANCIAL OFFICER – IPCA LABORATORIES

IMITED

RANAY GODHA – MANAGING DIRECTOR AND

EXECUTIVE OFFICER – IPCA LABORATORIES

IMITED

ASHANT GODHA – EXECUTIVE DIRECTOR

LABORATORIES LIMITED

ARISH KAMATH – CORPORATE COUNSEL AND

OMPANY SECRETARY – IPCA LABORATORIES

IMITED

TSAV JAIPURIA – DAM CAPITAL ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to the Ipca Laboratories Limited Corporate Announcement Call hosted by DAM Capital Advisors Limited. As a

lines will be in the listen after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero

conference is being recorded. I now hand the conference over to Mr. Utsav Jaipuria from DAM Capital. Thank you and over to you, sir.

Utsav Jaipuria: Thanks Darwin. Good afternoon everyone and thank you for joining with Ipca Laboratories on the acquisition of a 33% stake in Unichem hosted by DAM Capital Advisors. On the call today, we have the management team of Ipca led by Mr. A.K. Jain, Mr. Pranay Godha and Mr. Prashant Godha, Managing Directors, Corporate Counsel and Company Secretary. I will now hand over the call to the management to make their opening comments following which, we will open the floor for questions. Over to you, sir.

Ajit Jain: Thank you ever

and DAM Capital for arranging this call at a very short notice. This conference call and discussion may include some forward

Participants may use their own judgment before making any decision based on this call. All of you are now aware that, the company has entered into SPA to acquire 33.38% of shareholding of Unichem Laboratories for INR1

Additionally, this acquisition

company's equity capital, aggregating to another INR806 crores, presuming 100% response. These acquisition costs will be funded through the company's retained earnings. Needless to say, this acquisition is subject to approval of the Competition Commission of India and among others. Unichem has developed an excellent proven track record on regulatory compliances. This acquisition is in line with our stated strategy to enhance our product offering in chosen growth market.

Briefly, the synergies on mutual benefit to both the companies out of this acquisition are, Ipca has a very strong API franchises, with backward integration strength, that will be immense value to Unichem, in scaling up the

share with cost efficiency and competitiveness. Unichem has 76 ANDAs filing in US, out of which, 54 ANDAs are registered, 44 products are marketed in United States, few of these products are having

around 78 API DMFs in US market.

Where, Unichem is not meaningfully present, Ipca can increase its product offering on those markets through Unichem's developed generic through market

Europe, Australia, New Zealand, where Ipca has very good presence. Ipca will also look forward to market, some of the Unichem's branded formulations registered in various RoW markets. Giving briefly the rationales and strategies

for question and answer. IPCA Laboratories Limited

Page 2 of 24 Ladies and gentlemen, good day and welcome to the Ipca Laboratories Limited Corporate Announcement Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Utsav Jaipuria from DAM Capital. Thank you and over

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Corporate Counsel and Company Secretary. I will now hand over the call to the management to make their opening comments following which, we will open the floor for questions. Over Thank you everybody for taking out time and joining us on this conference call. Thanks, Utsav and DAM Capital for arranging this call at a very short notice. This conference call and discussion may include some forward-looking statements, based on our business expectations.

Participants may use their own judgment before making any decision based on this call. All of you are now aware that, the company has entered into SPA to acquire 33.38% of shareholding of Unichem Laboratories for INR1,034 crores.

Additionally, this acquisition has also triggered an open offer for an additional 26% of the company's equity capital, aggregating to another INR806 crores, presuming 100% response. These acquisition costs will be funded through the company's retained earnings. Needless to say, this acquisition is subject to approval of the Competition Commission of India and among others. Unichem has developed an excellent proven track record on regulatory compliances. This acquisition is in line with our stated strategy to enhance our product offering

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Briefly, the synergies on mutual benefit to both the companies out of this acquisition are, Ipca has a very strong API franchises, with backward integration strength, that will be immense value to Unichem, in scaling up their global generic portfolio and also increase the market share with cost efficiency and competitiveness. Unichem has 76 ANDAs filing in US, out of which, 54 ANDAs are registered, 44 products are marketed in United States, few of these products are having good market share with further growth potential. Unichem has also filed around 78 API DMFs in US market.

Where, Unichem is not meaningfully present, Ipca can increase its product offering on those markets through Unichem's developed generic through market extensions, in markets like Europe, Australia, New Zealand, where Ipca has very good presence. Ipca will also look forward to market, some of the Unichem's branded formulations registered in various RoW markets. Giving briefly the rationales and strategies of this acquisition, I now open the floor for question and answer. IPCA Laboratories Limited

April 25, 2023

Ladies and gentlemen, good day and welcome to the Ipca Laboratories Limited Corporate reminder, all participant

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Moderator: Thank you. We will now begin the question and answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove your from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Pankaj ahead.

Pankaj Tibrewal: Good evening everyone. I have a few questions. The first one is on the capital allocation. When I look at the past for the last five years, we have done different smaller acquisitions. Maybe like Bayshore, Ramdev, Noble, Pisgah and about INR600 crores already been invested. When I look at the execution on those, those have not been inspiring and they have diluted our return ratios from where it was.

Can you help us und

large amount being deployed and any understanding on, what the return ratios could be?

Because on the headline basis, it looks that the company has made losses. Last three years, four years, the company has not grown. So can you give us some kind of understanding and

how should we gain confidence on the execution? That's my first question and I'll follow up with one more question.

Ajit Jain: Currently, a lot of companies are facing the record on regulatory compliances, in the past. Looking at that and looking into the current business environment, it appears that, we should be able to comfortably achieve almost around 15% to 17%, kind of significant capacities, which are available for executions and all. And Unichem has, I do agree that Unichem has higher overheads.

We will have to look into and more critically, on optimize the operations and cost optimizations, can be done. As far as their API facilities are concerned, as far as their foundation facilities are concerned, they are excellent facilities are there. As far as costs are higher because of lower scales and all. With some kind of some modifications and all, it is possible to achieve a significant amount of better output from there and overall operating cost and also the efficiencies can be generated. Detailed work on that has been done by our API team on that account.

Of course, it will require some kind of investment there, but that can be done on that. With that, the kind of

all these operational deficiencies, which we can bring on tables. And also we have a lot of backward integrations and some of those kind of intermediates and all can be made available to Unichem at a much lower cost and all, which will also bring in the efficiencies and overall reduction in the cost of production

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The first question is from the line of Pankaj Tibrewal from Kotak Mutual Fund. Please go Good evening everyone. I have a few questions. The first one is on the capital allocation. When I look at the past for the last five years, we have done different smaller acquisitions. Maybe like Bayshore, Ramdev, Noble, Pisgah and about INR600 crores -INR650 crores have already been invested. When I look at the execution on those, those have not been inspiring and they have diluted our return ratios from where it was.

Can you help us understand that, how as investors we should take that confidence with such a large amount being deployed and any understanding on, what the return ratios could be? Because on the headline basis, it looks that the company has made losses. Last three years, for years, the company has not grown. So can you give us some kind of understanding and how should we gain confidence on the execution? That's my first question and I'll follow up with one more question.

Currently, a lot of companies are facing the headwind in the US and Unichem has a fantastic track record on regulatory compliances, in the past. Looking at that and looking into the current business environment, it appears that, we should be able to comfortably achieve almost around 15% to 17%, kind of growth, in next two years to three years very comfortably. They also have significant capacities, which are available for executions and all. And Unichem has, I do agree that Unichem has higher overheads.

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April 25, 2023

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to Unichem at a much lower cost and all, which will also bring in the efficiencies and overall

reduction in the cost of production and that will help Unichem, in terms of overall increasing

Pankaj Tibrewal: Sir, with all due

is the return expectation on this acquisition because almost you will be investing, if open offer

goes through successfully, almost more than INR2,000 crores. So on this kind of a

core business which was running well and probably expectation was that, this year could have

been a strong year gets diluted. So just wanted to understand that in INR2

kind of a return ratios and what kind of an improvement and

Ajit Jain: Let's say, overall investment if 100% of your acquisition goes to the open offer shares are

available, then overall investment will be around INR1,839.5 crores overall on that. So it's less

than around INR2

Their order positions are also very good. Their order has started increasing from the fourth

quarter of the current financial year and looking at overall, the capacities, which are av

and utilizations and some of our products can be transferred there and with that, we can have a

better utilization from the capacities of Unichem.

And of course, we'll have to go through their overall detailed operating cost and rationalization

of operating cost and all that. That can definitely bring in the returns there. And hopefully,

over the next maybe around a period of two years or so, it's possible to go to a kind of

EBITDA margins of almost around INR300 crores or so on Unichem overall work

Pankaj Tibrewal: Okay, that's helpful. The second question is sir, when I look upon most of the pharma

companies, which are listed on the exchanges today, they have a significant US generic piece

and that market is going through its own challenges for

of the companies are either exiting, writing off their assets, whatever may be the thing. And

here, we go and acquire a US based company, largely US centric company, with giving a

premium. Can you help us understand,

a negligible or a negative value?

We are giving a premium over and above the listed price. What is that, so special in Unichem

apart

from the product portfolio, which is there that, we are paying tw

on the acquisition cost? Just wanted to understand some thought process, which is there behind

it. Thank you.

Ajit Jain: So overall assets of the company in the books itself, the assets are almost around INR1,400

crores of Unichem.

crores net working capital, is available. So almost around INR2,500 crores, INR2,600 crores,

kind of assets are available with Unichem currently. Of course, their sales are low, but the

business expectations next two years are significantly higher because they have put the

additional capacity, which can be utilized.

And currently, what we are seeing because of all those disturbances, which are there in US market, it's possible to achieve

product side, they have almost around 10 product to 12 products. They have very significant market share in US and that can be further scaled up with further cost efficiencies, which we will have to build on Unichem's operations, yes. IPCA Laboratories Limited

Page 4 of 24 Sir, with all due regard, can you help us understand, how the returns will be generated? What is the return expectation on this acquisition because almost you will be investing, if open offer goes through successfully, almost more than INR2,000 crores. So on this kind of a core business which was running well and probably expectation was that, this year could have been a strong year gets diluted. So just wanted to understand that in INR2

kind of a return ratios and what kind of an improvement and profitability, can be expected?

Let's say, overall investment if 100% of your acquisition goes to the open offer shares are available, then overall investment will be around INR1,839.5 crores overall on that. So it's less than around INR2,000 crores. And overall, let's say current expectations of business are good.

Their order positions are also very good. Their order has started increasing from the fourth quarter of the current financial year and looking at overall, the capacities, which are available and utilizations and some of our products can be transferred there and with that, we can have a better utilization from the capacities of Unichem.

And of course, we'll have to go through their overall detailed operating cost and rationalization operating cost and all that. That can definitely bring in the returns there. And hopefully, over the next maybe around a period of two years or so, it's possible to go to a kind of EBITDA margins of almost around INR300 crores or so on Unichem overall work

Okay, that's helpful. The second question is sir, when I look upon most of the pharma companies, which are listed on the exchanges today, they have a significant US generic piece and that market is going through its own challenges for the last four year or five years. Many of the companies are either exiting, writing off their assets, whatever may be the thing. And here, we go and acquire a US based company, largely US centric company, with giving a premium. Can you help us understand, the rationale of, where the markets are ascribing either a negligible or a negative value?

We are giving a premium over and above the listed price. What is that, so special in Unichem apart from the product portfolio, which is there that, we are paying two and a half times sales on the acquisition cost? Just wanted to understand some thought process, which is there behind it. Thank you.

So overall assets of the company in the books itself, the assets are almost around INR1,400 crores of Unichem. And if you look at working capital, there is almost around INR950 crores net working capital, is available. So almost around INR2,500 crores, INR2,600 crores, kind of assets are available with Unichem currently. Of course, their sales are low, but the business expectations next two years are significantly higher because they have put the additional capacity, which can be utilized.

And currently, what we are seeing because of all those disturbances, which are there in U

S

market, it's possible to achieve that good turnover from those kind of businesses. And on the product side, they have almost around 10 product to 12 products. They have very significant market share in US and that can be further scaled up with further cost efficiencies, which we to build on Unichem's operations, yes. IPCA Laboratories Limited

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Let's say, overall investment if 100% of your acquisition goes to the open offer shares are available, then overall investment will be around INR1,839.5 crores overall on that. So it's less than around INR2,000 crores. And overall, let's say current expectations of business are good.

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Pankaj Tibrewal: Okay, I'll follow up in quick. Just wanted to place on record that, somehow we have been

negatively surprised by this large capital allocation for a US asset. I hope, we deliver and

execute better on

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Yes, thanks. Thanks for the opportunity. Sir, just on the product pipeline, at least on Unichems

side, if you could share, it could be the good products for next 12 month to 15 months. And

secondly, what are the products is suitable, we can do site transfer to Unichem from Ipca given

that, Ipca site has regulatory issues. That's my first question.

Tushar Manudhane: I'm trying to ask you, if you could share a

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which can come up for approval over the next 12 month to 15 months, which can help grow

the sales or is it more of a market share gain, from the existing pr

are the products...

Ajit Jain: Existing products as well as they are going to launch a few more products for which they have

already got registration. So they also have a future pipeline for US business. So around 75

[products 0:14

marketing. Another 10 product to 12 products, they will market in due course of time.

Tushar Manudhane: Right. Any product under development, which could be niche, where you could hav

than five players in the market?

Ajit Jain: Most of them are all me

such other products. They are all me

Tushar Manudhane: And secondly, any products which we can think o

[inaudible 0:14:39

Ajit Jain: That possibility is always there and vice versa also. Ipca to Unichem, Unichem to Ipca,

anything can happen. Those possibilities are always there in this equation and that is also on

of the synergies, we looked at.

Tushar Manudhane: And can you give secondly, if you could also share any update on Ipca side from US FDA?

Ajit Jain: Nothing, there is status quo. So let us hope, inspection will happen soon and we are through.

But as we s peak, there is status quo. No development.

Tushar Manudhane: If let's say, the inspection happens also and that is successful, then we will have the capacity of Unichem to fill as well as Ipca's facility to fill up so, do we have...

Ajit Jain: But Ipca has its own product range and Unichem has their own product range.

Tushar Manudhane: Okay, and just lastly, out of this current Unichems business to US, the top 3 or top 5 products

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0:14:02], ANDA they have filed, 54 are approved, about 40 they are currently

marketing. Another 10 product to 12 products, they will market in due course of time.

Right. Any product under development, which could be niche, where you could have more than five players in the market?

Most of them are all me -too generic products. There are, I don't think anything first to file and such other products. They are all me -too.

And secondly, any products which we can think of transferring from Ipca side to Unichem? [inaudible 0:14:39].

That possibility is always there and vice versa also. Ipca to Unichem, Unichem to Ipca, anything can happen. Those possibilities are always there in this equation and that is also on of the synergies, we looked at.

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Okay, and just lastly, out of this current Unichem's business to US, the top 3 or top 5 products

Ajit Jain: Maybe top 10 products

product, they have a very good market share and they say, it can be further scaled.

Tushar Manudhane: Okay, sir. Thank you.

Moderator: Thank you. We have the next question from the line of Chir

Please go ahead

Chirag Dagli: Yes, sir. Thank you for the opportunity. Sir, I understand the rationale of or the intent behind trying to scale up in the US. What I don't get is that, is this, was this absolutely the best deal possible given that the market has been in such a big distress, over the last couple of years?

Could we not have had any other asset to increase our presence in the US? The structure of the deal as well, as in we are providing exit to the promoters, that

eventually, that structure itself is also slightly inferior versus a clean merger. So just your thoughts on both these aspects. Was it the absolute best deal? Could we not have awaited for a better deal? Because it seems like,

have been better assets available in the market. Why not just wait till a good deal comes across?

Pranay Godha: This is Pranay here. So let me answer that, in one simple sentence that it was better than of the deals that, had come on our table in the last five years. And there are reasons, the synergies were much more than, what we had seen in the past. Then in addition to that, what we were looking for was obviously a good compliance and credible available spare capacities and integrated business play, which is very core to Ipca's own business philosophy, in the generic field. When you look at these three matters, there are very few candidates out there that are on the same table

Chirag Dagli: Understood sir. These synergies could this not have been also struck without putting capital in, as

business deals rather than a more shareholder kind of a deal?

Pranay Godha: No again, it's something that we have tried, but we've generally encouraging results. The simple thing is, again, in the US market space, where there is cut throat competition, there is very little space for margin layers, in a way. So everybody, if there will be multiple layers thro

year-on- year basis. And for the kind of products that Ipca will eventually have, when it re enters into the US space and what Unichem has today, we will always have to remain on our toes and con tinue to work on, focus on margin improvements every time.

Chirag Dagli: Understood. And like Mr. Jain said, he talked about INR300 crores EBITDA in two years from now. On that, we've paid about 10x EBITDA today, Pranay. It seems a bit steep. Is there a much larger game plan beyond that INR300 crores that we achieve in two years? Do you see this entity being like \$400 million, \$500 million in the US? Because beyond that \$300 million, beyond that \$40 million, \$50 million EBITDA, this entity will have to be m

US, for your payouts to happen? IPCA Laboratories Limited

Page 6 of 24 Maybe top 10 products may be contributing nearly 70%- 75% of their business. In which product, they have a very good market share and they say, it can be further scaled.

Okay, sir. Thank you.

Thank you. We have the next question from the line of Chir ag Dagli from DSP Mutual Fund. go ahead

Yes, sir. Thank you for the opportunity. Sir, I understand the rationale of or the intent behind trying to scale up in the US. What I don't get is that, is this, was this absolutely the best deal possible given that the market has been in such a big distress, over the last couple of years? Could we not have had any other asset to increase our presence in the US? The structure of the deal as well, as in we are providing exit to the promoters, that also and what is the endgame eventually, that structure itself is also slightly inferior versus a clean merger. So just your thoughts on both these aspects. Was it the absolute best deal? Could we not have awaited for a better deal? Because It seems like, while the business will scale up, but maybe there could have been better assets available in the market. Why not just wait till a good deal comes This is Pranay here. So let me answer that, in one simple sentence that it was better th of the deals that, had come on our table in the last five years. And there are reasons, the synergies were much more than, what we had seen in the past. Then in addition to that, what we were looking for was obviously a good compliance and credible track record, with available spare capacities and integrated business play, which is very core to Ipca's own business philosophy, in the generic field. When you look at these three matters, there are very few candidates out there that are on the same tabl e.

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Pranay Godha: The aim and the efforts will be put in exactly that direction itself. There is a game plan in place, without getting too much specific, on the ex act number or so. We have set ourselves an imme diate challenge of achieving the INR300 crores. And once we do that, we will have to continue to work upwards from there on.

Chirag Dagli: Understood. And this INR300 crores EBITDA number th at you talked about two years out, does that include synergy synergy here?

Pranay Godha: It does include synergy benefits. Without that, thi s number would otherwise be a bit of a challenge.

Chirag Dagli: Understood. And just the last question, was t would have been a well

won the process. But what was the number two bid, i f you can share?

Pranay Godha: I'm not aware of it. I'm so sorry.

Chirag Dagli: Okay, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Pr akash Agarwal from Axis Capital. Please go ahead.

Prakash Agarwal: Yes, thanks for the opportunity. Good evening. A co uple of clarifications. So, the fir on the, the rationale of the business is to gain th e portfolio and the facilities for the exports. If you could just help us understand the Ipca capacity utilization in current facilities as well as the Unichems?

Ajit Jain: As far as the faciliti

Our Pithampur plant is utilized around 30%, Pip

aria plant maybe around 25% to 30%. So, both the plants' utilizations are low. But once we have US clearance , these capacities will smaller and we will have to expand further at exist ing place only. And capacities of Unichem will also be helpful.

Prakash Agarwal: And Unichem currently would be at what capacity, si r?

Ajit Jain: Unichem, they have set up recently and

Unichem Goa two. Their capacity to utilizations may be around 20% to 30% right now. So, significant capacities are available. And it is muc h more automated plants with much, very less human interventions pract

Prakash Agarwal: Okay, understood. And secondly, if you're saying IN R300 crores in the next two years, we are talking about fiscal '26, right?

Ajit Jain: Once we have management in hand and we st

Prakash Agarwal: Okay, but what is the top line versus we are lookin g at INR300 crores? IPCA Laboratories Limited

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As far as the facilities, which are in the US currently, their capacity utilizations are very low. Our Pithampur plant is utilized around 30%, Piparia plant maybe around 25% to 30%. So, both utilizations are low. But once we have US clearance, these capacities will be smaller and we will have to expand further at existing place only. And capacities of Unichem will also be helpful.

And Unichem currently would be at what capacity, sir?

Unichem, they have set up recently and commercialized a new facility at Goa, which is Unichem Goa two. Their capacity utilizations may be around 20% to 30% right now. So, significant capacities are available. And it is much more automated plants with much, very less human interventions practically. Everything, all is recipe based and very good plant.

Okay, understood. And secondly, if you're saying INR 300 crores in the next two years, we are talking about fiscal '26, right?

Once we have management in hand and we start operating things, it's from that time.

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The aim and the efforts will be put in exactly that direction itself. There is a game plan in place, without getting too much specific, on the exact number or so. We have set ourselves an immediate challenge of achieving the INR 300 crores. And once we do that, we will have to understand. And this INR 300 crores EBITDA number that you talked about two years out, benefits as well or is this just the way business, is there a large benefit as well? It does include synergy benefits. Without that, this number would otherwise be a bit of a higher number, I am imagining that this is the kind of

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Okay, understood. And secondly, if you're saying INR 300 crores in the next two years, we are starting operating things, it's from that time.

Ajit Jain: Overall, it should be able to, let's say, go to almost around INR 1,700 crores, INR 1,800 crores kind of turnover margin

Prakash Agarwal: Okay. So, but sir, our margins historically, pre-COVID, we went all the way to 25%. And now, this year has been an aberration, but we aspire to be again a 20% margin company. Correct? We are still talking about 15% and 18% margin. So, a lot of work to be done and margin dilution in the next three years. So?

Ajit Jain: You are talking about Unichem, not Ipca.

Prakash Agarwal: No, I'm combining the two, sir. Now, I'm just combining the two, that in the past, you were 20% plus margin and in COVID, you went all the way to 25%, now about 16%, 17% and maybe next year, you'll be back to 18%, 20%. What I'm saying is two years out, you will, Unichem, you are still talking about 18% margin. So, there's a long dilution that will play out in the next two years, three years. Is that correct understanding?

Ajit Jain: See, Ipca is also into branded formulation business in India. So, that margin you compare with only international business. So, Unichem is a purely a company, which is into generic and API business.

Prakash Agarwal: Yes, no, sir that's why the rationale of doing such a large deal in the export market, especially when the margins and capacities?

Ajit Jain: Yes, there are surplus capacities available there, yes. And very good plants, very good asset.

Management: Plus Prakash, we are also talking, we are into Australia

Unichem is not present in those markets. So, technically, whatever products they are today

launching, they are registered in the US, we can practically bring most of them also into Australia and New Zealand, Europe. So

product offering, that will definitely add value to our business.

Plus, we are also into branded formulation business in 40 odd countries, where thousand odd people are marketing our branded formulation.

sold their only brands for India and Nepal. So, all brand names, all rights for rest of the market, they are with them only. So, that opportunity is also available for our RoW branded team.

Prakash Agarwal: Understood.

Management: Whatever other synergies we spoke about US and other things, this is also add on to that.

Prakash Agarwal: Okay, perfect. And lastly, on the structure, so after promoter's takeoff 50%, currently only 33.38% has been done as a...? IPCA Laboratories Limited

Page 8 of 24 Overall, it should be able to, let's say, go to almost around INR1,700 crores, INR1,800 crores kind of turnover maybe in two years' time.

Okay. So, but sir, our margins historically, pre-COVID, has been 18% to 20% with COVID, we went all the way to 25%. And now, this year has been an aberration, but we

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again a 20% margin company. Correct me, if I'm wrong. This, after two years, three years, we are still talking about 15% and 18% margin. So, a lot of work to be done and margin dilution in the next three years. So?

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Yes, there are surplus capacities available there, yes. And very good plants, very good asset.

Plus Prakash, we are also talking, we are into Australia and New Zealand, we are into Europe, Unichem is not present in those markets. So, technically, whatever products they are today launching, they are registered in the US, we can practically bring most of them also into Australia and New Zealand, Europe. So, that way, we can also increase our product basket, product offering, that will definitely add value to our business.

Plus, we are also into branded formulation business in 40 odd countries, where thousand odd people are marketing our branded formulation. Unichem also has a lot of registration. They sold their only brands for India and Nepal. So, all brand names, all rights for rest of the market, they are with them only. So, that opportunity is also available for our RoW branded team.

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Okay, perfect. And lastly, on the structure, so after promoter's takeoff 50%, currently only 33.38% has been done as a...? IPCA Laboratories Limited

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Overall, it should be able to, let's say, go to almost around INR1,700 crores, INR1,800 crores COVID, has been 18% to 20% with COVID,

we went all the way to 25%. And now, this year has been an aberration, but we aspire to be me, if I'm wrong. This, after two years, three years, we

are still talking about 15% and 18% margin. So, a lot of work to be done and margin dilution combining the two, sir. Now, I'm just combining the two, that in the past, you were

20% plus margin and in COVID, you went all the way to 25%, now about 16%, 17% and maybe next year, you'll be back to 18%, 20%. What I'm saying is two years out, you will, Unichem, you are still talking about 18% margin. So, there's a long dilution that will play out

See, Ipca is also into branded formulation business in India. So, that margin you can't equate with only international business. So, Unichem is a purely a company, which is into generic and

Yes, no, sir that's why the rationale of doing such a large deal in the export market, especially return ratios are so low is, what I'm trying to understand. Just for

Yes, there are surplus capacities available there, yes. And very good plants, very good asset. and New Zealand, we are into Europe,

Unichem is not present in those markets. So, technically, whatever products they are today launching, they are registered in the US, we can practically bring most of them also into

, that way, we can also increase our product basket,

Plus, we are also into branded formulation business in 40 odd countries, where thousand odd Unichem also has a lot of registration. They

sold their only brands for India and Nepal. So, all brand names, all rights for rest of the market

, they are with them only. So, that opportunity is also available for our RoW branded team. Whatever other synergies we spoke about US and other things, this is also add on to that. Okay, perfect. And lastly, on the structure, so after promoter's takeoff 50%, currently only

Management: Around 14% odd Dr. Modi family will retain and they will, it is at their will, when they want to sell, they want to keep, it is up to them. But management control post takeover matter completes, will be in the hands of Ipca.

Prakash Agarwal: Okay, to start with, it will be part of minority interest and once the open offer concludes, it will be consolded, right?

Management: It will be mandatory

Harish Kamath: Yes, both open offer and this equation is subject to competition commission approval. Once the commission approval comes, we can acquire equities share from Dr. Modi and balance it is up to the public how much they will offer. So, that is altogether a different thing.

Prakash Agarwal: You can acquire the remaining from Dr. Modi? Is that what you said

Management: In the current agreement, there is nothing on that.

Prakash Agarwal: Okay, might be a possibility is what you said?

Harish Kamath: There is nothing stated in the agreement, not discussed.

Prakash Agarwal: Okay, there is no RoFA or nothing

Management: No, but in the agreement we are providing, we can increase our stake through preferential route and all that is always open.

Prakash Agarwal: Okay, Fair enough.

Management: That is we don't get offer, share in the public offer, we can other means. Including preferential issue.

Prakash Agarwal: Okay, so how to get the majority and the management control is what you are trying to say?

Management: That is already stated in the SPA.

Prakash Agarwal: Right.

Management: That will come irrespective of our holding on 33% also, we will get that.

Prakash Agarwal: Okay, Thank you, sir and all the best.

Management: Yes, thanks Prakash.

Moderator: Thank you. The next question is from the line of Nikhil Mathur from Please go ahead.

Nikhil Mathur: Hi, sir. Good evening. I just wanted to understand a bit more on the valuation paid for this acquisition. Can you explain a bit in detail, what kind of valuation benchmarks has the company used to evaluate IPCA Laboratories Limited

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Okay, there is no RoFA or nothing like that?

No, but in the agreement we are providing, we can increase our stake through preferential route and all that is always open.

Okay, Fair enough.

That is we don't get offer, share in the public offer, we can increase our holding through any other means. Including preferential issue.

Okay, so how to get the majority and the management control is what you are trying to say?

That is already stated in the SPA.

That will come irrespective of our holding on 33% also, we will get that.

Okay, Thank you, sir and all the best.

Yes, thanks Prakash.

Thank you. The next question is from the line of Nikhil Mathur from HDFC Mutual Fund.

Please go ahead.

Hi, sir. Good evening. I just wanted to u

understand a bit more on the valuation paid for this acquisition. Can you explain a bit in detail, what kind of valuation benchmarks has the company used to evaluate this particular asset? Obviously, on headline numbers, this valuation IPCA Laboratories Limited April 25, 2023

Around 14% odd Dr. Modi family will retain and they will, it is at their will, when they want to sell, they want to keep, it is up to them. But management control post takeover matter start with, it will be part of minority interest and once the open offer concludes, it will Yes, both open offer and this equation is subject to competition commission approval. Once commission approval comes, we can acquire equity share from Dr. Modi and balance it is up to the public how much they will offer. So, that is altogether a different thing. No, but in the agreement we are providing, we can increase our stake through preferential increase our holding through any Okay, so how to get the majority and the management control is what you are trying to say? HDFC Mutual Fund.

Hi, sir. Good evening. I just wanted to understand a bit more on the valuation paid for this acquisition. Can you explain a bit in detail, what kind of valuation benchmarks has the this particular asset? Obviously, on headline numbers, this valuation

is difficult to justify the rationale for this acquisition. Maybe on price rationale for this particular acquisition.

But if you are really looking at earnings to earnings are you looking at? Is it two years out, three years or five years out? Some color on this will kind of give us some confidence, what kind of profitability, you are envisaging from this business

Harish Kamath: Yes, that Mr. Jain has already explained. On a business of around INR1 in second year after, we took management control, the EBITDA should be around INR300 crores. I am talking of

Nikhil Mathur: So, just to understand this INR300 crores number a bit better, if I look at the past history of Unichem, let's say in FY '19, FY '20, FY '21, the gross margins for this business were pretty robust at 68%, 69% and 62%, a

generate positive core EBITDA. So, is it entirely overheads, which have to be normalized in the next two years to achieve this INR300 crores EBITDA or sales growth has to come in to achieve this particular number? So, if you can bridge the INR300 crores number split into how much of this would be sales driven and how much of this can be pulled out from cost rationalization. I think, that will give me

Harish Kamath: It is three things. One is sales growth. Second thing is operational efficiency improvement through whatever contribution, we can do in increasing their efficiency of API facilities. On [inaudible 0:29:49

talking.

Nikhil Mathur: Sir, in the first place itself, why are these inefficiencies in this particular business, if you can, at a broad level, k

Ajit Jain: The first thing i

and yield and other things. These are the two basic things.

Nikhil Mathur: Okay. Sir, to go from INR1,250

over the course of two years, this growth seems pretty steep for a business which has only 40 products in the US. Any color on how many launches will be done in this two year period to drive this growth?

Harish Kamath: I told they already have 50 plus approval, 40 la over the course of time, plus we have also seen the ir order receipt and order book position and we are confident whatever guidance they have given for at least next financial year, they will achieve.

Nikhil Mathur: Okay, okay. And finally, sir, Mr. Jain, you have talked about these assets being pretty good. I think Unichem has had a decent US FDA track record in the past, but what we have seen over the past five years, six years is that the goalposts of FDA have IPCA Laboratories Limited

Page 10 of 24 is difficult to justify the rationale for this acquisition. Maybe on price -to-book, there is some rationale for t

his particular acquisition.

But if you are really looking at earnings to justify this particular acquisition, what kind of earnings are you looking at? Is it two years out, three years or five years out? Some color on this will kind of give us some confidence, what kind of profitability, you are envisaging from this business two years, three years, five years out?

Yes, that Mr. Jain has already explained. On a business of around INR1,800 crores or so crores in second year after, we took management control, the EBITDA should be around INR300 crores. I am talking of only Unichem business.

So, just to understand this INR300 crores number a bit better, if I look at the past history of

Unichem, let's say in FY '19, FY '20, FY '21, the gross margins for this business were pretty robust at 68%, 69% and 62%, also in one particular year. But still, the company wasn't able to generate positive core EBITDA. So, is it entirely overheads, which have to be normalized in the next two years to achieve this INR300 crores EBITDA or sales growth has to come in to this particular number? So, if you can bridge the INR300 crores number split into how much of this would be sales driven and how much of this can be pulled out from cost rationalization. I think, that will give me [idea 0:29:33]?

things. One is sales growth. Second thing is operational efficiency improvement through whatever contribution, we can do in increasing their efficiency of API facilities. On 0:29:49] synergy, both the three things should play for this number, what we are

Sir, in the first place itself, why are these inefficiencies in this particular business, if you can, at a broad level, kind of help us understand a bit, what is plaguing the broader business? The first thing is obvious, the capacity utilization. Second thing is API, whatever, batch sizes and yield and other things. These are the two basic things.

Okay. Sir, to go from INR1,250 odd crores of revenue to INR1,700 crores, INR1,800 crores over the course of two years, this growth seems pretty steep for a business which has only 40 products in the US. Any color on how many launches will be done in this two year period to drive this growth?

I told they already have 50 plus approval, 40 launches, another 10 products they will launch over the course of time, plus we have also seen the order receipt and order book position and we are confident whatever guidance they have given for at least next financial year, they will

Okay, okay. And finally, sir, Mr. Jain, you have talked about these assets being pretty good. I think Unichem has had a decent US FDA track record in the past, but what we have seen over the past five years, six years is that the goalposts of FDA have been changing. Certain IPCA Laboratories Limited April 25, 2023

book, there is some

justify this particular acquisition, what kind of

earnings are you looking at? Is it two years out, three years or five years out? Some color on this will kind of give us some confidence, what kind of profitability, you are envisaging from 800 crores or so crores

in second year after, we took management control, the EBITDA should be around INR300

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Okay, okay. And finally, sir, Mr. Jain, you have talked about these assets being pretty good. I think Unichem has had a decent US FDA track record in the past, but what we have seen over been changing. Certain

companies which seem to have had very good compliance have found themselves in some troubled waters at some point in time.

So what kind of diligence have you done from your end to kind of establish that these assets won't suffer from

remember, I think most of the companies have gone through a cycle of non

come out of it. So I just wanted to understand what kind of diligence, what kind of engagement you have done with the promoters of the target to kind of establish that these assets are pretty good.

Ajit Jain: So, nobody can ever guarantee what will happen in the future. There is no guarantee of what FDA can do in the future for anyone, for any si

have learnt a lot in the last seven years, eight years, and we have used all of those including some of our, obviously internal and external resources to go through the due diligence, especially on the quality sites. I think we are generally satisfied and we believe that things will remain very much in control.

Nikhil Mathur: Okay. So, the quality system that will be on board, there will be a system or you need to do some...

Ajit Jain: Quality systems always have to be updated as per the current requirements. That's why it's called CGMP. So whenever there is a need, wherever there we will see a scope of improvement, we will obviously, every company that has to remain in this space will have to be proactive at least to the best of its intent and expertise.

Nikhil Mathur: But you are happy with what will come on board? You are not looking to make much changes to upgrade it as of now? I mean maybe one year, two years out things might change but ...

Ajit Jain: As of now as we speak, no, we don't expect to see much changes.

Nikhil Mathur: Okay, got it. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of D. R. Rao from ADIA. Please go ahead.

Prashant Poddar: Yes. Hello everyone. This is Prashant Poddar from ADIA, Prashant and Rao. Sir, is, were there other bidders for this asset as well? Was this a market on the deal or this is a private transaction?

Pranay Godha: No, we are not aware of any other deal which they will be talking.

Prashant Poddar: Yes, okay. Yes

sentiment that is, that Ipca's own experience and many other Indian companies' experience in the US market has been bad, Ipca's in the last decade actually and many other Indian companies in the last three, four years. And now there we would be seeing some cyclical improvement. There is some talk about cyclical improvement. We have to yet see the fruits of those. But, I mean, a market which is so dominantly, I would say, positioned IPCA Laboratories Limited

Page 11 of 24 companies which seem to have had very good compliance have found themselves in some troubled waters at some point in time.

So what kind of diligence have you done from your end to kind of establish that these assets won't suffer from any US FDA compliance issues in the coming

future? Because as far as I

remember, I think most of the companies have gone through a cycle of non-compliance and come out of it. So I just wanted to understand what kind of diligence, what kind of engagement you have done with the promoters of the target to kind of establish that these assets are pretty clean. So, nobody can ever guarantee what will happen in the future. There is no guarantee of what FDA can do in the future for anyone, for any site on this world. So, other than that, I think we have learnt a lot in the last seven years, eight years, and we have used all of those including some of our, obviously internal and external resources to go through the due diligence, especially on the quality culture and the quality practices, on the on-ground practices of their sites. I think we are generally satisfied and we believe that things will remain very much in control. So, the quality system that will be on board, there will be no change done to that quality system or you need to do some...

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No, we are not aware of any other deal which they will be talking.

, okay. Yes, Mr. Jain, Mr. Godha sir, I think most of the questions have echoed the same sentiment that is, that Ipca's own experience and many other Indian companies' experience in the US market has been bad, Ipca's in the last decade actually and many other Indian companies in the last three, four years. And now there we would be seeing some cyclical improvement. There is some talk about cyclical improvement. We have to yet see the fruits of those. But, I mean, a market which is so dominantly, I would say, positioned for distributors. IPCA Laboratories Limited
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companies which seem to have had very good compliance have found themselves in some troubled waters at some point in time.
So what kind of diligence have you done from your end to kind of establish that these assets

many US FDA compliance issues in the coming future ? Because as far as I remember, I think most of the companies have gone through a cycle of non-compliance, then come out of it. So I just wanted to understand what kind of diligence, what kind of engagement you have done with the promoters of the target to kind of establish that these assets are pretty good. So, nobody can ever guarantee what will happen in the future. There is no guarantee of what is on this world. So, other than that, I think we have learnt a lot in the last seven years, eight years, and we have used all of those including some of our, obviously internal and external resources to go through the due diligence, ground practices of their sites. I think we are generally satisfied and we believe that things will remain very much in place. No change done to that quality. Quality systems always have to be updated as per the current requirements. That's why it's called CGMP. So whenever there is a need, wherever there we will see a scope of improvement, we will obviously, every company that has to remain in this space will have to improve. But you are happy with what will come on board? You are not looking to make much changes to upgrade it as of now.

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Thank you. The next question is from the line of D. R. Rao from ADIA. Please go ahead.

. Hello everyone. This is Prashant Poddar from ADIA, Prashant and Rao. Sir, first question is, were there other bidders for this asset as well ? Was this a market on the deal or this is a private sale, Mr. Jain, Mr. Godha sir, I think most of the questions have echoed the same sentiment that is, that Ipca's own experience and many other Indian companies' experience in the US market has been bad, Ipca's in the last decade actually and many other Indian companies in the last three, four years. And now there we would be seeing some cyclical improvement. There is some talk about cyclical improvement. We have to yet see the fruits of that for distributors.

So, two concerns there. One is regulatory. I mean, we understand you have learnt a lot, but could that be a risk? And how do you calculate that when you are putting such a large capital allocation in the same market which has hurt your business, one is your own expectation, this INR300

Does this include the US recovery that we are seeing right now which could be cyclical for all you know?

Ajit Jain: The way we look at it, where there is adversity, there is a bit of an opportunity. Yes, undoubtedly due to the obvious market pressures, be it from the buying side and or from the supply side from India, there has been quite a few disruption and challenges. And as today, prices are getting kind of more rational and stabilized. We believe there is a scope for companies like Unichem and hopefully soon Ipca to make use of this opportunity. And as long as we remain both compliant and competitive, I think we can do it.

Prashant Poddar: The other question is around this INR1,800 million, assuming what Mr. Kamath said, the 60 products, we assume all of them come through, even then this INR300

million, bad, I mean we take it with both hands, but these numbers are higher than what we have generally observed in Me Too portfolios.

Harish Kamath: Sorry, sorry, we are just confused. They are no generics. They do a lot of formulation business in Brazil. They have some business in the UK. So this INR1,800

million are included in this. It

Prashant Poddar: So should we assume half of this is US?

Harish Kamath: About 60%- 65% you can assume. 60% you can assume.

Prashant Poddar: So, even then around \$2.5 million is clearly on the higher side. Would you also believe that, that it is on the higher side, that their product portfolio is generally producing higher value per product as such?

Harish Kamath: No, today also eight to 10 of their formulations are giving much, much higher than the amount what you are talking. I am speaking.

Prashant Poddar: Okay, and these are not early stages of competition.

Harish Kamath: No, no, older generics. And still there is scope for them to grow their market share.

Prashant Poddar: So this, just quickly understanding this, as you can use. Is it, I mean, what kind of recovery you are expecting in this INR300

EBITDA performance? Could it be better if, I mean, is it, if the market gets really rational, could it be better than this?

Pranay Godha: I would not extend myself that far. Let's hope that it gets better. There is a target we have set for ourselves. We want to head for it. And we are at this moment, you know, doing everything IPCA Laboratories Limited

allocation in the same market which has hurt your asset returns in the past? And the second one is your own expectation, this INR300 crores EBITDA on an INR1, 800 turnover. Does this include the US recovery that we are seeing right now which could be cyclical for all to look at it, where there is adversity, there is a bit of an opportunity. Yes,

undoubtedly due to the obvious market pressures, be it from the buying side and or from the supply side from India, there has been quite a few disruption and challenges. And as today, prices are getting kind of more rational and stabilized. We believe there is a scope for companies like Unichem and hopefully soon Ipca to make use of this opportunity. And as long as we remain both compliant and competitive, I think we can achieve these kind of numbers. The other question is around this INR1,800 crores kind of turnover. Just the 60 products, assuming what Mr. Kamath said, the 60 products, we assume all of them come through, even then this INR300 crores, INR400 crores per product kind of is quite high. I am not saying it is bad, I mean we take it with both hands, but these numbers are higher than what we have generally observed in Me Too portfolios.

Sorry, sorry, we are just confused. They are not only in the US, they are also into other markets. They do a lot of formulation business in Brazil. They have some business in the UK. So this INR1,800 crores includes all those businesses. They also have API business. All of them are included in this. It is not only US.

So should we assume half of this is US?

65% you can assume. 60% you can assume.

So, even then around \$2.5 million is clearly on the higher side. Would you also believe that, that it is on the higher side, that their product portfolio is generally producing higher value per product as such?

No, today also eight to 10 of their formulations are giving much, much higher than the amount what you are talking. I am speaking only US sales.

Okay, and these are not early stages of competition.

No, no, older generics. And still there is scope for them to grow their market share.

So this, just quickly understanding this, as Pranay was explaining that this is an opportunity you can use. Is it, I mean, what kind of recovery you are expecting in this INR300 EBITDA performance? Could it be better if, I mean, is it, if the market gets really rational, could it be better than this INR300 crores?

I would not extend myself that far. Let's hope that it gets better. There is a target we have set for ourselves. We want to head for it. And we are at this moment, you know, doing everything IPCA Laboratories Limited
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So, two concerns there. One is regulatory. I mean, we understand you have learnt a lot, but could that be a risk? And how do you calculate that when you are putting such a large capital asset returns in the past? And the second 800 crores turnover.

Does this include the US recovery that we are seeing right now which could be cyclical for all to look at it, where there is adversity, there is a bit of an opportunity. Yes, undoubtedly due to the obvious market pressures, be it from the buying side and or from the supply side from India, there has been quite a few disruption and challenges. And as we see today, prices are getting kind of more rational and stabilized. We believe there is a scope for companies like Unichem and hopefully soon Ipca to make use of this opportunity. And as long as we achieve these kind of numbers.

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Pranay was explaining that this is an opportunity

you can use. Is it, I mean, what kind of recovery you are expecting in this INR300 crores EBITDA performance? Could it be better if, I mean, is it, if the market gets really rational,

I would not extend myself that far. Let's hope that it gets better. There is a target we have set for ourselves. We want to head for it. And we are at this moment, you know, doing everything or thinking through this ma

bet on it right at this very moment.

Prashant Poddar: So, Pranay, if we split this into the three businesses, API formulations and the other countries formulations, you know, if you

the US, if you can specially explain the strengths in the other markets that Unichem brings to the table, other than just the, you know, registrations, are there, you know, sales teams, branded sales teams, which you can boast about in this transaction?

And one more last question there, in terms of profitability, if we look at INR1

INR1, 800 crores and INR300 crores, it is 16%, 17% kind of margins. US and these other formulations, which

both these questions, please. That's all from my side.

Pranay Godha: Other than US, the other biggest segment is their contract manufacturing, which is primarily for European cus

markets. The API business is again dominant more in the European space and other, let's call it emerging markets. So, profitability

number, the emerging markets always are, from a percentage basis, more profitable. But from a core number point of view, CMO business and Brazil business is now becoming more profitable than before.

Prashant Poddar: CMO and Brazil. Okay. And the larger, is it? Or is it again me too kind of business?

Pranay Godha: It is, from a product point of view, yes, it is a me too kind of a business from a potential to grow, obviously, because

mark, again, Unichem has proved itself, it has great credibility. We know in the past from other competitors how much it was difficult to compete with them on certain projects. So, they have a very good relationship with some of their key clients and they have a very good track record in terms of supply chain.

Prashant Poddar: All right. That's all from my side. Thank you very much. All the best.

Pranay Godha: Thank you.

Moderator: We have the next participant, Mr. Diresh Pathak from WhiteOak Capital with the next question. Please go

Diresh Pathak: Yes, thank you. So, apart from the operating assets, the plants and the filings, is there a non core asset which you can monetize?

Ajit Jain: There is a property in Jogeshwari, which is, it might be around 10 half acres land and all. So, over a period of time, I think that's one possibility exist to monetize. And apart from that, they have almost around, close to almost around INR275

were following certain method of, let's say, GST refund instead of GST going for rebate. And GST refunds take much longer time compared to GST going for rebate system. So, it's possible! PCA Laboratories Limited Page 13 of 24 or thinking through this matter as intensively as possible to achieve it. So I would not, let's say, bet on it right at this very moment.

So, Pranay, if we split this into the three businesses, API formulations and the other countries formulations, you know, if you can give us some, because all the discussion has been around the US, if you can specially explain the strengths in the other markets that Unichem brings to the table, other than just the, you know, registrations, are there, you know, sales teams, sales teams, which you can boast about in this transaction?

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800 crores and INR300 crores, it is 16%, 17% kind of margins. US and these other formulations, which one would be the leader of, margin leader in this calculation of yours? So both these questions, please. That's all from my side.

Other than US, the other biggest s

egment is their contract manufacturing, which is primarily

for European customers. And then there are other markets like Brazil and other emerging markets. The API business is again dominant more in the European space and other, let's call it emerging markets. So, profitability -wise, obviously, after, I would say, strictly as a p number, the emerging markets always are, from a percentage basis, more profitable. But from a core number point of view, CMO business and Brazil business is now becoming more profitable than before.

CMO and Brazil. Okay. And the CMO has, you know, strategic potential to be growing much larger, is it? Or is it again me too kind of business?

It is, from a product point of view, yes, it is a me too kind of a business from a potential to grow, obviously, because everybody needs a competent and a reliable supplier. And in that mark, again, Unichem has proved itself, it has great credibility. We know in the past from other competitors how much it was difficult to compete with them on certain projects. So, they have a very good relationship with some of their key clients and they have a very good track record in terms of supply chain.

All right. That's all from my side. Thank you very much. All the best.

he next participant, Mr. Diresh Pathak from WhiteOak Capital with the next question. Please go ahead.

Yes, thank you. So, apart from the operating assets, the plants and the filings, is there a non core asset which you can monetize?

There is a property in Jogeshwari, which is, it might be around 10 half acres land and all. So, over a period of time, I think that's one possibility exist to monetize. And apart from that, they have almost around, close to almost around INR275 crores locked up in GST because they were following certain method of, let's say, GST refund instead of GST going for rebate. And GST refunds take much longer time compared to GST going for rebate system. So, it's possible IPCA Laboratories Limited April 25, 2023

try as intensively as possible to achieve it. So I would not, let's say,

So, Pranay, if we split this into the three businesses, API formulations and the other countries can give us some, because all the discussion has been around

the US, if you can specially explain the strengths in the other markets that Unichem brings to the table, other than just the, you know, registrations, are there, you know, sales teams,

And one more last question there, in terms of profitability, if we look at INR1,700 crores,

800 crores and INR300 crores, it is 16%, 17% kind of margins. US and these other

which one would be the leader of, margin leader in this calculation of yours? So

Other than US, the other biggest segment is their contract manufacturing, which is primarily for customers. And then there are other markets like Brazil and other emerging

markets. The API business is again dominant more in the European space and other, let's call it wise, obviously, after, I would say, strictly as a percentage

number, the emerging markets always are, from a percentage basis, more profitable. But from

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were following certain method of, let's say, GST refund instead of GST going for rebate. And

GST refunds take much longer time compared to GST going for rebate system. So, it's possible

to unlock that kind of cash maybe over a

available in the balance sheet of almost around INR275

entire cash.

Diresh Pathak: That will have to be checked even from the government, right?

Ajit Jain: Oh, that's basically, normally all exporter goes for rebate system that when you export something, you prepare in, say, GST invoice and pay the GST out of your credit. And once

your exports are done, within a period of two months' time, one and a half month, two months

time, you get the refunds. But the GST refund system takes very long time because refund

applications, then process and all those kind of, it takes some time more than a year. So, they

have a huge amount of money which is lying in GST refund amount or

going or some applications has already gone.

But when we change the method from your refunds to rebate, the cash will start coming out

and with existing money which is locked up in refunds, with that coming in over a period of

one year time, almost around close to INR250

itself. And Jogeshwari property, almost around INR300

kind of valuation right now, but looking at the market and three and a half,

that should be the valuation currently. Almost, that's the kind of cash could be available which

can be utilized for the business.

Diresh Pathak: And sir this INR1,800

plus the plants which are in CWIP, right and the current filings, right?

Ajit Jain: Yes, because they have already capitalized their Goa plant, which is the latest capacity they have put up on the foundation site. On CWIP, there is some more asset which

Pithampur API plant, which is what around INR100 crores are there. But that plant will have

to be reworked out because they have not installed any kind of reactors or some, it's basically

building and other assets are ready, but we will have to

engineering methods to understand that what kind of rework on their order processing areas to

have much better throughput.

Diresh Pathak: So to achieve that INR1,800 crores, like another INR500

the current run rate, you will need to invest in working capital plus some capex. So what is that

estimate of extra investment that needs to go into to generate the full INR1,800

revenue?

Ajit Jain: From Unichem's operation itself, because GST

will come out. You don't need any kind of additional cash, rather cash will, we'll have to look into the supply chain to see that what kind of rationalization can be done on more particularly on their entire cash to cash cycle in terms of inventory holdings and in terms of all operations, synchronizing everything. So that part can also bring out some kind of cash from the system.

Diresh Pathak: So would you also step up your R&D investments for US now? IPCL Laboratories Limited

Page 14 of 24 to unlock that kind of cash maybe over a period of one year time. So, that's basically cash available in the balance sheet of almost around INR275 crores. It's possible to take out that

That will have to be checked even from the government, right?

It's basically, normally all exporter goes for rebate system that when you export something, you prepare in, say, GST invoice and pay the GST out of your credit. And once your exports are done, within a period of two months' time, one and a half month, two months time, you get the refunds. But the GST refund system takes very long time because refund applications, then process and all those kind of, it takes some time more than a year. So, they have a huge amount of money which is lying in GST refund amount on which applications are going or some applications has already gone.

But when we change the method from your refunds to rebate, the cash will start coming out and with existing money which is locked up in refunds, with that coming in over a period

of

year time, almost around close to INR250 crores cash can be generated from that change itself. And Jogeshwari property, almost around INR300 crores, broadly, we have not done any kind of valuation right now, but looking at the market and three and a half, that should be the valuation currently. Almost, that's the kind of cash could be available which can be utilized for the business.

And sir this INR1,800 crores revenue, this assumes optimum utilization of the current plan plus the plants which are in CWIP, right and the current filings, right?

Yes, because they have already capitalized their Goa plant, which is the latest capacity they have put up on the foundation site. On CWIP, there is some more asset which Pithampur API plant, which is what around INR100 crores are there. But that plant will have to be reworked out because they have not installed any kind of reactors or some, it's basically building and other assets are ready, but we will have to use all these kind of chemical engineering methods to understand that what kind of rework on their order processing areas to have much better throughput.

So to achieve that INR1,800 crores, like another INR500 crores from the extra revenue the current run rate, you will need to invest in working capital plus some capex. So what is that estimate of extra investment that needs to go into to generate the full INR1,800

From Unichem's operation itself, because GST refund itself will be a significant amount which will come out. You don't need any kind of additional cash, rather cash will, we'll have to look into the supply chain to see that what kind of rationalization can be done on more particularly the cash to cash cycle in terms of inventory holdings and in terms of all operations, synchronizing everything. So that part can also bring out some kind of cash from the system.

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kind of valuation right now, but looking at the market and three and a half, half acres of land, that should be the valuation currently. Almost, that's the kind of cash could be available which revenue, this assumes optimum utilization of the current plans

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more particularly

the cash to cash cycle in terms of inventory holdings and in terms of all operations, synchronizing everything. So that part can also bring out some kind of cash from the system.

Ajit Jain: Let's say our strategy policy is very somebody else's API. So all the kind of work that needs to be done is only based on our own API. And therefore, that work is not like say that currently amount of money on R&D. That also will need to be rationalized properly. So good amount of savings can also be generated from there. Because in an integrated company, it's only the product development which will happen only based on API and then

all that because how much competitive you could remain on the outsource API and today when the margins are under pressure come only through your own API. So that's the business philosophy will not change here.

Diresh Pathak: Okay sir, Thank you.

Moderator: The next question is from the line of Ritesh Rathod from Nippon India ahead.

Ritesh Rathod: Yes. Hi everyone. Can you share what's your future plan on the pending stake post open offer. Would you acquire that stake or would you have any plans in next three years to five years of acquiring or would this

Harish Kamath: It will be kept as a listed entity. Our SPA is for acquiring 33.38% shareholding plus we are making open offer for 26%. If everything comes in the open offer, my holding will be around 60%.

Ritesh Rathod: No, I'm talking post that given many of your past acquisitions, you have kept a stake not taken until 100%. So what are your plans over there?

Harish Kamath: No, this is a listed public company. In any case, the public holding has to be in excess to remain listed. So that will continue status.

Ritesh Rathod: You don't plan to acquire 100%?

Harish Kamath: Currently, there are no such plans.

Ritesh Rathod: Just in one of the previous questions, since you're acquiring, planning to acquire 60% INR1,800 crores. So you're overall, you're just getting a proportionate stake. If I do a full company valuation, it's around \$350 million or \$370 million whatever the number and for 50 much.

I think maybe you need to I don't know what benchmark you have taken for this, but it is coming somewhere around \$5 million to \$7 million kind of a range, which is out of range, maybe you can talk about non US, but non US, it's

this is on very extreme in terms of valuations when you move at

maybe on the capacity side when you're saying that you have a USFDA approved facility.

How many times this facility has been IPCA Laboratories Limited

Page 15 of 24 Let's say our strategy policy is very -very clear that we don't want to do a lot of work based on somebody else's API. So all the kind of work that needs to be done is only based on our own API. And therefore, that work is not like say that currently Unichem is spending a large amount of money on R&D. That also will need to be rationalized properly.

So good amount of savings can also be generated from there. Because in an integrated company, it's only the product development which will happen only based on our own internal API and then forward. So it's not that your dozens of NDA needs to be filed and generated and all that because how much competitive you could remain on the outsource API and today when the margins are under pressure [inaudible 0:47:12], operational efficiencies and all that can come only through your own API. So that's the business philosophy will not change here.

Okay sir, Thank you.

The next question is from the line of Ritesh Rathod from Nippon India Mutual Fund. Please go

Yes. Hi everyone. Can you share what's your future plan on the pending stake post open offer

Would you acquire that stake or would you have any plans in next three years to five years of acquiring or would this entity be kept as a listed entity? Unichem?

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maybe on the capacity side when you're saying that you have a USFDA approved facility. en inspected till date by USFDA since it started?

Harish Kamath: First of all, you commented 50 ANDA that is not correct. They have about 75 filings plus they also have 78 DMFs for API. And these products can be marketed world over not only necessarily in

our presence in many other markets, there is every scope to commercialize these products in those markets also. So we are not paying just for 50 ANDAs and they also have a lot of IPs like 78 DMFs for API, which they have developed and filed.

Ritesh Rathod: But still the range is very high is what my point is, even at 70 ANDAs or 60 ANDAs, the range, the per ANDA is excess of \$5 million and whatever you want to give for the A filing. It's above the range is, what my point is. And can you just answer on this o

ne? What's

the regulated track record of this Unichem plant? How many times they have till date been inspected? Even the last inspection was somewhere pre many times US FDA has inspected the plants?

Harish Kamath: They have multiple plants, not three for API and three for formulation. Out of that two formulation plant and three API plants are US FDA approved. Multiple times, it is Some plants are new, they got approval recently. And all approvals are definitely pre only.

Ritesh Rathod: And when was the last inspection for all these plants, like formulation...?

Management: I said pre- COVID.

Management: 2019, 2020. The

Ritesh Rathod: And given the formulation plants are the key ones, so how many times, those have got inspected?

Management: And again, typically about two times to three times depending on which plant

about.

Ritesh Rathod: Okay, you should rethink on this given most of the investors, what they are echoing. Yes, that's my final point.

Moderator: Thank you. The next question is from the line of Nikhil Mathur from HDFC Mutual Fund. Please go ahead.

Nikhil Mathur: Yes, hi. Thank you so much for the follow

Unichem's position today on the fine, that has been imposed by the European Commission of INR120 crores that is sitting as part of contingent liability

that, have you been able to de

this penalty also should be taken into consideration, right, when we are talking about the acquisition value?

Harish Kamath: This is already considered, while calculating.

Nikhil Mathur: No, it is yet to be provided for, right? IPCA Laboratories Limited

Page 16 of 24 First of all, you commented 50 ANDA that is not correct. They have about 75 filings plus they also have 78 DMFs for API. And these products can be marketed world over not only necessarily in US. Their focus was on US in UK and Brazil and some other countries. But with our presence in many other markets, there is every scope to commercialize these products in those markets also. So we are not paying just for 50 ANDAs and they also have a lot of IPs like 78 DMFs for API, which they have developed and filed.

But still the range is very high is what my point is, even at 70 ANDAs or 60 ANDAs, the range, the per ANDA is excess of \$5 million and whatever you want to give for the API filing. It's above the range is, what my point is. And can you just answer on this one? What's the regulated track record of this Unichem plant? How many times they have till date been inspected? Even the last inspection was somewhere pre -COVID. But since the infection, how many times US FDA has inspected the plants?

They have multiple plants, not three for API and three for formulation. Out of that two formulation plant and three API plants are US FDA approved. Multiple times, it is inspected. Some plants are new, they got approval recently. And all approvals are definitely pre -COVID. And when was the last inspection for all these plants, like formulation...?

COVID. 2019, 2020. The very last inspection amongst the five sites was in 2020.

And given the formulation plants are the key ones, so how many times, those have got

And again, typically about two times to three times depending on which plant

Okay, you should rethink on this given most of the investors, what they are echoing. Yes, that's my final point.

Thank you. The next question is from the line of Nikhil Mathur from HDFC Mutual Fund. head.

Yes, hi. Thank you so much for the follow-up. I just have one quick final question. What is Unichem's position today on the fine, that has been imposed by the European Commission of INR120 crores that is sitting as part of contingent liability? And second part to this question is that, have you been able to de-risk yourself from this particular penalty, if it goes through? So, this penalty also should be taken into consideration, right, when we are talking about the acquisition value?

This is already considered, while calculating.

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Harish Kamath: The matter is also yet to be finally settled, still in the court.

Nikhil Mathur: But are you working with the worst case scenario paid out?

Harish Kamath: There is a court procedure going on plus there are several other possibilities and options also.

Nikhil Mathur: Okay, understood. Thank you so much.

Moderator: Thank you. The next Investments. Please go ahead.

Vaibhav Badjatya: Hi, sir. Thanks for providing the opportunity. So as one of the earlier participants highlighted that the margin of Unichem business is US focused players. So, what is the reason, you will attribute this fact to? What are the advantages as Unichem have because of which they are able to generate good gross margin?

Management: On their peak integration. It's a combination of both. And in some cases, it's also because of their, I would say, cost competitiveness in addition to the above.

Vaibhav Badjatya: Okay, Got it Unichem, do you plan any significant management changes there in terms of people, who are looking after compliances and any other thing? In marketing or something, do you plan any major management changes or mostly the things will be status quo?

Management: Not at all. Whatever the team, in the quality and operation side, they've generally done a good job. Their actions are speaking louder than words, I would say. So, things will more business as usual.

Vaibhav Badjatya: Okay. And, you know, they also have ESOP plan. So, that ESOP will continue as it is or there will be some changes in that ESOP scheme as well?

Harish Kamath: No, once the ESOP resolution is passed, it is generally valid for ten years. So you can't change once the scheme is passed by shareholders to the detriment of the ESOP grantees. That you cannot do.

Vaibhav Badjatya: Okay, Got it. Understand. And for scaling up to this INR1 require any cash infusion in any scenario from Ipca side or it would be...?

Management: No, It does not require.

Vaibhav Badjatya: And there is no plan as of now to kind of merge Unichem with Ipca, after open offer completion, after we acquire [inaudible 0:55:50]?

Management: No, absolutely not. No.

Vaibhav Badjatya: Okay. Got it. That's it from my side. I will come back in the IPCA Laboratories Limited

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The matter is also yet to be finally settled, still in the court.

But are you working with the worst case scenario here, that entire INR120 crores has to be

There is a court procedure going on plus there are several other possibilities and options also.

Okay, understood. Thank you so much.

Thank you. The next question is from the line of Vaibhav Badjatya from Honesty & Integrity Investments. Please go ahead.

Hi, sir. Thanks for providing the opportunity. So as one of the earlier participants highlighted that the margin of Unichem business is actually very good as compared to some of the other US focused players. So, what is the reason, you will attribute this fact to? What are the advantages as Unichem have because of which they are able to generate good gross margin?

On their peak products, I believe it's their economies, scale economies and their backward integration. It's a combination of both. And in some cases, it's also because of their, I would say, cost competitiveness in addition to the above.

Okay, Got it. And secondly, in terms of because now we will be in charge of things at Unichem, do you plan any significant management changes there in terms of people, who are looking after compliances and any other thing? In marketing or something, do you plan any major management changes or mostly the things will be status quo?

Not at all. Whatever the team, in the quality and operation side, they've generally done a good job. Their actions are speaking louder than words, I would say. So, things will more business as usual.

Okay. And, you know, they also have ESOP plan. So, that ESOP will continue as it is or there will be some changes in that ESOP scheme as well?

No, once the ESOP resolution is passed, it is generally valid for ten years. So you can't change once the scheme is passed by shareholders to the detriment of the ESOP grantees. That you cannot do.

Okay, Got it. Understand. And for scaling up to this INR1,800 crores, as you said, will require any cash infusion in any scenario from Ipca side or it would be...?

No, It does not require.

And there is no plan as of now to kind of merge Unichem with Ipca, after open offer completion, after we acquire [inaudible 0:55:50]?

No, absolutely not. No.

Okay. Got it. That's it from my side. I will come back in the queue. IPCA Laboratories Limited
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800 crores, as you said, will it

And there is no plan as of now to kind of merge Unichem with Ipca, after open offer

Moderator: Thank you. We have the next question from the line of Surya Patra from PhillipCapital. Please
go ahead.

Surya P

atra: Hello. Yes, thanks for this opportunity. Sir, first question is that, see, obviously you have
guided that the Unichem business possibly in two ye ars' time, likely to achieve something like
INR1, 800 crores. But we know that around 70% or slightly more

this currently generated is relating to US and Euro pe. And so we are obviously targeting to
achieve certain growth number on that.

But what is the synergetic benefit that, we are tar geting for Ipca's portfolio in US business o
US dent? So obviously there will be some thought pr ocess and that is, that will be the key
rationale behind that acquisition. So

thought process about taking Ipca portfolio to US m arket? And how can yo
get complimented by the assets of Unichem?

Management: So for some of their core products, even today, we believe they can benefit from Ipca's cost
competency in terms of the APIs, for their own raw material consumption. And I'm over here

I'm being a bit optimistic. I do look that our Ratl am facility, will have a positive outcome by
the will of God, I would say, in the very near futu re that, we are trying very hard for that too.

So with that assumption in place, we believe, we ca n be a ve

would say primary supplier for some of their own ra w materials or APIs.

Irrespective of that, even if we do a tech transfer of our technology on their facility, they can
get to benefit from the better processes that, we h a

their APIs have better cost competencies, but not a dequate scales, which we think, we can

provide very easily within our available facilities . So there is going to be quite a few give and

take happening between t

utilize the cost competencies also.

Surya Patra: Okay. Sir is it possible?

Management: Yes. And of course, in addition, at the cost of bei ng repetitive, Mr. Kamath had also mentioned
that, we are looking upon their already developed p roducts to be extended out, into other
regulated markets.

Surya Patra: Okay. And sir in terms of the let's say, you have m entioned that, the top ten product is
generating almost 75% of the US revenue. And

of a significant cost advantage or something like t hat in this. That is why in this cost

competitive world, they are so

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APIs. Are they into intermediaries as well?

Ajit Jain: Most of their products are, except a few products, which they are using API from outside, but
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your API synthesis. So there we can add a lot of va lues to them in terms of providing further IPCA Laboratories Limited

Page 18 of 24 Thank you. We have the next question from the line of Surya Patra from PhillipCapital. Please

Hello. Yes, thanks for this opportunity. Sir, first question is that, see, obviously you have
guided that the Unichem business possibly in two ye ars' time, likely to achieve something like

800 crores. But we know that around 70% or slightly more than that of the business for this currently generated is relating to US and Europe. And so we are obviously targeting to achieve certain growth number on that.

But what is the synergetic benefit that, we are targeting for Ipca's portfolio in US business or US demand? So obviously there will be some thought process and that is, that will be the key rationale behind that acquisition. So can you throw some light about that? What is your thought process about taking Ipca portfolio to US market? And how can you get complimented by the assets of Unichem?

So for some of their core products, even today, we believe they can benefit from Ipca's cost competency in terms of the APIs, for their own raw material consumption. And I'm over here I'm being a bit optimistic. I do look that our Ratlam facility, will have a positive outcome by the will of God, I would say, in the very near future that, we are trying very hard for that too. So with that assumption

in place, we believe, we can be a very good alternative supplier or I would say primary supplier for some of their own raw materials or APIs.

Irrespective of that, even if we do a tech transfer of our technology on their facility, they can get to benefit from the better processes that, we have. Then on the other side, we find some of their APIs have better cost competencies, but not a adequate scales, which we think, we can provide very easily within our available facilities. So there is going to be quite a few give and take happening between the two companies, in order to best utilize not just the capacity, but to utilize the cost competencies also.

Okay. Sir is it possible?

Yes. And of course, in addition, at the cost of being repetitive, Mr. Kamath had also mentioned that, we are looking upon their already developed products to be extended out, into other regulated markets.

Okay. And sir in terms of let's say, you have mentioned that, the top ten product is generating almost 75% of the US revenue. And obviously, that means, they are having a kind of a significant cost advantage or something like that in this. That is why in this cost competitive world, they are so successful on those products. So if you can share, what is the level of API integration that they are having, a level of backward integration, to say here for APIs. Are they into intermediaries as well?

Most of their products are, except a few products, which they are using API from outside, but most of their overall, let's say, your DMFs are from, let's say, stage 2, stage that, not too much backward integrated. They are from the key penultimate to the final kind of your API synthesis. So there we can add a lot of values to them in terms of providing further IPCA Laboratories Limited
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Moderator: Sir, sorry to interrupt. You're not very audible. The volume for you has gone low. If you could speak closer to the mic, it would help.

Ajit Jain: Yes . So some of the APIs are outsourced. Most of their APIs are basically from their own backward integration site. But most of their synthesis are also from, let's say, from the late stage intermediates and all.

efficient intermediates or something like that. And as Pranay ji has already said that some of the intermediates, some of the APIs which currently outsource is possible to do our track transfers to them and produce our products at their site and create furthermore efficiencies, cost efficiencies for them. So to further maximize the market share.

Surya Patra: Sure. So just last one question. You talked a lot about the cost optimization and also what is the ultimate outcome at the EBITDA level over next two year time post integration. So here I am assuming that let's say integration time would be one year and post during two year period or in fewer periods that you will be like to achieve this INR300 crores kind of number. But for better confidence on this...

Ajit Jain: It could be longer also because pharma being a regulated world, API needs to be done. Device process need to be validated. Then again formulation batches need to be taken. That validations are required. So sometime it will go to around one and a half year.

are to be done that way. Key focus API that kind of program can be planned and could be implemented in a period of around one and a half year time.

Surya Patra: Yes, exactly Sir. So particularly this was my point. So hence just to have a about the cost optimization. So if I just comparatively see the cost costing and the income costing, there is a significant difference. So let's say to start with, obviously on the gross margin fund, it could be comparable, but let's say revenues.

So if you see the other expenses, then that is also significantly higher. So the initial the cost line items that could be of some could see some action from your side and could bring in immediate kind

the process of integration? Because otherwise...

Ajit Jain: We will have to look into their entire overheads and look into the whole thing and those optimizations will have to

Unichem is concerned. They have good gross margin, can be further enhanced through further process optimizations and cost reductions and all that kind of things, more particularly on API side, formulation side nothing is possible. Formulation side only you can have higher capacity utilizations and

So that's one. But on API side, a lot of those kind of cost optimizations are possible. But immediate would be your IPCA Laboratories Limited

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We will have to look into their entire overheads and look into the whole thing and those optimizations will have to be done, because it's not the gross margin, not an issue as far as Unichem is concerned. They have good gross margin, can be further enhanced through further process optimizations and cost reductions and all that kind of things, more particularly on API side, formulation side nothing is possible. Formulation side only you can have higher capacity utilizations and [inaudible 01:03:55] margins.

So that's one. But on API side, a lot of those kind of cost optimizations are possible. But immediate would be your cost rationalization itself. As you rightly said, the R&D cost itself is IPCA Laboratories Limited April 25, 2023

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very high. There are a lot of other cost, which we will have to go through but once we come in management then only we will be able to look into those kind of things and then work on them. But certainly there are scopes to rationalize those kind of cost.

Surya Patra: Even if you are not having 51% stake post this open offer, can you integrate this or consolidate this business into your customers?

Ajit Jain: We will have to follow the

Surya Patra: So majority control in the management will not allow you to consolidate?

Harish Kamath: Consolidation will happen, whether it is single line consolidation or line by line consolidation. That is the only difference. B

Surya Patra: Okay. Sure sir. Thank you.

Harish Kamath: Thank you.

Moderator: Thank you. The next question is from the line of Cyndrella Thomas Carvalho from JM Financial Limited. Please go ahead.

Cyndrella Carvalho: Thanks for the opportunity. Can you help us understand? You were talking about integration from an entity perspective as well as the cost process of having backward integration with your filing. So out of the top 10 products, you said 70% is kind of t from the top 10 products. How much is backward integration or the possibility?

Management: How many of those products there is backward integration for their scope?

Harish Kamath: Okay. Ms. Carvalho, just to be clear, you the percentage of backward integration? How many are backward integrated?

Cyndrella Carvalho: Correct.

Harish Kamath: About 70% of those.

Cyndrella Carvalho: 70% of the top 10 which contributes 70%?

Harish Kamath: Yes.

Cyndrella Carvalho: Okay. And when I look at the nine month performance, the gross margins in the nine months have kind of come off. What should be

Harish Kamath: You are not audible.

Cyndrella Carvalho: Yes, I am saying

gross margins closer to 59%. And if I look at their annual run rate, they have been around 66% to 67%. So what should be a sustainable run rate that we should look at? And largely, caused this lower gross margins in the nine months if you can help us? IPCA Laboratories Limited

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Even if you are not having 51% stake post this open offer, can you integrate this or consolidate this business into your customers?

We will have to follow the law of the land on that.

So majority control in the management will not allow you to consolidate?

Consolidation will happen, whether it is single line consolidation or line by line consolidation.

That is the only difference. But consolidation will definitely happen.

Okay. Sure sir. Thank you.

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Okay. Ms. Carvalho, just to be clear, you are asking how much of the top 10 products, what is the percentage of backward integration? How many are backward integrated?

About 70% of those.

70% of the top 10 which contributes 70%?

Okay. And when I look at the nine month performance, the gross margins in the nine months have kind of come off. What should be sustainable?

You are not audible.

Yes, I am saying if I look at the nine month performance of Unichem numbers, we are seeing gross margins closer to 59%. And if I look at their annual run rate, they have been around 66% to 67%. So what should be a sustainable run rate that we should look at? And largely, caused this lower gross margins in the nine months if you can help us? IPCA Laboratories Limited
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to 67%. So what should be a sustainable run rate that we should look at? And largely, what has

Harish Kamath: It is to do with the product mix, that's it. So on a normalized basis, you can presume it will be anywhere between 60% to 65%.

Cyndrella Carvalho: And sir, in terms of any USFDA schedules for the CGMP that you might have been aware about for the two formulation and two API facilities for Unichem that you could share with us?

Harish Kamath: Again, again, your voice is not audible.

Pranay Godha: Are you asking if there is any inspection scheduled in the near future?

Cyndrella Carvalho: Yes, for the CGMP.

Pranay Godha: Not that we are aware of.

Cyndrella Carvalho: And any significant filings that can trigger that inspection from the facility?

Pranay Godha: There are filings on a regular basis. I do not know how to categorize them as significant. There is nothing that can be called as a para four for us to file kind of thing. So they are normal filings.

Harish Kamath: And there is nothing to trigger of the world and they have all the approvals.

Cyndrella Carvalho: Yes, I was trying to understand any CGMP schedule is there or anything.

Harish Kamath: No, nothing. There are no issues. There are no schedules.

Cyndrella Carvalho: Okay. Okay. And so in terms of the timeline, how should we look at this deal from a consolidated entity?

Harish Kamath: See, CCA approval, then open offer. Once open offer is completed, then only we get whatever control we get as per the SBA. So it may be at the best case scenario, maybe four months from now.

Cyndrella Carvalho: Okay. Four to six months is a fair understanding.

Harish Kamath: All depends on when CCA approval will come.

Cyndrella Carvalho: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Ashish Thavkar from IIFL AMC. Please go ahead.

Ashish Thavkar: Yes, thanks for the opportunity. Sir, in the opening comments, you did mention about 16% to 17% growth. So that was for Ipca on an organic basis, right? And then you are guiding for INR1800 crores of revenues for Unichem. Is that a right understanding?

Harish Kamath: No, no. Both growth and revenue, he spoke about Unichem only. We have not spoken anything about Ipca guidance in this call. We spoke only about Unichem. IPCA Laboratories Limited

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And there is nothing to trigger inspection. All their facilities are inspected by the very regulator

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still two years out, it will still be a sub 10% ROCE business. So what are your plans? Is there a certain mindset that you need to take ROCE and bring it to the company level? Some guidance would help.

Harish Kamath: We are also telling that

products in all other market where they are not currently operating. There is Australia, New Zealand, there is whole of Europe, where we have a very big presence now. So our basket offering in these markets will increase. They can manufacture and I can market. Both will benefit out of that. Similarly, I can market their branded formulation in the RoW market also.

Ashish Thavkar: Okay. Got that. And are there any certain SEZ facilities

Management: Pardon?

Ashish Thavkar: SEZ facility. Are there some tax benefits that?

Management: No. Now nobody has any tax benefit. Everywhere there is sunset now. There is no tax benefit now.

Ashish Thavkar: Okay. Not even

Management: Nowhere in India for that matter.

Ashish Thavkar: Okay. Yes. Fair enough. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Rahul Jeewani from IIFL. Please go ahead.

Rahul Jeewani: Yes, sir. So, sir, can you comment on the availability of management bandwidth for managing this acquisition? And why I ask that question is because if you see on an organic basis as well, we will run several projects across our business. So, be it the expansion, which we are doing at the Ratlam and the Devas API plant of the distribution or the realignment of the distribution network in UK?

So, you already had some

that too for a market, which hasn't been a focal point for you for past eight years. So, how is the management bandwidth, how the management bandwidth will get allocated in terms of integrating this asset?

Pranay Godha: From a management bandwidth point of view, thankfully, we can only thank Dr. Modi and his team. They have built an amazing team over there. So, we see practically, no reason to disturb the top management and the lower

of view, we were not generating any sales, it was pretty obvious for us at least that US will always remain a market, where we have to get back to and enter as fast as possible. It is the largest generic market and more, so for the kind of products Ipca and Unichem are involved in.

So, this was only a matter of time for us to enter directly or indirectly, through Unichem. IPCA Laboratories Limited

Page 22 of 24 Okay. Fair enough. So INR300 crores EBITDA on an INR1,800 crores top line

still two years out, it will still be a sub 10% ROCE business. So what are your plans? Is there a certain mindset that you need to take ROCE and bring it to the company level? Some guidance

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Okay. Yes. Fair enough. Thank you and all the best.

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Ratlam and the Devas API plant of the distribution or the realignment of the distribution network in UK?

So, you already had some of these organic projects ongoing and on top of that, this acquisition, that too for a market, which hasn't been a focal point for you for past eight years. So, how is the management bandwidth, how the management bandwidth will get allocated in terms of

integrating this asset?

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of view, we were not generating any sales, it was pretty obvious for us at least that US will always remain a market, where we have to get back to and enter as fast as possible. It is the generic market and more, so for the kind of products Ipca and Unichem are involved in. So, this was only a matter of time for us to enter directly or indirectly, through Unichem.

Rahul Jeewani: Okay, but Dr. Modi would not have any say in the game now, given that, once the open offer is through, you will have management control of the business. So, let's say, in terms of the top management of Ipca, how would you allocate the time between the various business segments of yours now?

Management: Basically, whatever projects you have talked about, it look after not by, they are supervised by the top management, but otherwise they are handled by the operating team. As far as Unichem is concerned, the team is good. What we need to do is chair reviews and build certain focus. And on the API front,

yes,, our interventions will be larger

one and we have the competent team to look after that part, so that more operating efficiencies can be built up in that system

Rahul Jeewani: Sure sir, and just a few questions on the structuring of the deal. So, would the deal require any approval from shareholders of Ipca?

Pranay Godha: No, it does not require.

Rahul Jeewani: Okay, and for line by line consolidation, our stake in the entity has to be more than 51% only then it will get consolidated?

Management: That is right.

Rahul Jeewani: That's it for my side sir. Thank you.

Moderator: Thank you. The next question is from go ahead.

Manoj Garg: Good evening to all of you and thank you very much for taking my question.

Moderator: Sir, sorry to interrupt, the line for you is sounding muffled and the volume is low. Sir, if could please use the handset when you speak.

Manoj Garg: Is it better now?

Moderator: This is much better. Please go ahead.

Manoj Garg: Thank you very much. So, just to understand, I think in your opening remarks you indicated that this deal will take any debt for this deal?

Ajit Jain: Basically, we have a kind of network, so we are utilizing that. And for working capital, we will be utilizing the working capital finances. For buying the shares, you can't have borrowing from banks. For our normal working capital, we will have some borrow

Manoj Garg: The second thing, while I understand you are given an outlook for the next two years and there are scope and potentials in terms of what we can do with this asset and what it can bring on the table for us. Even, you know, obviously improving the business metrics for Unichem. But when I think from an investor's perspective or even at your perspective, how do you see the IPCA Laboratories Limited Page 23 of 24 Okay, but Dr. Modi would not have any say in the game now, given that you also indicated that, once the open offer is through, you will have management control of the business. So, let's say, in terms of the top management of Ipca, how would you allocate the time between the various business segments of yours now?

Basically, whatever projects you have talked about, it look after not by, they are supervised by the top management, but otherwise they are handled by the operating team. As far as Unichem is concerned, the team is good. What we need to do is change certain directions, change certain reviews and build certain focus. And on the API front, yes,, our interventions will be larger one and we have the competent team to look after that part, so that more operating efficiencies can be built up in that system. I would say that there Ipca will have to intervene.

Sure sir, and just a few questions on the structuring of the deal. So, would the deal require any approval from shareholders of Ipca?

No, it does not require.

Okay, and for line by line consolidation, our stake in the entity has to be more than 51% only then it will get consolidated?

That's it for my side sir. Thank you.

Thank you. The next question is from the line of Manoj Garg from WhiteOak Capital. Please Good evening to all of you and thank you very much for taking my question.

Sir, sorry to interrupt, the line for you is sounding muffled and the volume is low. Sir, if could please use the handset when you speak.

Is it better now?

This is much better. Please go ahead.

Thank you very much. So, just to understand, I think in your opening remarks you indicated that this deal will be financed through the internal accruals. Does it mean that we don't have to take any debt for this deal?

Basically, we have a kind of network, so we are utilizing that. And for working capital, we will be utilizing the working capital finances. For buying the shares, you can't have borrowing from banks. For our normal working capital, we will have some borrowings.

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when I think from an investor's perspective or even at your perspective, how do you see the payback period of this acquisition? And I'm thinking of maybe more known assets of INR250 crores, INR300 crores of office

from the government of India with regard to GST. So let's say that enterprise value of INR2,500 crores, INR2,600 crores, what could be the payback period for us?

Ajit Jain: We have talked about

extending the market reach of those products. And right now, we have not made any of those

kind of calculations. So right now, it's difficult to say that what would be the payback. Right now, we have indicated that once we are in the management, what is possible in over a period of two years' time. But as the market extensions and all those things are done, the scenario will further change. So right now, those calculations are not done.

Manoj Garg: Sorry to push you just a little further on this, sir. And given the way we have operated the assets in the past with 20% plus kind of ROCE, ROE, do you think that over time, we should expect the similar kind of returns even from these assets?

Ajit Jain: It all depends on what kind of things overall comes out once we do all those kind of integrations and market extensions. So right now, I'm not commenting on that part yet.

Manoj Garg: And just a last question, sir. We, at least in the last INR490 crores. So if I include in the net block of INR900 crores, so the total gross block or total block would be available at around INR1,300 crores, INR1,400 crores kind of numbers.

Ajit Jain: Yes, that is correct.

Manoj Garg: So on that block, sir, what could be the peak potential revenue which we can generate from these facilities? Obviously, it depends upon the kind of product which you file and all those things. But just as a ballpark number?

Harish Kamath: Yes, out of that, the Goa facility just commercialized, Manoj.

Manoj Garg: Yes, so, Mr. Kamath, just a question is that what could be the peak potential revenues from all the assets which they have built out and available to us now?

Ajit Jain: Practically, it can go up to maybe around

INR2,700, INR2,800 crores.

Manoj Garg: Oh, okay. Thank you very much and wish you all the best, sir.

Ajit Jain: Thank you, thank you, thank you so much.

Moderator: Thank you. Ladies and gentlemen, that was the last question. Hand the conference over to the management for closing comments. Over to you, sir.

Ajit Jain: Thank you, thank you all for joining this conference. Thank you.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited

Thank you for joining us. You may now disconnect your lines. IPCA Laboratories Limited
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payback period of this acquisition? And I'm thinking of maybe more known assets of INR250 crores, INR300 crores of office building available in Jogeshwari, kind of, you know, refund from the government of India with regard to GST. So let's say that enterprise value of INR2,500 crores, INR2,600 crores, what could be the payback period for us?

We have talked about a lot of things which Ipca will do with their product range in terms of extending the market reach of those products. And right now, we have not made any of those kind of calculations. So right now, it's difficult to say that what would be the payback. Right now, we have indicated that once we are in the management, what is possible in over a period of two years' time. But as the market extensions and all those things are done, the scenario will further change. So right now, those calculations are not done.

Sorry to push you just a little further on this, sir. And given the way we have operated the assets in the past with 20% plus kind of ROCE, ROE, do you think that over time, we should expect the similar kind of returns even from these assets also?

It all depends on what kind of things overall comes out once we do all those kind of integrations and market extensions. So right now, I'm not commenting on that part yet.

And just a last question, sir. We, at least in the last annual report, there is a CWIP of around INR490 crores. So if I include in the net block of INR900 crores, so the total gross block or total block would be available at around INR1,300 crores, INR1,400 crores kind of numbers. correct.

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Practically, it can go up to maybe around INR2,700, INR2,800 crores.

Oh, okay. Thank you very much and wish you all the best, sir.

Thank you, thank you, thank you so much.

Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Thank you, thank you all for joining this conference. Thank you.

Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference.

Thank you for joining us. You may now disconnect your lines. IPCA Laboratories Limited
April 25, 2023

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Call: Aug 2023

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August 14, 2023

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Scrip Code – 524494 National Stock Exchange India Limited,

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Mumbai-400051.

Scrip Code : IPCALAB

Dear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of our Conference Call which was held on Friday, 11th August, 2023 to discuss the Company's Q1FY24 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

Encl: a/a

P age 1 of 14

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pca Laboratories Limited Q1 FY24 Earnings

Conference Call "

August 11, 2023

MANAGEMENT : M R. A. K. JAIN – MANAGING DIRECTOR , IPCA

LABORATORIES LIMITED

MR. HARISH KAMATH – CORPORATE COUNSEL &

COMPANY SECRETARY , IPCA LABORATORIES LIMITED

MODERATORS : M R. NITIN AGARWAL – DAM CAPITAL ADVISORS

Ipca Laboratories Limited

August 11, 2023

Page 2 of 14 Moderator: Ladies and gentlemen, good day and welcome to the Ipca Laboratories Q1 FY24 Earnings Conference Call hosted by D AM Capital Advisors Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors. Thank you and over to you, sir.

Nitin Agarwal : Thank you. Good afternoon, everyone and very warm welcome to Ipca Labs Q1 FY24 Earnings Call hosted by D AM Capital Advisors Limited.

On the call today, we have representing Ipca Labs management, Mr. A . K. Jain - Managing Director and Mr. Harish Kamath - Corporate Counsel and Company Secretary.

I will hand over the call to the Ipca management team to make the opening comments and then we will open the floor for questions . Please go ahead, sir.

A. K. Jain : Thanks , Nitin and DAM Capital for organizing this call. Good afternoon to all participants.

Thank you for taking out time and joining us for Q1 FY24 Earnings Call. Today's call and discussions and answer given may include some forward-looking statement based on our current business expectation that must be viewed in conjunction with risk that pharmaceutical business faces. Our actual and future financial performance may differ from what is projected and perceived. You may take your own judgment on the information provided during the call. Domestic formulation business has delivered a growth of almost around 14% for the Q1 FY24. The impact of NLEM product price reduction in Q4 FY23 of around 16% on price control segment was partially offset with WIP based price increase taken in Q1 FY24. With two ranks gained over FY23 Ipca's rank in chronic segment and we have maintained 15th rank in acute segment as per IQVIA in this particular period and IQVIA TSA audit met June 23, Ipca has achieved a growth of around 13% as against the industry growth of around 11% as per IQVIA's data.

Export formulation business, more particularly our branded formulation business in Q1 has

delivered a growth of around 23% for the quarter from Rs. 93 crores to around Rs. 114 crores for Q1 FY24. Our generic business, excluding institutional business has delivered a growth of 11% in Q1 FY24 from Rs. 212 crores to around Rs. 235 crores. Institutional antimalarial business declined from Rs. 97 crores in Q1 FY23 to Rs. 48 crores. The business is impacted largely due to lower business volumes from Artemether, Lumefantrine and Artesunate, Ipca Laboratories Limited
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Page 3 of 14 Amodiaquine formulations. There were lower procurement by the global agencies and lower business of Artesunate injectable due to plant shutdown for upgradations of sterile Artesunate API section which now is operational and it may take around one more month to get its approval from WHO and business will resume, but we have already started the production of injectables here. API business in Q1 FY24 declined by around 23% from Rs. 384 crores to Rs. 295 crores for the quarter, mainly due to significant decline in antimalarial API business for the quarter from Rs. 63 crores to Rs. 19 crores, a decline of almost around Rs. 44 crores due to poor demand of our antimalarial APIs. The price decline on sartan APIs, due to significant decline in KSM prices in the market has also impacted overall value of the businesses. Overall business guidelines for FY24, domestic business, we expect that industry will grow around 10% and our growth may remain around 12% to 14% for the domestic business. That is our guidelines. International business

ended promotional business we expected growth of around 12% to 14%. Our lower business growth is projected due to depreciation in global. Global has already touched almost around 96-97 level and there will be some impact on foreign currency realizations on that. Our generic business is expected to grow by around 7% to 8% in this particular year. Institutional generic antimalarial business is likely to decline by around 15% due to lower demand and also due to the antimalarial injectable, particularly Artesunate injectable because plant was closed in the first quarter of the current year. API business, we see a decline of around 10% to 12% in the business due to lower realizations on the API, due to softer KSM pricing and also because of some decline in demand of antimalarial APIs. For FY24, overall growth forecast because of all these factors, more particularly on decline on institutional antimalarial business and also likely decline of API business will be likely to be around single digit to maybe around 6% to 8% for the year.

On business margin front, we expect our material cost to sales ratio to improve from around 35.5% in FY23 in the range of around 31.5% to 32%. This will deliver an improvement of around 3.5% to 4% for the year. This is mainly due to margin improvements on formulation business with lower input cost and overall improvement in productivity of the field force. Further cost optimization drive in the API production and overall we expect that EBITDA margin for the FY24, our expectations is around 19% to 19.5% for the year as against 16.22% in FY23. Having given the broad numbers, now I request the participants to ask the question.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question and answer session. The first question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesha: Sir, the first one on the EBITDA margin guidance of around 19% to 19.5%, this you had said on the base of 16.5% what we said, right, so the base also includes other income and the guidance also?

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Page 4 of 14 Harish Kamath: No, we have excluded other income from both places. Now, our guidance will be excluding other income.

Kunal Dhamesha: But if I exclude other income from last year reported number, I get some around Rs. 927 crores EBITDA with a 15% margin?

A. K. Jain: Yes, it is around 16.26 excluding other income.

Kunal Dhamesha: Sure. I will check my number then. So, basically the entire 300 basis points margin improvement we are expecting from more or less gross margin improvement is what we are suggesting, is that the right way to understand?

A. K. Jain: Yes, it is a gross margin improvement.

Kunal Dhamesha: And probably because of the lower realization this time around API business is declining, but beyond FY25, what is the growth trajectory that we are aiming for this business?

A. K. Jain: I think this year is by and large antimalarial business is facing some problem because of lower demand from WHO business also and also our domestic business of APIs we have seen significant decline in first quarter and API exports has also declined in this particular quarter, so will you see that antimalarial demand maybe lower in the current financial year, but as far as WHO business is concerned, now we have started receiving good order and injectable business is largely impacted because of our plant was closed in the first quarter and we do almost around Rs. 90 crores worth of your antimalarial injectables exports, Artesunate

injectable exports to all these global agencies. So, that business is impacted, but on a normalized basis, I think next year we should be able to deliver much better growth of around 10% to 12%.

Kunal Dhamesha : And on this planned closure for the injectable Artesunate, any part

icular reason that we have

closed that plant and when is it expected to come back online?

A. K. Jain : That was basically we wanted to upgrade our sterile Artesunate API section, so that work is already completed and product is validated and we have filed with WHO all the validation data. So, normally it takes 60 days' time to get an approval, almost around 30 days are over, so maybe in a month's time we will get approval, but meantime, we have already started the productions. So, maybe I think even August and September will also get impacted because of the shipment will start happening only after the approval from WHO will be received for all the upgradation.

Kunal Dhamesha : And you said Rs. 90 crores is what the annual rate is for this shipment?

A. K. Jain : Yes, injectable business is around Rs. 90 crores annually.

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Page 5 of 14 Kunal Dhamesha : Annually?

A. K. Jain : Yes.

Moderator : Thank you. The next question is from the line of Surya Patra from Philip Capital. Please go ahead.

Surya Patra: Sir, first question is on the gross margin front, so is it fair to believe that last 4 quarter where the gross margin levels were like 63 -64 in that range, so that was a kind of phase of preparation and now we have come back to normalcy and if yes, what is driving this? So, like the challenges of the API is now that is how we should think for the cost optimization thing or the input prices are corrected to such a significant level, so hence the benefits have been driven, so could you give some more color to this, sir?

Harish Kamath : I think that formulation business improvement is good, so that is also driving. Then input costs are also lower. That is also helping and normally the current year also your API business is lower. API margins are normally lower than the formulation business, so overall on mix also, margins are improving and plus on API side, we are also taking furthermore, the cost optimizations and other drive. So, that is also resulting in better margins on API. So, overall all these factors will result into almost around 3.5% to 4% kind of improvement in the gross margins.

Surya Patra: And this is the sustainable one?

A. K. Jain : This is sustainable one, yes.

Surya Patra: Sir, the second thing is about the Uni chem acquisition, so what is the way forward, sir, in fact the first part of the trade, we see this that has happened and so as you were mentioning that once the majority controlling stake that you acquire then you will start integrating because the management control that you will be having, so could you throw some light to that acquisition?

A. K. Jain : I think our open offer is opening on 28th of August and which will close, maybe around by 8 September or so, and all the payments will be made by around 20th of September, so practically by maybe September end and all, the whole process of integrations and all will start, but we have already started working on which are the products on which the market extensions are possible and we have started interacting with some of their teams, but practically on ground actions will start only after completely we are in the management here.

Surya Patra: So, that in number integration or the integration of the financials will only happen after the commencement?

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Page 6 of 14 Harish Kamath : Philip, it will start from September end because hopefully everything should be over by September 20 and we should be having management control over that company. So, second quarter result consolidation will happen from the date we got those control.

A. K. Jain : Maybe, I think few days consolidations would happen, but I think the major part will start happening from the third quarter onwards, yes.

Surya Patra: And sir, coming back to the domestic formulation business for I

pca, so positive surprise with

the 20% plus kind of growth and all that, so any one-off kind of contribution that you have witnessed or how is it, sir?

A. K. Jain : No, we have done, I think business growth of around 14% in domestic formulation and that is on the back of our most of the therapies are doing well. In fact, if you look at the business growth, what we have in, pain management has delivered around 15% kind of growth, Cardiovascular and Antibacterials more or less around close to 10% kind of business growth

on that , then our CNS business has grown by around 21% , Derma business has grown by around 24% , our Urology business has grown was around 26%, Ophthalmology by 15% and Neutra, we have small business which is declined by around 11% and Cough and Cold business has delivered around 11% kind of growth. Only segment where we have not received good growth is Antibacterial where the business growth was only around 5% in this quarter on the first quarter, yes. So, rest all businesses has done well in the quarter and both on Acute and Chronic we are bidding the market. In fact on Chronic, we had two rank jump in this particular period, but on Acute side we have maintained the rank just 15th in the overall as per IQ VIA.

Surya Patra: Is it right that in the previous quarter we had seen some kind of a pressure for our key brand like Zerodol and all and now it is normalized, is that the right understanding and also about the field force addition that you had in the recent past , whether it is fully captured and you have started seeing a kind of at least expected level of contribution from that field force expansion ?

A. K. Jain : Yes, field force expansion is also resulting in much better now and that is also helping us like say, your CNS business growth, because we have started one more division, so business growth is much better. In fact, on our Rheumatoid Arthritis division , the second division , in very first year, it has become productive and started delivering very good growth and margin also. And in Cardiovascular, that one division which we launched, which is Cardinova and it has reached to break even in very first year and another division which we have added, it may take one more year to get to the break even. As far as the Pain segment and more particularly on Zerodol side in that division also we have added almost around 300 people and there also we are seeing the overall good traction, but overall Pain market itself, the growth has come down and therefore earlier we used to have around 19% kind of growth on Pain segment , this quarter we had a growth of around 15% on Pain segment .

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Page 7 of 14 Moderator : Thank you. The next question is from the line of Rohan Vora from Pur nartha Investment. Please go ahead.

Rohan Vora: So, my question was that when would we start seeing operating leverage flowing in from new field force that we hired in the last one year and the freight cost that has normalized , so when would that start flowing into EBITDA margins ?

A. K. Jain : Let us say freight cost has already normalized and therefore you have seen that our energy cost has also somewhat stabilized and therefore in this quarter, if you see our manufacturing and other expenses had just moved by around 3% or so. So, there is not much of increase in other expenditure and as far as productivity is concerned, the major people were added one is in the Cardiovascular , Rheumatoid Arthritis and also in the division where we are marketing Zerodol. As I have already said that almost around 300 people are added close to that number in our Rheumatoid arthritis second division what we have started. That has become productive in very first year . One Cardiovascular we have started two division more, so one division has already received a breakeven in very first year , second

division will reach to the breakeven

level in next financial year . On Zerodol range where we have added people that is also resulting in the overall productivity increase , but overall on pain side, if we look at we were growing by almost around 19% or so. This quarter the growth is lower because the pain market itself growth has little come down . Then another area where we added the people was one in CNS segment and in very first year that division is also becoming productive and above breakeven. So, overall, the addition of the people , only division where the people will take a little more time to become productive is the ophthalmic division where it will take almost around 3 years for people to become productive and start delivering break even, so it has been a good additions and we have already started gaining the productivity .

Moderator : Thank you. The next question is from the line of Harsh Bhatia from Bandhan AMC. Please go ahead.

Harsh Bhatia : Sir, I wanted to clarify one of the earlier statements that you made in terms of the guidance of 10% to 12% decline in the API business , so there is one element of the malaria API pricing taking a hit , is there anything incremental that is happening on the non-malarial API site ?

A. K. Jain : Major impact has come of malaria and also if the impact has also come because all KSM prices are soft and because KSM prices are soft , the API pricings are also soft and more particularly on Sartans, the starting material used to be around \$ 18 to \$20 has come down to almost around \$6.5 now. So, it is a significant decline on the KSM prices, which is resulting in almost around price of Losartan in the market used to be around \$ 100 to \$120, now it has come to maybe around close to the 55-60 level or so, so even though you have similar kind of volume there then because of price decline, your revenues are declining. So, that is also resulting in overall lower numbers for the API business.

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Page 8 of 14 Harsh Bhatia : So, it has more to do with the pricing aspect and very limited to do with the volume aspect ?

A. K. Jain : I think on KSM level significant price decline has happened and that is resulting in and practically the KSM manufacturers are losing money now at that level. So, it is not that these things will continue for very long, maybe matter of 6 months, the KSM prices will again start rising.

Harsh Bhatia : And this shift in this KSM prices, is it happening from the domestic manufacturing side or is it happening from the import aspect?

A. K. Jain : Because import it is more and the domestic producers are also , they have to match the prices . Otherwise they will not be able to do the business, but it is more driven by your import side and domestic people are matching the pricing.

Harsh Bhatia : And the margin guidance at this time we have gained across other income, the 19 %-19.5%, this is purely from the base business aspect, right ? That does not include any aspect of the Unichem consolidation for the entire year ?

A. K. Jain : No because Uni chem, we are not in management right now. So, open offer gets completed and everything then only consolidations and everything will start.

Harsh Bhatia : And if it is possible , can you help us with productivity of the Zerodol division, if it is possible , the PCP M number ?

A. K. Jain : Normally , we don't give the division wise productivity number, but overall our company as a whole on a field force size of almost around 6180 people , overall monthly productivity is around Rs. 4.22 lakhs which last year same period it was Rs. 4.08 lakhs.

Moderator : Thank you. The next question is from the line of Naresh Suthar from S BI Life insurance. Please go ahead.

Naresh Suthar : Sir, your guidance on this year' s margin , 19%-19.5, this includes the favorable mix in terms of higher India and lower API and o

ther export markets , so next year when the product mix

normalizes will you see some part of reversing in FY25 the margins similar to FY 24 level or

do you see more improvement from FY24 level ?

A. K. Jain : The margins will definitely improve because our formulation business is rising faster and thus also the productivity of people will also go up.

Naresh Suthar : So, can you quantify how much product mix led the margin expansion you are seeing in FY24?

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Page 9 of 14 A. K. Jain : We have not done the working on overall basis, so I have not done the working on each element wise. Maybe I think when next time we have next quarter call, I think I will get those numbers also ready.

Moderator : Thank you. The next question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesha : Sorry to half back on this topic, but somehow when I recheck my number without other income, we were at around 15% margin , so I am not sure where the discrepancy is coming from for the last year, I am seeing on a consolidated basis and if I include other income last year, it would be 16.5?

Harish Kamath : We are speaking all numbers on standalone basis and I think you are going for consolidated.

Kunal Dhamesha : And sir, this quarter then, any drag from some of our other subsidiaries like Onyx, PISGah, if you can share some color there would be helpful?

A. K. Jain : The drag is only around Rs. 3 crore I think in the first quarter and things are improving there.

On consolidation basis , if you look at my numbers , on standalone y our profit after tax is around 166.58 and for giving the impact of consolidation, your PAT number is around 162.82

so it is around Rs. 3.76 crore .

Kunal Dhamesha : And any details on our CAPEX plans and any update in the existing work for the plants that is going on?

A. K. Jain : Overall CAPEX in current year is likely to be around Rs. 300 crore s and the major additions is the one Bio -tech plant which we are building up in MP.

Kunal Dhamesha : And then what would be the CAPEX investment there and the bioreactor capacity?

A. K. Jain : It will be almost around Rs. 150 crore s.

Kunal Dhamesha : And the bioreactor capacity , for that.

A. K. Jain : I think it is 1500 liter , I think 2000 liter and that is the kind of reactors are there and 1 500 liter or something of that type.

Kunal Dhamesha : And this would be focusing more on the India and emerging market?

A. K. Jain : It is a developed market also . We have taken opinion on our clinical protocols from Europe, UK and I think US regulators also. So, our clinical designs are all based on checking those inputs , so filing will be for global market.

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Page 10 of 14 Kunal Dhamesha : And then last one on the KSM pricing , you alluded that KSM prices would again probably start going up , so to that extent, we would also be able to take the API price hike, is that the fair assumption?

A. K. Jain : It is a fair assumption , yes.

Kunal Dhamesha : So, we will have those contracts in which there will be escalation clauses based on KSM prices, right?

A. K. Jain : Normally , we don't find the long -term contracts for API site. It is only with MNCs or some kind of those customers , it may be around 6 months kind of contract, and in past also, we have been adjusting the prices , so there are no issues as far as passing on those kind of cost.

Moderator : Thank you. The next question is from the line of Rahul Jeewani from IFL Institutional Equities. Please go ahead.

Rahul Jeewani : Sir, our consolidated EBITDA margins last year were 100 basis points lower than the standalone EBITDA margin , so do you think a similar drag would be there in FY24 as well from the various subsidiary of ours , so do you think that drag would come down?

A. K. Jain : The drag is already coming down . Practically in this quarter , this is around Rs. 3.5 crore and

things are improving, so drag will come down.

Rahul Jeewani : Sir, that Rs. 3.5 crores drag is at PAT level , so what would be the drag at the EBITDA level for 1Q?

Harish Kamath : There is not much difference between, most of those companies there is no finance cost and only some depreciation, that is all, not much.

A. K. Jain : It is around half a percent point, yes.

Rahul Jeewani : And sir, after the acquisition of Rs. 33-Rs. 34 crores stake in Unichem for Rs. 950 crores , what is our cash balance as of now and after the open offer also loose, so do you think that we will have some sort of higher interest expense going forward ?

A. K. Jain : Interest cost is overall our borrowing level will remain around Rs. 1,000 crore or so , net borrowing and since the interest rate has moved up both on Indian rupee and foreign currency loans , so earlier, all the foreign currency loans were very cheap. Now the interest rate is almost around 7%-7.5% kind of interest rate. So, at that level, your overall finance cost may be around Rs. 100-Rs. 120 crore for the year .

Rahul Jeewani : After factoring in whatever you need to pay for Unichem acquisition ?

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Page 11 of 14 A. K. Jain : Yes.

Moderator : Thank you. The next question is from the line of Surya Patra from Phillip Capital. Please go ahead.

Surya Patra: Sir, if you can just update us about your US FDA facility inspection for the plant though and what is the kind of expectation on that US business front so far as our portfolio is concerned?

A. K. Jain : All the three sites are inspected and we have already replied . There are no repeat observations and also there are no kind of data integrity kind of issues. So, hopefully we should get cleared and I think it is only a matter of time because I think somewhere Ratlam inspection was closed in mid of the June, so probably 90 days thereafter or so I think hopefully we should hear from regulators.

Surya Patra: Sir, then hypothetically, if we assume that hopefully things are getting resolved by the second quarter or the best third quarter , so what would be our business model there in the US? So, our focus would be API to start with the old API product and the old file has to be activated , what will really happen and what timeframe that you anticipate to see some supply happening from your Indian facilities and how would that be complemented or not impacted by Unichem acquisition, if you can say something about that ?

A. K. Jain : I think Unichem has much bigger platform of US sales. So, we would like to integrate those kind of platform. So, maybe that will become our frontend. So, we will definitely look at that .

Right now , it will not be right on my part to comment on that part and we don't know how long it will take because some times the import alert lifting may take some time. So, right now , we cannot say that when the business would start. So, we will take call around that time, but our focus is likely to be more on formulations , not on API.

Surya Patra: About the formulation exports as when you are talking about the formulation business growth is looking strong , so could you talk something about the formulation export which has been subdued a bit since some time and whether this challenges what you have been facing in Europe and particularly in UK, all those things have got resolved and what is the current outlook in the key market that you are having for the formulation exports?

A. K. Jain : I think Europe has delivered very good growth ; the UK has started coming back. I think Europe which includes UK also , last year, first quarter, the business was Rs. 73 crores, this year, first quarter it is around Rs. 119 crores. So, there is almost around 63% growth and this trend is continuing. I think for all of the year the UK may

deliver almost around Rs. 130-Rs.

140 crore s kind of business as against Rs. 64 crores what we had in last financial year. So, overall, we are seeing good tractions from European market and other markets like Australia, New Zealand and except South Africa where we may see some kind of decline because some of the tenders we have lost there and Canada business may remain some muted, but Australia,

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Page 12 of 14 New Zealand and European business will do well. So, overall, looking at that, we have given the guidelines that in the current year or on generic formulation side, we should have around 7% to 8% kind of growth. First quarter, we have seen the growth of around 11% and on institutional generics, because up to second quarter, the business impact on injectable, so that will also result in lower growth and first quarter your antimalarial WHO qualified formulation business was lower. Of course, the orders have now started coming in and good orders are there in hand, but that will definitely impact not only first quarter, it has impacted and some impact will be there of these two factors in second quarter, but on third and fourth quarter there would be good recovery.

Surya Patra: And just one last question, sir about the facilities, so when the Unichem was not there in size, so we had a plan of having an end-to-end integrated operation by activating that Novel (Inaudible) 38.14 site in Nagpur and hence KSM dedicated facilities in the Nagpur site and all, now with Unichem facilities are getting added post the acquisition, what thought process that we are currently having about capacity build up and for the integrated operation what we have been thinking long back?

A. K. Jain: We already have good amount of integrations from API to formulations close to almost around 54%-55% of our formulations are based on our own APIs overall on the company as a whole.

Surya Patra: I was talking about the KSM integration, sir?

A. K. Jain: KSM integration part, we are already working. We have set up our first plant on continuous process and I think that plant should start operating from maybe around October or November. It is under installation right now and once the validations and all start I think from that side, first product for Furosemide, one raw material will start producing in-house through the continuous process and we have around 2-3 more candidates in pipeline on which we are currently working and so far we have not placed the order. We will learn from this particular product and thereafter we will place the order and the plant cost is very small, it is not very large. This continuous process plant for one of the KSMs which we have set up may be around Rs. 25-Rs. 30 crores. So, plant cost on continuous process is not going to be very high, but overall it will result in much better throughput and also lower overhead cost.

Surya Patra: And if you can update about the Dewas site commissioning and execution and utilization, sir?

A. K. Jain: Dewas site is so far not inspected by any agencies. We have started filing, I think 4 products are validated from there and filed in various markets. Furthermore validations are happening from that site, so maybe I think by year end or so we may have some kind of domestic business or some small business coming in from the markets where no such inspections are required, but probably I think in the second-half of the current financial year, some inspections would start happening from European authorities and other and thereafter the business will scale up.

So, for one year we have already discussed it earlier also that this is the cycle one has to follow

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Page 13 of 14 that you do for validation of the batches, generate the three batches and thereafter file with regulators and once they inspect the plant, then

only the business and approval come, then only

all these export business will start. So, I think current year also this plant will continue to have losses, yes. Its continuously establishment and validation of products will do and generate stability data and filing work is currently happening.

Surya Patra: Just last one, sir on the Sartans, which is the key product for our API portfolio, we had seen some impurity challenges along with the industry last year and we have been trying to have new modified process approved from the regulators in the Europe, so that possibly we have already done and also in the recent past we have seen enhanced competition from the domestic leading large players also so far as API is concerned, so now having seen all these impurity challenges in the recent past and enhanced competition, what your outlook that you are having for your key portfolio that is Sartan?

A. K. Jain: I think impurity challenges, which were more particularly on Nitrosamine and Azido impurities and all now it is like whole industry is working for last 1-1/2, 2 years and most of the issues are now addressed, so this is all the thing of past. Somewhere the processes are filed, somewhere process filings are happening on the newer APIs and all, but recently regulators both US and Europe both have come out with the guidelines further and we don't foresee any reason on any of our API not meeting those kind of guidelines. So, now we don't have any kind of those challenges.

Surya Patra: But how do you address the competition, sir, enhance competition for short terms?

A. K. Jain : Sir, basically it is a cost reductions and on continuous basis working on to reduce the cost and process optimization that is the only answer and building the higher volumes.

Surya Patra: So, that means we can say that Sartan portfolio is kind of a normalized after seeing whatever the hiccups in the recent past ?

A. K. Jain : Yes, it is in the process of normalization because some of the processes which were reduced cost processes which we have filed, I think some market we have received approvals , but in LATAM , Brazil and others, those approvals are still to come. So, somewhere the costs are still on higher side because as we had discussed earlier that our first focus was to come out with the process , so we have filed initially the process which has a little higher cost and thereafter we have come out with a much better process where the cost is much lower and that process filings has happened, but some market approvals are still pending.

Moderator : Thank you. The next question is from the line of Vaibhav Acharya from Honesty and Integrity. Please go ahead.

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Page 14 of 14 Vaibhav Acharya : Sir, just trying to understand from a longer term perspective that post the acquisition of the Unichem , I think we can make use of our Bayshore platform which we were earlier not probably able to optimize , so what is your thought on that and can it contribute significantly to Ipca's profitability on a consolidated basis going forward?

A. K. Jain : Unichem is much bigger platform than Bayshore and for our future US business we would like to use the Unichem platform rather than using the Bayshore platform. So, Bayshore, we will try to integrate with that of Unichem portfolio and we will integrate the entire team and other things so that there are more cost reductions on operating side would happen, so that is the thinking, but it all will start happening once we are there in the management.

Vaibhav Acharya : But. I think Unichem doesn't have any frontend which our Bayshore has, so Bayshore will continue to be Ipca's?

A. K. Jain : No, Unichem has a much bigger frontend. They are almost around more than 30 people, very good team and very good US business, yes.

Vaibhav Acharya : And when you provided your over

a ll number obviously on a standalone basis you provided

and we know some of the other existing subsidies that you have , but from September onwards for six months, the drag will also come from Unichem on a PAT or PBT basis , so just wanted to understand your thoughts on it , will there be any drag , it will be significant? How much that would be , I don't want an exact number , but a broad quantitative commentary would be helpful ?

A. K. Jain : I think the Unichem is also improving their performance and we will only be able to provide you once we are there in the management . Right now , it will not be right for on my part to talk of that, yes.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to the management for their closing comments. Thank you and over to you all.

A. K. Jain : Thank you. Thank you for participating in Q1 FY24 Conference Call of Ipca. Thank you all the participants. Thank you.

Moderator : Thank you. On behalf of DAM Capital Advisors Limited, we conclude today's conference. Thank you for joining , you may now disconnect your lines.

Call: Nov 2023

THRU ONLINE FILING

November 13, 2023

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Dear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of our Conference Call which was held on Friday, 10th November, 2023 to discuss the Company's Q2 / H1 FY24 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

Encl: a/a

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Q2 FY2024 Earnings Conference Call"

November 10, 2023

ANALYST : M R. NITIN AGARWAL – DAM CAPITAL ADVISORS

LIMITED

MANAGEMENT : MR. A. K. JAIN – MANAGING DIRECTOR – IPCA

LABORATORIES LIMITED

MR. HARISH KAMATH – COMPANY SECRETARY – IPCA

LABORATORIES LIMITED

IPCA Laboratories Limited

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Page 2 of 20 Moderator : Ladies and gentlemen, good day and welcome to IPCA Laboratories Q2 FY2024 Earnings Conference Call hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors. Thank you and over to you Sir !

Nitin Agarwal : Thank you. Good afternoon everyone and a very warm welcome to IPCA Labs Q2 FY2024 post results earnings call hosted by DAM Capital Advisors. On the call today representing IPCA management Mr. A. K. Jain, Joint Managing Director and Mr. Harish Kamath, Company Secretary. I will hand over the call to the management team to make the opening comments and then will open the floor for questions. Please go ahead Sir.

A. K. Jain: Thanks Nitin and DAM Capital Advisors for organizing this call. Good afternoon and Happy Dhanteras to all participants and thanks for taking out time and joining us for Q2 FY2024 earnings call. Today's call and discussions and answers given may include some forward-looking statement based on our current business expectations that must be viewed in conjunction with the risk the pharmaceutical business face. Our actual future financial performance may differ from what is being projected or pursued you may take your own judgment on information given during the call.

Our domestic formulation business for the quarter has delivered a business growth of around 10% with two range jump over corresponding period and IPCA is 13th in acute segment. On chronic market also we had one range jump and IPCA is now ranked as a 16th in the segment. IPCA has outperformed the industry in both acute and chronic segment. Our market share has improved to around 1.92% from 1.89% on a mid basis as of mid September 2023 as per IQVIA. For Q2 FY2024 our branded promotional business has delivered a growth of around 15% from Rs.127 Crores to almost around Rs.146 Crores. Our export generic businesses delivered around 32% growth from Rs.200 Crores to almost around Rs.264 Crores. Mainly the business growth has come from UK and European markets. Institutional tender anti-malarial business declined by almost around 21% from Rs.77

Crores to around to Rs.61 Crores and overall export formulation business in Q2 is at around Rs.470 Crores as against Rs.404 Crores in Q2 FY2023 with overall growth of almost around 16%. API business in Q2 FY2024 delivered a growth of around 6% from Rs.307 Crores to around Rs.335 Crores. We continue to face the price decline and volume decline on certain API as well as on anti-malarial API business. With both formulations plant and Ratlam API plant now in VI category. For Piparia plant as well as Ratlam plant the import
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Page 3 of 20 alerts are already lifted and we are awaiting that import alert will be shortly lifted for the Pithampur plant also. We are initiating now the process of augmenting the supply chain and revalidations of all the formulations and updating them. The whole process may take around four to five months and thereafter the shipments to US may begin in Q1 FY2025. Overall we have given earlier the business guidance for domestic business of almost around 12% to 14%, we maintain our guidelines in spite the Q2 business growth was around 10%. Overall in H1, the business growth in domestic formulation is almost around 12%. Our international branded business has delivered in first half a growth of almost around 18%. We have projected a lower growth of around 12% for this business. It is mainly because of depreciation in Russian R

uble and certain contingent challenges are that are being faced in West Africa.

On export generic business at the beginning of the year our projection for growth was around 7% to 8% for the year as against that in H1 FY2024 we have delivered a business growth of almost around 21% and our revised guidelines for this business for the year the growth is expected to around 20%. The overall lower business guidelines which was given earlier in the year was mainly because we lost certain tenders in South Africa and we were expecting a loss of business of almost around Rs.60 Crores, but the business there has been good in private market and other businesses and the therefore overall that decline may not be there.

On institutional anti-malarial business, the business is likely to decline by almost around 25%. The lower is mainly because of lower demand as well as lower business of anti-malarial injectable is largely because of the plant upgradations which are currently happening. The API business we have earlier given a guidelines of decline of around 10% to 12% as against this, the decline may remain at around 7% to 8%. Having given the broad numbers, I would now request the participants to ask questions.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Surya Patra from PhilipCapital. Please go ahead.

Surya Patra: Thank you for this opportunity Sir. Sir this quarter it seems that you have integrated Unichem and that is why to some extent impact on the core margin and earnings that we have seen so is it possible to share what is the Unichem numbers that we would have added in the revenues, EBITDA and PAT?

A. K. Jain: Overall I think around two months from August 1, 2023 we have consolidated Unichem in the overall numbers and overall I think topline which is consolidated is almost around Rs.285 Crores and I think on bottom line side there is a loss of almost around Rs.16 Crores yes.

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Page 4 of 20 Surya Patra: Okay and the EBITDA level Sir?

A. K. Jain: EBITDA is positive at around 5% yes.

Surya Patra: Okay Sir whether it is a full phase kind of integration from the August 1, 2023 or it is after September 21, 2023?

A. K. Jain: It is a line by line integration from August 1, 2023 yes. Consolidated.

Surya Patra: My second question is about the way forward that we would have decided or thought about after the integration Sir see like what cost synergy and what revenue synergy that we are witnessing or anticipating for the integrated operation so if you can give some sense about it that will be helpful?

A. K. Jain: Overall we have worked out say short term goals and medium term goals that is what we need to do because the industry is highly regulated and lot of approvals are needed before any kind of changes are implemented. On short term side let us say there are certain changes more particularly in API processes that can be done with minor annual notifications so that process is already initiated on various raw materials which can give almost on RMC reduction on those products by almost around 15% to 40% so that is the one area which is initiated. Second area which we have initiated is we have also started looking into the the API processes where the improvements are required in the processes where almost around 30% to 40% API cost reductions can be targeted and also

the Unichem overall API business is very low so there with these kind of reductions the business volumes on API can certainly go up so that journey we have started looking into. The third process we have initiated is also we are looking into their entire utility cost and all and we expect that almost around Rs.12 Crores to Rs .14 Crores kind of utility cost can be reduced in the the current financial year itself so that process has already initiated. Another process

what we initiated is we have mapped into all your material rates they are buying and what kind of material rates what we are getting and we find that the procurement volumes ours is very large and therefore our rates are lower compared to what they are purchasing so which maybe is the solvent and acids and alkaline and intermediates and all that so that the process we have initiated now to align the entire process of procurement. Even on the services and things because we worked on annual contracts with suppliers for all the plants and therefore those kind of costs are also on engineering items are also lower so that process we have initiated and that will also start giving results in time to come. Another issue which we have short term wise which we have looked into is their logistic cost are very high. By and large is because of two reasons. One is their air shipments are very high which is almost around maybe over 50% is air shipment so we are looking into the various issues whereby the productions can be increased and whereby the reduction can

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Page 5 of 20 happen in the air shipment and secondly mostly their shipments they are not loading the containers at plant. Most of the container loadings are happening at the port side and therefore their cost on logistics are also higher and that process of integrations and reduction of the cost has already started so that may start giving results from maybe a quarter later so that process which we are initiating. So these are the kind of short term things which we are we are looking into. Another issue which we are looking into is the market extension of products. Let us say that US approvals are there, like say market like Chile except the US ANDA and all that so that filing process we are initiating so that we can open the Chile as a market and without doing any work on the backward side because it does not require because entire dossiers are accepted as it is so with those kind of approvals the market extension can happen to Chile. We are also looking into reduction of losses which are currently happening I think Ireland and UK markets and we expect much better prospect also coming from their range end and probably there may not be any kind of losses in the current year. It may result into profitability in the current year so these are the short-term things which we are looking into. As far as medium terms are concerns, we have identified, mapped their entire API processes. All the products may be around 50 to 55 APIs which they have so entire process is identified. We have appointed the team leader for every API. We have mapped in that from where the current RMC and where the RMC could go and what kind of changes are required and entire valorizations is already done so a lot of work is happening now at the lab level and thereafter the piloting and all and once those kind of reductions happens all the regulatory filing and then thereafter the approval from the regulator so that process is long but we see a significant reductions in their API costing in times to come. Then another issue what we are looking for is market extension of products like say we identified that out of the overall Unichem ANDA there are certain ANDA almost around 17 products we identified where on five product there could be a buyer dossier and those dossier can be directly filed in let us say in Europe, Australia, New Zealand and South Africa where the D's are not required so there are five product market extensions can happen quickly. There are another 12 products where the only bio study needs to be repeated. All parameters of other markets are meeting internally so those extension could also happen very quickly. Another 24 ANDA the products which are developed that with minor tweaking in the dossiers in a period of almost around 18 months from now. Those products also the

market extension can be given. As IPCA we do lot of businesses in Europe, Canada, South Africa, Russia and various ROW markets and developed markets so these products of Unichem can also be extended to these markets. Let us say all these works can happen in the period of around 18 months and there may be some kind of sometime may be required thereafter for regulatory approvals and all but those integration process and market extension that process has already initiated and now that another is the aspect we have also looked into is let us say what kind of because Ratlam plant is now clear and there are certain common API which they are using where our cost of

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Page 6 of 20 productions are lower and those kind of advantage can come to Unichem in their

procurement pricing so those API also maybe around 10 to 12 API are there which can definitely be integrated into the Unichem's basket but of course those integrations will take time. There are regulatory approvals and all that process are there so it is a goal of around 12 to 15 months time so a lot of those issues are looked into and in fact almost 15 API out of 55 APIs basically gives 77% of their business and the balance 14 API if taken up then it is almost around 93% of their business of formulation get covered so all those APIs we are looking into. Then on ROW market also both the teams, their team and our team are integrating and looking into how can we increase the ROW market business and all. We have also looked into the lot of their ANDA which are there under approvals and all which the approvals are expected and all. From that aspect I think almost around 11 new products can be launched in the year 2023-2024. Nine ANDA by and large from April 2024 to March 2025 that can be launched and there are seven ANDA which also include three Para four also included in that. It can be launched in 2024 or 2025 so lot of those works is currently going on. Of course that will take time but from looking at all these data, we are very confident that what we had talked initially when we have announced the deal that we will be able to achieve almost around Rs.300 Crores kind of EBITDA on the Unichem side that is very much possible looking into all these details what we have done and once the market extension happens and we start marketing those products in various market definitely we can make Unichem as a beautiful company.

Surya Patra: Sure Sir this Rs.300 Crores EBITDA for FY2025 you mentioned Sir?

A. K. Jain: I said two years it will take because a lot of work and regulatory approvals are required.

Surya Patra: Yes sure.

A. K. Jain: Nothing happens in this business because you need to take product, you need to validate, then develop the dossier changes and file with regulators and take their approvals. There are only smaller things like say where the solvent is changing, no process is changing, and no equipment is changing but in spite of that also with the minor tweaking in the process you can reduce the cost of productions and the time cycle deduction can happen so those are things which are initially targeted but that may not give us significant kind of savings. Some savings will start coming from that but the significant savings will happen with those kind of changes what we have planned and already worked out each API all details and team leaders are appointed, responsibilities are given to the people and the teams are working and by and large their focus in next two years is likely to be the low hanging fruits. All these are low hanging fruits that process changing and all. The product development will be on a slower pace in these two years. The team will work on market extension. The IPCA Laboratories Limited

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Page 7 of 20 API team will work largely on cost reduction. Let us say 80% of the time will be utilized on those

kind of processes by the team so that the results can be obtained faster so that is the process so that we can turn this company into profitability.

Surya Patra: Thank you so much Sir for a detail explanation. Now having some development on the US business front from our facilities so could you give some sense about activating our DMFS and potential filing of dossiers or reactivating the dossiers what we would have filed long back or what is the thought process here for IPCA own US business?

A. K. Jain: Let us say there are certain products where there are no updates in the file let us say are required so those are around eight to 10 products can start quickly after the supply chain and after the validation again the process because we have not there in the market for almost around nine years so we will have to do the revalidation of the processes and the entire product so that process can start. On other dossiers and other approvals let us say API processes has changed where we have cheaper processes. Those processes need to integrate into our dossiers because those work are not done so that work is required to be done so that process also we are initiating at our end so that will take some time but let us say that earliest we can be there in the market is only in the Q1 of next financial year.

Surya Patra: Sure Sir thank you Sir. Thanks a lot. Just one bookkeeping number update? See here the tax number with the integration what is the ETF that we are anticipating for let us say current year and next year after the integration Sir?

A. K. Jain: You want to know about the tax.

Surya Patra: Tax rate integrated tax rate after Unichem?

A. K. Jain: I would say that the as far as Unichem is concerned there are no disallowances are there because they are not there in the domestic market and so their tax rate will remain around 25% or so. There will be not much of change. As far as we are concerned it is mainly largely the tax rate is going up because of disallowances like say CSR cost get disallowed, any donation given that get disallowed and marketing cost large part of marketing cost also get disallowed so that figures the overall because of that I feel that we have made a provision for tax rate almost around which include defer tax at around 34% as against

normal tax rate of around 25% plus some deferred tax of 1% to 2% so as against that so tax may be on higher side because of disallowances by a lot around 6% to 7% yes.

Surya Patra: Okay sure thank you.

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Page 8 of 20 Moderator : Thank you. The next question is from the line of Chirag Dagli from DSP BlackRock. Please go ahead.

Chirag Dagli: Thank you for the opportunity. Sir of the eight to 10 products that you talked about for the US market that can immediately come in in the market what is the market opportunity of these approved products here because the last time we were in the market, we were doing about \$35 million to \$40 million but since then there could have been price actions and plus this time around we have our own front end as well and not necessarily supplying to a partner so if you can just give us a sense of what is the market opportunity and what should we expect in the first 12 months in terms of revenue from the US post us coming into the market?

Harish Kamath: Yes Chirag the initial products will be same product in which we were there earlier in the US market and as far as the pricing is concerned in our product range there is hardly any reduction in the prices in that market so when we were there we were sharing almost 40% to 50% profit with the marketing partner. Now that issue is not there. All our products henceforth will be distributed through Unichem franchise.

Chirag Dagli: And our base share as well right?

Harish Kamath: Base share also operations we are integrating along with the Unichem now. Label will remain but

operations will be handled by Unichem.

Chirag Dagli: Understood but the way to think about this is that 100% of the economic interest will be with IPCA or how will you share with?

Harish Kamath: No economic interest is always with IPCA because we are holding all ANDAs. See it is like earlier we were doing business through marketing partner's right. There was Sun Pharma. Initially it was Ranbaxy. At that time there was a formula transfer price in which we have certain margin. Then sales in the US minus our transfer price minus certain percentage of sales as selling and distribution cost which we will also give to Unichem because it is a fair percentage and remaining profit we used to share in the ratio of 40:60 or in some product 50:50 so only that profit sharing ratio may change. Otherwise economics will not change.

Chirag Dagli: Understood sir and would you say that pricing action has gone up or has gone down over the last decade or so?

Harish Kamath: More or less we are confident whatever margin we were doing that time so that will improve because there will be profit sharing.

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Page 9 of 20 Chirag Dagli: Understood and like you said 50% you are sharing with your partners?

Harish Kamath: That is right yes.

Chirag Dagli: Correct and Sir can you indicate the number of pending ANDAs we have?

Harish Kamath: There is no change in that scenario know. We have not filed any new ANDAs. Incidentally recently we got approval for one more ANDA. Postal these VAI for all the facilities and all one ANDA approval also we got.

A. K. Jain: We expect a good number of approvals immediately after the Pithampur import alerts are lifted because Pithampur is already VI so import alert lifting may take few weeks maybe.

Thereafter good a number of ANDA approvals will come.

Harish Kamath: Because all later part ANDA filings were from Pithampur.

A. K. Jain: And I think we have almost around 18 approvals and around 26 which are.

Harish Kamath: Filed and pending approval.

A. K. Jain: Pending approval.

Chirag Dagli: And of these the ones that you are expecting approval of Pithampur how many will those be Sir?

A. K. Jain: Most of them are from Pithampur only.

Harish Kamath: See initial all filings were from Piparia. Most of them are already approved. Most of the subsequent filings which are now pending approval they are all filed from Pithampur.

Chirag Dagli: Understood so Sir if I were to take a slightly longer term view and I understand you will take time? FY2025 we will likely spend scaling up our existing products but if I were to take a slightly longer term view do you think this can be a \$100 million business maybe \$200 million business with the existing?

Harish Kamath: Sir it is very difficult to comment on the numbers know but actually when we were there in the US market our API plus formulation business put together including indirect API sales people are buying in India but end formulation was going to US. All that put together was

about Rs.500 Crores, Rs.450 Crores to Rs.500 Crores .
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Page 10 of 20 Chirag Dagli: Understood and just the last question Sir?

Harish Kamath: That has limited number of products. At that time you are marketing about nine to 10 formulations.

Chirag Dagli: Understood Sir understood and now with Ratlam getting open for the US market are there any products where your realizations are essentially better in the US market and hence you can immediately move?

Harish Kamath: We were not there for 10 years. We have to now start seeding business. It will take little bit time because all my customers are already with currently with some other supplier but we will start that process also.

Chirag Dagli: Understood okay Sir thank you so much.

Harish Kamath: Whereas our efficiency, our cost efficiency and all it is intact. Leadership po

sition that there

is no change in that. We are confident we will regain all those lost business in due course of time.

A. K. Jain: Nobody is waiting for us so we will have to create the market so it will take time. Right now we are not in a position to give the number.

Moderator : Thank you. The next question is from the line of Syan Mukherjee from Nomura. Please go ahead.

Syan Mukherjee: Thanks for taking my question. Sir how are we thinking about the US business in terms of filing? We have not been filing and what implications on R&D platform or R&D expenses that you see should happen over the next two to three years?

Harish Kamath: Syan in the meantime we have also developed several formulation. We did not do any filing because it was entailing filing cost and all so now we will increase our filing pace. So as a group we will have lot of ANDA in the US. Unichem itself is having 60 to 70 filings plus we have our filings and we will increase the filing speed going forward.

Syan Mukherjee: So that will have any meaningful implication on R&D expense?

Harish Kamath: Definitely so when we were there in the US we were developing products and filing products. Our R&D cost is around 5% to 6%. Maybe slowly we are now currently around two and a half. Little bit increase will happen may be up to 4% or so.

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Page 11 of 20 Syan Mukherjee: Okay and so how many ANDA have you already decided like how many ANDAs you will be filing going forward?

A. K. Jain: See basically our filings are going to be based on our own API so we are currently producing around 70 to 75 API out of which around 46 are filed so it is going to be the balance API we will look into the filing and as more API are commercialized more filing will happen so we are not filing more number of products based on somebody else API. By and large US market is going to be more integrated kind of business for us so it is not that we have to file significant number of the formulation. That is the practice which is the Unichem also have that they are also integrated operations and IPCA is also integrated operations so by and large wherever we have good API processes that will only be taken for filing. R&D cost is not going to have a significant impact. They did not go from 2.5% to 6%. It is going to remain around 4%.

Syan Mukherjee: Okay and Sir I also see that you are making some efforts on the bio similar front anything that you would like to share? How are you planning? What are the products? How are the spends? Are they already sort of coming in or we will see some increase because of clinical trials, etc.?

A. K. Jain: Currently I think the plant is under construction. It may take I think by let us say the end of the Q1 next year for plant to complete and thereafter the validations and all. We are currently working on almost around five products and for two we have already taken the IMA, USFDA and European authority's guidelines and clinical strategies on that has been finalized. Third is in pipeline so the three products are already at those kind of state but the commercialization of that will happen from the plant so any commercialization efforts will only start after the plant is ready and then so it is still far away, but the current R&D cost also include the bio similar kind of cost here and on all products the development of clone is in house. We are not taking clone from anywhere from outside.

Syan Mukherjee: Right and Sir this pipeline that is selected so when you enter the market so you would target Europe and US at some point right?

A. K. Jain: Yes.

Syan Mukherjee: So these products so we are looking at what 2027 to 2028 kind of time frame and are these products.

A. K. Jain: After the plant is ready it may take around two and a half years. That is the kind of period for the initial batches and thereafter a

establishment batches and then bio development taking the batches and clinical studies and all that so that is the kind of time.
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Page 12 of 20 After the plant is ready and everything is done around two and half year so still it is a long journey.

Syan Mukherjee: Okay and Sir the pipeline that you have selected is that you are targeting is the first wave launch or those are the ones where you see you have a cost advantage and you are going for it despite some of them may have already gone generic sometime back?

A. K. Jain: Looking at our R&D presentations and all we are getting values are much higher than currently what market is getting. That is what I can say but I cannot give the name of the production right now.

Syan Mukherjee: Okay thank you.

Moderator : Thank you. The next question is from the line of Abdul Puranwala from ICICI Securities. Please go ahead.

Abdul Puranwala: Thank you for the opportunity. Sir can you provide a rough split of the India versus between the various therapies and how that has grown in this quarter?

A. K. Jain: The pain segment has grown by almost around 12%. Other therapies like say your cardiac has grown by 13%, CNS 22%, derma 17%, neurology 23%, ophthalmology 38% and other products by around 10%. The product which has declined in the quarter, anti-malarial has declined by 4%. Anti-bacterial has declined by 2% and cough and cold has declined by 5% so that is the overall number so Q2 was the toughest quarter I think overall market growth was also around 7% or so. We have grown by around 10%. Q1 our growth was 14% much higher compared to market but we are seeing now domestic market reviving. Overall October was good and November is also appearing to be good so we are not changing the overall guidelines for the year. We will continue to have around 12% to 14% kind of growth on domestic market. First half we are at 12% overall domestic growth.

Abdul Puranwala: Sure and Sir I mean a couple of quarters back we had added some MR so I mean in terms of the MR break even or the productivity for those considering that the market has slowed down a bit so where are we? Are we still on track of breaking even in two years or given the current market circumstances you think that will take some time?

A. K. Jain: I think if you look at last year my overall MR productivity was 4,18,000 per month and after addition of people also I am currently at around 4,53,000 kind of productivity in the first of the year. That is the overall productivity. The productivity has definitely improved and this is overall. This includes the newer products but let us say the people which we have added in kind of the cardiac businesses and all that take a longer time compared to the other
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Page 13 of 20 businesses. Like say we have started one cardiology division which we may be at our currently around after one year, we are at around 1 lakh productivity but the growth is better. The other division we have around because that in that division certain product was transferred and all so that is around 2.5 lakh productivity. What people we have added in here the rheumatoid arthritis segment that has given very good productivity and almost they are around 4 lakh kind of productivity now. Certain products were transferred and certain products were added in that market but that has not reduced the productivity of the FTA division which was earlier marketing and that is also going up. The productivity level is almost around 9,30,000 so that is a good productivity. Moreover urology has also done well so productivities are good in there.

Abdul Puranwala: Sure understood and Sir a final one if I may so with the US plants getting cleared Sir is there any plan ahead of sourcing some CDMO molecules from the subsidiary which can be scaled up to this

plant and cater to the US market?

Harish Kamath: No now presently those things are not considered so initial our work is to launch the products which were already there in the market when we went out so gradually we will look everything.

Abdul Puranwala: All right Sir. Thank you and wish you all the best.

Moderator : Thank you. The next question is from the line of Rushar Manudane from Motilal Oswal. Please go ahead.

Rushar Manudane: Thanks for the opportunity Sir just from the USP a gain so what would be the current capacity utilization for Ratlam plant, Piparia and Pithampur?

A. K. Jain: Piparia it will be around 15% to 20%, Pithampur maybe around 30%, and Ratlam we are

having certain specific plant for specific products where there is a capacity available. In any case now we are gradually scaling up production at Devas also. That plant also ultimately will be offered to all regulatory agencies inspection so availability and manufacturing of API should not be any issue.

Rushar Manudane: Understood but at the same time even from an external API sales perspective where there is volume decline?

A. K. Jain: There is not so much decline in volume but price decline is very severe from \$100 to about \$50 in case of Losartan.

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Page 14 of 20 Rushar Manudane: In fact that is the other part of the question is that what new API molecules are we looking for growth in API business especially?

A. K. Jain: Across all our products we are seeding across the globe so we have seen good business progress. Many projects are now getting commercialized so there is no issue in growing the API business. The only issue is about pricing. Other than that there are no concerns.

Rushar Manudane: Got it Sir and just lastly we had this Metoprolol filing as well for the US market?

A. K. Jain: It is filed but it is pending approval. There is no change in that status.

Rushar Manudane: Thank you.

Moderator : Thank you. The next question is from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: Thank you for the opportunity. Sir my question is on your margin trajectory so lot of cost initiative happening at Unichem portfolio as well as your own so like Q2 number includes two months of Unichem business? Looking ahead how do you see cost like dynamics changing and how do you see margins say in near term and then in slightly longer term in terms of like trajectory movement?

Harish Kamath: Damayanti, Mr. Jain has already explained what initiative we will be taking as far as Unichem is concerned. As far as IPCA is concerned more or less in the Q2 if you see our financials whatever guidance we have given actually we have done better than that so there is an improvement in the standalone EBITDA margin from 18.85% to 20.86%. It is nearly 2% in Q2. Similarly in consolidation there is two month Unichem sales that have come in. In spite of that there is an improvement in the EBITDA margin from 17% to 17.64% and we are confident of telling and assuring the investors our EBITDA margin going forward should improve at least by 100 basis points year after year.

Damayanti Kerai: Okay so at least 100 basis points improvement per year that is good to hear Sir and then I wanted to check update on the Devas plant? You said it is yet to be offered to agency so what is the timeline like when you are planning to invite some major regulators?

A. K. Jain: See initially we have started developing API. Some products are already developed. Then there is a process stability and all so it will take time.

Damayanti Kerai: Okay not in this financial for sure right?

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Page 15 of 20 A. K. Jain: It is near future. It will take time.

Harish Kamath: We have filed the products to various regulatory authorities. The dossiers are filed.

A. K. Jain: But when they come for inspection so again all

that involves some time.

Harish Kamath: So filing has already started from there. At least we have almost around six to seven API which are stand up there and filings are in process now. A few filings are already done.

Europe does not take very long time to come for inspection. Maybe it is a time lag of almost around five months to six months they come so hopefully by this yearend or early part of next year the inspection should happen from Europe. US we have yet to file so once Europe I think five to six all these happen then we will trigger based on our own processes itself the inspection from US also because we will utilize the Devas API also for our formulations the newer API so we will trigger that kind of inspection from there but when inspection will happen that is not in our hands.

Damayanti Kerai: Okay and Sir my last question is?

A. K. Jain: The European and other inspections can start early.

Damayanti Kerai: Okay got it. Sir my last question is like you were working on this continuous process plant for some specific KSM, etc., so any update there like how that has moved and what kind of margin accretion you are seeing or foreseeing for such continuous process based product?

A. K. Jain: We have installed one plant in the last few months at Aurangabad. Earlier we have put up a pilot plant and now we have set up a proper plant for one intermediate so that I think it may start commercial production somewhere in end December or so, so from next quarter onwards then we get all the results of that we will talk to you what kind of reductions are coming and other products by and large thereafter will be taken up at Nagpur so we are still

awaiting some kind, we have got the environmental clearance but the consent to start is still pending from the state pollution control board so we are following with that and thereafter all the continuous process plant of that type will set up at Nagpur so that is time for me and this plant does not have very high investment. It is a continuous process plant. Every plant may be set up maybe around Rs.20 Crores to Rs.25 Crores. It does not take very long very, very big investment so that is going to be an advantage in that your overall capital cost will come down.

Damayanti Kerai: Got it Sir. Thank you very much and wish you a very happy festive season.

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Page 16 of 20 Moderator : Thank you. The next question is from the line of Pulkit Singhal from Dalmus Capital. Please go ahead.

Pulkit Singhal: Thank you for the opportunity. This question on Unichem I mean broadly when you look at the US opportunity from three to five years out you obviously alluded to the cost synergies and the market extensions but when you think about addressing that opportunity are you looking to invest in the Unichem business to do more new product developments? How do you decide what will be done here versus IPCA or will these two be very independent growth engines just a broad thought process five years out?

A. K. Jain: Both are separate growth engine but marketing will happen in US through your Unichem because that is a much better established business. The bay shore was small outfit and therefore let us say both business we will be combining there and we will keep only one marketing outfit instead of two marketing outfit to reduce all the operating cost of that level but otherwise both will be separate engines. The Unichem R&D team will separately they will report to their managing director but overall the selection of products and all we will guide them in terms of which are products Unichem team is taking up. They already have their pipeline and all so they will continue to work but first focus will be given on the low hanging fruits like say process corrections which the Mr. Pavitra Bhirandiyara he is the managing director and he is technocrat. He is guiding the team

in terms and their R&D is

now getting dedicated to correct those kind of processes and all that so which all action plans has been taken and then market extension which can give a the faster generation of revenue and also profitability. Those kinds of things are planned so that we turn Unichem into profitability. That is the first goal so I said that next two years almost around 80% of time R&D will devote only on the improvements and 20% on the new developments there. Once these major API these corrections happen then only the new developments will be focused so their R&D cost will not be that high because of course bio cost will be there but other material cost and other things will be on lower side but thereafter again they will take up the development.

Pulkit Singhal: Understood. Thank you and the second question is broadly you had given a guidance of Rs.1800 Crores of revenues and Rs.300 Crores of EBITDA? Obviously you have a much better understanding now having probably evaluated further? I mean the company is already doing almost Rs.1700 Crores of revenue? I mean even now if you just analyze the first half so how do you see that trajectory changing over the next three years? What is the peak potential in terms of revenue growth itself?

Harish Kamath: Actually when we gave this projection their annual turnover was around Rs.1300 Crores. Suddenly this year and the last two quarters they have seen lot of opportunity in the US

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Page 17 of 20 because of shortages and all so that is why there is a sudden jump in their US generic business. Having said this they also have a product pipeline. They will be commercializing few ANDAs which are already approved in this financial year as well as the next financial year.

A. K. Jain: And their Brazil businesses started doing which was earlier cash burning business they have started doing well. I think this year in first half they have already grown by almost around 65% and they have good pipeline of products where some of the Sartan journey we will integrate with their approvals and all so we see a good future even from Brazil in that market. We see good revenue generations and all even from their European business point of view.

Pulkit Singhal: Understood just very lastly what do you think is the peak revenue potential for this entity and how many years can it take for you to reach the peak?

A. K. Jain: Let us say Ghaziabad plant I think their production capacity is almost around 200 million tablets. That plant we have some kind of working is done and that production capacity by certain changes it can go up to 270 million kind of tablets. As far as Goa plant is concerned, the first plant capacity is around 500 million tablets. That can go up to 625. It does not need

any kind of investment. It is only the internal some changes are there. As far as their third plant is there Goa 2 which is beautiful plant and it is for the scale up so we are planning a lot of much bigger size bench is there and all that but that will all go through the whole regulatory process of approvals and all. A lot of things may not happen through CB30 process. It is a fast approval process so right now focus is to say bigger volume products to be shifted to Goa 2. Goa 2 also has almost around 500 million tablet capacity so capacity wise there are no constraints as far as Unichem are concerned because Goa 2 capacity is practically utilized very, very small. Today production volume may be around 50 million tablets and all so it is a more scale up basis to be taken products with larger products to be shifted to that and after regulatory approval so it may take around one year time to do that journey and that will also result in lot of cost saving so also free up the lot of capacity there and therefore we have targeted that next three years what kind of the new products they can

launch and all that and on those products also on API side we are looking for cost reduction so their ANDA will have to be upgraded again. Once the API has to be qualified in those ANDA so that process is all netted and workings are going on but it takes time that is the only thing that in Pharma business everything has to go through the whole process and thereafter approvals and all so that is why we have divided things in two parts. One is low hanging and can that be done immediately and one maybe 12 to 18 months and thereafter the results start coming in so that is the journey.

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Page 18 of 20 Pulkrit Singhal: That is great. Thank you so much for the detailed explanation.

Moderator : Thank you. The next question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Thanks for the opportunity. Just one clarification whatever guidance you have given for the branded business and your generic business that includes the Unichem integration sales also?

Harish Kamath: Unichem does not have any branded business. We have given for IPCA it is standalone IPCA. We have not considered anything of Unichem in that.

Rashmi Shetty: Okay not even in your generic portfolio where you have upgraded it by 20%?

Harish Kamath: The guidance given us for current financial year. The next six months we cannot do anything much as far as Unichem portfolio is concerned. This guidance what we have given is our own portfolio and our own business.

Rashmi Shetty: Understood okay and what is the status on borrowing for this acquisition and what is the cost of debt?

Harish Kamath: Our current net borrowing is around Rs.800 Crores. Cost may be around 7%. There is also increase in the borrowing cost. Earlier most of our borrowings were in foreign currency. We were paying about 1% to 1.5% which has now increased to about 7%.

A. K. Jain: It was moving around Rs.1600 Crores but we have almost the balance a cash in the balance sheet around Rs.800 Crores.

Harish Kamath: So net borrowing is around Rs.800 Crores.

A. K. Jain: The net of cash.

Rashmi Shetty: Understood Sir just wanted to understand more so when you said that currently in your guidance you have not included Unichem integration so you are saying that for the integration process will take time and therefore the sales from Unichem will not immediately come in next 6 to 8 months am I correct?

Harish Kamath: Whatever Unichem is doing business their businesses their businesses have also grown in the current financial year by almost 35% so this guidance what Mr. Jain said is of

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Page 19 of 20 standalone IPCA business which was growing business. We have not included immediately anything out of Unichem product in our book so far. That will take time.

Rashmi Shetty: Okay all right. Thank you Sir that is it from my side.

Harish Kamath: Per se their businesses have grown from Rs.1300 Crores last year they are growing around 35% in the first half of the current financial year.

Rashmi Shetty: Okay Sir perfect.

Moderator : Thank you. The next question is from the line of Rahul Jeewani from IIFL Securities Limited. Please go ahead.

Rahul Jeewani: Thanks for taking my question so you indicated that you will recommercialize your US portfolio through Unichem frontend so when that happens would you be booking the sales or the sales would be booked at the Unichem level?

Harish Kamath: Standalone we will book in our books. It is an export business to me. Similarly Unichem US will also book. In consolidation it will get adjusted.

Rahul Jeewani: Sir I am saying then it will reflect in IPCA stand alone books as well?

Harish Kamath: Of course now because I am manufacturing and I am selling it to Unichem US so it will reflect in my books as sales standalone whatever Unichem is selling in us it will r

eflect in

Unichem USA book but when you do consolidation it will get adjusted.

Rahul Jeewani: Okay sure sir and Sir any plans of merging Unichem into IPCA through a share swap?

Harish Kamath: No currently nothing on board. We have to bring their businesses. We are focusing only on Unichem business now nothing beyond that.

Rahul Jeewani: So both the entities would continue to remain separately listed?

A. K. Jain: That is right yes.

Rahul Jeewani: Thank you and that is it from my side.

Moderator : Thank you. Ladies and gentlemen, as there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

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Page 20 of 20 Harish Kamath: Since there are no further questions I think we should end this call. Happy Diwali to all the participants.

Moderator : Thank you. On behalf of Dam Capital Advisors Limited that concludes this conference.

Thank you all for joining us and you may now disconnect your lines.

Call: Feb 2024

THRU ONLINE FILING

February 19, 2024

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai 400 023

Scrip Code – 524494 National Stock Exchange India Limited,

Exchange Plaza, C-1, Block-G,

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Mumbai-400051.

Scrip Code : IPCALAB

Dear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of our Conference Call which was held on Friday, 16th February, 2024 to discuss the Company's Q3 / Nine Months FY24 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

Encl: a/a

"Ipca

Q3 FY '24 Earnings Conference Call

February 15, 2024

MANAGEMENT : M R. AJIT

IPCA L

MR. HARISH

COUNSEL

MODERATOR : M R. NITIN

LIMITED

Page 1 of 15 Ipca Laboratories Limited

Q3 FY '24 Earnings Conference Call "

February 15, 2024

JIT.KUMAR . JAIN –MANAGING DIRECTOR

LABORATORIES LIMITED

ARISH KAMATH – COMPANY CORPORATE

COUNSEL – IPCA LABORATORIES LIMITED

ITIN AGARWAL – DAM CAPITAL ADVISORS

LIMITED

DIRECTOR –

CORPORATE

ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call hosted by DAM Capital Advisors Limited.

participant lines will be in the listen

questions after the presentation concludes. Sh

call, please signal an operator by pressing star and zero on your touchtone phone.

that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal . Thank you, and over

Nitin Agarwal: Thanks, Azhar. Good afternoon, everyone, and very warm welcome to

post- results earnings call, hosted by DAM Capital Advisors Private Limited.

we have representing

Harish Kamath, Company's Corporate Counsel.

I will hand over the call to Mr. Jain to make open comments, and then we'll open the floor for questions. Please go ahead, sir.

Ajit Kumar Jain: Thanks, Nitin, and DAM Capital

participants, and thanks for taking out time and joining us for Q3 FY '24

Today's call and discussions and answer given, may include forward

on our current

pharmaceutical business faces. Our actual future financial performance may differ from what is projected and perceived. You may use your own judgment on the information given during the call.

Our domestic formulation business has delivered 11% growth for the quarter, and we are ranked as the 16th Indian pharma company as late December '23. Market beating growth in both acute and chronic therapies are achieved for this quarter. The chronic growth was 11%.

growth was 9.1% and

MAT December 2023.

With two range jump over corresponding period maintained its rank in the Chronic segment.

December '23 as against 1.89% in the December '22. So from 1.89%, it has gone to 1.95%.

Our export formulation business has moved from around 150 crores to around 180 crores.

The branded formulation business in ROW declined from INR 128 crores to INR 120 crores.

This is mainly due to certain shipment could not go to the CIS market. Myanmar business

impacted because there are issues and licenses are getting delayed for a long period of time.

So without import licenses in that country, shipment cannot go. And certain business of West

Africa affected for

the market also. So because of that, the branded business in this quarter is down. IPCA Laboratories Limited

February 15, 2024

Page 2 of 15 Ladies and gentlemen, good day, and welcome to the IPCA Laboratories Q3 and FY '24

Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all

participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference

call, please signal an operator by pressing star and zero on your touchtone phone.

that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal. Thank you, and over to you, sir.

Thanks, Azhar. Good afternoon, everyone, and very warm welcome to IPCA

results earnings call, hosted by DAM Capital Advisors Private Limited.

We have representing IPCA Management, Mr. A.K. Jain, Joint Managing Director; and Mr

Harish Kamath, Company's Corporate Counsel.

I will hand over the call to Mr. Jain to make open comments, and then we'll open the floor for questions. Please go ahead, sir.

Thanks, Nitin, and DAM Capital Advisors for organizing this call. Good afternoon to all

participants, and thanks for taking out time and joining us for Q3 FY '24

Today's call and discussions and answer given, may include forward-looking statements based on our current business expectation that must be viewed in conjunction

with the risk that

pharmaceutical business faces. Our actual future financial performance may differ from what is projected and perceived. You may use your own judgment on the information given during

Our domestic formulation business has delivered 11% growth for the quarter, and we are ranked as the 16th Indian pharma company as late December '23. Market beating growth in both acute and chronic therapies are achieved for this quarter. The chronic market, market growth was 11%. IPCA has grown by almost around 15.9%. And on Acute segment, market growth was 9.1% and IPCA has achieved around almost around 11.3%. This is as per IQVIA MAT December 2023.

range jump over corresponding period, IPCA is 13th in Acute segment and

maintained its rank in the Chronic segment. IPCA's market share has improved to 1.9% MAT

December '23 as against 1.89% in the December '22. So from 1.89%, it has gone to 1.95%.

Our export formulation business has given a growth of around 8% for the quarter from 150 crores to around INR 180 crores.

The branded formulation business in ROW declined from INR 128 crores to INR 120 crores.

This is mainly due to certain shipment could not go to the CIS market. Myanmar business

impacted because there are issues and licenses are getting delayed for a long period of time.

So without import licenses in that country, shipment cannot go. And certain business of West

Africa affected for two reasons. One is Red Sea reason and another, some kind of slowness in

the market also. So because of that, the branded business in this quarter is down. IPCA Laboratories Limited

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IPCA Laboratories Q3 and FY '24

As a reminder, all

participant lines will be in the listen-only mode and there will be an opportunity for you to ask

questions after the presentation concludes. Should you need assistance during the conference

call, please signal an operator by pressing star and zero on your touchtone phone. Please, note

to you, sir.

IPCA Lab's Q3 FY '24

On the call today,

representing IPCA Management, Mr. A.K. Jain, Joint Managing Director; and Mr

I will hand over the call to Mr. Jain to make open comments, and then we'll open the floor for all Advisors for organizing this call. Good afternoon to all participants, and thanks for taking out time and joining us for Q3 FY '24 Earnings Call.

looking statements based

business expectation that must be viewed in conjunction with the risk that pharmaceutical business faces. Our actual future financial performance may differ from what is projected and perceived. You may use your own judgment on the information given during Our domestic formulation business has delivered 11% growth for the quarter, and we are ranked as the 16th Indian pharma company as late December '23. Market beating growth in generic market, market

has grown by almost around 15.9%. And on Acute segment, market

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's market share has improved to 1.9% MAT

December '23 as against 1.89% in the December '22. So from 1.89%, it has gone to 1.95%.

s given a growth of around 8% for the quarter from INR400

128 crores to INR105 crores.

This is mainly due to certain shipment could not go to the CIS market. Myanmar business is impacted because there are issues and licenses are getting delayed for a long period of time.

So without import licenses in that country, shipment cannot go. And certain business of West another, some kind of slowness in

the market also. So because of that, the branded business in this quarter is down. Institutional

antimalarial business has declined from

the same quarter last financial

Export generic business in U

INR 189 crores to around

formulation business has grown by around 8%. API business declined from

around INR 285 crores for this quarter. We continue to face volume decline in certain API, but pricing is now getting stabilized.

On margin front, on stand

to around 18.55% for the

year. The material cost to sales ratio also improved by 2.65% for the

current first 9 months of the current year.

ear.

So overall, material cost to sales ratio from 34.8

shipping costs and energy cost prices has moderated as against prevailing prices in December '22 last financial year. And we are also witnessing a price stability on majority of our procurement.

Consolidated EBIT

by 1.12% during the quarter. From 15%, it has moved to around 16.12%. Consolidated

material costs to operational income has improved by around 2.39% from 36.34% to 33.95% for the quarter

Having given the broad numbers, now I request participants to ask questions, if any.

Moderator: Thank you very much.

is from the line of

Kunal Dhamesha: So the first one on now that we have

updated thoughts on synergies that we can generate in terms of call it quantitative synergies over the next 2 years? And what are the primary drivers that you see to get

synergies? And then consequently, what that can lead to our total profitability?

Ajit Kumar Jain: So we are working on lot of things. As we have discussed earlier, like market extensions, the improvement in the processes of APIs and improving

at the Unichem and all those and cost reductions and all those kind of things. And also to scale up their production. So you can witness that the total income in the current year and the first is almost growing

43.6%. So their productivity definitely are improving now.

And as far as

there are time table a

involved. So that process is going on. And even cost reduction process and everything is going on. It will take some time, but the improvements are seen in the results now for the

have achieved almost around IPCA Laboratories Limited

February 15, 2024

Page 3 of 15 antimalarial business has declined from INR77 crores -- INR 277 crores from the same quarter last financial year.

Export generic business in U K and other market has delivered a growth of around 33% from 189 crores to around INR 252 crores. So overall brand, the generic

formulation business has grown by around 8%. API business declined from 285 crores for this quarter. We continue to face volume decline in certain API, but pricings are now getting stabilized.

On margin front, on stand-alone basis, EBITDA margin improved by around 2.78% from to around 18.55% for the quarter from 15.77% in the corresponding period of last financial year. The material cost to sales ratio also improved by 2.65% for the -- and also for current first 9 months of the current year.

So overall, material cost to sales ratio from 34.86%, it has come down to around 32.21%. Both shipping costs and energy cost prices has moderated as against prevailing prices in December '22 last financial year. And we are also witnessing a price stability on majority of our

Consolidated EBITDA margin before exchange gain loss or exceptional income has gone up by 1.12% during the quarter. From 15%, it has moved to around 16.12%. Consolidated material costs to operational income has improved by around 2.39% from 36.34% to 33.95% for the quarter.

Having given the broad numbers, now I request participants to ask questions, if any.

Thank you very much. We will now begin the question-and-answer session.

is from the line of Kunal Dhamesha from Macquarie.

So the first one on now that we have -- had a full quarter with Unichem

updated thoughts on synergies that we can generate in terms of call it quantitative synergies over the next 2 years? And what are the primary drivers that you see to generate synergies? And then consequently, what that can lead to our total profitability?

So we are working on lot of things. As we have discussed earlier, like market extensions, the improvement in the processes of APIs and improving the overall productions and productivity at the Unichem and all those and cost reductions and all those kind of things. And also to scale up their production. So you can witness that the total income in the current year and the first is almost growing 40% plus. And in the

is quarter also, overall top line has grown by around 43.6%. So their productivity definitely are improving now.

And as far as -- none of those activities are concerned -- its -- a lot of -- there is for everything there are time table and it takes a lot of time because regulatory filings and so many things are involved. So that process is going on. And even cost reduction process and everything is going on. It will take some time, but the improvements are seen in the results now for the have achieved almost around INR38 crores kind of EBITDA number to 8.8%. IPCA Laboratories Limited February 15, 2024

277 crores from INR83 crores in

K and other market has delivered a growth of around 33% from

252 crores. So overall brand, the generic -- the export

formulation business has grown by around 8%. API business declined from INR329 crores to

285 crores for this quarter. We continue to face volume decline in certain API, but

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40% plus. And in this quarter also, overall top line has grown by around

there is for everything

and it takes a lot of time because regulatory filings and so many things are

involved. So that process is going on. And even cost reduction process and everything is going

on. It will take some time, but the improvements are seen in the results now for the Q3. They

kind of EBITDA number to 8.8%.

And the company, which was incurring losses has now shown some kind of PBT in the current quarter also, around -- almost around INR16 crores before the exceptional income. Also are on right track, and we are confident that because the company will make profitable have discussed earlier.

Kunal Dhamesha: Sir, any quantitative number as to where their margins -- next 2 years with all that we have in place now the entire plan that we have in place?

Ajit Kumar Jain: It all depends on how the journey is actually the -- taken up because there are many things where the regulatory approvals and all are required. Even if processes are changed need to be again refiled, then after approval only they can be, let's say, commercialize and all those kind of things are there.

So giving quarter-wise numbers and all may not be right now feasible. But yes, what we have talked earlier that INR2,000 crores turnover and INR300 crores kind of 15% kind of EBITDA margin. That's very much achievable. We are very confident, every day after

looking into and seeing the progress, here we feel that we are on the right path here.

Kunal Dhamesha: Sure, sir. And the second one on the generic businesses, which has seen a lot of growth 33% year-on-year. Is there any one-off kind of component? How should we look at that business, let's say, next quarter and for the next year?

Ajit Kumar Jain: Generic business, if you look at in last 3 quarters on a continuous basis, that has done the similar kind of growth. And in fact, at the beginning of the year, we were looking at generic business may not grow that

much because of

businesses in South Africa, but we are expecting almost around

the South Africa business is also moving up in current year also. I think in first 9 months, it has grown by almost around 12%. So there are no decline.

Europe business is also going on very well. The Europe has seen good growth in last first 3 quarters in the current year. And overall, it's grown from INR371 crores

launched in UK. So that business will continue to have good growth.

Only concern is little bit on this Red Sea level and certain customers' product

shipment and all those kind of things, in the time frame is going to be normalized. And in time to come from first

products with shipment and marketing will should be growing well for us

Kunal Dhamesha: Sure, sir. And one more, with your permission. On the US products, can you provide incremental update as to where are we, for the sake that we

could be the potential upside on that shipping that will start in quarter 1? And then how are you looking at the number of products that will start shipping, starting from quarter 1 FY '25 to end of FY '25? IPCA Laboratories Limited

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Page 4 of 15 And the company, which was incurring losses has now shown some kind of PBT in the current quarter also, around -- almost around INR16 crores before the exceptional income. Also are on right track, and we are confident that because the company will make profitable have discussed earlier.

Sir, any quantitative number as to where their margins -- annual margins could end up in the next 2 years with all that we have in place now the entire plan that we have in place?

It all depends on how the journey is actually the -- taken up because there are many things where the regulatory approvals and all are required. Even if processes are changed need to be again refiled, then after approval only they can be, let's say, commercialize and all those kind of things are there.

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Sure, sir. And the second one on the generic businesses, which has seen a lot of growth 33% year. Is there any one-off kind of component? How should we look at that business, let's say, next quarter and for the next year?

Generic business, if you look at in last 3 quarters on a continuous basis, that has done the similar kind of growth. And in fact, at the beginning of the year, we were looking at generic business may not grow that much because of -- we were looking -- we have lost certain kind of businesses in South Africa, but we are -- in South Africa, also we are growing and we were expecting almost around INR40 crores, INR50 crores kind of losses, but we are looking that, the South Africa business is also moving up in current year also. I think in first 9 months, it has grown by almost around 12%. So there are no decline.

Europe business is also going on very well. The Europe has seen good growth in last first 3

quarters in the current year. And overall, it's grown from INR240 crores crores, almost around 54% growth. There are a lot of products which are yet to be launched in UK. So that business will continue to have good growth.

Only concern is little bit on this Red Sea level and certain customers postponing some kind of shipment and all those kind of things, in the time frame is going to be normalized. And in time to come from first -- maybe in the first quarter of the next financial year -- products with shipment and marketing will start. So overall generic business should be growing well for us in time to come.

Sure, sir. And one more, with your permission. On the US products, can you provide incremental update as to where are we, for the sake

that we might do some shipping, but what could be the potential upside on that shipping that will start in quarter 1? And then how are you looking at the number of products that will start shipping, starting from quarter 1 FY '25 to end of FY '25? IPCA Laboratories Limited
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And the company, which was incurring losses has now shown some kind of PBT in the current before the exceptional income. Also they are on right track, and we are confident that because the company will make profitable -- as we annual margins could end up in the

that we have in place now the entire plan that we have in place?

taken up because there are many things

where the regulatory approvals and all are required. Even if processes are changed, processes need to be again refiled, then after approval only they can be, let's say, commercialize and all wise numbers and all may not be right now feasible. But yes, what we have kind of 15% kind of EBITDA

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Sure, sir. And the second one on the generic business, which has seen a lot of growth 33% off kind of component? How should we look at that business, generic business, if you look at in last 3 quarters on a continuous basis, that has done the similar kind of growth. And in fact, at the beginning of the year, we were looking at generic lost certain kind of

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Sure, sir. And one more, with your permission. On the US products, can you provide might do some shipping, but what

could be the potential upside on that shipping that will start in quarter 1? And then how are you looking at the number of products that will start shipping, starting from quarter 1 FY '25 to

Ajit Kumar Jain: I think overall, what we have worked out that there are a lot of products where work needs to be done with reference to

of years 2014 to now. So some kind of processes, the change of API

some processes where the post approval are required, which has 6 months' time and some pre approvals are required. So all those kind of things are there.

But I think, overall, looking at the

be launched in the next 12 months. That's what is visible. And thereafter, the

process upgradations or somewhere, the site changes are there and all those things will take time. So -- over a period of 2 years, I think it'

of number.

So that's how

and all. So it will take some time. It's not that everything can be done together. So it's over a period of time

Moderator: The next question is from the line of

Damayanti Kerai: Sir, my first question is on branded market. So you obviously mentioned some has impacted quarter during

business to say from next 2 to 3 quarters perspective?

Ajit Kumar Jain: Overall, see our expectation from this business from next financial year could

kind of growth. And current year, it may grow around 8%, yes.

Damayanti Kerai: Okay. But some of the challenges which you mentioned, that remains in near term, right? And then maybe it will take some time for those 2 sectors.

Ajit Kumar Jain: Yes. Yes. But in spite of those difficulties, the business could grow around 10%.

Damayanti Kerai: 10%? Okay. And sir, you mentioned, say, like Red Sea situation, commentary you also mentioned that freight costs are down year-on-year. But I think what we are hearing

that logistic costs are going up,

should we look at your operating cost especially freight, etc, again, from a near perspective?

Ajit Kumar Jain: That's -- for freight cost comment I have given only with reference to that last year, what kind of prevailing rates were there compared to that the rates are significantly lower. And that even if it's a little bit the logistic cost goes high, it may not have much profitability and all.

Damayanti Kerai: So you don't expect much impact from these higher freight costs,

Ajit Kumar Jain: Only certain European customers are postponing the shipments. But now let's say, Houthi attacks has come down and things may normalize again. That's what days, we have not heard any kind of those attacks. IPCA Laboratories Limited
February 15, 2024

Page 5 of 15 I think overall, what we have worked out that there are a lot of products where work needs to be done with reference to -- because in US, we are coming after a long number of years 2014 to now. So some kind of processes, the change of API and all those, there are some processes where the post approval are required, which has 6 months' time and some pre approvals are required. So all those kind of things are there.

But I think, overall, looking at the -- we feel that almost around 8 products

be launched in the next 12 months. That's what is visible. And thereafter, the process upgradations or somewhere, the site changes are there and all those things will take over a period of 2 years, I think it's possible to launch around 16, 17 product kind

So that's how -- it's a journey now. There's a lot of revalidations and all those need to be taken and all. So it will take some time. It's not that everything can be done together. So it's over a period of time -- say, in current year, 7 to 8 products definitely can be launched. Yes.

The next question is from the line of Damayanti Kerai from HSBC.

Sir, my first question is on branded market. So you obviously mentioned something has impacted quarter during -- performance in the quarter. So how should we look at this business to say from next 2 to 3 quarters perspective?

Overall, see our expectation from this business from next financial year could kind of growth. And current year, it may grow around 8%, yes.

Okay. But some of the challenges which you mentioned, that remains in near term, right? And then maybe it will take some time for those 2 sectors.

Yes. Yes. But in spite of those difficulties, the business could grow around 10%.

10%? Okay. And sir, you mentioned, say, like Red Sea situation, etcetera commentary you also mentioned that freight costs are down -- freight costs have moderated year. But I think what we are hearing that logistic costs are going up, should we look at your operating cost especially freight, etc, again, from a near

for freight cost comment I have given only with reference to that last year, what kind of prevailing rates were there compared to that the rates are significantly lower. And that even if it's a little bit the logistic cost goes high, it may not have much of impact on overall profitability and all.

So you don't expect much impact from these higher freight costs, etcetera. Should we...

Only certain European customers are postponing the shipments. But now let's say, Houthi attacks has come down and things may normalize again. That's what -- yes. Yes. Last few days, we have not heard any kind of those attacks. IPCA Laboratories Limited
February 15, 2024

I think overall, what we have worked out that there are a lot of products where -- some kind of because in US, we are coming after a long number and all those, there are some processes where the post approval are required, which has 6 months' time and some pre - or 9 products can be launched in the next 12 months. That's what is visible. And thereafter, the -- whatever the process upgradations or somewhere, the

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and all. So it will take some time. It's not that everything can be done together. So it's over a say, in current year, 7 to 8 products definitely can be launched. Yes.

Sir, my first question is on branded market. So you obviously mentioned some regions which performance in the quarter. So how should we look at this

Overall, see our expectation from this business from next financial year could be around 10% Okay. But some of the challenges which you mentioned, that remains in near term, right? And Yes. Yes. But in spite of those difficulties, the business could grow around 10%.

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Only certain European customers are postponing the shipments. But now let's say, Houthi

yes. Yes. Last few

Damayanti Kerai: Okay, sir. And my last question is, can you provide an update on some of the new plant expansion, etc

plants will start contributing to your numbers?

Ajit Kumar Jain: Dewas almost around 7 to 8 product commercialization work is going on. Some products are already filed with European

take around 6 months' time for at least 5, 6 product to get approved. So thereafter, the

shipments -- your production

Damayanti Kerai: Okay. And Nagpur?

Ajit Kumar Jain: Nagpur -- concerning Nagpur we have not done anything much on the site. We have just got the -- now consent to operate. So first one, intermediate, the planning is going on there, but that's for captive consumption. So not

only some kind of reduction in the cost and all will happen. Yes.

Damayanti Kerai: Okay. And sir, a clarification on the US business commentary which you already provided. So you're expecting that 1

like a good footing in the U

etcetera, or you need to add on like more product

say, next 3 years?

Ajit Kumar Jain: We have almost around basket of around 40 products. So we are expecting good number of product approval to come. So this is from the current list I'm talking which is approved list.

Yes. So it's basically the more number of

more number of launches will also happen.

Moderator: The next question is from the line of Surya Patra from PhillipCapital.

Surya Patra: Yes. Sir, my first question is on the margin profile of Unichem for adjusting for the EBITDA margin what we had reported for or what we had indicated for Unichem in the previous quarter that was part of our number. And this quarter's reported number of Unichem, it looks like that the margin has

meaningful correction sequentially from almost like

So what is this leading to? Is it the operating negative leverage that you're seeing out here because your export is seeing some kind of

margin sequentially weak for our base business.

Ajit Kumar Jain: Let's say, overall, if you look at the

improved because more value additions a

kind of improvement is there on material cost.

And prices are more or less 2.78% improvement. So

there are not much of fluctuations on my procurement prices and a

added businesses are happening on formulation side, and that's giving the better margins

overall. IPCA Laboratories Limited

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Page 6 of 15 Okay, sir. And my last question is, can you provide an update on some of the new plant etcetera, which you're doing at Dewas, Nagpur, etcetera? And how soon these

plants will start contributing to your numbers?

Dewas almost around 7 to 8 prod

uct commercialization work is going on. Some products are

already filed with European authorities. One product approval has recently come. So it may

take around 6 months' time for at least 5, 6 product to get approved. So thereafter, the

your production -- regular shipments can start from Dewas plant.

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concerning Nagpur we have not done anything much on the site. We have just got

now consent to operate. So first one, intermediate, the planning is going on there, but that's for captive consumption. So nothing we laid on as far as the top line is concerned, it's only some kind of reduction in the cost and all will happen. Yes.

Okay. And sir, a clarification on the US business commentary which you already provided. So you're expecting that 16 to 17 products can be launched in next 2 years. So that will give you like a good footing in the US business given like your advantage on the cost expenses, or you need to add on like more products to gradually come up in the US next 3 years?

We have almost around basket of around 40 products. So we are expecting good number of product approval to come. So this is from the current list I'm talking which is approved list.

Yes. So it's basically the more number of product approvals will come and with that, even the more number of launches will also happen.

The next question is from the line of Surya Patra from PhillipCapital.

Yes. Sir, my first question is on the margin profile of Unichem for this quarter. If I see that adjusting for the EBITDA margin what we had reported for or what we had indicated for Unichem in the previous quarter that was part of our number. And this quarter's reported number of Unichem, it looks like that the margin has -- for IPCA has seen a kind of meaningful correction sequentially from almost like 300 basis point kind of impact.

So what is this leading to? Is it the operating negative leverage that you're seeing out here because your export is seeing some kind of -- so if you can clarify what is that is driving the margin sequentially weak for our base business.

Let's say, overall, if you look at the -- as I talked earlier, that material cost to sales ratio has improved because more value additions are there. And that improvement is almost about 2.6% kind of improvement is there on material cost.

And prices are more or less 2.78% improvement. So -- and prices are also now stabilized. So there are not much of fluctuations on my procurement prices and all. And overall, more value added businesses are happening on formulation side, and that's giving the better margins IPCA Laboratories Limited February 15, 2024

Okay, sir. And my last question is, can you provide an update on some of the new plant? And how soon these

Dewas almost around 7 to 8 product commercialization work is going on. Some products are authorities. One product approval has recently come. So it may take around 6 months' time for at least 5, 6 products to get approved. So thereafter, the -- your regular shipments can start from Dewas plant.

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300 basis point kind of impact.

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are there. And that improvement is almost about 2.6%

and prices are also now stabilized. So

all. And overall, more value -

added businesses are happening on formulation side, and that's giving the better margins

And as far as the personnel cost is concerned, that's growing around 12%, which includes around 7% to 8% kind of normal increments

personnel cost is written on higher

and other expenses side, there are hardly any increase. So compared to operating income

there is good amount of reductions is there because overall, that cost has not moved up.

Surya Patra: Y-o-Y that is correct, sir, what you said. I'm just asking that sequentially

about 300 basis point kind of impact, Unichem numbers. So what sir?

Ajit Kumar Jain: The margin improvement will right now, say, in the current quarter growth was low. And from next year onwards, I think we should be continuously growing by around 10% to 12% kind of growth.

So at that level, the margin US business margins will

margin over and above this normal margin. So we feel that overall EBITDA margins will definitely move by around 2% point plus kind of things. Yes, in next financial year.

Surya Patra: Okay. Okay. Sir, with your permission, can I just ask about the Unichem also here. Because the margin performance for this quarter, what we see sir, here in Unichem is around 15% or 15% around. So I think it is already reached to your guided level almost nearer to that. So is it fair to believe that the margin expansion, what you have been targeting with the initial kind of corrective measures. The full benefit of any of the benefit of integration for

Ajit Kumar Jain: Let's say, margin there are driven by their overall increase in overall revenue. Let's say, they are growing by almost around 40

grown by around 43%. And improvements in business is there across, whether it's our business, whether there is a Brazilian business, whether it is European business, except they have suffered

that is impacted and little of the Russia business is impacted.

So -- but -- and even the CRAMS business is also

also done well. So overall

overall top line growth has been good.

Now as far as margins are concerned in Q3, I think the EBITDA margin has been around 8.8%. So they were around 3%, 4% from there. They have come to

because there is some kind of

think Unichem in P&L account that has declared separately because that is on sale of this residual shares, which they had of Optimus which

INR68 crores IPCA Laboratories Limited

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Page 7 of 15 And as far as the personnel cost is concerned, that is growing around 12%, which includes around 7% to 8% kind of normal increments and since we added people in the field. So the personnel cost is written on higher side. But overall, if you look at your manufacturing and other expenses side, there are hardly any increase. So compared to -- we have the overall operating income to other expenses, manufacturing -- other expenses, that -- there is good amount of reductions is there because overall, that cost has not moved up.

Yes that is correct, sir, what you said. I'm just asking that sequentially

about 300 basis point kind of impact, IPCA's base business would have seen, if I adjust for the Unichem numbers. So what -- sequentially, what would be driving or dampening the margin, The margin improvement will continue as -- let's say, that with the overall growth picking up, right now, say, in the current quarter growth was low. And from next year onwards, I think we should be continuously growing by around 10% to 12% kind of growth.

So at that

level, the margin level will further improve by around 1.5%. And when we add the business margins will -- because capacity utilizations will add. So that also will add to the margin over and above this normal margin. So we feel that overall EBITDA margins will move by around 2% point plus kind of things. Yes, in next financial year.

Okay. Okay. Sir, with your permission, can I just ask about the Unichem also here. Because the margin performance for this quarter, what we see sir, here in Unichem is around 15% or 15% around. So I think it is already reached to your guided level almost nearer to that. So is it fair to believe that the margin expansion, what you have been targeting with the initial kind of corrective measures. The full benefit of that flown in to Unichem and whether we have seen any of the benefit of integration for IPCA's base business?

Let's say, margin there are driven by their overall increase in overall revenue. Let's say, they are growing by almost around 40% plus in the current year. In this quarter also, they have grown by around 43%. And improvements in business is there across, whether it's our business, whether there is a Brazilian business, whether it is European business, except they have suffered on ROW market business, again, because Myanmar they had good business. So that is impacted and little of the Russia business is impacted.

and even the CRAMS business is also -- the contract manufacturing business has also done well. So overall -- let's say, the overall productivity there are improving and your overall top line growth has been good.

Now as far as margins are concerned in Q3, I think the EBITDA margin has been around 8.8%. So they were around 3%, 4% from there. They have come to 8.8%. It's not around 15%

because there is some kind of exceptional income is there. So that you need to exclude. So I think Unichem in P&L account that has declared separately because that is on sale of this residual shares, which they had of Optimus which they have disposed of and almost around crores kind of surplus has come. So that has been shown as exceptional income. IPCA Laboratories Limited
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And as far as the personnel cost is concerned, that's growing around 12%, which includes and since we added people in the field. So the overall, if you look at your manufacturing we have the overall -- there are also -- there is good amount of reductions is there because overall, that cost has not moved up. Yes that is correct, sir, what you said. I'm just asking that sequentially it looks like near 's base business would have seen, if I adjust for the sequentially, what would be driving or dampening the margin, let's say, that with the overall growth picking up, right now, say, in the current quarter growth was low. And from next year onwards, I think we n level will further improve by around 1.5%. And when we add the because capacity utilizations will add. So that also will add to the margin over and above this normal margin. So we feel that overall EBITDA margins will ly move by around 2% point plus kind of things. Yes, in next financial year. Okay. Okay. Sir, with your permission, can I just ask about the Unichem also here. Because s around 15% -plus or 15% around. So I think it is already reached to your guided level almost nearer to that. So is it fair to believe that the margin expansion, what you have been targeting with the initial kind that flown in to Unichem and whether we have seen Let's say, margin there are driven by their overall increase in overall revenue. Let's say, they % plus in the current year. In this quarter also, they have grown by around 43%. And improvements in business is there across, whether it's our US business, whether there is a Brazilian business, whether it is European business, except they on ROW market business, again, because Myanmar they had good business. So

the contract manufacturing business has let's say, the overall productivity there are improving and your Now as far as margins are concerned in Q3, I think the EBITDA margin has been around 8.8%. It's not around 15% o that you need to exclude. So I think Unichem in P&L account that has declared separately because that is on sale of this h they have disposed of and almost around kind of surplus has come. So that has been shown as exceptional income.

So overall margin has not reached to what level and what kind of improvement, which we are looking in Unichem, they will take time to be filed with the regulator, then approval.

After regulatory approval, you take the after you put the stability, then again, file with regulator, take their approval. And then those revised processes become effective in your formulation. So it's a journey, it cannot happen in over a period of 3 to 6 months time. It takes a long time. So make those kind of things.

So I would say that those kind of improvements will come in time to come. Currently, sir, the margin improvements are because in Q3 '22, '23 they had negative margins of around 14.1%. EBITDA was that kind last financial year, they had almost around

From there, they have come to the profit and margins have started improving. So we are what we are seeing is only the improvement in operations, little bit on overhead side, little on cost side, improvement in productivity side and improvement in business. That has resulted in some margin. Yes.

Surya Patra: Okay. Sure, sir. Sir, My next question...

Ajit Kumar Jain: And that journey will continue

Surya Patra: Sure, sir. My next question is on the US business front. So you mentioned that some sort of supply commencement to US can start

that the activation of the dossiers could take a longer time, even the process has to be updated.

So this -- the procedural aspect itself will take around 12 months or so. So then on what basis that we are saying the few of the...

Ajit Kumar Jain: Sir, we have been working almost around 7 products, we need not to do much. So that's our

updated dossiers are there. So these 7 products can go. So that think 2 or 3 products

first quarter of the current year. And the launches quarter of current year. The financial year.

And the other products are

there are post approval are there, somewhere pre

processes need to be incorporated. And all those works are there. Plus, we expect we have almost around a good number of more than 20 more filings which are there, where everything is -- most of the

approvals can come. So based on that, I'm telling that around 15 to 17 products can be launched over a period of 2 years' time. IPCA Laboratories Limited

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Page 8 of 15 So overall margin has not reached to what level and what kind of improvement, which we are looking in Unichem, they will take time because processes when they are corrected, they need to be filed with the regulator, then -- after that, based on that, you need to do the After regulatory approval, you take the -- again, the formulation basis put them on stability after you put the stability, then again, file with regulator, take their approval. And then those revised processes become effective in your formulation. So it's a journey, it cannot happen in over a period of 3 to 6 months time. It takes a long time. So maybe 1 year, 1.5 years and all those kind of things.

So I would say that those kind of improvements will come in time to come. Currently, sir, the margin improvements are because in Q3 '22, '23 they had negative margins of around 14.1%. EBITDA was that kind of negative margin. So they were in losses almost I think third quarter last financial year, they had almost around INR 60 crores kind of losses was there.

From there, they have come to the profit and margins have started improving. So we are seeing is only the improvement in o

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cost side, improvement in productivity side and improvement in business. That has resulted in some margin. Yes.

Okay. Sure, sir. Sir, My next question...

And that journey will continue -- that journey will continue.

Sure, sir. My next question is on the US business front. So you mentioned that some sort of supply commencement to US can start -- starting first quarter for FY '25. But knowing the fact that the activation of the dossiers could take a longer time, even the process has to be updated. the procedural aspect itself will take around 12 months or so. So then on what basis that we are saying the few of the...

Sir, we have been working almost around 7 products, we need not to do much. So that's our updated dossiers are there. So these 7 products can -- see, currently, I have 21 approval. Out of 7 products can go. So that -- in a closed manner these products will be launched. But initially, I think 2 or 3 products -- production is already going on. So there would be somewhere in the first quarter of the current year. And the launches -- market launch will happen in the first quarter of current year. The shipment from here may take early part of the first quarter of next financial year.

And the other products are -- there are somewhere there are site changes are there, somewhere there are post approval are there, somewhere pre-approvals are there. Somewhere processes need to be incorporated. And all those works are there. Plus, we expect we have almost around a good number of more than 20 more filings which are there, where everything most of the -- lot of review has already happened and -- in a phased manner, those approvals can come. So based on that, I'm telling that around 15 to 17 products can be launched over a period of 2 years' time. IPCA Laboratories Limited

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So overall margin has not reached to what level and what kind of improvement, which we are seeing because processes when they are corrected, they need after that, based on that, you need to do the -- take again, the formulation basis put them on stability after you put the stability, then again, file with regulator, take their approval. And then those revised processes become effective in your formulation. So it's a journey, it cannot happen in maybe 1 year, 1.5 years and all

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Surya Patra: Okay. Okay. Just last one question, sir, from my side. So far as the domestic formulation performance going ahead is concerned, let's say, FY '25. Obviously, we have seen a double digit growth better than the industry growth, IPM growth in the current financial year so far. Sir, knowing the fact that around slightly more than 20% of our portfolio Elenium-based and the limited scope of a price taking price rise there and the volume growth trend, what we are seeing currently. So is it possible to continue double for next year as well?

Ajit Kumar Jain: Let's say, Elenium did not impact much in current year also because there was a good amount of price rise was there on Elenium, but similar kind of reduction was there few months back because of readjustment of prices, and reappraising and all. So on Elenium there is hardly any advantage or even if there is a advantage, it's only 1%, 2%. So there was hardly any. Much of the advantage was not there.

So -- and what we have seen in current year is that your acute portfolio growth in the market is low. So it's a very exceptional year. So financial year. And on the chronic side, market has started reporting double So overall, we see that from 11% to 12% growth possible to increase the overall growth to around 13%, 14% in domestic market.

Moderator: The next question is from the line of Ajay from

Ajay: Yes, sir. So sir, I have a question about our group companies. Since companies are doing any calls or giving any guidance. And if you say the top lines and bottom line from last few quarters are almost stagnant and also into losses. So can you please provide any update around our subsidiary performance Laboratories.

Ajit Kumar Jain: Makers has nothing to do with independent company. Then as far as Lyka is concerned, their business growth is good. They have -- overall, they would be doing better, I think, overall. Their plant is under shut down a little bit because of upgradations and all. So that is also getting completed renovation part is going to complete in first quarter of the current year validations and filings of dossiers and all will happen in the developed market and all. So that journey is going very well.

In spite of all those kind of things, they have performed reasonably well. And they also had almost around 100

market. And that business has also now

they can add more number of people in next financial year. So overall, we are satisfied journey for as far as Lyka is concerned.

As far as Unichem is concerned from losses, they have started now performing, and we have already said that IPCA Laboratories Limited

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Page 9 of 15 Okay. Okay. Just last one question, sir, from my side. So far as the domestic formulation performance going ahead is concerned, let's say, FY '25. Obviously, we have seen a double digit growth better than the industry growth, IPM growth in the current financial year so far. Sir, knowing the fact that around slightly more than 20% of our portfolio possibility is part of based and the limited scope of a price taking price rise there and the volume growth trend, what we are seeing currently. So is it possible to continue double-digit kind of growth for next year as well?

Let's say, Elenium did not impact much in current year also because there was a good amount

of price rise was there on Elenium, but similar kind of reduction was there few months back because of readjustment of prices, and reappraising and all. So on Elenium there is hardly any advantage or even if there is a dvantage, it's only 1%, 2%. So there was hardly any. Much of the advantage was not there. and what we have seen in current year is that your acute portfolio growth in the market is low. So it's a very exceptional year. So -- and acute side, the growth should pick up in next financial year. And on the chronic side, market has started reporting doubl

e -

So overall, we see that from 11% to 12% growth -- what current level we have, it should be possible to increase the overall growth to around 13%, 14% in domestic market. The next question is from the line of Ajay from [Wealthify 0:29:01].

Yes, sir. So sir, I have a question about our group companies. Since none of our group companies are doing any con calls or giving any guidance. And if you say the top lines and bottom line from last few quarters are almost stagnant and also into losses. So can you please provide any update around our subsidiary performance like of Krebs and Lyka and Makers

Makers has nothing to do with IPCA. IPCA doesn't have any kind of holding in Makers. It's an independent company. Then as far as Lyka is concerned, their business growth is good. They overall, they would be doing better, I think, overall. Their plant is under shut down a little bit because of upgradations and all. So that is also getting completed renovation part is going to complete in first quarter of the current year and thereafter, validations and filings of dossiers and all will happen in the developed market and all. So that journey is going very well.

In spite of all those kind of things, they have performed reasonably well. And they also had almost around 100 people in current year to do the direct marketing of their -- market. And that business has also now -- they're giving good results to them now. And in fact, they can add more number of people in next financial year. So overall, we are seeing a good journey for as far as Lyka is concerned.

As far as Unichem is concerned from losses, they have started now performing, and we have already said that -- it's possible to achieve almost around INR 2,000 crores turnover there. And IPCA Laboratories Limited February 15, 2024

Okay. Okay. Just last one question, sir, from my side. So far as the domestic formulation performance going ahead is concerned, let's say, FY '25. Obviously, we have seen a double-digit growth better than the industry growth, IPM growth in the current financial year so far. So possibility is part of

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It's say, Elenium did not impact much in current year also because there was a good amount of price rise was there on Elenium, but similar kind of reduction was there few months back because of readjustment of prices, and reappraising and all. So on Elenium product, in fact, there is hardly any advantage or even if there is a dvantage, it's only 1%, 2%. So there was and what we have seen in current year is that your acute portfolio growth in the market is and acute side, the growth should pick up in next digit growth now.

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they're giving good results to them now. And in fact, they can add more number of people in next financial year. So overall, we are seeing a good As far as Unichem is concerned from losses, they have started now performing, and we have 2,000 crores turnover there

. And

significant improvement in the EBITDA margin from current level. So these are the listed companies.

As far as Krebs is concerned, there are good improvement there. The losses are reducing now and some more products validations and all are going on there. Some products on side are getting approved in our dossier. So once that happens, their volume So we are seeing good improvement in Krebs also. But it will take time. It's not those approval comes, even though you have validated process, you can't use those kind of intermediate and use those capacities and all.

So those issues are there. But overall, let's say, there are overall improvement in all operations. Onyx is giving good returns, good profitability the re. We are the good business on selling the nutraceuticals and their business is also in good profitability overall. So there are -- except let's say, somewhere, I think the Bayshore which is a setup which

was set up for marketing of

Unichem will be doing the marketing

So Bayshore will, overall, maybe

business and also their team synchronizations and all that work is going on. And certain costs will there also will come down. So overall, there are much of -- not much of concerns in that

associated subsidiary kind of business.

Moderator: The next question is from the line of Ashish from J M Mutual Funds.

Ashish: Yes. Sir, on this API thing, since you have the Dewas facility also some price pressure on the APIs we have heard from some of the channel checks. In terms of our realization, like what products we might have selected for -- from Dewas versus then and versus now, how are the product prices behaved?

Ajit Kumar Jain: As far as Dewas products are concerned, it's only the products are getting transferred from Ratlam and Ratlam, we are creating the surpluses capacity so that the products which are required for captive consumption for our US business that can be accommodated. So it's not a

newer kind of products to be launched and newer products are maybe few. It's more of a site transfer from Ratlam to Dewas and those kind of products are there.

And there are

have seen significant kind of price reduction. But otherwise, the prices have stabilized now.

There are not much concern on as far as the prices of API is concerned currently. From these levels, they are not going

Ashish: Yes. Fair enough. Sir, secondly, on the

business. So prior to the 2013, '14 level, we used to do around \$30 million to \$40 million in the US business. And there was this one product, Toprol,

engagements like used to supply Toprol to AstraZeneca and some other players, I guess. So all

those engagements will restart or you feel you will have to make a fresh start? IPCA Laboratories Limited

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overall. So there are -- except let's say, somewhere, I think the Bayshore which is a setup which was set up for marketing of IPCA product. So now that setup is no longer required because

Unichem will be doing the marketing because that's a much bigger setup.

So Bayshore will, overall, maybe -- that business will get overall merge with the Unichem

business and also their team synchronizations and all that work is going on. And certain costs

will there also will come down. So overall, there are much of -- not much of concerns in that

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The next question is from the line of Ashish from J M Mutual Funds.

Yes. Sir, on this API thing,

since you have the Dewas facility also coming, but globally, there's

some price pressure on the APIs we have heard from some of the channel checks. In terms of our realization, like what products we might have selected for -- from Dewas versus then and versus now, how are the product prices behaved?

As far as Dewas products are concerned, it's only the products are getting transferred from Ratlam and Ratlam, we are creating the surpluses capacity so that the products which are required for captive consumption for our US business that can be accommodated. So it's not a newer kind of products to be launched and newer products are maybe few. It's more of a site transfer from Ratlam to Dewas and those kind of products are there.

And there are -- the price stability is there on those kind of products, except sartans where we have seen significant kind of price reduction. But otherwise, the prices have stabilized now. There are not much concern on as far as the prices of API is concerned currently. From these levels, they are not going down.

Yes. Fair enough. Sir, secondly, on the US , since we are in the process of starting up the business. So prior to the 2013, '14 level, we used to do around \$30 million to \$40 million in the business. And there was this one product, Toprol, which is metoprolol. So all those engagements like used to supply Toprol to AstraZene ca and some other players, I guess. So all those engagements will restart or you feel you will have to make a fresh start? IPCA Laboratories Limited
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Ajit Kumar Jain: Let's say, tactically all those

there is no shipment of API to any formulators for

those kind of talk that wherever is possible to get those kind of business once again. But it' time- consuming thing again because lot of places, our pr ocess has also changed. So we need to update those kind of parties with revised sampling. And then the approvals and all those things are there.

So API business will be a little s

lower to start wi

consumptions will come from Ratlam. So Ratlam capac ity which is getting freed by shifting of products to Dewas will be utilized for the purpose of our captive consumption more. And the and API business, if you look at

around 10% to 12% year

Ashish: Okay. Fair enough. Sir, lastly, on this Unichem, so in terms of liking operational changes like putting our processes, going for the yield improvem ent. So whe

of things? Have we achieved enough kind of success in what we were planning to do with Unichem?

Ajit Kumar Jain: If you look at their results of the third quarter a nd all, they have significantly improved because they were i

improving from minus 14% in Q3 last year, it is now 8.8% kind of margin.

So the operations has started improving, their prod uctivity have started coming. Their sales are growing by mo

impr oving in various markets like U

business improvements are there.

And they have Goa

products so that they have much larger capacity, bu t the bigger basis they can produce. So with

that, there could be a further improvement in their overall operation.

As far as process changes and all those are

happening everywhere on market extension, process improvements and all those kind of things. But your pharma industry being regulated, everything needs a regulatory approval. Once you do a process, again, go to

APIs or intermediates to the other formulators, all that. And then they need to again do processes and generate stability, file

And thereafter,

It's more for the captive consumption. So that journey will have to have, and it will take time.

It's a maybe 1

have envisaged. There could be some delay here and there,

have envisaged

Ashish: Just lastly, sir. So 2 years down the line, could this be a 15%, 20% EBITDA margin business?

Is that number achievable for Unichem? IPCA Laboratories Limited

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Page 11 of 15 Let's say, tactically all those kind of businesses because -- has completely come there is no shipment of API to any formulators for US in last 10 years. So we have restarted all those kind of talk that wherever is possible to get those kind of business once again. But it's consuming thing again because lot of places, our process has also changed. So we need to update those kind of parties with revised sampling. And then the approvals and all those things So API business will be a little slower to start with for US But the API for captive consumptions will come from Ratlam. So Ratlam capacity which is getting freed by shifting of products to Dewas will be utilized for the purpose of our captive consumption more. And the and API business, if you look at -- now from next financial year, we should be able to grow around 10% to 12% year-on-year.

Okay. Fair enough. Sir, lastly, on this Unichem, so in terms of liking operational changes like putting our processes, going for the yield improvement. So where are we in the overall scheme of things? Have we achieved enough kind of success in what we were planning to do with If you look at their results of the third quarter and all, they have significantly improved because they were in losses. And now they have come in overall and margins has also started improving from minus 14% in Q3 last year, it is now 8.8% kind of margin.

So the operations has started improving, their productivity have started coming. Their sales are growing by more than 40% in current year. And that is also resulting -- businesses are also moving in various markets like US, Brazil, Europe. everywhere, we are seeing some kind of business improvements are there.

And they have Goa two their plants, the validation of processes are going on for the bigger products so that they have much larger capacity, but the bigger basis they can produce. So with that, there could be a further improvement in their overall operation.

As far as process changes and all those are -- it's a journey. It takes time.

That's

happening everywhere on market extension, process improvements and all those kind of things. But your pharma industry being regulated, everything needs a regulatory approval. Once you do a process, again, go to regulators, file with them, wait for their approvals. Then give the APIs or intermediates to the other formulators, all that. And then they need to again do processes and generate stability, file -- give those data to regulator.

And thereafter, the fructification happens. Here, most of those improvements are not for sale.

It's more for the captive consumption. So that journey will have to have, and it will take time.

It's a maybe 1 - 1.5-year journey. But I would say that, yes, the journey is happening

have envisaged. There could be some delay here and there, but journey is happening as we envisaged.

Just lastly, sir. So 2 years down the line, could this be a 15%, 20% EBITDA margin business?

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has completely come -- US related

in last 10 years. So we have restarted all

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Okay. Fair enough. Sir, lastly, on this Unichem, so in terms of liking operational changes like where are we in the overall scheme

of things? Have we achieved enough kind of success in what we were planning to do with

If you look at their results of the third quarter and all, they have significantly improved on losses. And now they have come in overall and margins has also started. So the operations has started improving, their productivity have started coming. Their sales are businesses are also Brazil, Europe. everywhere, we are seeing some kind of processes are going on for the bigger products so that they have much larger capacity, but the bigger basis they can produce. So with it's a journey. It takes time. That's -- work is happening everywhere on market extension, process improvements and all those kind of things. But your pharma industry being regulated, everything need a regulatory approval. Once regulators, file with them, wait for their approvals. Then give the APIs or intermediates to the other formulators, all that. And then they need to again do -- their the fructification happen. Here, most of those improvements are not for sale. It's more for the captive consumption. So that journey will have to have, and it will take time. year journey. But I would say that, yes, the journey is happening as we but journey is happening as we Just lastly, sir. So 2 years down the line, could this be a 15%, 20% EBITDA margin business?

Ajit Kumar Jain: We have guided for 15% kind of EBITDA margin.

Moderator: The next question

Shiva: My first question is with respect to the guidance. I mean if I see our international business, earlier, you said it was

what you're expecting in your Q3. Just wanted to understand for the different subsectors, what are the guidance? Are you holding in? Or is there any change?

Harish Kamath: As Mr. Jain has said, generic business will continue to grow. There will be some slowness in the API business for the time being and to some extent, in the ROW branded business. The growth has been lower than what we gave projection in the beginning

Shiva: So API, you are lowering and international branded you're lowering. The others are sticking directly...

Harish Kamath: Right. And both these business should give reasonable

growth in the next financial year. That

is what our guidance

going forward.

Shiva: Understood. Helpful. And the other thing I just wanted to know, obviously, the generic business, Unichem's also business is growing very strong. Just wanted some kind of what are the other reasons behind this sudden surge in demand? Because at the start, you only said that at the start of the year, the generic, you were expecting a single digit, but now it is upwards of 25%, 30%. So wanted

And going ahead, is it a one

Harish Kamath: No, no. Lot of operational changes are also made in the bargain. So their productivity has improved. Their production capacity has also benefit in US business. And they are also commercializing few of the new formulation for which, in the past, they have received approval.

And few more new products will also get commercialized in the next financial year. So all that is giving benefit. And in few products, maybe because of shortage in the market also, some benefit would have come to them.

Shiva: Okay. And with respect to your generic,

Harish Kamath: They're only into generic business. Nothing else.

Shiva: Your generic business also saw a very...

Harish Kamath: No. My generic business

fact, in first 9 months, the growth has been about 100%. European generic business has done very well. South Africa, we were looking for some deceleration, but that has also grown. So generic business, we don't see any concern as far as growth is concerned. IPCA Laboratories Limited February 15, 2024

Page 12 of 15 We have guided for 15% kind of EBITDA margin.

The next question is from the line of Shiva from Purnartha Investment Advisors.

My first question is with respect to the guidance. I mean if I see our international business, earlier, you said it was -- you were expecting a 12% growth but now you just said that 8% is what you're expecting in your Q3. Just wanted to understand for the different subsectors, what are the guidance? Are you holding in? Or is there any change?

As Mr. Jain has said, generic business will continue to grow. There will be some slowness in the API business for the time being and to some extent, in the ROW branded business. The growth has been lower than what we gave projection in the beginning of the year.

So API, you are lowering and international branded you're lowering. The others are sticking

Right. And both these business should give reasonable growth in the next financial year. That

is what our guidance is. So from this period on the API business should stabilize and grow going forward.

Understood. Helpful. And the other thing I just wanted to know, obviously, the generic business, Unichem's also business is growing very strong. Just wanted -- if you could just add some kind of what are the other reasons behind this sudden surge in demand? Because at the start, you only said that at the start of the year, the generic, you were expecting a single digit, but now it is upwards of 25%, 30%. So wanted to understand what changed in this high end? And going ahead, is it a one-off? Or is it more structural?

No, no. Lot of operational changes are also made in the bargain. So their productivity has improved. Their production capacity has also improved substantially, and that has given them benefit in US business. And they are also commercializing few of the new formulation for which, in the past, they have received approval.

And few more new products will also get commercialized in the next financial year. So they also have a basket of products to be commercialized. So all that is giving benefit. And in few products, maybe because of shortage in the market also, some benefit would have come to Okay. And with respect to your generic, is it more -- because of any shortages or is it...

They're only into generic business. Nothing else.

Your generic business also saw a very...

No. My generic business

ess, what has happened? The UK business is growing very

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February 15, 2024

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Shiva: I just wanted to know, like the next 1 year, you're looking at a very strong growth, like the runway of this? Or is it

Harish Kamath: On a conservative basis, we can guide anywhere.

for generic business. Over and above that, whatever business will come out of on.

Shiva: Understood. Helpful. And just one small question. I wanted to understand your MR productivity. So we've seen the last quarter to get -- update the MR productivity? And what is the current strength and the plan for any additions going ahead?

Ajit Kumar Jain: Overall, MR productivity is around 4,25,000 currently. We are almost around 7,000 medical reps as of now. We will be adding certain number of people in current year. That process is going on. But additional will be not more than 5% increase in overall field force size.

Shiva: Okay. So last quarter, it was slightly MR?

Harish Kamath: Wait. Second quarter is always more productive. Because of seasonality issues and all. And this quarter, because of season not being that conducive, sales are also a little bit lower than what we expected. If not nothing, nothing abnormal. Second quarter is always the best quarter in the domestic branded business.

Ajit Kumar Jain: On per man side, I think we have added almost around current year.

Shiva: Understood. And just there's some notification from the government with respect to the medical professionals kind of antiviral or anything they should be slightly on a conservative basis. Did you feel anything on the ground or is it more just a statement from the government.

Harish Kamath: Pardon. We didn't make out what was your question actually.

Shiva: There were some rules that the government officials have told the medical representatives to be slightly on a conservative basis in prescribing pain o

hat...

Harish Kamath: We have not seen any impact, anything like that in the market place. No.

Moderator: The next question is from the line of Rashmi Shetty from Dolat Capital.

Rashmi Shetty: Sir, for the products, which you mentioned, 16 to 7 launches, which we will be doing in the business. That will be through Unichem. I mean, the sales will be the part of Unichem or will that be included in subsidiary or it will be part of generic business? IPCA Laboratories Limited
February 15, 2024

Page 13 of 15 I just wanted to know, like the next 1 year, you're looking at a very strong growth, like the runway of this? Or is it -- this year has been a one-off, etcetera?

On a conservative basis, we can guide anywhere. between 12% to 15% growth going forward for generic business. Over and above that, whatever business will come out of US will be added. Understood. Helpful. And just one small question. I wanted to understand your MR productivity. So we've seen the last quarter that there was an improvement. So if you could just update the MR productivity? And what is the current strength and the plan for any additions going ahead?

Overall, MR productivity is around 4,25,000 current ly. We are almost around 7,000 medical reps as of now. We will be adding certain number of people in current year. That process is going on. But additional will be not more than 5% increase in overall field Okay. So last quarter, it was slightly higher, right? It was I think 4,60,000 was Wait. Second quarter is always more productive. Because of seasonality issues and all. And this quarter, because of season not being that conducive, sales are also a little bit lower than what we expected. If not nothing, nothing abnormal. Second quarter is always the best quarter in the domestic branded business.

side, I think we have added almost around INR 20,000 productivity

Understood. And just there's some notification from the government with respect to the medical professionals kind of antiviral or anything they should be slightly on a conservative basis. Did you feel anything on the ground or is it more just a statement from the government. Pardon. We didn't make out what was your question actually.

There were some rules that the government officials have told the medical representatives to be slightly on a conservative basis in prescribing pain or anything with respect to the acute basis. So in that...

We have not seen any impact, anything like that in the market place. No.

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February 15, 2024

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Wait. Second quarter is always more productive. Because of seasonality issues and all. And this quarter, because of season not being that conducive, sales are also a little bit lower than what we expected. If not nothing, nothing abnormal. Second quarter is always the best quarter 20,000 productivity per man in

Understood

d. And just there's some notification from the government with respect to the medical professionals kind of antiviral or anything they should be slightly on a conservative front from the government.

There were some rules that the government officials have told the medical representatives to do anything with respect to the acute products, which you mentioned, 16 to 7 launches, which we will be doing in the US business. That will be through Unichem. I mean, the sales will be the part of Unichem or -- and

Harish Kamath: Rashmi, earlier what was happening, I was manufacturing, and I was selling it to my marketing partner, right? We had 2, 3 marketing partners in the US. So on profit sharing basis.

Now what will happen, we will manufacture and sell to Unichem in my books also and in their books also. In any case, their books will get consolidated ultimately with my books. So there is no change because manufacturing they will do selling and distribution there.

Rashmi Shetty: Marketing. Understood.

Harish Kamath: That is correct. Right.

Rashmi Shetty: Okay. That is one thing. And secondly, on the India business, if you can give little bit color on how your pain segment has performed during the quarter, even about the performance.

Ajit Kumar Jain: Overall, pain portfolio in current year has grown by around 12%. This quarter, pain segment growth is a little lower at around 8% to 9% kind of thing. But overall, let's say, therapeutic wise on cardiovascular in current year, we have grown by around 13%. And the antibacterial growth is low at around 3%, CMS around 20%, Dermatology around 19%, urology around 24%, ophthalmology around 17% kind of growth. And others maybe around 8%, 9%. So overall, that's broadly the performances..

Rashmi Shetty: And your product Zerodol is still contributing significantly and it is growing double digit?

Ajit Kumar Jain: Current year, Zerodol growth is around

Rashmi Shetty: Okay. At the consolidation. How much would be the amortization that would be recognized due to this acquisition? Annual amortization?

Harish Kamath: Rashmi, it is an investment. There is no amortization. Earlier, what was happening, all acquisition costs used to get capitalized. Now all acquisition cost gets debited to P&L. That is why that INR

we purchase share and give considerations. So there is nothing to be amortized over a period of time.

Moderator: The next question is from the line of Mukherjee Sai on from Nomura.

Saion Mukherjee: Sir, just one Unichem, your guidance of crores EBITDA. What's the time line for that you're looking at?

Harish Kamath: FY '26.

Saion Mukherjee: And sir, with the process changes and market extensions, which in term, how should we think about growth in margins for Unichem from a slightly longer perspective? IPCA Laboratories Limited

February 15, 2024

Page 14 of 15 Rashmi, earlier what was happening, I was manufacturing, and I was selling it to my marketing partner, right? We had 2, 3 marketing partners in the US. So on profit sharing basis.

Now what will happen, we will manufacture and sell to Unichem US. So sales will get booked in my books also and in their books also. In any case, their books will get consolidated ultimately with my books. So there is no change because manufacturing IPCA they will do selling and distribution there.

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That is correct. Right.

Okay. That is one thing. And secondly, on the India business, if you can give little bit color on how your pain segment has performed during the quarter, even Zerodol, if you can tell us about the performance.

Overall, pain portfolio in current year has grown by around 12%. This quarter, pain segment growth is a little lower at around 8% to 9% kind of thing. But overall, let's say, therapeutic wise on cardiovascular in current year, we have grown by around 13%. And the antibacterial growth is low at around 3%, CMS around 20%, Dermatology around 19%

%, urology around 24%,

ophthalmology around 17% kind of growth. And others maybe around 8%, 9%. So overall, that's broadly the -- here numbers -- in various therapeutical performance performances..

And your product Zerodol is still contributing significantly and it is growing double digit?

Current year, Zerodol growth is around, say, around 8% to 9%.

Okay. At the -- in the range of 8%, 9%. Understood. And one more question on this Unichem consolidation. How much would be the amortization that would be recognized due to this acquisition? Annual amortization?

Rashmi, it is an investment. There is no amortization. Earlier, what was happening, all acquisition costs used to get capitalized. Now all acquisition cost gets debited to P&L. That is INR 40 crores deficit has come in the second quarter. Otherwise, all is investment. So we purchase share and give considerations. So there is nothing to be amortized over a period of The next question is from the line of Mukherjee Sai on from Nomura.

Sir, just one Unichem, your guidance of INR 2,000 crores and a 15% EBITDA margin, crores EBITDA. What's the time line for that you're looking at?

And sir, with the process changes and market extensions, which is probably slightly longer term, how should we think about growth in margins for Unichem from a slightly longer

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February 15, 2024

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IPCA will do -- only

Okay. That is one thing. And secondly, on the India business, if you can give little bit color on Zerodol, if you can tell us

Overall, pain portfolio in current year has grown by around 12%. This quarter, pain segment growth is a little lower at around 8% to 9% kind of thing. But overall, let's say, therapeutic -
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we purchase share and give considerations. So there is nothing to be amortized over a period of 2,000 crores and a 15% EBITDA margin, INR300

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term, how should we think about growth in margins for Unichem from a slightly longer -term

Harish Kamath: Saion as far as this market expansion and change in sourcing, it's a regulatory business, and it will take time

near future, whatever we can do, that is what guidance we have given over next 2 years.

Saion Mukherjee: Okay. And sir, any assessment on the
that you would be launching in the market?

Harish Kamath: It is too early to give any guidance. See, nobody is waiting for your product. Even though I have cost competency, I will have to again relaunch product one by one and go on taking market share. There are only 3, 4 customers who matter in this business, you know very well. And they are already sourcing those products from a third party. It will take some time, but we are confident because of our processes in the API. And our cost comes

do well in the US market vis

Saion Mukherjee: Okay. And sir, when you mentioned 13%, 14% kind of

a growth in India, what's the

assessment on how much is price and volume mix in this

Harish Kamath: It will be around 4%, 5% price increase and the rest are all volume. This year, the growth has been little lower because of the seasonality and all, it is slightly below our expectation.

Otherwise, compared to market, we

Moderator: As there are no further questions from participants, I would now like to hand the conference over to the management for closing comments.

Harish Kamath: No, nothing. Most of the issues. We have already discussed
is nothing further to add. Thank you very much.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference.

Thank you for joining us. You may now disconnect your lines.

Harish Kamath: Thank you, everyone. Thank you. Bye. IPCA Laboratories Limited

February 15, 2024

Page 15 of 15 Saion as far as this market expansion and change in sourcing, it's a regulatory business, and it

will take time . So the margin expansion will continue over a period of time. But immediate near future, whatever we can do, that is what guidance we have given over next 2 years. Okay. And sir, any assessment on the US revenues for the next 2 years with that you would be launching in the market?

It is too early to give any guidance. See, nobody is waiting for your product. Even though I have cost competency, I will have to again relaunch product one by one and go on taking market share. There are only 3, 4 customers who matter in this business, you know very well. And they are already sourcing those products from a third party. It will take some time, but we are confident because of our processes in the API. And our cost competency, we will certainly do well in the US market vis-a-vis our formulations going forward.

Okay. And sir, when you mentioned 13%, 14% kind of a growth in India, what's the assessment on how much is price and volume mix in this growth expectations?

It will be around 4%, 5% price increase and the rest are all volume. This year, the growth has been little lower because of the seasonality and all, it is slightly below our expectation.

Otherwise, compared to market, we continue to do well. There is no issue.

As there are no further questions from participants , I would now like to hand the conference over to the management for closing comments.

No, nothing. Most of the issues. We have already discussed. All questions are answered. There is nothing further to add. Thank you very much.

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February 15, 2024

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It is too early to give any guidance. See, nobody is waiting for your product. Even though I have cost competency, I will have to again relaunch product one by one and go on taking market share. There are only 3, 4 customers who matter in this business, you know very well. And they are already sourcing those products from a third party. It will take some time, but we competency, we will certainly

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Call: Jun 2024

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June 3, 2024

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Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400 023
Scrip Code – 524494 National Stock Exchange India Limited,
Exchange Plaza, C-1, Block-G,
Bandra Kurla Complex, Bandra – (East).
Mumbai-400051.
Scrip Code : IPCALAB

Dear Sirs,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of our Conference Call which was held on Thursday, 30th May, 2024 to discuss the Company's Q4 and FY24 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited
Harish P. Kamath
Corporate Counsel & Company Secretary
Encl: a/a

Laboratories
Q4 FY '24 Earnings Conference
MANAGEMENT : M R. AJIT

CHIEF F
LIMITED
MR. HARISH

COMPANY
LIMITED
MODERATOR : M R. NITIN
LIMITED

Page 1 of 14 IPC"Ipca Laboratories Limited
Q4 FY '24 Earnings Conference Call"
May 30, 2024

JIT KUMAR JAIN – MANAGING DIRECTOR
FINANCIAL OFFICER – IPCA LABORATORIES
LIMITED
ARISH KAMATH – CORPORATE COUNSEL AND
OMPANY SECRETARY – IPCA LABORATORIES
IMITED

ITIN AGARWAL - DAM CAPITAL ADVISORS
IMITED

IRECTOR AND
ABORATORIES
OUNSEL AND
ABORATORIES
DVISORS

M
oderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '24 Earnings Conference Call of Ipca Laboratories Limited hosted by DAM Capital Advisors Limited.

participant lines will be in the listen

questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch note that this conference is being recorded.

I now han d the conference over to Mr. Nitin Agarwal from DAM Capital Advisors Limited.

Thank you and over to you, sir.

Nitin Agarwal: Thank you, Michelle. Hi. Good afternoon, everyone, and a very warm welcome to Ipca Labs' Q4 F '24 Earnings Call

we have representing Ipca Labs, Mr. A.K. Jain, Managing Director; and Mr. Harish Kamath, Corporate Counsel and Company Secretary.

I hand over the call to Mr. Jain to make the opening comments and then we'll o

for questions. Please go ahead, sir.

Ajit Kumar Jain: Thank you. Thank you Nitin and DAM Capital Advisors for organizing this call. afternoon to all participants, and thanks for taking out time and joining us for Q4 FY '24 Earnings Call.

looking statements based on our current business expectations that must be viewed in conjunction with risk that pharmaceutical industry faces.

Our actual future financial performance

may use your own judgment on the information given during the call. Domestic formulation business has delivered a growth of around 13% for the quarter. And for whole of the year, it delivered around 12%

pharmaceutical company as per IQVIA in Indian pharmaceutical market.

In Q4, as per IQVIA, we have beaten both on chronic and acute therapies. Overall, IPM has grown by around 6% in this quarter, w

Acute segment, market has grown by 3%, and we have

around 11%. And on Chronic, the market has grown by around 10% and our growth is around 12%. And overall, for the last 12

13% as per IQVIA as against 8% for IPM. So we have been continuously beating as far as domestic market is concerned, the overall market growth.

Overall, our market share as per the mid March 202

March '23. Last few years, our focus has been more on cities, and that has started delivering the top cities and that has started delivering results. Ipca has achieved a growth of around 16% in top 6 metros as agai

Ipca emerged as the fastest

March 2024. As far as export formulation business is concerned, for the quarter, it has IPCA Laboratories Limited

Page 2 of 14 Ladies and gentlemen, good day, and welcome to the Q4 FY '24 Earnings Conference Call of

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Earnings Call hosted by DAM Capital Advisors Private Limited. On the call today

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I hand over the call to Mr. Jain to make the opening comments and then we'll o

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Earnings Call. Today's call and discussions and answer given, may include some forward

looking statements based on our current business expectations that must be viewed in

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Our actual future financial performance may differ from what is projected and perceived. You

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business has delivered a growth of around 13% for the quarter. And for whole of the year, it

delivered around 12% kind of growth. And Ipca continue to remain a 16th ranked

pharmaceutical company as per IQVIA in Indian pharmaceutical market.

In Q4, as per IQVIA, we have beaten both on chronic and acute therapies. Overall, IPM has

grown by around 6% in this quarter, w hereas IQVIA has recorded our growth at 15%. On

Acute segment, market has grown by 3%, and we have -- IQVIA has recorded our growth as

around 11%. And on Chronic, the market has grown by around 10% and our growth is around

12%. And overall, for the last 12 months on a net basis, we have delivered a growth of around

13% as per IQVIA as against 8% for IPM. So we have been continuously beating as far as

domestic market is concerned, the overall market growth.

Overall, our market share as per the mid March 202 4, has improved to 2.04% from 1.88% at

March '23. Last few years, our focus has been more on cities, and that has started delivering

the top cities and that has started delivering results. Ipca has achieved a growth of around 16%

in top 6 metros as agai nst market growth of around 8%.

Ipca emerged as the fastest -growing country in top 25 players as per IPM as per the mid

March 2024. As far as export formulation business is concerned, for the quarter, it has IPCA Laboratories Limited

May 30, 2024

Ladies and gentlemen, good day, and welcome to the Q4 FY '24 Earnings Conference Call of

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Thank you, Michelle. Hi. Good afternoon, everyone, and a very warm welcome to Ipca Labs' al Advisors Private Limited. On the call today

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Thank you. Thank you Nitin and DAM Capital Advisors for organizing this call. Good afternoon to all participants, and thanks for taking out time and joining us for Q4 FY '24

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may use your own judgment on the information given during the call. Domestic formulation business has delivered a growth of around 13% for the quarter. And for whole of the year, it kind of growth. And Ipca continue to remain a 16th ranked

In Q4, as per IQVIA, we have beaten both on chronic and acute therapies. Overall, IPM has hereas IQVIA has recorded our growth at 15%. On

IQVIA has recorded our growth as around 11%. And on Chronic, the market has grown by around 10% and our growth is around months on a net basis, we have delivered a growth of around

13% as per IQVIA as against 8% for IPM. So we have been continuously beating as far as 4, has improved to 2.04% from 1.88% at

March '23. Last few years, our focus has been more on cities, and that has started delivering -- the top cities and that has started delivering results. Ipca has achieved a growth of around 16% growing country in top 25 players as per IPM as per the mid - March 2024. As far as export for

mulation business is concerned, for the quarter, it has delivered around 9% growth. And overall formula around INR 1,775 crores from a business around 8%.

In spite of generic export growth of around 22% for the year to around INR801 crores, overall growth is

promotional market like Russia and West Africa and decline in institutional generic business in the last financial year.

As far as margins are concerned, the stand is around 18.5% as against 11.29% that recorded in previous financial year in the fourth quarter. For full financial year, the EBITDA margin is achieved at around 19.29% as against 16.22% in FY '23. And consolidated EBITDA margins are at around 11.29% for Q4 FY '23.

And consolidated EBITDA margin for the year is around 16.72% for FY '24 as against 15.3% in FY '24. Material cost to sales ratio stand 35.58% in FY '23. And we

As far as the guidance for 2025 is concerned business growth of around 10.5% to 11% for FY '25. We expect that our EBITDA margins will furthe r improve from 19.29% to 20.5% to 21%. Our consolidated business to grow at around 14% to 14.25% for FY '25 and consolidated EBITDA to improve further from 16.72% to around 18% for the financial year 2025.

Having given all these numbers, I now request par

Moderator: Thank you very much sir.

Macquarie. Please go ahead.

Kunal Dhamesha: The first question on our own U.S. plants are kind of cleared. How is that business And have you started filing new ANDAs...

Moderator: Sorry to interrupt, sir, your voice is not clear. May I request you to use your handset?

Kunal Dhamesha: So how is our own U.S. business shaping up? And have we started filing ANDAs from our own plant as of now? And do we expect an 18% EBITDA margin guidance? Are we expecting our R&D expenses to go up?

Ajit Kumar Jain: Overall, let's say, that as far as U.S. is concerned, we have not started so far filing the ANDAs from our plants because it wi

pipeline is now building. So people are working now in R&D and thereafter, buyback shares will be taken. Stability will take a lot of time, 6 to 7 months time and then data compilation.

So it will take some time before we start filing as far as U.S. is concerned. As far as R&D is concerned, both companies put together are spending almost around which will translate intoIPCA Laboratories Limited

Page 3 of 14 delivered around 9% growth. And overall formula tion business for the year has reached to 1,775 crores from a business around INR1,659 crores, with a growth of around

In spite of generic export growth of around 22% for the year to around INR

801 crores, overall growth is lower because of challenges we have faced in branded promotional market like Russia and West Africa and decline in institutional generic business in the last financial year.

As far as margins are concerned, the stand-alone margin for the quarter is -- is around 18.5% as against 11.29% that recorded in previous financial year in the fourth quarter. For full financial year, the EBITDA margin is achieved at around 19.29% as against 16.22% in FY '23. And consolidated EBITDA margins are at around 14.98% for Q4 as against 11.29% for Q4 FY '23.

And consolidated EBITDA margin for the year is around 16.72% for FY '24 as against 15.3% in FY '24. Material cost to sales ratio stand-alone basis has improved to around 32.08% from 35.58% in FY '23. And we are witnessing a price stability for majority of our procurement.

As far as the guidance for 2025 is concerned -- FY '25 is concerned, we expect a stand business growth of around 10.5% to 11% for FY '25. We expect that our EBITDA margins r improve from 19.29% to 20.5% to 21%. Our consolidated business to grow at around 14% to 14.25% for FY '25 and consolidated EBITDA to improve further from 16.72% to around 18% for the financial year 2025.

Having given all these numbers, I now request participants to ask questions.

Thank you very much sir. The first question is from the line of Kunal Dhamesha from Please go ahead.

T

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So how is our own U.S. business shaping up? And have we started filing ANDAs from our own plant as of now? And do we expect an 18% EBITDA margin guidance? Are we expecting our R&D expenses to go up?

Overall, let's say, that as far as U.S. is concerned, we have not started so far filing the ANDAs from our plants because it will take -- we had -- nothing we had in the pipeline for U.S. And pipeline is now building. So people are working now in R&D and thereafter, buyback shares will be taken. Stability will take a lot of time, 6 to 7 months time and then data compilation. It will take some time before we start filing as far as U.S. is concerned. As far as R&D is concerned, both companies put together are spending almost around INR250 which will translate into -- for ourselves and Unichem put together. And that IPCL Laboratories Limited May 30, 2024

tion business for the year has reached to

1,659 crores, with a growth of around

INR981 crores from

lower because of challenges we have faced in branded

promotional market like Russia and West Africa and decline in institutional generic business in

-- EBITDA margin

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FY '25 is concerned, we expect a stand-alone

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will be taken. Stability will take a lot of time, 6 to 7 months time and then data compilation.

It will take some time before we start filing as far as U.S. is concerned. As far as R&D is

250 crores on R&D,

for ourselves and Unichem put together. And that translates into

around 3.25% to 3.5% kind of expenditure to sales. And more or less, this number would

remain in this particular range only as far as R&D is concerned. And the

your next question?

Kunal Dhamesha: So our U.S. --

Ajit Kumar Jain: Let's say, post plant clearance, a lot of work was to be done as far as there for a long period of time. Somewhere the IP status changed, somewhere changed, somewhere the processes have changed, also API has changed and all that. So that needs to be updated in all these kind of ANDAs and so all those activity was going on.

And now finally, I think last few days back, first shipment has product is in pipeline. And more products will be the shipment would start now. And a lot of the places where the IP status

of works are even going on right now

So that all the ANDAs are fully updated and then business starts. So hopefully, I think in current year, maybe around 6 to 7 products will be launched and that will be launched by

the

as the progress happens during the year. So as far as sales are concerned, any sales as far as U.S. is concerned.

Kunal Dhamesha: Okay. And while we have provided the outlook on a consolidated basis of around 14% top line growth, but can you provide more details on the business segment domestic API, export API and the generic business, et cetera?

Ajit Kumar Jain: Let's say, on a stand generics will also have a similar kind of growth. The promotional market of lower growth because of some issue being faced at

Russia and also West African market, there are some certain challenges there.

So there will be a little lower growth on that. And institutional

14% kind of growth. And we expect around 7% to 8% business growth in API side. So overall, IPCA, that should be around 11.5%

that's the stand

And on a consolidated basis, the growth is coming a little higher because last year, I think on consolidation, Unichem was acquired in our second quarter. So consolidation is quarter number was not full. August, yes, it was August number was there. So number was also not full.

So overall, that effect is also there in that. And overall, I think we should be almost around considering our business growth and Unichem's business growth, and overall, we should be almost around, I think sales

consolidation may reach to almost around

translate into that kind of number of 18%, 18.5% kind of overall. IPCA Laboratories Limited

Page 4 of 14 around 3.25% to 3.5% kind of expenditure to sales. And more or less, this number would remain in this particular range only as far as R&D is concerned. And the -- your next question?

-- our own U.S. dynamic sales, how has that shaped up post the plant clearance?

Let's say, post plant clearance, a lot of work was to be done as far as -- because we were not there for a long period of time. Somewhere the IP status changed, somewhere changed, somewhere the processes have changed, also API has changed and all that. So that needs to be updated in all these kind of ANDAs and so all those activity was going on.

And now finally, I think last few days back, first shipment has gone of one product and second product is in pipeline. And more products will be the shipment would start now. And a lot of the places where the IP status -- sorry, USP status -- where pharmacological status has changed, a lot of works are even going on right now.

So that all the ANDAs are fully updated and then business starts. So hopefully, I think in current year, maybe around 6 to 7 products will be launched and that will be launched by the as the progress happens during the year. So as far as sales are concerned, it does not include any sales as far as U.S. is concerned.

Okay. And while we have provided the outlook on a consolidated basis of around 14% top line growth, but can you provide more details on the business segment -wise growth, I domestic API, export API and the generic business, et cetera?

Let's say, on a stand-alone basis, domestic business is expected to grow around 12%. Export generics will also have a similar kind of growth. The promotional market will have some kind of lower growth because of some issue being faced at -- because of currencies depreciation in Russia and also West African market, there are some certain challenges there.

So there will be a little lower growth on that. And institutional business will deliver around 14% kind of growth. And we expect around 7% to 8% business growth in API side. So overall, IPCA, that should be around 11.5% -- 11% to 11.5% kind of growth would be there, yes. So that's the stand-alone number.

consolidated basis, the growth is coming a little higher because last year, I think on consolidation, Unichem was acquired in our second quarter. So consolidation is quarter number was not full. August, yes, it was August number was there. So number was also not full.

So overall, that effect is also there in that. And

d overall, I think we should be almost around considering our business growth and Unichem's business growth, and overall, we should be almost around, I think sales-wise, may be around INR 9,000 crores, and EBITDA overall consolidation may reach to almost around INR 1,600 crores plus kind of EBITDA. So that will translate into that kind of number of 18%, 18.5% kind of overall. IPCA Laboratories Limited May 30, 2024

around 3.25% to 3.5% kind of expenditure to sales. And more or less, this number would

-- sorry, what was

.S. dynamic sales, how has that shaped up post the plant clearance?

because we were not

there for a long period of time. Somewhere the IP status changed, somewhere our vendor had changed, somewhere the processes have changed, also API has changed and all that. So that needs to be updated in all these kind of ANDAs and so all those activity was going on.

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product is in pipeline. And more products will be the shipment would start now. And a lot of where pharma status has changed, a lot

So that all the ANDAs are fully updated and then business starts. So hopefully, I think in current year, maybe around 6 to 7 products will be launched and that will be launched by the -- concerned, it does not include

Okay. And while we have provided the outlook on a consolidated basis of around 14% top line wise growth, let's say, API,

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consolidated basis, the growth is coming a little higher because last year, I think on

consolidation, Unichem was acquired in our second quarter. So consolidation is -- even second quarter number was not full. August, yes, it was August number was there. So second quarter

So overall, that effect is also there in that. And overall, I think we should be almost around considering our business growth and Unichem's business growth, and overall, we should be 9,000 crores, and EBITDA overall

plus kind of EBITDA. So that will

Kunal Dhamesha: And sir, just one last, if

acquisition addition, the synergy number that we had at around

much of that would be factored into the

Ajit Kumar Jain: If you look at Unichem,

around INR 45 crores. From there, they have achieved an EBITDA of

is almost around

year.

And as far as the changes are concerned, whatever the low

material buying and somewhere rationalization, some where utility cost rationalizations and all those are maybe production efficiency improvement and all. These

has come in the EBITDA margin and a lot of other things which we are looking at, like, say,

sourcing changes from, let's say, from outside purchase to some of the APIs of Ipca and market extensions and those all work

API cost reduction is also work in progress because you need to do the stability and thereafter filings and then approvals and all. So those has not started to come in the overall EBITDA numbers right now.

Moderator: Ladies and gentlemen

connected while we try to reconnect. Ladies and gentlemen, thank you for patiently holding, the management's line has been reconnected. Over to you, sir.

Ajit Kumar Jain: So I would say

all. We are confident that all those things will be achieved. And better than that would be achieved, yes.

Moderator: The next question is from the line of Surya Narayan Patra from Limited.

Surya Patra: Sir, my first question is about our

How should we see, sir, in fact, the overall growth for the integrated operations? So whether the benefit of integration has started flowing in or what portion of the integration benefit is yet to come in? And let's say, in the

rms of the growth, while the domestic is one of the largest earnings contributor for us, and it's been consistently delivering double many years.

But from your

we should see in our export activities now after seeing some kind of a moderation in the recent past, just like

our next 2 years? If you can give some long helpful.

Ajit Kumar Jain: As far as integrations are concerned, let's say, it's not a merger. It's companies and both are run as a separate companies, and Unichem as Managing Director, and IPCA Laboratories Limited

Page 5 of 14 And sir, just one last, if I may. When we say the INR1,600 crores, apart from, let's say, the acquisition addition, the synergy number that we had at around INR 200 crores synergies, how much of that would be factored into the INR1,600 crores?

If you look at Unichem, I think last financial year, they had -- I think EBITDA was minus by 45 crores. From there, they have achieved an EBITDA of INR 100 crores. So there is almost around INR145 crores, say, in the current year once after -- for the whole of the And as far as the changes are concerned, whatever the low-hanging fruits are there, like say, material buying and somewhere rationalization, some where utility cost rationalizations and all those are maybe production efficiency improvement and all. These are the only factors so far has come in the EBITDA margin and a lot of other things which we are looking at, like, say, sourcing changes from, let's say, from outside purchase to some of the APIs of Ipca and market extensions and those all work -- are all work in progress.

API cost reduction is also work in progress because you need to do the stability and thereafter filings and then approvals and all. So those has not started to come in the overall EBITDA numbers right now.

Ladies and gentlemen, the line for the management has been disconnected. Kindly stay connected while we try to reconnect. Ladies and gentlemen, thank you for patiently holding, the management's line has been reconnected. Over to you, sir.

So I would say that we are confident in whatever we had talked around acquisition time and all. We are confident that all those things will be achieved. And better than that would be achieved, yes.

The next question is from the line of Surya Narayan Patra from PhillipCapital India Private Sir, my first question is about our -- although you have given the guidance for the current year.

How should we see, sir, in fact, the overall growth for the integrated operations? So whether of integration has started flowing in or what portion of the integration benefit is yet to come in? And let's say, in terms of the growth, while the domestic is one of the largest earnings contributor for us, and it's been consistently delivering double -di

But from your -- what should be the real earning driver for us, whether it is some uptick that we should see in our export activities now after seeing some kind of a moderation in the recent past, just like -- or what should really drive the earning momentum qualitatively from here for our next 2 years? If you can give some long-term oriented viewpoint then that will be really

As far as integrations are concerned, let's say, it's not a merger. It's --

companies and both are run as a separate companies, and Unichem as Managing Director, and IPCA Laboratories Limited May 30, 2024

, apart from, let's say, the

200 crores synergies, how

I think EBITDA was minus by

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PhillipCapital India Private

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How should we see, sir, in fact, the overall growth for the integrated operations? So whether of integration has started flowing in or what portion of the integration benefit is yet

to come in? And let's say, in terms of the growth, while the domestic is one of the largest digital growth since what should be the real earning driver for us, whether it is some uptick that we should see in our export activities now after seeing some kind of a moderation in the recent rally drive the earning momentum qualitatively from here for term oriented viewpoint then that will be really both are separate companies and both are run as separate companies, and Unichem as Managing Director, and

he runs that company. Integration benefits, whatever coming is relating to procurement is one area where integration reliefs we are getting advantages are coming in that because our buying efficiencies are much higher because volumes are much higher. So those advantages are definitely coming there. As far as the other areas are concerned, let's say, whatever those duplications are now avoided. So it's were incurring. That is no longer there. because of our expertise and utilities and also there are utility cost reductions and their operational efficiency on production side is also building up, so that's another advantage which is coming from integration. And Ipca is also able to extend together, both the companies and teams are working to reduce the cost of API, which was one of our major concerns for there. But getting the benefit will take some time because it's again, everything is regulatory and subsequently approvals and all. So it will may before some time in. As far as synergies of procurement process because they have started doing the R&D work and put in stability until the stability is all over and they go back to the regulators and take the approval of that source. Until such time, sources are added in their master files and all, they can't procure. So it's still to take the effect. So that effect will also take some more time.

Surya Patra: Okay. About the export outlook, if you can give some sense and which market that you think can be meaningful? And also U.S., as you are saying that, okay, it will see a kind of a gradual ramp up only, but at least benefiting from the Unichem acquisition or leveraging the Unichem's presence, we want to at least penetrate faster, quicker for APIs at least. On the export outlook front, if you can give some sense and if you can give some more clarity also about your key markets.

Ajit Kumar Jain: So bigger and bigger benefit of integrations will come of Unichem portfolio when we start putting all these Unichem's product in various markets like Europe, Australia, New Zealand, Canada, South Africa, all those markets when we start putting those products. So that's the process currently going on.

A lot of works are going on, on repeat bios and compounds those that work is going on. So till the time that work is over, it's monitored and there are time lines for that. But it takes time. It is not that overnight, those kind of work can be done portfolio of around 40, 50 formulations, and there portfolio of around 80 kind of formulations in generic markets. So all those becomes a significant size of number of products for the markets. So that is the work which is currently working in progress. IPCA Laboratories Limited

Page 6 of 14 he runs that company. Integration benefits, whatever coming is relating to procurement is one area where integration reliefs we are getting the advantage. Significant advantages are coming in that because our buying efficiencies are much higher because volumes are much higher. So those advantages are definitely coming there. As far as the other areas are concerned, let's say, whatever work both the companies are doing and there are some duplications for there. So those duplications are now avoided. So it's -- that unnecessary cost of both the organizations were incurring. That is no longer there. So that's another benefit that's coming because of our expertise and utilities and also there are utility cost reductions and their operational efficiency on production side is also building up, so that's another advantage which is coming from integration. And Ipca is also able to extend some kind of expertise to them on cost reductions and all put together, both the companies and teams are working to reduce the cost of API, which was one of our major concerns for there. But getting the benefit will take some time because it's again, everything is regulatory -- regulated process and work is happening to reduce the costs and subsequently approvals and all.

So it will may before some time -- it will take some time before those kind of approvals comes in. As far as synergies of procurement from Ipca of lower-cost API for them, it's again a process because they have started doing the R&D work and put in stability until the stability is all over and they go back to the regulators and take the approval of that source. Until such resources are added in their master files and all, they can't procure. So it's still to take the effect. So that effect will also take some more time.

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On the export outlook front, if you can give some sense and if you can give some more clarity also about your key markets.

So bigger and bigger benefit of integrations will come of Unichem portfolio when we start all these Unichem's product in various markets like Europe, Australia, New Zealand, Canada, South Africa, all those markets when we start putting those products. So that's the process currently going on.

A lot of works are going on, on repeat bios and compiling all those kind of dossiers and all those that work is going on. So till the time that work is over, it's -- every project is being monitored and there are time lines for that. But it takes time. It is not that overnight, those kind of work can be done. So that the bigger benefit of that will come once, let's say, if cost portfolio of around 40, 50 formulations, and there portfolio of around 80 kind of formulations in generic markets. So all those becomes a significant size of number of products for the markets. So that is the work which is currently working in progress. IPCA Laboratories Limited
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So that's another benefit that's coming. Third is because of our expertise and utilities and also there are utility cost reductions and their operational efficiency on production side is also building up, so that's another advantage

which

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On the export outlook front, if you can give some sense and if you can give some more clarity So bigger and bigger benefit of integrations will come of Unichem portfolio when we start

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And that will give a larger integration benefit because even though Unichem is present in Europe, they are only marketing 5, 6 products where as their U.S. market is more than 80 products. And currently, they are also selling a good number of products out of that, more than 50 products. So it's an integration that's going to be the key drivers and on that, we are working, but it will take time to particular fashion.

Surya Patra: Okay. So then, sir, the 15% kind of a margin guidance for Unichem, what we had given, it is

kind of a back

Ajit Kumar Jain: No, I have not given given. Unichem will still take some time. I said that, yes, we are on a path, whatever we have talked. So I have said that from INR100 crores

in current year with all those kind of efficiencies what we are talking. But that will still not capture a lot of those things which we are currently talking, which are I'm saying.

Surya Patra: Okay. Just last one question that since it is the full year results performance that we are discussing. If you can give some sense about your key subsidiaries also because we have seen some impairment charge

should we think all our investment into various core or noncore subsidiaries, and their performance for the current year?

Ajit Kumar Jain: Let's say, what subsidies we have is one delivering all these

solid state chemistry now. So that subsidy is doing very well. I think their turnover may be around GBP15 million basis.

Second subsidy in India is Trophic Wellness, they market the nutraceuticals and they have also delivered good profit in current year and they are in profit. Third subsidiary

Bayshore. Now with Unichem coming in Bayshore was created only to market Ipca's product.

And now since

marketing certain kind of products, which we are sourcing from some from Bangladesh and some from India and all that.

So it was a very small operations and it had its own cost. So Bayshore is one which will be now -- by and large, the entire operations will happen through, not through Bayshore it's to be from. Unichem's also whatever was

being done from Bayshore, that will also get transferred to Unichem. So that's how integration will happen.

And another subsidiary that was

company we have created for CRAMS business in U.S. because we have very successful business operating from U.K. in the name of Onyx. So it was an extension of that because right IPCA Laboratories Limited

Page 7 of 14 And that will give a larger integration benefit because even though Unichem is present in Europe, they are only marketing 5, 6 products where as their U.S. market is more than 80 products. And currently, they are also selling a good number of products out of that, more than 50 products. So it's an integration that's going to be the key drivers and on that, we are working, but it will take time to -- because everything is regulated, and it has to be done in that particular fashion.

Okay. So then, sir, the 15% kind of a margin guidance for Unichem, what we had given, it is kind of a back-ended only, let's say, FY '26 or '27, like that.

No, I have not given any guidelines for Unichem. I have said consolidation guidelines are given. Unichem will still take some time. I said that, yes, we are on a path, whatever we have talked. So I have said that from INR 50 crores of minus EBITDA, they have reached to around crores in current year. And we expect them to reach to almost around

in current year with all those kind of efficiencies what we are talking. But that will still not capture a lot of those things which we are currently talking, which are in progress. That's what Okay. Just last one question that since it is the full year results performance that we are discussing. If you can give some sense about your key subsidiaries also because we have seen some impairment charge also relating to the credit that we have booked in this quarter. So how should we think all our investment into various core or noncore subsidiaries, and their performance for the current year?

Let's say, what subsidies we have is one is Onyx Pharmaceuticals, which is there at U.K. That's delivering all these -- the development of new manufacturing processes and all those kind of solid state chemistry now. So that subsidy is doing very well. I think their turnover may be around GBP15 million to GBP16 million, and they are a profitable company on a continuous

Second subsidy in India is Trophic Wellness, they market the nutraceuticals and they have also delivered good profit in current year and they are in profit. Third subsidiary

Bayshore. Now with Unichem coming in Bayshore was created only to market Ipca's product.

And now since Unichem is a bigger setup, so the relevance of that and they were only marketing certain kind of products, which we are sourcing from some of the suppliers like from Bangladesh and some from India and all that.

So it was a very small operations and it had its own cost. So Bayshore is one which will be by and large, the entire operations will happen through, not through Bayshore it's to be from. Unichem's -- Ipca's product will also be distributed in U.S. through Unichem and

also whatever was being done from Bayshore, that will also get transferred to Unichem. So that's how integration will happen.

And another subsidiary that we have is Pigsaw, that subsidiary we have created company we have created for CRAMS business in U.S. because we have very successful business operating from U.K. in the name of Onyx. So it was an extension of that because right
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And that will give a larger integration benefit because even though Unichem is present in Europe, they are only marketing 5, 6 products whereas their U.S. market is more than 80 products. And currently, they are also selling a good number of products out of that, more than 50 products. So it's an integration that's going to be the key drivers and on that, we are and it has to be done in that
Okay. So then, sir, t

he 15% kind of a margin guidance for Unichem, what we had given, it is any guidelines for Unichem. I have said consolidation guidelines are given. Unichem will still take some time. I said that, yes, we are on a path, whatever we have 50 crores of minus EBITDA, they have reached to around in current year. And we expect them to reach to almost around INR225 crores in current year with all those kind of efficiencies what we are talking. But that will still not be in progress. That's what

Okay. Just last one question that since it is the full year results performance that we are discussing. If you can give some sense about your key subsidiaries also because we have seen range also relating to the credit that we have booked in this quarter. So how should we think all our investment into various core or noncore subsidiaries, and their is Onyx Pharmaceuticals, which is there at U.K. That's the development of new manufacturing processes and all those kind of solid state chemistry now. So that subsidiary is doing very well. I think their turnover may be close to GBP16 million, and they are a profitable company on a continuous basis. Second subsidiary in India is Trophic Wellness, they market the nutraceuticals and they have also delivered good profit in current year and they are in profit. Third subsidiary what we have is Bayshore. Now with Unichem coming in Bayshore was created only to market Ipca's product. of that and they were only
e of the suppliers like

So it was a very small operations and it had its own cost. So Bayshore is one which will be by and large, the entire operations will happen through, not through Bayshore it's going Ipca's product will also be distributed in U.S. through Unichem and also whatever was being done from Bayshore, that will also get transferred to Unichem. So we have Pigsaw, that subsidiary we have created -- subsidiary company we have created for CRAMS business in U.S. because we have very successful business operating from U.K. in the name of Onyx. So it was an extension of that because right

now, no services being done by Onyx from extend there.

And some kind of, let's say, low volume and high value kind of API manufacturing facilities are there of certain narcotic products and all that kind of things. Onyx also has maybe 2, 3 new commercial API on their pipeline and development of new drugs. So that once the volume pick up, those kind of U.S. production may happen at Pigsaw and certain other narcotic products are right now under development at Pigsaw. So Pigsaw has some small losses currently. With the CRAMS business building up, that

We have 2 associated companies. One is Avik. Avik is a steroid business and they're also delivering profit. The only company where we have not been able to still come in the green is our Krebs that's fermentation operations. This company we have introduced amount of our own captive consumptions and all.

So they have started producing that and large capacity fermenters. So we are looking for some kind of there in terms of contract manufacturing and all. So far, it has not happened, but we've seen progress to utilize their unutilized capacities, which And as far as they have certain chemical blocks, which are being currently utilized. And those blocks are on the breakeven plus they are making profit. But on fermentation side, we still have loss and it may take some time Krebs operations.

Moderator: The next question is from the line of Chirag Dagli from DSP Mutual Fund.

Chirag Dagli: Sir, can you indicate in your guidance of

scale up? And just a little more color around the U.S. scale up over the next 3 years?

Ajit Kumar Jain: Let's say, we had almost around few months, and I think we have received almost around 4 approvals. And prior to date, I think 3 or 4 approvals has come. So almost around 18 plus around 8 number we have. And then there are balance. So right now, it's now whatever

updates are required in those existing files in terms of change in the processes or change in the pharmacopeial status and all that, that work is going on right now.

And at least around 6 to 7 products will be launched out of those kind of approved products in current financial year. And once all those updates are happened, then I think next year, the IPCA Laboratories Limited

Page 8 of 14 now, no services are being -- hardly there is any service to the U.S. company. It's all services being done by Onyx from -- to the European companies are there. So that is what we wanted to

And some kind of, let's say, low volume and high value kind of API production that very small manufacturing facilities are there of certain narcotic products and all that kind of things. Onyx also has maybe 2, 3 new commercial API on their pipeline and development of new drugs. So that once the volume pick up, those kind of -- once they are launched in the market and all, the U.S. production may happen at Pischah and certain other narcotic products are right now under development at Pischah. So Pischah has some small losses currently. With the CRAMS business building up, that will be not there.

We have 2 associated companies. One is Avik. Avik is a steroid business and they're also delivering profit. The only company where we have not been able to still come in the green is our Krebs that's fermentation operations. This company was producing simvastatin and there we have introduced some of our products like Serratia peptidase because we have a large amount of our own captive consumptions and all.

So they have started producing that and -- but still, they have very large capacity large capacity fermenters. So we are looking for some kind of -- the other opportunity is also there in terms of contract manufacturing and all. So far, it has not happened, but we've seen progress to utilize their unutilized capacities, which are there on fermentation side. And as far as they have certain chemical blocks, which are being currently utilized. And those blocks are on the breakeven plus they are making profit. But on fermentation side, we still have loss and it may take some maybe 1.5 years' time before we start making profit from Krebs operations.

The next question is from the line of Chirag Dagli from DSP Mutual Fund.

Sir, can you indicate in your guidance of INR 9,000 crores, how are you baking in the scale up? And just a little more color around the U.S. scale up over the next 3 years?

Let's say, we had almost around -- Ipca's around 18 products were approved I think in the last few months, and I think we have received almost around -- current month itself, we have received around 4 approvals. And prior to date, I think 3 or 4 approvals has come.

So almost around 18 plus around 8 -- 7 or 8 approvals has already come. So that's the overall number we have. And then there are balance filings are there. So once those approval comes in. So right now, it's now whatever updates are required in those existing files in terms of change in the processes or change in the pharmacopeial status and all that, that work is going

and at least around 6 to 7 products will be launched out of those kind of approved products in current financial year. And once all those updates are happened, then I think next year, the IPCA Laboratories Limited May 30, 2024

hardly there is any service to the U.S. company. It's all services to the European companies are there. So that is what we wanted to production that very small

manufacturing facilities are there of certain narcotic products and all that kind of things. Onyx also has maybe 2, 3 new commercial API on their pipeline and development of new drugs. So once they are launched in the market and all, the U.S. production may happen at Pischah and certain other narcotic products are right now under development at Pischah. So Pischah has some

small losses currently. With the CRAMS business

We have 2 associated companies. One is Avik. Avik is a steroid business and they're also delivering profit. The only company where we have not been able to still come in the green is y was producing simvastatin and there -- because we have a large but still, they have very large capacities and very

the other opportunity is also there in terms of contract manufacturing and all. So far, it has not happened, but we've seen which are there on fermentation side. And as far as they have certain chemical blocks, which are being currently utilized. And those blocks are on the breakeven plus they are making profit. But on fermentation side, we still maybe 1.5 years' time before we start making profit from 9,000 crores, how are you baking in the U.S. scale up? And just a little more color around the U.S. scale up over the next 3 years? Ipcas around 18 products were approved I think in the last current month itself, we have received around 4 approvals. And prior to date, I think 3 or 4 approvals has come. 7 or 8 approvals has already come. So that's the overall filings are there. So once those approval comes in. So right now, it's now whatever updations are required in those existing files in terms of change in the processes or change in the pharmacopeial status and all that, that work is going and at least around 6 to 7 products will be launched out of those kind of approved products in current financial year. And once all those updations are happened, then I think next year, the

bigger ramp - financial year.

Chirag Dagli: So FY '26, you should not only see the full impact of the 6 to 7 launches in '25, but also more launches?

Ajit Kumar Jain: Yes, yes. Yes.

Chirag Dagli: Sir, these 25 that you have or 26 that you have as the market over 3 years. Is that how we should think about it?

Ajit Kumar Jain: Yes, that's true. Maybe a few out of that may not be viable now. So because most of them are from our own maybe there are a

Chirag Dagli: Understood. And sir, can you also give some color around margins in the API and the exports business? Some very basic math teens kind of margins? Does that make sense? And how have these behaved over the last maybe 3 years?

Moderator: Sir, I'm sorry, the management line has been disconnected. Kindly stay connected reconnect them, yes. Ladies and gentlemen, thank you for patiently holding. The line for the management has been reconnected. Over to you, sir.

Harish Kamath: Chirag?

Chirag Dagli: Sir, do you want me to repeat the question?

Ajit Kumar Jain: No, no, no. I think there is some problem in connectivity off and on, the lines are getting disconnected. Yes, Chirag?

Chirag Dagli: Sir, do you want me to repeat the question?

Harish Kamath: Yes, yes, please.

Chirag Dagli: Sir, I was asking on the segment business, export formulations and API business at least over the last 3 years. And going forward, how are you thinking about these business margins?

Harish Kamath: Chirag, with this raw material improve going forward, 100 to 150 basis points next 2, 3 years. That is what is our guidance.

Chirag Dagli: 100 to -- over the next 3 years is what you're saying, sir?

Harish Kamath: Every year, 100 to 150 basis points.

Chirag Dagli: Over the next 3 years, okay. Understood. IPCA Laboratories Limited

Page 9 of 14 -up would happen because all those products will be commercialized in next financial year.

So FY '26, you should not only see the full impact of the 6 to 7 launches in '25, but also more Yes, yes. Yes.

Sir, these 25 that you have or 26 that you have as approved products, all of them should be in the market over 3 years. Is that how we should think about it?

Yes, that's true. Maybe a few out of that may not be viable now. So -- but there are very few because most of them are from our own API source. It's not an outsourced API. So maybe there are a few maybe -

- may or may not be market area.

Understood. And sir, can you also give some color around margins in the API and the exports business? Some very basic math suggests that these are businesses which are still in the early teens kind of margins? Does that make sense? And how have these behaved over the last maybe 3 years?

Sir, I'm sorry, the management line has been disconnected. Kindly stay connected reconnect them, yes. Ladies and gentlemen, thank you for patiently holding. The line for the

management has been reconnected. Over to you, sir.

Sir, do you want me to repeat the question?

No, no, no. I think there is some problem in connectivity off and on, the lines are getting disconnected. Yes, Chirag?

Sir, do you want me to repeat the question?

Yes, yes, please.

Sir, I was asking on the segmental, how should we think about margins in the exports and API business, export formulations and API business at least over the last 3 years. And going forward, how are you thinking about these business margins?

Chirag, with this raw material prices now stabilizing, we are very confident our margins will improve going forward, 100 to 150 basis points next 2, 3 years. That is what is our guidance. over the next 3 years is what you're saying, sir?

ar, 100 to 150 basis points.

Over the next 3 years, okay. Understood. IPCA Laboratories Limited

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So FY '26, you should not only see the full impact of the 6 to 7 launches in '25, but also more approved products, all of them should be in but there are very few

API source. It's not an outsourced API. So -- but

Understood. And sir, can you also give some color around margins in the API and the exports suggests that these are businesses which are still in the early

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forward, how are you thinking about these business margins?

Chirag, with this raw material prices now stabilizing, we are very confident our margins will

improve going forward, 100 to 150 basis points next 2, 3 years. That is what is our guidance.

Harish Kamath: Our aim is to reach ultimately to that level of around 24%, 25% over the next 6, 7 years.

Chirag Dagli: Understood, sir. And sir, over the last 3 years, have

businesses come down substantially, that understanding is right?

Harish Kamath: There was also a lot of fluctuation in the material cost. That was the primary reason. Even this year also, the margin improvement is basic

over the overhead expenses, nothing else.

ratio of total business was higher where value addition is more. These are the 3 basic things, which added to

Moderator: The next question is from the line of Bino Pathiparampil from Elara Capital.

Bino Pathiparampil: Clarification on the margin, sir, if I heard right, you have given a more consolidated EBITDA margin guidance of 18% for FY '25, correct?

Ajit Kumar Jain: Yes.

Harish Kamath: Yes.

Bino Pathiparampil: Okay. And you also told around INR 225 crores of EBITDA in FY '25?

Ajit Kumar Jain: Yes.

Bino Pathiparampil: To roughly calculate

from around 6% last year to around 9.5%, 10% this year. So the entire EBITDA margin at the consolidated level increasing from FY '24 to '25 seems to be coming from Unichem. There is no significant improvement, I can see in the rest of Ipca. Am I reading it correct?

Ajit Kumar Jain: No. Ipca's, basically, EBITDA margins in current year is 19.29%. From there, it will move to around 20.5% to 21%, yes. That's what we said.

Bino Pathiparampil: There are also some improvements. Understood, sir. And

second, sir, on the top line guidance,

I heard 2 numbers. One is a 14% top line growth and other is

is correct or there is some difference between these two?

Harish Kamath: Bino, what happened actually in the consolidated results of FY '24, Unichem consolidation was only from August onwards. So in the financial year '25 whole year consolidation will

happen. So to my top line, whatever is there, about

consolidated will also get added.

Bino Pathiparampil: Understood. So the reported number will be 14% growth on the consolidated number? Or will it be INR 9,000 crores?

Harish Kamath: 14% growth on consolidated number, yes. And on a stand

Moderator: The next question is from the line of Kunal Dhamesha from Macquarie. IPCA Laboratories Limited

Page 10 of 14 Our aim is to reach ultimately to that level of around 24%, 25% over the next 6, 7 years. Understood, sir. And sir, over the last 3 years, have the margins for these businesses come down substantially, that understanding is right?

There was also a lot of fluctuation in the material cost. That was the primary reason. Even this year also, the margin improvement is basically on account of lower material costs, plus control over the overhead expenses, nothing else. Plus contribution from formulation business as a ratio of total business was higher where value addition is more. These are the 3 basic things, which added to this margin expansion.

The next question is from the line of Bino Pathiparampil from Elara Capital.

Clarification on the margin, sir, if I heard right, you have given a more consolidated EBITDA margin guidance of 18% for FY '25, correct?

Okay. And you also told -- has answered to one of the questions that Unichem should do 225 crores of EBITDA in FY '25?

To roughly calculate, the INR 225 crores is Unichem has to do, its EBITDA margin should go from around 6% last year to around 9.5%, 10% this year. So the entire EBITDA margin at the consolidated level increasing from FY '24 to '25 seems to be coming from Unichem. There is no significant improvement, I can see in the rest of Ipca. Am I reading it correct?

No. Ipca's, basically, EBITDA margins in current year is 19.29%. From there, it will move to around 20.5% to 21%, yes. That's what we said.

There are also some improvements. Understood, sir. And second, sir, on the top line guidance, I heard 2 numbers. One is a 14% top line growth and other is INR 9,000 crores is correct or there is some difference between these two?

Bino, what happened actually in the consolidated results of FY '24, Unichem consolidation was only from August onwards. So in the financial year '25 whole year consolidation will happen. So to my top line, whatever is there, about INR 2,000 crores of Unichem consolidated will also get added.

Understood. So the reported number will be 14% growth on the consolidated number? Or will it be 9,000 crores?

14% growth on consolidated number, yes. And on a stand-alone number, around 10.5% to 11%.

The next question is from the line of Kunal Dhamesha from Macquarie. IPCA Laboratories Limited May 30, 2024

Our aim is to reach ultimately to that level of around 24%, 25% over the next 6, 7 years. the margins for these -- both these

There was also a lot of fluctuation in the material cost. That was the primary reason. Even this year also, the margin improvement is basically on account of lower material costs, plus control

Plus contribution from formulation business as a ratio of total business was higher where value addition is more. These are the 3 basic things,

Clarification on the margin, sir, if I heard right, you have given a more consolidated EBITDA margin has answered to one of the questions that Unichem should do

is Unichem has to do, its EBITDA margin should go from around 6% last year to around 9.5%, 10% this year. So the entire EBITDA margin at the consolidated level increasing from FY '24 to '25 seems to be coming from Unichem. There is no significant improvement, I can see in the rest of Ipca.

Am I reading it correct?

No. Ipca's, basically, EBITDA margins in current year is 19.29%. From there, it will move to

There are also some improvements. Understood, sir. And second, sir, on the top line guidance, crores number, which

Bino, what happened actually in the consolidated results of FY '24, Unichem consolidation was only from August onwards. So in the financial year '25 whole year consolidation will 2,000 crores of Unichem top line

Understood. So the reported number will be 14% growth on the consolidated number? Or will it be around 10.5% to 11%.

Kunal Dhamesha: Sir, the EBITDA margin guidance of around 18%, does that include the other income?

Harish Kamath: No, no. Now we have stopped including other we have presented in the press conference, it is excluding other income it is excluding other income.

Kunal Dhamesha: Okay. So 18% excluding other income.

Harish Kamath: Yes. We have excluded this year about

Kunal Dhamesha: And for Unichem, the EBITDA margin improvement, is it largely a function of new product launches, if yes, how many

Harish Kamath: No, no that Mr. Jain has already explained, whatever low

capturing. The other work is ongoing. The benefit will come perhaps maybe start getting benefits from the next financial year. Launch a bit more time whereas all other work, which can be done fast, like integration of purchases, raw material costs, utility costs, a little bit improvement in the operational efficiency of their API facilities.

seeing, last financial year also and the current financial year also.

Kunal Dhamesha: But there will be growth as well, right? expecting it to be around

Harish Kamath: That is right. Current year expected

Kunal Dhamesha: So how many product launches are we factoring in for Unichem? And what is the price erosion that we are baking in for the Unichem's U.S. business?

Harish Kamath: Unichem, their gross margin has been steady. There is no change. More or less, their pricing is also on a stabilized basis, hardly any changes happening. So they will launch maybe current year 5 to 6 formulations in the U.S. market.

Kunal Dhamesha: Okay. And anything on the outlook?

Harish Kamath: Maybe around

Kunal Dhamesha: Total should be

Harish Kamath: Yes, on a consolidated basis, that is right.

Kunal Dhamesha: Okay. And sir, our U.S. facility maybe what is the current EBITDA drag

Harish Kamath: Maybe around

for the U.S. market. In fact, 2 formulations are already shipped to U.S. in the current month. IPCA Laboratories Limited

Page 11 of 14 Sir, the EBITDA margin guidance of around 18%, does that include the other income?

No, no. Now we have stopped including other income in our EBITDA. Whatever calculation we have presented in the press conference, it is excluding other income -- press release, sorry, it is excluding other income.

Okay. So 18% excluding other income.

Yes. We have excluded other income. We have also excluded exchange gains. What we made this year about INR20 crores, that also we have excluded.

And for Unichem, the EBITDA margin improvement, is it largely a function of new product launches, if yes, how many products?

No, no that Mr. Jain has already explained, whatever low-hanging fruits are there that we are capturing. The other work is ongoing. The benefit will come perhaps maybe start getting benefits from the next financial year. Launch and source change and all that will take a little bit more time whereas all other work, which can be done fast, like integration of purchases, raw material costs, utility costs, a little bit improvement in the operational efficiency of their API facilities. All this has only contributed whatever incremental EBITDA, the Unichem is seeing, last financial year also and the current financial year also.

But there will be growth as well, right? INR1,700 crores revenue for Unichem, we are it to be around INR2,000 crores?

That is right. Current year expected -- yes.

So

how many product launches are we factoring in for Unichem? And what is the price erosion that we are baking in for the Unichem's U.S. business?

Unichem, their gross margin has been steady. There is no change. More or less, their pricing is also on a stabilized basis, hardly any changes happening. So they will launch maybe current year 5 to 6 formulations in the U.S. market.

Okay. And anything on the capex front for this year at a consol level, what would be our

Maybe around INR300 crores to INR 350 crores, including our normal, whatever Total should be INR350 crores or total should be somewhere around INR 500 crores?

Yes, on a consolidated basis, that is right.

Okay. And sir, our U.S. facilities, Silvassa, Pithampur, what is the current utilization level or maybe what is the current EBITDA drag that they are putting for us at a console level?

Maybe around INR50 crores, INR 60 crores drag. Silvassa has already started manufacturing for the U.S. market. In fact, 2 formulations are already shipped to U.S. in the current month. IPCA Laboratories Limited May 30, 2024

Sir, the EBITDA margin guidance of around 18%, does that include the other income?

income in our EBITDA. Whatever calculation

press release, sorry,

excluded other income. We have also excluded exchange gains. What we made

And for Unichem, the EBITDA margin improvement, is it largely a function of new product hanging fruits are there that we are

capturing. The other work is ongoing. The benefit will come perhaps maybe start getting

and source change and all that will take a little bit more time whereas all other work, which can be done fast, like integration of purchases, raw material costs, utility costs, a little bit improvement in the operational efficiency of their All this has only contributed whatever incremental EBITDA, the Unichem is revenue for Unichem, we are So how many product launches are we factoring in for Unichem? And what is the price erosion Unichem, their gross margin has been steady. There is no change. More or less, their pricing is also on a stabilized basis, hardly any changes happening. So they will launch maybe current front for this year at a console level, what would be our 350 crores, including our normal, whatever capex. 500 crores? what is the current utilization level or that they are putting for us at a console level? 60 crores drag. Silvassa has already started manufacturing for the U.S. market. In fact, 2 formulations are already shipped to U.S. in the current month.

Another 2, 3 products are under commercialization. And Pithampur facility, we are also using for other markets like Australia and New Zealand, Europe and all, where current capacity utilization may be around 35%, yes.

Kunal Dhamesha: And then one last question. If

starts increasing, shall it positively impact our API business? Or you don't see this one

Harish Kamath: See, what was happening, any incremental raw material cost, we used to pass unfortunately, the situation was not so in the last 2 financial years because of stocking and other situation. But hopefully, going forward, everything should get normalized. So I don't think from here on, anything adverse will happen as far as the

Ajit Kumar Jain: By and large, prices are stable at market, and I think we are not witnessing any kind of major change in any kind of procurement prices. Minor change here and there may happen, but that will not impact right now

Kunal Dhamesha: But this raw material pricing cycle has also impacted our API pricing as well, right? Our API prices have also come down in the last couple of years, API business price

Ajit Kumar Jain: Not all. Only a few.

Harish Kamath: The major impact in the API business was because of a single product, Losartan, where currently there is a stability sale price also and raw material price also.

Kunal Dhamesha: And at some point, we had also put a continuous manufacturing

facility for sartan, how is that doing?

Harish Kamath: No, it was not for sartan, for some intermediate, that work is progressing. It will be a slow progress. You can't expect mira

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Sir, just on the India domestic formulation, the top 16 metros forms what percentage domestic formulation sales for us?

Ajit Kumar Jain: The metro-wise sales, we don't capture and separately monitor it. It's monitor is IQVIA numbers that

tabulate the numbers based on the reps territory wise, we don't tabulate as per the metro, and that's not how we see the numbers.

But what we have done in the last few years is that we have more focus on metro side, increase depending on the overall number of doctors

our field force in metro cities. And that's what I said that, that has started resulting in giving a higher growth. So IQVIA has captured almost around 16% growth for us in 6 large metro IPCA Laboratories Limited

Page 12 of 14 2, 3 products are under commercialization. And Pithampur facility, we are also using for other markets like Australia and New Zealand, Europe and all, where current capacity utilization may be around 35%, yes.

And then one last question. If let's say, the raw material prices were to move adversely, if it starts increasing, shall it positively impact our API business? Or you don't see this one

See, what was happening, any incremental raw material cost, we used to pass unfortunately, the situation was not so in the last 2 financial years because of stocking and other situation. But hopefully, going forward, everything should get normalized. So I don't think from here on, anything adverse will happen as far as the material cost is concerned.

By and large, prices are stable at market, and I think we are not witnessing any kind of major change in any kind of procurement prices. Minor change here and there may happen, but that will not impact right now. So more or less, it's a very steady kind of prices are there coming.

But this raw material pricing cycle has also impacted our API pricing as well, right? Our API prices have also come down in the last couple of years, API business prices, like realization in

API business.

Not all. Only a few.

The major impact in the API business was because of a single product, Losartan, where currently there is a stability sale price also and raw material price also.

And at some point, we had also put a continuous manufacturing facility for sartan, how is that

No, it was not for sartan, for some intermediate, that work is progressing. It will be a slow progress. You can't expect miracle over there. Things are happening, but it is slow.

The next question is from the line of Tushar Manudhane from Motilal Oswal Financial

Sir, just on the India domestic formulation, the top 16 metros forms what percentage domestic formulation sales for us?

wise sales, we don't capture and separately monitor it. It's -- basically, what we monitor is IQVIA numbers that -- how they are reporting the overall numbers because we numbers based on the reps territory wise, we don't tabulate as per the metro, and that's not how we see the numbers.

But what we have done in the last few years is that we have more focus on metro side, increase depending on the overall number of doctors practicing there. We have increased the strength of our field force in metro cities. And that's what I said that, that has started resulting in giving a higher growth. So IQVIA has captured almost around 16% growth for us in 6 large metro IPCA Laboratories Limited May 30, 2024

2, 3 products are under commercialization. And Pithampur facility, we are also using for other markets like Australia and New Zealand, Europe and all, where current capacity if let's say, the raw material prices were to move adversely, if it starts increasing

, shall it positively impact our API business? Or you don't see this one -off...

See, what was happening, any incremental raw material cost, we used to pass on. But unfortunately, the situation was not so in the last 2 financial years because of stocking and other situation. But hopefully, going forward, everything should get normalized. So I don't material cost is concerned.

By and large, prices are stable at market, and I think we are not witnessing any kind of major change in any kind of procurement prices. Minor change here and there may happen, but that way. So more or less, it's a very steady kind of pricing are there coming.

But this raw material pricing cycle has also impacted our API pricing as well, right? Our APIs, like realization in

The major impact in the API business was because of a single product, Losartan, where And at some point, we had also put a continuous manufacturing facility for sartan, how is that No, it was not for sartan, for some intermediate, that work is progressing. It will be a slow cle over there. Things are happening, but it is slow.

The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Sir, just on the India domestic formulation, the top 16 metros forms what percentage of the basically, what we

how they are reporting the overall numbers because we

numbers based on the reps territory wise, we don't tabulate as per the metro, and

But what we have done in the last few years is that we have more focus on metro side, increase practicing there. We have increased the strength of

our field force in metro cities. And that's what I said that, that has started resulting in giving a higher growth. So IQVIA has captured almost around 16% growth for us in 6 large metro

cities. And as a

the business for us.

Tushar Manudhane: So at least on the field force side, if you could share how many are dedicated for metro cities?

Ajit Kumar Jain: Division wise, it's a different

Harish Kamath: Tushar, we have 21 market divisions.

Tushar Manudhane: No, no, no, division

Harish Kamath: Division has presence in all metro cities.

Tushar Manudhane: Okay. And what's your outlook at the industry growth for, say, next 12 to 24 months for domestic formulation? Industry industry level.

Ajit Kumar Jain: The industry is currently, I think setting challenges on very robust and also because of all those kind of significant amount of heat and the temperature is rising everywhere and all. So that is also resulting in the overall lower growth in the market because people are not ve

longer period of time, we are not seeing such kind of numbers for Acute segment.

So over a period of time, Acute should revive. Chronic has already revived and Chronic markets are growing very well

are there. And once the Acute segment revives, overall market may start growing again by

around 10% to 12% and currently 7% to 8% kind of growths are there in the market.

Tushar Manudhane: Understood. So that's helpful.

Ajit Kumar Jain: [inaudible 0:41:11]

Tushar Manudhane: Sorry, sir, I missed your statement.

Ajit Kumar Jain: If markets start growing by around 10% to 11% kind of thing, our growth in domestic then we'll start giving around 14% kind of growth.

Tushar Manudhane: Understood. And for fourth quarter or for full year, if you could also share price volume and new launches for Ipca?

Harish Kamath: Pardon, Tushar?

Tushar Manudhane: Sir, price volume and new launches growth for Ipca?

Harish Kamath: See, current year wholesale price index, you also know, Tushar, there is no price increase as far as the products which are under NLEM. So otherwise, the normal 4%, 5%, 6% price increase, maybe another

introduction, another 2%. IPCA Laboratories Limited

Page 13 of 14 cities. And as against market was growing in those are around 8%. So metros are now driving the business for us.

So at least on the field force side, if you could share how many

are dedicated for metro cities?

Division wise, it's a different number. I don't...

Tushar, we have 21 market divisions.

No, no, no, division-wise, sir, our overall field force metro, non-metro...

Division has presence in all metro cities.

What's your outlook at the industry growth for, say, next 12 to 24 months for domestic formulation? Industry-wise, you already shared your revenue growth just on the industry level.

The industry is currently, I think setting challenges on Acute segment, Acute growth are not very robust and also because of all those kind of significant amount of heat and the temperature is rising everywhere and all. So that is also resulting in the overall lower growth in the market because people are not venturing out and all those kind of things. So longer period of time, we are not seeing such kind of numbers for Acute segment.

So over a period of time, Acute should revive. Chronic has already revived and Chronic markets are growing very well. So overall, it's on only the Acute segment, where certain issues are there. And once the Acute segment revives, overall market may start growing again by around 10% to 12% and currently 7% to 8% kind of growths are there in the market.

Understood. So that's helpful.

[inaudible 0:41:11] it should be go to around 14%, yes.

Sorry, sir, I missed your statement.

If markets start growing by around 10% to 11% kind of thing, our growth in domestic then we'll start giving around 14% kind of growth.

Understood. And for fourth quarter or for full year, if you could also share price volume and new launches for Ipca?

Pardon, Tushar?

Price volume and new launches growth for Ipca?

See, current year wholesale price index, you also know, Tushar, there is no price increase as far as the products which are under NLEM. So otherwise, the normal 4%, 5%, 6% price increase, maybe another 5%, 6% volume growth. I'm telling non-NLEM and plus new product introduction, another 2%. IPCA Laboratories Limited

May 30, 2024

Against market was growing in those are around 8%. So metros are now driving

So at least on the field force side, if you could share how many are dedicated for metro cities?

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longer period of time, we are not seeing such kind of numbers for Acute segment.

So over a period of time, Acute should revive. Chronic has already revived and Chronic

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are there. And once the Acute segment revives, overall market may start growing again by around 10% to 12% and currently 7% to 8% kind of growths are there in the market.

If markets start growing by around 10% to 11% kind of thing, our growth in domestic market,

Understood. And for fourth quarter or for full year, if you could also share price volume and

See, current year wholesale price index, you also know, Tushar, there is no price increase as

far as the products which are under NLEM. So otherwise, the normal 4%, 5%, 6% price NLEM and plus new product

Tushar Manudhane: Understood. And secondly, sir, any further clarity in terms of the inspection at Unichem side, I guess they have been inspected last in 2020.

Harish Kamath: Nothing. Only one plant got inspected and without a ny 483, they have cleared the inspection. Beyond that there are no other plants got inspected. Only one facility got reinspected.

Moderator: The next question is from the line of Jayant, an current participant is not answering. And that was the last question. I would now like to hand the conference over

er to the management for closing comments. Over to you, sir.

Harish Kamath: Michelle, unless there comments we want to make. So you can the question queue, anything, nothing?

Moderator: Sir, nobody is there in the queue.

Harish Kamath: Okay. Then we can close, Michelle.

Moderator: Thank you so much, sir.

Harish Kamath: Thank you, all.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of DAM Capital Advisors Limited, that concludes this conference. We thank you for joining us lines. Thank you. IPCA Laboratories Limited

Page 14 of 14 Understood. And secondly, sir, any further clarity in terms of the inspection at Unichem side, I guess they have been inspected last in 2020.

Nothing. Only one plant got inspected and without a ny 483, they have cleared the inspection. Beyond that there are no other plants got inspected. Only one facility got reinspected.

The next question is from the line of Jayant, an individual investor. Ladies and gentlemen, the current participant is not answering. And that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Michelle, unless there is anybody else asking questions, I don't think there is any further comments we want to make. So you can -- one more time you can ask if anybody is there in the question queue, anything, nothing?

Sir, nobody is there in the queue.

Okay. Then we can close, Michelle.

Thank you so much, sir.

Thank you, all.

Thank you, sir. Ladies and gentlemen, on behalf of DAM Capital Advisors Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you. IPCA Laboratories Limited

May 30, 2024

Understood. And secondly, sir, any further clarity in terms of the inspection at Unichem side, I Nothing. Only one plant got inspected and without a ny 483, they have cleared the inspection. Beyond that there are no other plants got inspected. Only one facility got reinspected.

Ladies and gentlemen, the

current participant is not answering. And that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

There is anybody else asking questions, I don't think there is any further one more time you can ask if anybody is there in

Thank you, sir. Ladies and gentlemen, on behalf of DAM Capital Advisors Limited, that and you may now disconnect your

Call: Aug 2024

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August 19, 2024

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai 400 023

Scrip Code – 524494 National Stock Exchange India Limited,

Exchange Plaza, C-1, Block-G,

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Mumbai-400051.

Scrip Code : IPCALAB

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ear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of our Conference Call which was held on Wednesday, 14th August, 2024 to discuss the Company's Q1FY25 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

Encl: a/a

"Ipca Laboratories

Conference Call

MANAGEMENT : M R. A. K.

LABORATORIES

MR. HARISH

COMPANY

LIMITED

MODERATORS : M R. NITIN

Laboratories Limited Q1 FY25 Earnings

Conference Call "

August 14, 2024

K. JAIN – MANAGING DIRECTOR , IPCA

LABORATORIES LIMITED

HARISH KAMATH – CORPORATE COUNSEL

COMPANY SECRETARY , IPCA LABORATORIES

LIMITED

NITIN AGARWAL – DAM CAPITAL ADVISORS

Earnings

IPCA

COUNSEL &

LABORATORIES

ADVISORS

IPCA Laboratories Limited

August 14, 2024

Page 2 of 8 Moderator: Ladies and gentlemen, good day and welcome to the IPCA Laboratories Earnings Conference Call hosted by DAM Capital Advisors Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors Limited.

Thank you and over to you, Mr. Nitin.

Nitin Agarwal: Thanks, Priya. Good afternoon, everyone, and a very warm welcome to IPCA Lab's Q1 FY '25 earnings call hosted by DAM Capital Advisors Limited.

On the call today, we have representing IPCA Lab Management, Mr. A. K. Jain – Managing Director; and Mr. Harish Kamath – Corporate Counsel and Company Secretary.

I will hand over the call to Mr. Jain to make the Opening Comments, and then we will open the floor for a quick Q&A. Mr. Jain, please go ahead, sir.

A.K. Jain: Thanks, Nitin, and DAM Capital for organizing this call. Good afternoon to all participants, and thanks for taking out time and joining us for Q1 FY '25 Earnings Call.

Today's call and discussions and answer given may include some forward-looking statements based on our current business expectations that must be viewed in conjunction with the risk that pharmaceutical industry business faces. Our actual future financial performance may differ from what is projected and perceived. You may take your own judgment on information given during the call.

Domestic formulation:

Our domestic formulation business for the quarter has delivered a growth of around 12%. If you look at external data MAT June '24, IPCA is ranked as a 16th pharma Company in IQVIA, and it's the fastest-growing Company among the top 20 players as per MAT June '24. We have delivered market beating growth in both acute and chronic segments and that are recorded by IQVIA for Q1 '25. Overall, IPM in this period has grown by around 9% and IPCA delivered growth of 15%.

On Acute Segment:

IPM growth was around 8%; we have growth of around 12%. And on chronic segment, IPM growth was 11%, and we have delivered around 20% growth as per IQVIA.

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Page 3 of 8 The Company continued to increase its market share, the MAT June 2024, our market share has crossed around 2.01% from 1.91% in MAT June '23. And for Q1 '24, our market share has gone up to around 2.17% as against Q1 '23 of 2.06%. So, there is a clear gain of almost around 11 basis points.

On export formulation business, there is a decline of 1% in Q1 '25 from around Rs. 398 crores to Rs. 395 crores. We have faced major challenges in shipping, getting containers timely and some of the challenge also faced on the supply chain side, that has resulted in a decline in the business.

On API Business:

We continue to face some challenges. And in Q1 '25, the business declined by 2% from Rs. 295 crores to around Rs. 287 crores.

On Margin Basis:

If you look at margin or standalone EBITDA margin for Q1 is 22.25% is better than our guidelines of 21% for the financial year. Our consolidated EBITDA margin is around 18.52% is also better than overall guidelines for the year at around 18% for the year. Improvement in the margin are because of improvement in overall product mix, lower input costs as well as lower manufacturing and other costs.

Income from Operations:

If you look at, the Company has delivered a standalone growth of around 5%. It is lower compared to our guidelines of around 10.5% to 11%, largely because of exports that we have discussed above. We expect better growth in line with our projections for Q1 '25 and also for the rest of the year. Consolidation results are not comparable as Unichem resu

Its are

consolidated from the second quarter of FY '24.

Having given the broad numbers, then I would request participants to ask their questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Sir, on the gross margin front, firstly on an ex-Unichem basis, there has been a very healthy win. Is this to do with lower exports? And so as the exports scale up, would we see some rationalization of gross margin going forward?

A.K. Jain: Let's say, our exports also, we have good margins. It's not that except the U.K. where the margins are a little lower, but all other markets also we have got good margins. So, that's the reason for overall...

IPCA Laboratories Limited

August 14, 2024

Page 4 of 8 Tushar Manudhane: So, this kind of gross margin is sustainable for FY '25 per se?

A.K. Jain: If you look at this, the only factor which is there, we have lower gross margin on API side and API business has not grown. So, to some extent, because of this product mix also, there margins could be better. But is largely because of product mix improvement and also because of lower input costs. And also our operating costs remaining in control. If you look at our manufacturing and other expenditure, that has grown by just 2% here. Employment costs may be around 9%, here.

Tushar Manudhane: So, sorry for that, sir. Sir, secondly, on the exports also, do you see revival happening soon or this logistics issue might prevail for a couple of quarters?

A.K. Jain: Logistics issue will take some more time because the ground situation has not improved yet.

So, those issues will continue for some more time. But exports certainly will improve. I think the major setback in this quarter, we have faced mostly in one particular geography, Australia, New Zealand, where the business has gone down by almost around Rs. 40 crores, so that is the

one, which is, by and large, is relating to some supply chain on the API side that got a little issue. So, we are not able to manufacture those kind of products, supplies may come maybe in this quarter. So, if things start happening again on third quarter onwards from that market. So, that was one major challenge we have faced during this quarter and some export shipments also got a little delayed in the market here because of the shipping issues.

Tushar Manudhane: Understood. And lastly, on API side, if you could just share what would have been the volume growth and the price erosion that would happen in the quarter?

A.K. Jain: Price erosions are now very limited, right? Price erosions were there, but now it's very, very limited. Now it's not, maybe 2%, 3% here and there, but price erosion trend has stopped now.

And I would say that the input cost is also not moving up to that extent. There is a marginal improvement here and there in solvents and others. But by and large, your material costs are also very stable here.

Moderator: Thank you. The next question is from the line of Aayan from Nomura. Please go ahead.

Aayan: Just wanted to understand the issue on export formulation and API, you highlighted supply issues. So, the guidance that you had given end of last quarter, now with respect to API delivering 6%, 7% growth and generic also double-digit growth. How should we think about that given this uncertainty? And how much it can be recovered for the rest of the year?

A.K. Jain: Yes. The overall guidance if you look at was 10.5% to 11% growth for the year. And I think second quarter we will certainly deliver that kind of growth. And going forward, also that kind of growth will come, but I think whatever deficiency has come in the quarter, that's very

IPCA Laboratories Limited

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Page 5 of 8 difficult to bridge. So, overall, for the year, there could be overall growth

of around 9% or so, broadly.

Aayan: Understood. And on Unichem, if you can update on the progress that you've seen. We've seen improvement in gross margins. And the overheads have remained largely flat. So, how are you think about the progress there? And the synergies that you mentioned, both on the revenue and the cost side, where are we with respect to realizing those? And if you can give some color on the future here.

A.K. Jain: So, on the topline side, I think there is marginal pressure on pricing. So, it's not very high.

Even looking at that also, the gross margins have improved because we could substantially reduce the lower pricing on procurement side and advantage, we could extent for the overall, combining the volumes of procurement of IPCA and Unichem put together and then negotiating the prices. So, our price negotiation is far more improved. There are certain operating efficiencies has come in their operations, and that is also resulting in the overall better margin side. And on utility side, they have further improved the cost on utilities, and therefore, the manufacturing other expenses have not grown in line with overall business growth and all so that also savings has come. Some of the intermediates, they could reduce the cost of production. And I think that's going to be commercialized in next 2 quarters. So, that advantage will also come. And as far as other objectives of market extensions are concerned, there is every month a review is happening, and lot of work are happening on that line. But I think those advantage would come in the, I think, maybe around 1, 1.5 years from now.

Nothing is going to come very quickly because a lot of work are happening, the other compilations are going on. They will be filed with regulators. And once they review and whatever their queries are there, that replied, only after then, we will get the approvals and then marketing preparations, all that. So, it's a 1.5 to 2 years kind of journey. So, that work is continuously going on for extending products to the various markets, whether it's Europe, whether it's a market in Latin America like Chile or whether it's Australia, New Zealand, or those kind of Canada markets. So, everywhere those kind of work are happening. So, that's a little longer term, and that is what will give the real advantage once those benefits start coming in. On API process reduction side, also a lot of work is happening. But again, it may take 1.5 years' time for that to reflect in the results. So, right now, it's basically all low-hanging fruits, that is what we could like, say, operating efficiencies, purchasing efficiencies. And their shipping costs, I think earlier, they were practically almost around 60% of their volumes were going through air and 40% by sea for U.S. market. So, that has been reversed now. It's only 17%, 18% is now going by air. But in spite of that, their freight costs have moved up in this quarter, largely because sea freight has also gone almost around 3x. So, overall, maybe I think in time to come, the situation will ease, and I think what operational efficiencies which we have built up, that will bring even shipping costs and time to come down. So, that will further add to the overall profitability of Unichem.

IPCA Laboratories Limited

August 14, 2024

Page 6 of 8 Moderator: Thank you. Next question will be from the line of Shiva from Purnartha Investment Advisors.

Please go ahead.

Shiva: Congrats on strong margins posted. My first question is with respect to Unichem. For the full year, I just wanted to understand, obviously, Unichem posted a great number last year in generics. So, the base has been a little bit on the higher side. And the first quarter, as you pointed out, one was the logistics, which is pulled off. But on an overall level, how do you see the environment of generics in U.S.A. per se? And how do you look at it for Unichem?

A.K. Jain:

So, there is not much of pricing pressure. Its only marginal pressures are there. But otherwise, let's say, the U.S. is a good market, and we are not seeing that kind of bloodbath now. So, it's a better time for this generic business overall.

Shiva: And the demand outlook is strong. Do you feel there's a double-digit potential growth? Or how do you look at the overall growth?

A.K. Jain: It's possible to achieve double-digit kind of growth for us, yes.

Shiva: And with respect to MR, obviously, we've added substantial amount earlier. Just wanted to understand what was the productivity of the MR for the full last year? And what is the current strength? And how do you look at the productivity for this year as a percentage of the exact number, what kind of improvement are we looking at?

A.K. Jain: We have close to around 6,500 MRs right now, last year may around a little less than 6,000 around that time. And some more MRs are being added now because 1 more division on pain we are starting now. It may be around the next 2 months' time that the division will be launched in the market. So, in overall productivity, I think around 1st Quarter last year, we had a productivity of 4.21 lakhs. And current year first quarter, it is around, I think, 4.52 lakhs of the productivity for month, but there is a significant improvement from 4.21 lakhs to 4.52 lakhs per month, despite the overall increase in the field staff.

Moderator: Thank you. The next question will be from the line of Damayanti Kerai from HSBC. Please go ahead.

Damayanti Kerai: Sir, you mentioned the shortfall on the export side, which you have seen in 1 quarter that might not be bridged. So, how do you see the overall export growth for the market? And in terms of profitability at the consolidated level, what are your expectations for FY '25?

A.K. Jain: Overall, I think topline growth, our earlier projection was around 10.5% to 11%. That may remain around 9% for the whole of the year for the Company. I'm talking IPCA as a standalone. And as far as profitability are concerned, I think that it's going to be better than what we have initially projected, what the earlier guidelines we have given last year was for IPCA Laboratories Limited

August 14, 2024

Page 7 of 8 Q4, around that time the profitability of around 18.5% overall, we have the consolidated margins we have guided. And overall EBITDA for the standalone was guided around 20.5% to 21%. So, there are possibility of further improvement in that because our current quarter margins are better and second quarters are much better quarter. So, it may further exceed that and overall, margins maybe around 0.5 basis point to 1 basis point, it will be higher than what guidance we have given earlier.

Damayanti Kerai: Okay. That's helpful, sir. And my second question is if you can update us on your advancement in the U.S. market in terms of how you're advancing in supplies or in filing for the market? Like I understand, it's slightly longer term to scale up, but nonetheless, if you can talk about the progress which you have seen so far?

A.K. Jain: So, currently, I think, 2 products are launched already there. And I think in this balance period of current financial year, at least 3 to 4 products will be commercialized more. So, around 5 to 6 products will be launched in the current year, and then next year may be another 6 to 7 products may be launched. So, overall, next 2 years, I think we should reach to around 12 to 13 kind of products in the market, yes.

Damayanti Kerai: But this should be helping at least in better utilization of your U.S. plants, right? Although sales will come maybe later on. We will see better sales later. But at this point of time, you are utilizing plants better and that has been...?

A.K. Jain: Utilizing plants better, and that will also improve the overall profitability because most of these products are from captive

consumption. So, practically, everything is from captive

consumption. So, our API plant utilizations and our formulation plant utilization, that will lead to the overall margins also.

Damayanti Kerai: So, sir, 12 to 13 launches in the next 2 years, cumulatively. And what's the update on the filing part? Are you filing new products or on the existing ANDAs only you are trying to update the dossiers?

A.K. Jain: See, last 10 years, we did not work on U.S. market. So, there is no pipeline for filing in IPCA as far as, so that pipeline is building now, and it takes time. So, a lot of bioinoculant studies and other things are going on. So, once we file, then we will start updating. But still, I think

maybe 6, 8 months away from filing anything new.

Moderator: Thank you. As there are no further questions from the participants, I'd like to hand over the conference to the management for closing comments.

A.K. Jain: We have nothing to add. So, if there are no further questions, we can close this con call.

IPCA Laboratories Limited

August 14, 2024

Page 8 of 8 Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

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November 18, 2024

BSE Ltd.

Phiroze Jeejeebhoy Towers

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Scrip Code – 524494 National Stock Exchange India Limited,

Exchange Plaza, C-1, Block-G,

Bandra Kurla Complex, Bandra – (East).

Mumbai-400051.

Scrip Code : IPCALAB

Dear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of our Conference Call which was held on Thursday, 14th November, 2024 to discuss the Company's Q2H1FY25 earnings and business update..

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

Encl: a/a

"Ipca

Q2 FY '25

November 14

MANAGEMENT : M R. AJIT

IPCA L

MR. HARISH

COMPANY

LIMITED

MODERATOR : M R. NITIN

LIMITED

Page 1 of 17 Ipca Laboratories Limited

5 Earnings Conference Call"

November 14 , 2024

JIT KUMAR JAIN –MANAGING DIRECTOR

LABORATORIES LIMITED

HARISH KAMATH – CORPORATE COUNSEL AND

COMPANY SECRETARY – IPCA LABORATORIES

LIMITED

NITIN AGARWAL – DAM CAPITAL ADVISORS

LIMITED

DIRECTOR –

COUNSEL AND

LABORATORIES

ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Conference Call

lines will be in the listen

after the presentation concludes. Should you need assistance during the signal an operator by pressing star, then zero on your touch conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors Limited.

Thank you, and over

Nitin Agarwal: Thank you. Good afternoon, everyone, and a very warm welcome to post- earnings conference call hosted by DAM Capital Advisors Limited. On the call today, we have representing

Kamath, Company Secretary and Company Counsel.

I will hand over the call to Mr. Jain to make the opening comments, and then we'll open the floor for questions. Please go ahead.

A.K. Jain Thanks, Nitin and DAM Capital

advisors. The answer given may include some forward

expectations. It must be viewed in conjunction with the risk that pharmaceutical industry

business faces. Our pursuit. You may take your own judgment on information given during the call.

Business performance. Domestic formulation business delivered a growth of 11% for the quarter. Mid - fastest-growing company among the top 20 players.

'25 and late September '24. Overall, IPM growth is around 8% and as per IQVIA around 13% growth. And mid IPCA has delivered around 14% growth.

Both on acute and chronic segment,

Acute segment 12%. And on chronic segment, your market growth is around 10% and we have delivered around 17% growth as per IQVIA.

IPCA continued to improve its market share. In Q2 FY '25, our market share has increased to 2.14% as against 2.04% in Q2 FY '24. And mid 2.03% as against 1.92% in mid point improvement in the overall in market share. And in second quarter, the improvement almost around 10 basis points. We have now 6 brands among the top 300 brands in the IPM. CTD- T has now entered in top 300 brands list with 193 rank in mid rank gain.

On export formulation business, we have delivered a round 15 branded promotional business has declined by around 6% in this quarter. Generic business has IPCA Laboratories Limited November

Page 2 of 17 Ladies and gentlemen, good day, and welcome to the IPCA Laboratories Limited Q2 FY '25 Conference Call, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors Limited.

Thank you, and over to you, sir.

Thank you. Good afternoon, everyone, and a very warm welcome to IPCA earnings conference call hosted by DAM Capital Advisors Limited. On the call today, we have representing IPCA management Mr. A.K. Jain, Joint Managing Director; and Mr. Harish Kamath, Company Secretary and Company Counsel.

I will hand over the call to Mr. Jain to make the opening comments, and then we'll open the floor for questions. Please go ahead.

Thanks, Nitin and DAM Capital for organizing this call. Today's call and discussions and answer given may include some forward-looking statements based on our current business expectations. It must be viewed in conjunction with the risk that pharmaceutical industry business faces. Our actual future financial projections may differ from what is projected in pursuit. You may take your own judgment on information given during the call.

Business performance. Domestic formulation business delivered a growth of 11% for the -September 2024, IPCA is ranked as the 16th player in -- as per IQVIA and the growing company among the top 20 players. IPCA has outpaced the industry in Q2 FY '25 and late September '24. Overall, IPM growth is around 8% and IPCA has delivered almost per IQVIA around 13% growth. And mid -September '25, IPM growth is around 8% and has delivered around 14% growth.

Both on acute and chronic segment, IPCA has delivered better growth compared to the market. Acute segment in this quarter has grown by almost around 7% and IPCA 12%. And on chronic segment, your market growth is around 10% and we have delivered around 17% growth as per IQVIA.

continued to improve its market share. In Q2 FY '25, our market share has increased to as against 2.04% in Q2 FY '24. And mid -September 2024, our market share is around 2.03% as against 1.92% in mid -September '23. So overall, there is almost around 11 basis point improvement in the overall in market share. And in second quarter, the improvement almost around 10 basis points. We have now 6 brands among the top 300 brands in the IPM. T has now entered in top 300 brands list with 193 rank in mid -September 2024 with 88

On export formulation business, we have delivered a round 15% growth for the quarter. The branded promotional business has declined by around 6% in this quarter. Generic business has IPCA Laboratories Limited November 14, 2024

Laboratories Limited Q2 FY '25

As a reminder, all participant only mode and there will be an opportunity for you to ask questions conference call, please

Please note that this

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IPCA Labs Q2 FY '25

earnings conference call hosted by DAM Capital Advisors Limited. On the call today, we have Mr. Nitin Agarwal, Managing Director; and Mr. Harish Jain, Managing Director.

I will hand over the call to Mr. Jain to make the opening comments, and then we'll open the floor for organizing this call. Today's call and discussions are based on our current business

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Business performance. Domestic formulation business delivered a growth of 11% for the quarter as per IQVIA and the

has outpaced the industry in Q2 FY

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September '25, IPM growth is around 8% and

has delivered better growth compared to the market.

growth is around

12%. And on chronic segment, your market growth is around 10% and we have delivered

continued to improve its market share. In Q2 FY '25, our market share has increased to

September 2024, our market share is around

September '23. So overall, there is almost around 1.1 basis

point improvement in the overall in market share. And in second quarter, the improvement is

almost around 10 basis points. We have now 6 brands among the top 300 brands in the IPM.

September 2024

with 88

% growth for the quarter. The

branded promotional business has declined by around 6% in this quarter. Generic business has

grown by around 8%, and institutional business in this quarter has grown by almost around

85%. So overall business growth has been around

around 15% overall for the quarter. Overall API business has declined by around 5%.

Domestic business has recovered and delivered a growth of around 14% for the quarter. But

API business has come

And overall API business for the quarter is around

same period last year.

On margin front, our stand

20.86% in same period last year, an improvement of almost around 2.03%. Our consolidated

EBITDA margin for Q2 FY '25 is at 19.10% as against 17.64% for Q2 FY '24, an

improvement of around 1.46%. The improvement in the margin is largely due to improvement

in product mix, lower input costs and lower manufacturing and other overhead. Both the stand

alone and consolidated EBITDA margins are better than the guidelines given before the FY

'25.

Having given the broad numbers, now I request participants to ask questions.

Moderator: The first question is from the line of Kunal Dhamesha from Macquarie.

Kunal Dhamesha: So sir, the first question on the FY '25 outlook that we had provided earlier on the top line

consolidated top line and EBITDA margin. If you can update

are your revised ex

of the banks in the recent phone calls have also highlighted...

Moderator: Mr. Kunal, your voice is fluctuating. I would repeat

question.

Kunal Dhamesha: Is it better now?

A.K. Jain Kunal, in the

Kunal Dhamesha: Sorry, sir, sorry, sir. Is it better now?

A.K. Jain Yes, better now.

Kunal Dhamesha: Sure. Sir, I just wanted to ask, we had provided some guidance on top line and EBITDA

margin on a consolidated basis

updated expectation for FY '25?

A.K. Jain If you look at our margin side, our guidance for stand

that -- I think, yes, incrementally, we have delivered around 22.

for the full year overall

against 21% guideline. And the similar line, overall consolidated margins will also be better.

Overall growth projections given for

for the whole of the financial year, we will have a growth of almost around 9% to 10% now. IPCA Laboratories Limited

November

Page 3 of 17 grown by around 8%, and institutional business in this quarter has grown by almost around

85%. So overall business growth has been around -- generic business, business growth is around 15% overall for the quarter. Overall API business has declined by around 5%. Domestic business has recovered and delivered a growth of around 14% for the quarter. But API business has come -- API export business has continued to show some kind of decline. And overall API business for the quarter is around INR 319 crores as against same period last year.

On margin front, our standalone margin for the Q2 EBITDA margin is 22.89% against 20.86% in same period last year, an improvement of almost around 2.03%. Our consolidated EBITDA margin for Q2 FY '25 is at 19.10% as against 17.64% for Q2 FY '24, an improvement of around 1.46%. The improvement in the margin is largely due to improvement in product mix, lower input costs and lower manufacturing and other overhead. Both the standalone and consolidated EBITDA margins are better than the guidelines given before the FY. Having given the broad numbers, now I request participants to ask questions. The first question is from the line of Kunal Dhamesha from Macquarie.

So sir, the first question on the FY '25 outlook that we had provided earlier on the top line consolidated top line and EBITDA margin. If you can update us after H1 performance what revised expectation for the full year '25 have a further impact on consumption of the banks in the recent phone calls have also highlighted...

Mr. Kunal, your voice is fluctuating. I would repeat -- I would request you to repeat your question. Is it better now? background also so

me noise is coming.

Sorry, sir, sorry, sir. Is it better now?

Yes, better now.

Sure. Sir, I just wanted to ask, we had provided some guidance on top line and EBITDA margin on a consolidated basis with the H1 performance behind us, what would be your updated expectation for FY '25?

If you look at our margin side, our guidance for standalone margin was around 21% as against I think, yes, incrementally, we have delivered around 22.89%. And therefore, overall,

for the full year overall -- your -- standalone EBITDA margins are likely to be around 22% as against 21% guideline. And the similar line, overall consolidated margins will also be better.

Overall growth projections given for the whole year was around 10% to 11%. As against this, for the whole of the financial year, we will have a growth of almost around 9% to 10% now. IPCA Laboratories Limited November 14, 2024

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estimations. So sir, the first question on the FY '25 outlook that we had provided earlier on the top line -- after H1 performance what impact on consumption? Some

I would request you to repeat your

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for the whole of the financial year, we will have a growth of almost around 9% to 10% now.

Kunal Dhamesha: Okay. So probably at the absolute EBITDA level, more or less the same because lower top line and the margins.

achieving those synergies? What have you already realized in this results in the last couple of quarters? And where do we see that going in the next 3, 4 quarters

A.K. Jain Unichem, we have taken over

Unichem sourcing product from us, work is still going on. That portion has not started, which will also have some kind of cost reduction for them, a few of them are currently buying from outside. And I think May, it may take around 5, 6 months. So in current year, practically nothing of that nature will happen. We also talked about Unichem's improvement in the API processes, where I think all have reduced overall their manufacturing cost and validations are over. Now all these 6 products, the improvements are almost around somewhere between the 25% to 30% reduction in API.

Now the whole process of filing and then taking increment is already done and the balance is in pipeline already. And as far as the procurements are concerned, a lot of benefit has already come as buying are now shaken up by the common group. And whatever all got extended to the Unichem also. So those advantages come. As far as market extensions are come, there are a lot of work are in pipeline and we said that it is going to take a little longer filing in the market and all that. So this may take one more year to start, only then

the products where the straight away your U.S. dossiers can be filed in Europe and various other markets. So that process is going on. Right now, a few products are already filed, which approvals are yet pending. Larger product range to extend to the other market is going to around 1 more year because it's all regulatory process and what of data needs to be generated. But our initial calculations, where we were talking that on second year onwards, we should be able to get around

I think that will surpass in the current year itself. In first half of the current year, the EBITDA margin of Unichem is

filing, the approvals are received and all that. So the

Kunal Dhamesha: And sir, last one, if I may. How is our plant clearances? Have you launched any products? And how is the uptake in those products?

A.K. Jain I think overall, we have spent goods to US, But most of the goods had reached to them at the end of the period, I think they are highly out of that almost

these were all in stock. And now sales will start reflecting from the third quarter onwards. So technically, it's not eliminated in consolidation practically in the power. So nothing major has IPCA Laboratories Limited November

Page 4 of 17 Okay. So probably at the absolute EBITDA level, more or less the same because lower top line and the margins. Sir, for the Unichem business in terms of synergies, where are we in terms of achieving those synergies? What have you already realized in this results in the last couple of quarters? And where do we see that going in the next 3, 4 quarters?

Unichem, we have taken over -- we have spoken about many synergies part. As far as your Unichem sourcing product from us, work is still going on. That portion has not started, which will also have some kind of cost reduction for them, a few of our APIs, which they are currently buying from outside. And I think May, it may take around 5, 6 months.

So in current year, practically nothing of that nature will happen. We also talked about Unichem's improvement in the API processes, where I think almost around 6 products, we have reduced overall their manufacturing cost and validations are over. Now all these 6 products, the improvements are almost around somewhere between the 25% to 30% reduction. Now the whole process of filing and then taking approval and that will start. Fixed product increment is already done and the balance is in pipeline already. And as far as the procurements are concerned, a lot of benefit has already come as buying are now shaken up by the common group. And whatever IPCA benefits are there in terms of lower your pricing, that all got extended to the Unichem also. So those advantages come.

As far as market extensions are come, there are a lot of work are in pipeline and we said that it is going to take a little longer time because it's post validation then stability studies and then filing in the market and all that. So this may take one more year to -- for that kind of things to start, only the products where the -- no further bioequivalences are to be done and where you straight away your U.S. dossiers can be filed in Europe and various other markets.

So that process is going on. Right now, a few products are already filed, which approvals are yet pending. Larger product range to extend to the other market is going to take another almost around 1 more year because it's all regulatory process and what of data needs to be generated. But our initial calculations, where we were talking that on second year onwards, we should be able to get around INR200 crores kind of EBITDA margin.

I think that will surpass in the current year itself. In first half of the current year, the EBITDA margin of Unichem is INR113.75 crores. All these improvements will keep on coming in the, the approvals are received and all that. So the process is going on.

And sir, last one, if I may. How is our own US b

business shaping up now since we have the plant clearances? Have you launched any products? And how is the uptake in those products? I think overall, we have spent almost around -- up to September around INR 30 crores worth of goods to US, But most of the goods had reached to them at the end of the period, I think they are highly out of that almost -- which is INR1 crores, INR 1.5 crores sales has happened and these were all in stock. And now sales will start reflecting from the third quarter onwards. So technically, it's not eliminated in consolidation practically in the power. So nothing major has
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Okay. So probably at the absolute EBITDA level, more or less the same because lower top line Sir, for the Unichem business in terms of synergies, where are we in terms of achieving those synergies? What have you already realized in this results in the last couple of we have spoken about many synergies part. As far as your Unichem sourcing product from us, work is still going on. That portion has not started, which our APIs, which they are

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So in current year, practically nothing of that nature will happen. We also talked about most around 6 products, we

have reduced overall their manufacturing cost and validations are over. Now all these 6 products, the improvements are almost around somewhere between the 25% to 30% reduction in approval and that will start. Fixed product

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year, we will launch around

Kunal Dhamesha: And this is U.S. sales will be recognizing in our P & L directly or will recognize through Bayshore?

A.K. Jain No, we have

Unichem. Because in order to have entire synergies that U.S. business will be done entirely under one umbrella. So we think Unichem is very big ger business. All these

business is already transferred to Unichem. And entire business will also be done through

Unichem. So there are no duplication of the old marketing and administrative and all those

kind of setup. It will be all done through Unichem.

Moderator: The next question is from the line of Dharmil from Dalmus Capital Management LLP.

Dharmil: Congratulations on really good set of numbers.

Moderator: Mr. Dharmil, may I request you to please speak up. Your voice is coming out as muffled.

Dharmil: Is this clearer now?

Moderator: Yes. Please

proceed with your question.

Dharmil: My questions are again on Unichem. Earlier in the previous calls, you had given in balance of

around INR 2,000 crores revenue. So while in H1, we have all participants and somewhere

around INR 900 crores. So is the guidance still on the plan? Or I mean, where are we up to on

the guidance? Is this still achievable for FY '25?

A.K. Jain I think overall business of Unichem may remain around

crores in the current

Dharmil: Got it. And EBITDA margins.

A.K. Jain EBITDA margins, let's say, first quarter was almost around 12.52%. Second quarter, it has

improved to 14.35% Overall, I think it will remain 14% to 15% for the remaining period.
Dharmil: Got it. And 11% revenue growth in the current quarter for Unichem, can you break it down into how much was it volume driven and how much was price driven? And in general, what is the pricing scenario for...

A.K. Jain Pricing-wise, if you see that there is

kind of price declines are there. So overall, like I said, U.S. business has grown by almost around 12%, 12.5%. There is some decline in Brazil and overall contract manufacturing business has done

consolidated sales, it's almost around 9.4% improvement is there in current. And taking into the other operating income and others including, it's around 11% kind of overall growth there in the further quarter. IPCA Laboratories Limited

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Page 5 of 17 happened. We already sent the se produces and another 3 are in pipeline. So I think current year, we will launch around -- almost around 6 products.

And this is U.S. sales will be recognizing in our P & L directly or will recognize through

No, we have said that Bayshore entity, wherever business is the re, that was transferred to the Unichem. Because in order to have entire synergies that U.S. business will be done entirely under one umbrella. So we think Unichem is very bigger business. All these business is already transferred to Unichem. And entire business will also be done through Unichem. So there are no duplication of the old marketing and administrative and all those kind of setup. It will be all done through Unichem.

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I think overall business of Unichem may remain around INR1,850 to INR crores in the current financial year. Yes.

Got it. And EBITDA margins.

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kind of price declines are there. So overall, like I said, U.S. business has grown by almost around 12%, 12.5%. There is some decline in Brazil and overall contract manufacturing is well. So overall, for the second quarter, if you look at the overall -- on consolidated sales, it's almost around 9.4% improvement is there in current. And taking into the other operating income and others including, it's around 11% kind of overall growth is

Dharmil: Understood. And what would be the current capacity utilization in Unichem? And how do you expect it to ramp up over the next 2 to 3 years?

A.K. Jain Let's say, overall, Unit 1 and having good capacity utilizations, maybe around the 70% to 80% kind of utilizations out there. Unit 2 Goa, this is a bigger unit and larger capacity. That's, I think, hardly around 20% kind of utilizations are there.

Unichem's product in various markets and filings and all that.

With that, the capacities of Goa plant will be utilized. So as far as the Ghaziabad plant is concerned, as far as the Bambai plant

So those capacities

European approvals and Australia and New Zealand. So there are so many markets, they have approvals.

Dharmil: Understood. And are there

Unichem? Are there any pipeline of products to be launched in next 1 or 2 years?

A.K. Jain I think we will continue to launch around 4 to 5 products every year.

Dharmil: Okay. And this would be entirely formulations only?

A.K. Jain Yes, formulations yes.

Dharmil: Okay. And what could be your revenue guidance for F Y '26 and '27 for Unichem?

A.K. Jain So far, we have not burned it out. So we will let you know in financial year.

Moderator: The next question is from the line of Surya Narayan Patra from PhillipCapital India Private Limited.

Surya Patra: Sir, my first question about the U.S. business. First of all, can you give us some the Piparia unit

Bayshore Unichem with us, so in the way it has already been indicated that US business is going to happen through

So while we are seeing a kind of a strong export growth number for Unichem, but export growth has been muted consistently. So how should one think about the U.S. business going ahead for

the U.S. business, compliance of Piparia and the growth in the U.S. side.

A.K. Jain All plants, we already received the approvals and also there is no pending issue as far as Piparia plant is concerned. So all

plant. So there are absolutely no outstanding issues anywhere.

Surya Patra: Okay. All the 3 units are cleared now. IPCA Laboratories Limited

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Page 6 of 17 Understood. And what would be the current capacity utilization in Unichem? And how do you expect it to ramp up over the next 2 to 3 years?

Let's say, overall, Unit 1 and -- Unit 1 at Goa and I think Ghaziabad, both these plants are having good capacity utilizations, maybe around the 70% to 80% kind of utilizations out there.

Unit 2 Goa, this is a bigger unit and larger capacity. That's, I think, hardly around 20% kind of utilizations are there. So as the U.S. business and other businesses are extending the market of Unichem's product in various markets and filings and all that.

With that, the capacities of Goa plant will be utilized. So as far as the Ghaziabad plant is concerned, as far as the Bambai plant is concerned, that utilization is almost around 30%, 35%.

So those capacities -- and that plant is having all other approvals also, all the ROW market, European approvals and Australia and New Zealand. So there are so many markets, they have

Understood. And are there -- I mean, what is the trend in terms of product approvals in Unichem? Are there any pipeline of products to be launched in next 1 or 2 years?

I think we will continue to launch around 4 to 5 products every year.

Okay. And this would be entirely formulations only?

Yes, formulations yes.

Okay. And what could be your revenue guidance for F Y '26 and '27 for Unichem?

So far, we have not burned it out. So we will let you know in the last quarter of the current financial year.

The next question is from the line of Surya Narayan Patra from PhillipCapital India Private

Sir, my first question about the U.S. business. First of all, can you give us some the Piparia unit -- USA compliance? That is one. And secondly, after the integration of the Bayshore Unichem with us, so in the way it has already been indicated that US business is going to happen through -- everything through Unichem.

While we are seeing a kind of a strong export growth number for Unichem, but export growth has been muted consistently. So how should one think about the U.S. business going ahead for IPCA impacting the growth numbers? And that would be the question about the U.S. business, compliance of Piparia and the growth in the U.S. side. All plants, we already received the approvals and also there is no pending issue as far as Piparia plant is concerned. So all IPCA plants are cleared already, which includes Piparia plant. So there are absolutely no outstanding issues anywhere. Okay. All the 3 units are cleared now. IPCA Laboratories Limited
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Understood. And what would be the current capacity utilization in Unichem? And how do you Ghaziabad, both these plants are having good capacity utilizations, maybe around the 70% to 80% kind of utilizations out there. Unit 2 Goa, this is a bigger unit and larger capacity. That's, I think, hardly around 20% kind of the U.S. business and other businesses are extending the market of. With that, the capacities of Goa plant will be utilized. So as far as the Ghaziabad plant is concerned, that utilization is almost around 30%, 35%. and that plant is having all other approvals also, all the ROW market, European approvals and Australia and New Zealand. So there are so many markets, they have I mean, what is the trend in terms of product approvals in Unichem? Are there any pipeline of products to be launched in next 1 or 2 years? Okay. And what could be your revenue guidance for FY '26 and '27 for Unichem? the last quarter of the current. The next question is from the line of Surya Narayan Patra from PhillipCapital India Private Sir, my first question about the U.S. business. First of all, can you give us some update about USA compliance? That is one. And secondly, after the integration of the Bayshore Unichem with us, so in the way it has already been indicated that US business is while we are seeing a kind of a strong export growth number for

Unichem, but IPCA's export growth has been muted consistently. So how should one think about the U.S. business impacting the growth numbers? And that would be the question about. All plants, we already received the approvals and also there is no pending issue as far as plants are cleared already, which includes Piparia

A.K. Jain Yes, all 3 units are clear simultaneously, yes.

Surya Patra: Okay. Regards to

Unichem, and in terms of the performance so far, what we have seen in the recent quarters, Unichem is doing well, but our growth numbers are on the export side still the remaining muted. On the formulation side, can you just clarify what is really impacting here for us?

A.K. Jain As far as the branded formulation business is concerned, we have muted growth. In fact, in the first half of the current year, we have minus 2% growth on branded formulation largely because of all these currency fluctuations. And I think ruble from 80 level has gone to almost around more than 95. So that has reflected and a good amount of business comes from that market, so Russia and all.

So that has a little impacted. I think from third quarter, I think in ROW market, we expect around 12% to 13% kind of growth. So all of the year, the business growth in ROW will revive and is likely to be around 7% to 8% kind of growth for the whole of the year ROW market, branded formulations business.

As far as your generic businesses are concerned, by and large, let's say, first European business is concerned, except UK, that business is good and we have reasonably good growth around. UK, there are certain concerns are coming on pricing and all and overstocking in that market. So probably this year, the UK business growth will remain muted only or there may not be any growth in that market. So that's the future. As far as Canada business is concerned, that business will have around 10% kind of growth.

Australia and New Zealand in the first half was, because of some supply kind of constrain on APIs or certain APIs, and that has impacted the business. So that we expect the recovery because those shipments have started coming from outsourced API. So there will be recovery in those markets. As far as overall South Africa is concerned, we will see some kind of there because some tenders are lost there, and that business will have some kind of decline.

So overall, we see a generic business

Generic business will also have a similar kind of growth. Distributing better growth this year because last year, the availability of injectables because of plant upgradations and installations of some additional machines and renovation part. So that half of the year, that plant was not open businesses. So overall generics, we will see around 12% kind of growth for the financial year.

Surya Patra: Sir, this the institutional business this quarter, bump of what we are witnessing, it is off thing? It is sustainable.

A.K. Jain No, no, no. Last year in this period, injectables were not available.

Surya Patra: Okay. So now this is a kind of sustainable business and can see ramp up?

A.K. Jain Yes, yes. IPCA Laboratories Limited

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Page 7 of 17 Yes, all 3 units are clear simultaneously, yes.

Okay. Regards to the US business, since now everything is going to be routed through Unichem, and in terms of the performance so far, what we have seen in the recent quarters, Unichem is doing well, but our growth numbers are on the export side still the remaining on the formulation side, can you just clarify what is really impacting here for us?

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ROW market, branded formulations business.

As far as your generic businesses are concerned, by and large, let's say, first European business is concerned, except UK, that business is good and we have reasonably good growth around -- we should have almost for the whole of the year, around 10% kind of growth. UK, there are certain concerns are coming on pricing and all and overstocking in that market. So probably this year, the UK business growth will remain muted only or there may not be any growth in that market. So that's the future. As far as Canada business is concerned, that business will have around 10% kind of growth.

Australia and New Zealand in the first half was, because of some supply kind of constrain on main APIs, and that has impacted the business. So that we expect the recovery because those shipments have started coming from outsourced API. So there will be recovery in those markets. As far as overall South Africa is concerned, we will see some kind of there because some tenders are lost there, and that business will have some kind of decline. So overall, we see a generic business -- your branded business to grow by around 8% to 9%. Generic business will also have a similar kind of growth. Distributional business will have a better growth this year because last year, the availability of injectables because of plant upgradations and installations of some additional machines and renovation part. So that half of the year, that plant was not operating. So this year, there will be better growth in those businesses. So overall generics, we will see around 12% kind of growth for the financial year.

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Surya Patra: Okay. Sir, in r

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A.K. Jain Overall, Unichem R&D, let's say, we were doing some work on biotech that's completely stopped. They will co

will also do. So the list will be some products, we will keep on developing, some

will keep on developing. Some products where synergies are better in terms of our API basket, we will continue to develop. So both the teams will work on process development.

Surya Patra: In fact, in the current quarter, you are seeing a significant lower number for Unichem and other expenses which generally captures R&D. So hence, that is why I

What is the kind of savings that we are seeing, whether it is from the reduced R&D spend on the Unichem side or it is something else?

A.K. Jain R&D spend of base is almost around 3% overall, the 3% to 4%, 3%, 3.5% will continue there. And Overall, R&D spend is also around 3% of the turnover for the company,

Unichem put together, consolidated number. So more or less, it will remain. Once our biotech plant is commissioned, which may happen during the, I think, in the

financial year. Thereafter, once we start producing the batches and then clinical work

then the next financial year, the overall R&D cost may go up to around 4.5%, 4.25% here.

Moderator: The next question is from the line of Aru

Arun: I hope you are hearing me well?

Moderator: Yes, Mr. Arun. Proceed with your question.

Arun: See, I just wanted just a few short questions and probably short answers as well. See, the PAT comparison, can you do sort of a ballpark figure as

versus international? Because the revenue split as almost 50

the percentage of domestic PAT and what is the percentage of international PAT, profit after tax?

A.K. Jain Normally, if you look

levels. And if you look at gross margins of

compared to India market. We have

India business, India formulation business.

Then comes the business which we do in Europe, Australia, New Zealand and Canada. Gross

margin, thereafter, I think South Africa are lower and U.K. also, gross margins are lower. And

last comes is the API. So

have domestic formulation. And we have good overall margins in Generics also.

Arun: Sir, regarding the domestic formulations, in fact, I was referring to only the last quarter's performance,

rated. Don't you think that there is overall dependence on one product? Or is it

company planning to also develop some products which could probably give a balance? IPCA Laboratories Limited November

Page 8 of 17 Okay. Sir, in regards to R&D. So now after the integration of the U S business with Unichem, so how do you think about your IPCA's R&D versus Unichem R&D?

Overall, Unichem R&D, let's say, we were doing some work on biotech that's completely

stopped. They will continue to do work on formulation development for U. S. market and

will also do. So the list will be some products, we will keep on developing, some

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Unichem put together, consolidated number. So more or less, it will remain. Once our biotech plant is commissioned, which may happen during the, I think, in the end of the current

financial year. Thereafter, once we start producing the batches and then clinical work

then the next financial year, the overall R&D cost may go up to around 4.5%, 4.25% here.

The next question is from the line of Arun from FPL.

I hope you are hearing me well?

Yes, Mr. Arun. Proceed with your question.

See, I just wanted just a few short questions and probably short answers as well. See, the PAT comparison, can you do sort of a ballpark figure as to how do we compare with domestic versus international? Because the revenue split is almost 50-50. Regarding the PAT, what is the percentage of domestic PAT and what is the percentage of international PAT, profit after tax. Normally, if you look at -- we don't divide that way, but we monitor the overall gross margin levels. And if you look at gross margins of -- we had better gross margins in ROW market compared to India market. We have -- the next business line is from -- gross margin India business, India formulation business.

Then comes the business which we do in Europe, Australia, New Zealand and Canada. Gross margin, thereafter, I think South Africa are lower and U.K. also, gross margins are lower. And last comes is the API. So overall, we have highest gross margin or ROW branded. Next is we have domestic formulation. And we have good overall margins in Generics also.

Sir, regarding the domestic formulations, in fact, I was referring to only the last quarter's then your 52% comes from anti-inflammatories or NSAIDs, which is presumably

rated. Don't you think that there is overall dependence on one product? Or is it

company planning to also develop some products which could probably give a balance? IPCA Laboratories Limited
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S business with Unichem,

Overall, Unichem R&D, let's say, we were doing some work on biotech that's completely continue to do work on formulation development for U.S. market and IPCA

will also do. So the list will be some products, we will keep on developing, some -- Unichem will keep on developing. Some products where synergies are better in terms of our API basket, we will continue to develop. So both the teams will work on process development.

In fact, in the current quarter, you are seeing a significant lower number for Unichem and other wanted to have some clarity.

What is the kind of savings that we are seeing, whether it is from the reduced R&D spend on R&D spend of base is almost around 3% overall, the 3% to 4%, 3%, 3.5% will continue to be there. And Overall, R&D spend is also around 3% of the turnover for the company, IPCA and Unichem put together, consolidated number. So more or less, it will remain. Once our biotech end of the current

financial year. Thereafter, once we start producing the batches and then clinical work -- and then the next financial year, the overall R&D cost may go up to around 4.5%, 4.25% here.

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Sir, regarding the domestic formulations, in fact, I was referring to only the last quarter's anti-inflammatories or NSAIDs, which is presumably

rated. Don't you think that there is overall dependence on one product? Or is it -- is the company planning to also develop some products which could probably give a balance?

A.K. Jain Let's say, pain management constitute of

management. So pain management has 2 segments. One is rheumatoid arthritis and osteoarthritis. And rheumatoid arthritis consists of a large number of products. And have disease-modifying agents that are marketed.

They are more chronic than even cardiovasculars, but they are classified as acute. And rheumatoid arthritis, we have very strong leadership. We have more than 60% market share. In every product we

management group. So it's not overdependent. Every product has leadership in your segment where we have a good number of products marketing for rheumatoid arthritis.

As far as your osteo

brand is there. And

there, which is like a brand which is for etodolac and other drugs and some all marketing brand name of Pacimol and there are other brands are there. So

significant market share. So it's not only one product which has confronted. Zerodol is not the only product in pain management. So, it's completely

Arun: Just one more question if you can allow me. Have the revenues of the value to the exclusivity started churning? Does it come into the have approvals of lamotrigine, etodolac, alendronate. Have these molecules started maybe in the near future?

A.K. Jain: Some of those molecules, Unichem is already marketing in U.S.

Arun: Okay. Yes.

A.K. Jain: Etodolac is IPCA

be, I think we always shipped 3 products and another 3 are in pipeline. So last will be etodolac.

Moderator: The next question is from the line of Nirali Shah

Nirali Shah: I just have 2 quick questions. First one is that on the launches. So we have been planning to launch almost around 6

therapies are we trying to

flavor on the how it will contribute our top line, any numbers, any word about number? And if

not that, the market size of these products. So any thing meaningful

opportunity and data on this would be helpful.

Harish Kamath: Yes, as Mr. Jain has already explained, 3 products, we have already shipped to Unichem and it has landed in U.S. So whatever primary sales we have done, it got knocked off in consolidation because

gestation period between the time we shipped to U.S. and those products started getting marketed. So by the end of the current financial year, we should be launching about 6 products

in the U.S. market. That is what is our target. And whenever we were there in these products in IPCA Laboratories Limited November

Page 9 of 17 Let's say, pain management constitute of -- it's not NSAID only, it's completely pain management. So pain management has 2 segments. One is rheumatoid arthritis and osteoarthritis. And rheumatoid arthritis consists of a large number of products. And modifying agents that are marketed.

They are more chronic than even cardiovasculars, but they are classified as acute. And rheumatoid arthritis, we have very strong leadership. We have more than 60% market share. In every product we market, we have market leadership. So that is also clubbed with pain management group. So it's not overdependent. Every product has leadership in your segment where we have a good number of products marketing for rheumatoid arthritis.

As far as your osteoarthritis and those segments are concerned, yes, Zerodol is brand is there. And -- but apart from that also, we have a good number of other brands

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there, which is like a brand which is for etodolac and other drugs and some all marketing brand name of Pacimol and there are other brands are there. So -- and they also have a significant market share. So it's not only one product which has confronted. Zerodol is not the only product in pain management. So, it's completely -- risk is divided here.

Just one more question if you can allow me. Have the revenues of the value to the exclusivity started churning? Does it come into the IPCA or it -- does it go to the Unichem? Because we have approvals of lamotrigine, etodolac, alendronate, risperidone and levocetirizine and all. Have these molecules started -- generics started yielding revenue? Or will it come maybe in the near future?

Some of those molecules, Unichem is already marketing in U.S.

IPCA products and that will be launched, I think maybe end of the year. So it may be, I think we always shipped 3 products and another 3 are in pipeline. So last will be etodolac.

The next question is from the line of Nirali Shah from Ashoka Stock Broking

I just have 2 quick questions. First one is that on the launches. So we have been planning to launch almost around 6 -- 5 to 6 products in FY '25. So if any color on these products, what therapies are we trying to target or geographies are we trying to target? If you could give some flavor on the how it will contribute our top line, any numbers, any word about number? And if not that, the market size of these products. So any thing meaningful -- or any meaningful opportunity and data on this would be helpful.

Yes, as Mr. Jain has already explained, 3 products, we have already shipped to Unichem and it has landed in U.S. So whatever primary sales we have done, it got knocked off in consolidation because that product is not moved to the market. So there will be always a gestation period between the time we shipped to U.S. and those products started getting marketed. So by the end of the current financial year, we should be launching about 6 products in U.S. market. That is what is our target. And whenever we were there in these products in IPCA Laboratories Limited November 14, 2024

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the earlier time, we used to have a very good market share. But gaining market share will take some time, but we are very confident these products will do well, as i

Nirali Shah: So what kind of market share are we targeting?

Harish Kamath: For example, in U.S., maybe 10 years back, in most of these products, my market shares were anywhere between, say, 20% and in one product it was 80%.

Nirali Shah: Okay. That is helpful. And for example, from a 2 years perspective, we plan to launch around 13 to 15 products, so how are we planning now about that?

Harish Kamath: We will be shipping 6 products to Unichem US. Maybe identical number in the next financial year.

Nirali Shah: Okay. And...

Harish Kamath: Unichem itself also will be launching 5 to 6 of their new molecules in the U.S. market in the current financial year.

Nirali Shah: Understood. And my next question is what could be possible growth perspective? Which geography do we see to be contributing the highest and followed by basically, my question is what could be our possible growth drivers in terms of geography?

Harish Kamath: Practically, IPCA

IPCA products being sold in the U.S. market going forward in the next 3 to 5 years. Similarly, one more opportunity will come. We will be taking Unichem products in all other markets where earlier the

Zealand, Canada, So Unichem will also benefit out of that. So as an entity see a very good growth going forward in the generic formulation business.

Nirali Shah: Understood. Just a last one, if I can squeeze in. On the supply chain issues. So are we still facing any disruptions that persisted in Australia and New Zealand?

Harish Kamath: Nothing as such. No issues. Problem was there in the second half of the last financial non-availability of one material, which we already bought in the current financial year. And the business has already started. So as we speak, there is no problem as far as material issues. There is no issue.

Moderator: The next question is

Kunal Dhamesha: On this U.S. business arrangement that the U.S. business or the by Unichem. Will there be any transfer pricing between here where profitability given our stake in Unichem is around 70%. So how the economics basically work out for us when we sell our product through Unichem?

Harish Kamath: Kunal, if you recollect, whenever we were earlier there in the U.S. market, it was only similar line, correct? Our products were marketed by other marketing partners on a profit IPCA Laboratories Limited November

Page 10 of 17 the earlier time, we used to have a very good market share. But gaining market share will take some time, but we are very confident these products will do well, as it was earlier doing.

So what kind of market share are we targeting?

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Understood. And my next question is what could be possible growth drivers from a 3 perspective? Which

geography do we see to be contributing the highest and followed by basically, my question is what could be our possible growth drivers in terms of geography?

IPCA sales in U.S. today is currently 0. So you will see a very good growth in products being sold in the U.S. market going forward in the next 3 to 5 years. Similarly, one more opportunity will come. We will be taking Unichem products in all other markets where earlier they were not marketing, like ROW market, whole of Europe, Australia, New Zealand, Canada, So Unichem will also benefit out of that. So as an entity see a very good growth going forward in the generic formulation business.

Good. Just a last one, if I can squeeze in. On the supply chain issues. So are we still facing any disruptions that persisted in Australia and New Zealand?

Nothing as such. No issues. Problem was there in the second half of the last financial year, availability of one material, which we already bought in the current financial year. And the business has already started. So as we speak, there is no problem as far as material issues. There is no issue.

The next question is from the line of Kunal Dhamesha from Macquarie.

On this U.S. business arrangement that the U.S. business or the IPCA U.S. product will be sold by Unichem. Will there be any transfer pricing between here where IPCA will account for some equity given our stake in Unichem is around 70%. So how the economics basically work out for us when we sell our product through Unichem?

Kunal, if you recollect, whenever we were earlier there in the U.S. market, it was only similar right? Our products were marketed by other marketing partners on a profit sharing basis. IPCA Laboratories Limited November 14, 2024

the earlier time, we used to have a very good market share. But gaining market share will take time, as it was earlier doing.

For example, in U.S., maybe 10 years back, in most of these products, my market shares were

Okay. That is helpful. And for example, from a 2 years perspective, we plan to launch around

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basically, my question is what could be our possible growth drivers in terms of geography?

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equity given our stake in Unichem is around 70%. So how the economics basically work

Kunal, if you recollect, whenever we were earlier there in the U.S. market, it was only similar

right? Our products were marketed by other marketing partners on a profit-sharing

arrangement. So similar way, Unichem operation will be done. So we will sell our products to

Unichem US. There will be a margin in our sales. And at US level, there will be profit

arrangement also, both. And most of these products are also backed by my own API, so there will be some benefit out of API manufacturing also.

Kunal Dhamesha: Sure, sir. Understood. And on the generic business revenue, Jain sir told that the gro

guidance

of around 12%. Is that for the remaining part of the year? How should we think about it?

Harish Kamath: Yes, for the second half of the current financial year. But overall, including the first half and second half, the generic business should

Kunal Dhamesha: Sir, for generic business, first half is only 2% growth, right? So then...

Harish Kamath: I understand because the shipment of remaining as a stock in Unichem on hand, it has got knocked off in the consolidated business. I'm talking here consolidated business, not stand

Kunal Dhamesha: Correct. So probably business is that the way to understand? You would have signed maybe 1 quarter inventory.

Harish Kamath: Yes, yes, that is right, yes.

Kunal Dhamesha: Okay, okay, okay. And sir, just one on the India business. What's the current sales force in the India business. And after addition, how is the productivity coming along for the India business in terms of sales force?

Harish Kamath: We currently have about 7,000 medical reps in the field. And whatever guidance we have earlier, all the additional people are contributing in the same way what we initially thought. There is no issue absolutely. So they will become productive division years.

Kunal Dhamesha: 2 to 3 years.

Harish Kamath: Some divisions, productivity will be faster than the other divisions like cardiac and all. So as per our plan, everything is moving. There is no issue.

Kunal Dhamesha: Okay. Got it.

A.K. Jain And, Kunal, if you look at around 4.62 lakh for the first half of the current year compared to 4.36 lakhs in the last financial year same. So overall, there is a good improvement in overall productivity in spite of addition of the people.

Moderator: The next question is from the line of Zain from Dol at Capital.

Zain: Just wanted to ask a question against institutional business, can you repeat the guidance for the business for FY '25? IPCA Laboratories Limited
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Page 11 of 17 arrangement. So similar way, Unichem operation will be done. So we will sell our products to Unichem US. There will be a margin in our sales. And at US level, there will be profit sharing arrangement also, both. And most of these products are also backed by my own API, so there will be some benefit out of API manufacturing also.

Sure, sir. Understood. And on the generic business revenue, Jain sir told that the growth guidance of around 12%. Is that for the remaining part of the year? How should we think about it? Yes, for the second half of the current financial year. But overall, including the first half and second half, the generic business should grow anywhere between 10% to 12%.

Sir, for generic business, first half is only 2% growth, right? So then...

I understand because the shipment of IPCA did to Unichem US. So because it was still remaining as a stock in Unichem on hand, it has got knocked off in the consolidated business. I'm talking here consolidated business, not stand-alone.

Correct. So probably INR30 crores -- or INR60 crores additional, and then there is a base business is that the way to understand? You would have signed maybe 1 quarter inventory.

Yes, yes, that is right, yes.

Okay, okay, okay. And sir, just one on the India business. What's the current sales force in the India business. And after addition, how is the productivity coming along for the India business in terms of sales force?

We currently have about 7,000 medical reps in the field. And whatever guidance we have earlier, all the additional people are contributing in the same way what we initially thought. There is no issue absolutely. So they will become productive division-wise between 2 to 3 years, productivity will be faster than the other divisions like cardiac and all. So as per our plan, everything is moving. There is no issue.

And, Kunal, if you look at around 4.62 lakh for the first half of the current year compared to 4.36 lakhs in the last financial year same. So overall, there is a good improvement in overall productivity in spite of addition of the people.

The next question is from the line

of Zain from Dol at Capital.

to ask a question against institutional business, can you repeat the guidance for the business for FY '25? IPCA Laboratories Limited
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arrangement. So similar way, Unichem operation will be done. So we will sell our products to Unichem US. There will be a margin in our sales. And at US level, there will be profit sharing

arrangement also, both. And most of these products are also backed by my own API, so there
Sure, sir. Understood. And on the generic business revenue, Jain sir told that the growth
guidance of around 12%. Is that for the remaining part of the year? How should we think about
Yes, for the second half of the current financial year. But overall, including the first half and
grow anywhere between 10% to 12%.

did to Unichem US. So because it was still
remaining as a stock in Unichem on hand, it has got knocked off in the consolidated business.
additional, and then there is a base
business is that the way to understand? You would have signed maybe 1 quarter inventory.
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India business. And after addition, how is the productivity coming along for the India business
We currently have about 7,000 medical reps in the field. And whatever guidance we had given
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next year compared to
4.36 lakhs in the last financial year same. So overall, there is a good improvement in overall
question against institutional business, can you repeat the guidance for the

Harish Kamath: Which one? I think you're not

Zain: Am I audible now?

Harish Kamath: Yes, you are audible now.

Zain: So I was asking, sir, about institutional business guidance for FY '25.

Harish Kamath: See, we have earlier also explained this institutional business consists only of antimalarial
formulations. So this business will fluctuate anywhere between
crores going forward. I'm talking annual business.

Zain: Okay. And sir, for India business guidance for '25?

Harish Kamath: So whatever guidance we gave in the beginning of the year, anywhere between 11% to 12%,
we stand by that. The

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial
Services.

Tushar Manudhane: Sir, just with the earlier comment of the pecking order of the gross margin. So just a
clarification, so even at the
higher than domestic formulation?

Harish Kamath: Yes, yes. Even at EBITDA level.

Tushar Manudhane: Okay. Sir, secondly, with respect to relaunches of the products from
Unichem products basically, so it seems it's almost about now 8, 9 years. So the price erosion
in the products which we are supposed to launch, like compared to what we were there in
2013, '14, what kind of price decline would have happened in those products
ones which we are going to relaunch?

Harish Kamath: We don't see any price decline in them.

Tushar Manudhane: So price decline there, there is no price difference.

Harish Kamath: Better than what it was when we were there in the market

Tushar Manudhane: Interesting. I mean, was it because that people have
of reduced the competition? Or if you could throw some light?

Harish Kamath: In these products, we were having a very big market
prices increased. They have moderated, of course, subsequently. But still it is now better than
what it was 10 years back.

Tushar Manudhane: Got you. So considering these launches and subsequently in FY '26. So specifically Unichem
- specifically

share. IPCA Laboratories Limited

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Page 12 of 17 Which one? I think you're not -- your voice is breaking. Hello?

Am I audible now?

Yes, you are audible now. Yes.

So I was asking, sir, about institutional business guidance for FY '25.

See, we have earlier also explained this institu

tional business consists only of antimalarial
formulations. So this business will fluctuate anywhere between INR 300 crores to
crores going forward. I'm talking annual business.

Okay. And sir, for India business guidance for '25?

So whatever guidance we gave in the beginning of the year, anywhere between 11% to 12%,
we stand by that. There is no problem.

The next question is from the line of Tushar Manudhane from Motilal Oswal Financial

Sir, just with the earlier comment of the pecking order of the gross margin. So just a
clarification, so even at the EBITDA margin level, would be ROW- branded generics would be

higher than domestic formulation?

Yes, yes. Even at EBITDA level.

Okay. Sir, secondly, with respect to relaunches of the products from IPCA's plant, excluding Unichem products basically, so it seems it's almost about now 8, 9 years. So the price erosion in the products which we are supposed to launch, like compared to what we were there in 2013, '14, what kind of price decline would have happened in those products ones which we are going to relaunch?

We don't see any price decline in them.

So price decline there, there is no price difference.

Better than what it was when we were there in the market 10 years back.

Interesting. I mean, was it because that people have -- I mean, the companies have exited, sort of reduced the competition? Or if you could throw some light?

In these products, we were having a very big market share. The moment we went out, the prices increased. They have moderated, of course, subsequently. But still it is now better than what it was 10 years back.

Got you. So considering these launches and subsequently in FY '26. So specifically Unichem specifically IPCA ex Unichem, what kind of U.S. sales one can expect in FY '26, if you can IPCA Laboratories Limited November 14, 2024

See, we have earlier also explained this institutional business consists only of antimalarial 300 crores to INR400

So whatever guidance we gave in the beginning of the year, anywhere between 11% to 12%,

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Got you. So considering these launches and subsequently in FY '26. So specifically Unichem - ex Unichem, what kind of U.S. sales one can expect in FY '26, if you can

Harish Kamath: It is too early to give the combined sales of

financial year. As we progress, maybe in the subsequent con call, we will give the guidance.

But whatever we said in the beginning of the year, our plan of launching 6 to 7 molecules in the U.S. in the current financial

Tushar Manudhane: And sir, lastly, on generics exports business, again. Like the first half numbers look lower. But in the base of second half FY '24 is also low. So that way then, will enough number because even if I go by the run rate of what we have done in 2Q, the growth will be really strong in second half FY '23.

Harish Kamath: I agree, but everything ultimately depends on what kind of market. See, the U.S. business, what we see, the market share improvement will be gradual. So it is very difficult to comment how much market share we will get in the immediate financial year for the products which are already launched. So all that permutation combination and question marks are already there.

That is why, we will do fair guidance in the

latter half of the current financial year, maybe in

the fourth quarter con call, what we are expecting in the next financial year as far as the U.S.

business is concerned. Current year, our generic business should be anywhere between 12% to 15%. That is what is the guidance.

Tushar Manudhane: Even sir -- even if you go by the generics exports for the current quarter run rate when your U.S. product launches will be strong for second half of FY '22.

Harish Kamath: There are challenges. As Mr. Jain has already said in the South Africa, where we lost certain tender products and in the U.K. market. Considerin

If the situation improves, we may do better than what we are committing. Because in the last year, second half, there was very good business from South Africa market. which looks today difficult.

Moderator: The next question is from the line of Arun from FPL.

Arun: So just trying to understand the protocol, orange book for possible? Or is it being done...

Harish Kamath: It is possible. Earlier also, whatever products which were approved in our name, they were

getting marketed by other marketing partners. Every company does that, and it is the practice in the U.S. market.

Arun: In fact, I was thinking that products is the key. Correct?

Harish Kamath: Yes, yes. Manufacturing has to be from the site from where the product has got approval in the -- by US FDA. That is the only requirement. Marketing can be done by any other company. IPCL Laboratories Limited
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Page 13 of 17 It is too early to give the combined sales of IPCL plus Unichem as a group in the next financial year. As we progress, maybe in the subsequent con call, we will give the guidance.

But whatever we said in the beginning of the year, our plan of launching 6 to 7 molecules in the U.S. in the current financial year, that is progressing as we anticipated.

And sir, lastly, on generics exports business, again. Like the first half numbers look lower. But in the base of second half FY '24 is also low. So that way then, will -- 12% will be still a enough number because even if I go by the run rate of what we have done in 2Q, the growth will be really strong in second half FY '23.

I agree, but everything ultimately depends on what kind of market. See, the U.S. business, e, the market share improvement will be gradual. So it is very difficult to comment how much market share we will get in the immediate -- in the second half of the current financial year for the products which are already launched. So all that permutation combination and question marks are already there.

That is why, we will do fair guidance in the latter half of the current financial year, maybe in the fourth quarter con call, what we are expecting in the next financial year as far as the U.S. concerned. Current year, our generic business should be anywhere between 12% to 15%. That is what is the guidance.

even if you go by the generics exports for the current quarter run rate when your U.S. product launches will be additional over and above this, still the numbers look quite strong for second half of FY '22.

There are challenges. As Mr. Jain has already said in the South Africa, where we lost certain tender products and in the U.K. market. Considering all that, we are giving a muted guidance. If the situation improves, we may do better than what we are committing. Because in the last year, second half, there was very good business from South Africa market. which looks today ext question is from the line of Arun from FPL.

So just trying to understand the protocol, see, if a product that is approved by the FDA in the orange book for IPCL, still, it can be better for marketing and distribution by Unichem. Is it Or is it being done...

It is possible. Earlier also, whatever products which were approved in our name, they were getting marketed by other marketing partners. Every company does that, and it is the practice in the U.S. market.

, I was thinking th

at products -- so that means only the manufacturing is the one, which is the key. Correct?

Yes, yes. Manufacturing has to be from the site from where the product has got approval in the by US FDA. That is the only requirement. Marketing can be done by any other company. IPCL Laboratories Limited
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plus Unichem as a group in the next

financial year. As we progress, maybe in the subsequent con call, we will give the guidance.

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And sir, lastly, on generics exports business, again. Like the first half numbers look lower. But 12% will be still a good

enough number because even if I go by the run rate of what we have done in 2Q, the growth

I agree, but everything ultimately depends on what kind of market. See, the U.S. business, e, the market share improvement will be gradual. So it is very difficult to comment in the second half of the current

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It is possible. Earlier also, whatever products which were approved in our name, they were getting marketed by other marketing partners. Every company does that, and it is the practice so that means only the manufacturing is the one, which
Yes, yes. Manufacturing has to be from the site from where the product has got approval in the
revenue. Marketing can be done by any other company.

Arun: As far as IPCA
approvals, correct? The other...

Harish Kamath: Formulation facilities, Silvassa and Indore. And AP I facility, Ratlam.

Arun: Ratlam, okay. Is there any move

Harish Kamath: Purely for domestic market. From Kandla, we also cater to all other markets other than U.S.
Europe, Australia and all, we're catering from Kandla. It is a better FM facility.

Arun: And we are satisfied

Harish Kamath: Yes, yes. We have nothing outstanding as far as US FDA matter is concerned.

Moderator: The next question is from the line of Kunal Dhamesha from Macquarie

Kunal Dhamesha: Sir, just one clarification. You said that the mix business guidance would include our U.S.
revenue, which we have supplied. But then doesn't that U.S. revenue will go through a
subsidiary, which is Unichem?

Harish Kamath: Was, but ultimately, it will get consolidated in my account because Unichem also is my
subsidiary.

Kunal Dhamesha: Sir, but then like
are guiding for 12%, and then we might end up our doing double counting.

Harish Kamath: That 2% growth was stand-alone IPCA, and guidance is for consolidated business. Ultimately,
everybody will see consolidated business. For example, stand-alone business, I have done
some sales from

to reach the U.S. and it has not gone to customer. In the consolidated, it is knocked off. So
consolidated is more important than stand-alone. So as far as generic business is concerned,
better let us go by consolidated guidelines.

Kunal Dhamesha: Okay. So sir, would you -- at some point, will you change our segment reporting so that it
helps us understand the businesses better? Because I think Europe is also now sizable business
for us, right?

Harish Kamath: See, Kunal, what has happened, actually, the issue is confusion. We took over Unichem in the
last financial year in the month of August. Anything we talk today is not comparable apple
apple. Because last

year, consolidation of Unichem started in our book
say, from September. So last year, consolidation of Unichem was there only for 1 month and a
few days. Whereas currently, it is there for all 6 months. So in the next financial year, the
apple-to-apple comparison will become clear
consolidated guidelines as far as the generic business is concerned.

Kunal Dhamesha: In our consolidated top line growth guidance for this year is around 9%. Is that correct?

A.K. Jain Yes. IPCA Laboratories Limited
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Page 14 of 17 IPCA is concerned, we have only Silvassa and Indore, which have the U.S.
approvals, correct? The other...

Formulation facilities, Silvassa and Indore. And AP I facility, Ratlam.

Ratlam, okay. Is there any move to make Kandla, Dehradun, Sikkim and all?

Purely for domestic market. From Kandla, we also cater to all other markets other than U.S.

Europe, Australia and all, we're catering from Kandla. It is a better FM facility.

And we are satisfied with all the observations of US FDA, correct?

Yes, yes. We have nothing outstanding as far as US FDA matter is concerned.

The next question is from the line of Kunal Dhamesha from Macquarie.

Sir, just one clarification. You said that the mix business guidance would include our U.S.
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Sir, but then like -to-like there is a confusion, right? The generic business has grown at 2%. We
are guiding for 12%, and then we might end up our doing double counting.

That 2% growth was stand-alone IPCA, and guidance is for consolidated business. Ultimately,
everybody will see consolidated business. For example, stand-alone business, I have done
some sales from IPCA through Unichem, which is booked in my books. But that material just
to reach the U.S. and it has not gone to customer. In the consolidated, it is knocked off. So
consolidated is more important than stand-alone. So as far as generic business is concerned,
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Okay. So sir, would you -- at some point, will you change our segment reporting so that it
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is concerned, we have only Silvassa and Indore, which have the U.S., Sikkim and all?

Purely for domestic market. From Kandla, we also cater to all other markets other than U.S. better FM facility.

Yes, yes. We have nothing outstanding as far as US FDA matter is concerned.

Sir, just one clarification. You said that the mix business guidance would include our U.S. revenue, which we have supplied. But then doesn't that U.S. revenue will go through a ultimately, it will get consolidated in my account because Unichem also is my like there is a confusion, right? The generic business has grown at 2%. We, and guidance is for consolidated business. Ultimately, alone business, I have done which is booked in my books. But that material just to reach the U.S. and it has not gone to customer. In the consolidated, it is knocked off. So alone. So as

far as generic business is concerned, at some point, will you change our segment reporting so that it helps us understand the businesses better? Because I think Europe is also now sizable business. See, Kunal, what has happened, actually, the issue is confusion. We took over Unichem in the last financial year in the month of August. Anything we talk today is not comparable apple-to-apple only from the month, say, from September. So last year, consolidation of Unichem was there only for 1 month and a few days. Whereas currently, it is there for all 6 months. So in the next financial year, the er, and we will be giving guidance market-wise. In our consolidated top line growth guidance for this year is around 9%. Is that correct?

Harish Kamath: Yes.

Kunal Dhamesha: All the business included.

Harish Kamath: Correct. Right.

Moderator: The next question is from the line of Harshit Dhoot from Dymon Asia.

Harshit Dhoot: My next question is on the order expenses. We have the tender business, in which gross margin is directly still the data is a bit higher to see the way the business is getting ramped out. So is it fair to assume that the 27% going forward?

Harish Kamath: See, again, I said consolidated numbers are not strictly comparable because last year consolidation, Unichem numbers were there only for 1 month and few days. This year, it is for all 6 months. So financial year, everything will be comparable apple to apple. For example, in the current financial year, 6 months, my other expenses also include entire 6 in the last financial year, 6 months, it was only for one month and a few days. So you can't compare that.

Harshit Dhoot: No, see, sequential basis also, right, in the ForEx losses. Sir, I just want expenses going forward. So I just wanted to understand how this operating leverage benefit will play out as we are focusing a lot on this.

Harish Kamath: You can take whatever run rate of other ex quarter figures are there. More or less, it will continue. Don't see anything about last financial year. Current financial year, first quarter, second quarter, other expenses are all exceptional expenses in that, that will continue.

Moderator: The next question is from the line of Kunal Randeria from Axis Capital.

Kunal Randeria: Sir, the October IQVIA data for India showed that the growth has slowed down to around 6%. So to your internal nu

Harish Kamath: No, we are growing as whatever we have projected and all of the year, our growth will be anywhere between 11% to 12%.

Kunal Randeria: Okay. All right. And just to kind of reconfirm, it's a broad the European franchise?

Harish Kamath: No, nothing, nothing. When they were showing 15%, 16%, 20% growth also, we are growing around 11% and 12%.

Moderator: The next question is from the line of Shiva from Purnartha Investment Advis IPCL Laboratories Limited November

Page 15 of 17 All the business included.

Correct. Right.

The next question is from the line of Harshit Dhoot from Dymon Asia.

My next question is on the order expenses. We have the tender business, in which gross margin is directly playing to EBITDA. Our domestic productivity has increased a lot. Then still the data is a bit higher to see the way the business is getting ramped out. So is it fair to assume that the 27% -- I'm talking about a consolidated level, is 27% of her expenses will continue going forward?

See, again, I said consolidated numbers are not strictly comparable because last year consolidation, Unichem numbers were there only for 1 month and few days. This year, it is for all 6 months. So that confusion will be there in the current financial year. From the next financial year, everything will be comparable apple to apple. For example, in the current financial year, 6 months, my other expenses also include entire 6-month expenses of Unichem. Whereas in the last financial year, 6 months, it was only for one month and a few days. So

you can't

compare that.

No, see, sequential basis also, right, INR574 crores to INR637 crores. INR 637 crore in the ForEx losses. Sir, I just want to understand the generics for the SG&A for the other expenses going forward. So I just wanted to understand how this operating leverage benefit will play out as we are focusing a lot on this.

You can take whatever run rate of other expenses in the consolidated first quarter and second quarter figures are there. More or less, it will continue. Don't see anything about last financial year. Current financial year, first quarter, second quarter, other expenses are all similar expenses in that, that will continue.

The next question is from the line of Kunal Randeria from Axis Capital.

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No, we are growing as whatever we have projected and all of the year, our growth will be anywhere between 11% to 12%.

Okay. All right. And just to kind of reconfirm, it's a broad-based growth, right the European franchise?

No, nothing, nothing. When they were showing 15%, 16%, 20% growth also, we are growing around 11% and 12%.

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Sir, the October IQVIA data for India showed that the growth has slowed down to around 6%.

No, we are growing as whatever we have projected and all of the year, our growth will be based growth, right, and not just at

No, nothing, nothing. When they were showing 15%, 16%, 20% growth also, we are growing ours.

Shiv: My first question is with respect to the U.S. thing. Earlier, when we were in 2013, 2014, '15.

What was our total revenue in U.S. at that time? And if you could split between what was the formulations and API? And what was the profitability at that time

Harish Kamath: Our total U.S. business at that time was around

crores, INR 160 crores API business. And in both formulation and API business, including the share of profit, we had a very good EBITDA margin.

Shiv: Okay. So it was comparable to the ROE as well, the rest of the market was in the top.

Harish Kamath: Yes, yes, yes.

Shiv: Okay, okay. Great. And the second is with respect to your other businesses. Obviously, it's like somewhere around

and you are seeing some progress. Over the last few quarters, it's been

INR 80 crores subsidiaries revenue and earlier, it was slightly higher. If you could just throw some light what is

your subsidiaries revenue? This is excluding Unichem.

Harish Kamath: Subsidiaries, one is Trophic Wellness, which is doing reasonably well around 10%, 12% top line growth and mayb

e 15%

nutraceutical business. Then other subsidiary is Onyx Scientific, which is into CRAMS business, and it is based out of U.K. There also the business is steady. This year, they have a certain issue about sustain their operation.

Only subsidiary which is now not delivering, which going forward should do better is, Pishah, which is out of U.S. They are also partly into CRAMS and partly manufacturing for the U.S. and other markets, where certain projects are going off. So these are our operating subsidiaries. Apart from that, we recently started marketing our own products in the U.K. market through our own subsidiary which are into business.

Moderator: The next question is from the line of

Zain: Sir, just one question from my side. Sir, generic business guidance, excluding Unichem is, for FY '25?

Harish Kamath: Excluding Unichem, So it will be around maybe 8% or so.

Zain: For the full year?

Harish Kamath: Yes, IPCA stand

Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to the IPCA Laboratories Limited

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Page 16 of 17 My first question is with respect to the U.S. thing. Earlier, when we were in 2013, 2014, '15.

What was our total revenue in U.S. at that time? And if you could split between what was the formulations and API? And what was the profitability at that time?

Our total U.S. business at that time was around INR 400 crores, including about 160 crores API business. And in both formulation and API business, including the share of profit, we had a very good EBITDA margin.

Okay. So it was comparable to the ROE as well, the rest of the market was in the top.

Yes, yes, yes.

Okay, okay. Great. And the second is with respect to your other businesses. Obviously, it's like somewhere around INR 80 crores. Obviously, you said last time that you were working on that and you are seeing some progress. Over the last few quarters, it's been INR

80 crores subsidiaries revenue and earlier, it was slightly higher. If you could just throw some light what is -- how is the progress over there? And going ahead, how do you look at

your subsidiaries revenue? This is excluding Unichem.

Subsidiaries, one is Trophic Wellness, which is doing reasonably well around 10%, 12% top line growth and maybe 15%, 20% bottom line growth. Trophic Wellness which is into nutraceutical business. Then other subsidiary is Onyx Scientific, which is into CRAMS business, and it is based out of U.K. There also the business is steady. This year, they have a certain issue about discretionary spending coming down in the market. But still, they will sustain their operation.

Only subsidiary which is now not delivering, which going forward should do better is, Pishah, which is out of U.S. They are also partly into CRAMS and partly into small manufacturing for the U.S. and other markets, where certain projects are going off. So these are our operating subsidiaries. Apart from that, we recently started marketing our own products in the U.K. market through our own subsidiary, IPCA U.K. So these are major subsidiaries, which are into business.

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Sir, just one question from my side. Sir, generic business guidance, excluding Unichem is, for Excluding Unichem, So it will be around maybe 8% or so.

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Thank you very much. As there are no further questions, I would now like to hand the conference over to the management for closing comments. IPCA Laboratories Limited

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My first question is with respect to the U.S. thing . Earlier, when we were in 2013, 2014, '15. What was our total revenue in U.S. at that time? And if you could split between what was the 400 crores, including about INR150 160 crores API business. And in both formulation and API business, including the Okay. So it was comparable to the ROE

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Subsidiaries, one is Trophic Wellness, which is doing reasonably well around 10%, 12% top, 20% bottom line growth. Trophic Wellness which is into

nutraceutical business. Then other subsidiary is Onyx Scientific, which is into CRAMS

business, and it is based out of U.K. There also the business is steady. This year, they have a cut discretionary spending coming down in the market . But still, they will

Only subsidiary which is now not delivering, which going forward should do better is, Pishah, y into small -scale API

manufacturing for the U.S. and other markets, where certain projects are going off. So these

are our operating subsidiaries. Apart from that, we recently started marketing our own products

U.K. So these are major subsidiaries,

Sir, just one question from my side. Sir, generic business guidance, excluding Unichem is, for

Thank you very much. As there are no further questions, I would now like to hand the

Harish Kamath: No, nothing. Nothing from our side. If there are no further questions, I think we can close this con call. And thanks all the participants for attending this con call organized by DAM Capital.

Thank you all.

Moderator: Sure, sir. Thank you so much. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Harish Kamath: Thank you all. IPCA Laboratories Limited

November

Page 17 of 17 No, nothing. Nothing from our side. If there are no further questions, I think we can close this con call. And thanks all the participants for attending this con call organized by DAM Capital.

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November 14, 2024

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Call: Feb 2025

THRU

ONLINE FILING

February 18, 2025

BSE Ltd.

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai 400 023

Scrip Code – 524494 National Stock Exchange India Limited,

Exchange Plaza, C-1, Block-G,

Bandra Kurla Complex, Bandra – (East).

Mumbai-400051.

Scrip Code : IPCALAB

Dear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of our Conference Call which was held on Thursday, 13th February, 2025 to discuss the Company's Q3 FY25 earnings and business update..

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

Encl: a/a

"Ipca

Q3 FY25

February 13

MANAGEMENT : M R. AJIT

LABORATORIES

MR. HARISH

COMPANY

LIMITED

MODERATOR : M R. NITIN

LIMITED

Page 1 of 19 Ipca Laboratories Limited

Earnings Conference Call"

February 13, 2025

JIT KUMAR JAIN– MANAGING DIRECTOR

LABORATORIES LIMITED

HARISH KAMATH – CORPORATE COUNSEL AND

COMPANY SECRETARY – IPCA LABORATORIES

LIMITED

NITIN AGARWAL – DAM CAPITAL ADVISORS

LIMITED

DIRECTOR – IPCA

COUNSEL AND

LABORATORIES

ADVISORS

Moderator: Ladies and gentlemen, good day and welcome to

Conference Call hosted by DAM Capital Advisors Limited.

will be in the listen

the presentation concludes. Should

signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr.

you, and over to you, sir.

Nitin Agarwal: Thank you, Muskan. Good afternoon, everyone, and a very warm welcome to

'25 Post Results Earnings Call

we have representing

Harish Kamath, Corporate Counsel & Company Secretary

to make the opening comments and then we'll open the floor for questions. Please go ahead, sir.

A.K. Jain: Thanks, Nitin and DAM Capital for organizing this call. Today's call and discussions and

answer given may include some forward expectations. This must be viewed in conjunction with risks that pharmaceutical business face. Our actual future financial performance may differ from what is projected and perceived. You may use your own judgment on information given during the call. The domestic formulation business has delivered around a growth of around 6% for the quarter. On MAT December '24, Ipca is ranked as 16th company as per IQVIA and its fastest growing among the top 20 players. Ipca continued to improve its market share. There is an 11 basis point improvement in market share in this particular quarter from 1.95 MAT market share at December '23 to 2.05% on MAT December current financial year. Six brands of the companies are among the top 300 brands in the country. And both on acute and chronic market segment, we are delivering better growth compared to the market. Overall pharma market in this quarter has grown by around 7.4%. IQVIA is tracking our growth at 11.4%. On acute segment, market has grown by around 6%. Our growth is tracked by IQVIA as 8.7%. And on chronic segment, IPM growth is around 9.7% and in this period, we have grown by around 17.1%. Overall, our formulation business has delivered a growth of around 6% for the quarter and API business has also delivered a growth of around 12% for the quarter. If you look at our standalone Q3 FY '25 EBITDA margin, it is at around 24.25% as against 18.52% in Q3 FY '24. There is an improvement of almost around 5.73%. If you look at 9 months basis, we have delivered an EBITDA of around 23.14% as against previous year 9 months of around 19.55%. Ipca Laboratories Limited February 13, 2025

Page 2 of 19 Ladies and gentlemen, good day and welcome to Ipca Laboratories Q3 FY '25 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors. you, and over to you, sir. Thank you, Muskan. Good afternoon, everyone, and a very warm welcome to Post Results Earnings Call hosted

by DAM Capital Advisors Limited. On the call today, we have representing Ipca Lab management, Mr. Ajit Kumar Jain, Managing Director and Mr. Kamath, Corporate Counsel & Company Secretary. I will hand over the call to Mr. Jain to make the opening comments and then we'll open the floor for questions. Please go ahead, Thanks, Nitin and DAM Capital for organizing this call. Today's call and discussions and answer given may include some forward-looking statements based on our current business expectations. This must be viewed in conjunction with risks that pharmaceutical business face. Our actual future financial performance may differ from what is projected and perceived. You may use your own judgment on information given during the call. The domestic formulation business has delivered around -- a growth of around 6% for the quarter. On MAT December '24, Ipca is ranked as 16th company as per IQVIA and its fastest growing among the top 20 players. Ipca continued to improve its market share. There is an 11 basis point improvement in market share in this particular quarter from 1.95 MAT market share at December '23 to 2.05% on MAT December current financial year. Six brands of the companies are among the top 300 brands in the country. And both on acute and chronic market segment, we are delivering better growth compared to the market. Overall pharma market in this quarter has grown by around 7.4%. IQVIA is tracking our growth at 11.4%. On acute segment, market has grown by around 6%. Our growth is tracked by IQVIA as 8.7%. And on chronic segment, IPM growth is around 9.7% and in this period, we have grown by around 17.1%. Overall, our formulation business has delivered a growth of around 6% for the quarter and API business has also delivered a growth of around 12% for the quarter. If you look at our standalone Q3 FY '25 EBITDA margin, it is at around 24.25% as against 18.52% in Q3 FY '24. There is an improvement of almost around 5.73%. If you look at 9 months basis, we have delivered an EBITDA of around 23.14% as against previous year 9 months of around 19.55%. Laboratories Limited February 13, 2025

Laboratories Q3 FY '25 Earnings
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Jain, Managing Director and Mr.

. I will hand over the call to Mr. Jain

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Thanks, Nitin and DAM Capital for organizing this call. Today's call and discussions and

looking statements based on our current business

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Our actual future financial performance may differ from what is projected and perceived. You

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continued to improve its market share. There is an 11

arter from 1.95 MAT market

Six brands of the companies are among the top 300 brands in the country. And both on acute

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Overall, our formulation business has delivered a growth of around 6% for the quarter and API

business has also delivered a growth of around 12% for the quarter. If you look at our

FY '25 EBITDA margin, it is at around 24.25% as against 18.52% in Q3 FY

If you look at 9 months basis, we have

delivered an EBITDA of around 23.14% as against previous year 9 months of around 19.55%.

There is an improvement of almost around 3.59%. And

overall guidance

around 21%, but

of around 23% to 24%.

around 19.87% as against 16.1% in Q3 FY '24. There is an improvement of around 3.77%.

And if you look at 9 months basis, it's around 19.18% as against 17.34% in the previous

financial year. There is an improvement of almost around 1.84%.

As against overall, our guidelines were around 18% for the year. As against

around 19.18%. And hopefully, 19.18% to 19.5% this is the range in which the overall

consolidated margins will

consolidated EBITDA margins are better

Having given the broad numbers, now I'll request participants to ask questions.

Moderator: Thank you very much. We will now begin the question and answer session.

is from the line of Surya Narayan Patra from PhillipCapital (India) Private Limited.

ahead.

Surya Narayan Patra: Congratulations for the good set of numbers, sir. My first question is on the gross margin, sir.

So I think the positive surprise is

And if I see this is one of the highest ever gross margin number that we have seen for the

quarter. What is driving this and how sustainable is this one, sir?

A.K. Jain: See, gross margin this period

let's say, turnover in this quarter has grown by around 10%. Material cost, there is a significant

reduction, against 10% growth, material cost has come down by around 5%. So that is the

impact.

And that impact is mainly

less pricing are more or less here and there. There is hardly any change. So it's a certain kind of

product mix improvement that is there, that has helped

another factor which has happened that last year in the same quarter, our ROW market

business was very low.

It was around

only because

in the lower. But in this particular quarter, that number has come high. So that has also added

to the -- overall to the margin because there, our margins are better, and it's

company as a whole in any business line.

So that has also helped in overall better margins in the current quarter. But there is a

significant improvement is there. If you look at each quarter by quarter, our material cost ratios

are continuously improving. If you

material cost ratio was around 28.9%, in quarter 2 it was around 29.59%. This quarter, it has

come to around 27.62%. Ipca Laboratories Limited

February

Page 3 of 19 here is an improvement of almost around 3.59%. And overall guidance for the year was

around 21%, but for whole of our financial year our EBITDA is likely to remain in the range

of around 23% to 24%. Overall, on consolidated EBITDA margin basis for Q3 FY '2

around 19.87% as against 16.1% in Q3 FY '24. There is an improvement of around 3.77%.

And if you look at 9 months basis, it's around 19.18% as against 17.34% in the previous

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 .18%. And hopefully, 19.18% to 19.5% this is the ra nge in which the overall
 consolidated margins w ould remain for the current f inancial year. So both on stand
 consolidated EBITDA margins are be tter than our guidelines for FY25.
 Having given the broad numbers, now I'll request pa rticipants to ask questions.
 Thank you very much. We will now begin the question and answer session.
 is from the line of Surya Narayan Patra from Philli pCapital (India) Private Limited.
 Congratulations for the good set of numbers, sir. M y first question is on the gross margin, sir.
 So I think the positive surprise in the quarter, what we are witnessing is in the gross margins.
 And if I see this is one of the highest ever gross margin number that we have seen for the
 quarter. What is driving this and how sustainable i s this one, sir?
 See, gross margin this p articular quarter was exceptionally high mainly bec ause the overall,
 let's say, turnover in this quarter has grown by ar ound 10%. Material cost, there is a significant
 reduction, against 10% growth, material cost has co me down by around 5%. So that i

s the
 And that impact is mainly -- we don't see any kind of reduction in the material pricing. More or
 less pricing are more or less here and there. There is hardly any change. So it's a certain kind of
 product mix improvement that is there, that has he lped us with a better gross margin.
 another factor which has happened that last year in the same quarter, our ROW market
 business was very low.
 It was around INR104 crores-or- so. And this year, it has grown by almost around 50 %. It's
 only because some shipments here and there has happened in last quarter and that has resulted
 in the lower. But in this particular quarter, that number has come high. So that has also added
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 So that has also helped in overall better margins i n the current quarter. But there is a
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 material cost ratio was around 28.9%, in quarter 2 it was around 29.59%. This quarter, it has
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 February 13, 2025

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 Overall, on consolidated EBITDA margin basis for Q3 FY '2 4 is at
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 material cost ratio was around 28.9%, in quarter 2 it was around 29.59%. This quarter, it has

And overall, for the 9 months, it is at 28.73%. So more
 will remain around 28.73% that's the kind of broadl y around that 28% to 29% is the
 the overall. So

at 9 months versus the improvement is there in overall in the current financial year. So it's largely portfolio has done well, we are delivering much better growth now, and we are beating the market on -- improvement.

Surya Narayan Patra: Okay. And is it fair to believe, sir, even the turn around for Unichem, that is playing role in the gross margin improvement here in the consolidated level?

A.K. Jain:

Talking about standalone, they were having around 5% EBITDA margin. And now their EBITDA improved to almost around close to 12%. So that is also helping in consolidations to deliver the better margins.

Surya Narayan Patra: Okay. Sir, the second question is on the U.S. business front, sir. So could you give some color about the kind of the progress on the product launches from our portfolio, although now it has been included in the Unichem business in Unichem. So how should one monitor the progress of our U.S. business in Unichem? Because Unichem, sir?

A.K. Jain: As far as Ipca around 4 products till now and almost the stocks has gone in the current quarter and end of last quarter. So nothing meaningful has happened as far as the overall consolidated numbers are concerned. We have made shipments from here, but that. So that process has just started. We have started winning some kind of the bids and all. So in the coming quarters, that will start reflecting. But right now, U.S. business doesn't have much of impact as far as our overall business is concerned currently because hardly any meaningful number has come so far, yes.

Surya Narayan Patra: Okay. Just last one question from my side. About the institutional business, in the light of all these funding issues that we are having which was a kind of a promising business and a futuristic business opportunity what we're targeting through hormones, so how should one think those potential business and the existing business in the institutional side?

A.K. Jain: As far as institutions are concerned, it's by and large, antimalarial business only. And I think in current scenario where U.S. has abruptly stopped the U.S. aids to the various programs are still assessing their Ipca Laboratories Limited February

Page 4 of 19 And overall, for the 9 months, it is at 28.73%. So more or less, for the fourth quarter also, it will remain around 28.73% that's the kind of broadly around that 28% to 29% is the So -- and last year, for the first 9 months, this ratio was around 32%. So if you look at 9 months versus this, so there is almost around improvement of 3.37%. And so that improvement is there in overall in the current financial year.

So it's largely because of better product mix and our -- overall, if you see that our chronic portfolio has done well, we are delivering much better growth now, and we are beating the -- continuously on chronic also. So that is also helping overall in the margin improvement.

Okay. And is it fair to believe, sir, even the turn around for Unichem, that is playing role in the gross margin improvement here in the consolidated level?

Talking about standalone side, as far as Unichem is concerned, last year, around same time, they were having around 5% EBITDA margin. And now their EBITDA margin has also improved to almost around close to 12%. So that is also helping in consolidations to deliver the better margins.

Okay. Sir, the second question is on the U.S. business front, sir. So could you give some color the kind of the progress on the product launches from our portfolio, although now it has been included in the Unichem portfolio. And now considering the integration of this U.S. business in Unichem. So how should one monitor the progress of our U.S. business in Unichem? Because -- or in the light of that, are you going to give an upgraded guidance for Unichem, sir?

Ipca portfolio in Unichem is concerned, let's say -- I would say that we have shipped around 4 products till now and almost around 7 to 8 products are in pipeline. So the stocks has gone in the current quarter and end of last quarter. So nothing meaningful has happened as far as the overall consolidated numbers are concerned.

We have made shipments from here, but it will take some time for the market bidding and all that. So that process has just started. We have started winning some kind of the bids and all. So in the coming

ming quarters, that will start reflecting. But right now, U.S. business doesn't have impact as far as our overall business is concerned currently because hardly any meaningful number has come so far, yes.

Okay. Just last one question from my side. About the institutional business, in the light of all these funding issues by the agencies. So how should one think about the injectable business that we are having which was a kind of a promising business and a futuristic business opportunity what we're targeting through hormonal, so how should one think those potentialness and the existing business in the institutional side?

As far as institutions are concerned, it's by and large, antimalarial business only. And I think in current scenario where U.S. has abruptly stopped the U.S. aids to the various programs are still assessing their -- the impact of that. So currently, we have not heard from any Laboratories Limited
February 13, 2025

or less, for the fourth quarter also, it will remain around 28.73% that's the kind of broadly around that 28% to 29% is the -- what is and last year, for the first 9 months, this ratio was around 32%. So if you look is, so there is almost around improvement of 3.37%. And so that overall, if you see that our chronic livering much better growth now, and we are beating the continuously on chronic also. So that is also helping overall in the margin Okay. And is it fair to believe, sir, even the turn around for Unichem, that is also kind of

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institution any kind of cancellation of orders. But we have calculated our internal number that what kind of business on a year basis we were doing with, where U.S. aid to the concerned donor.

So that business is around difficult to say, but yes, that is the number which we have, which is relating to the U.S. aids business. And we didn't even know how much U.S. aid is giving funds to the global fund. global fund is also receiving the U.S. aid and how global fund will thereafter take up, that number is not known to us. So I will not like to comment on that. But U.S. aid to the global fund. So that is not known to me right now.

Surya Narayan Patra: Sure, sir. Thank you.

Moderator: Thank you. The

PI

ease go ahead.

Shiva: Firstly, congratulations on a great set of numbers, essentially with respect to the margins. My first question is with respect to generics. This quarter, there was a slight bit of weakness. Could you just say any particular reason or what was the reason behind numbers in generics?

A.K. Jain: By and large, this lower generic numbers are mainly because of South Africa. We were doing a business of around maybe a round INR 75 crores to orders are lost and all those kind of things are there.

But we are working on next

to be there in South Africa business in the next financial year. But in current financial year, that's the one reason that which has overall impacted our overall generic number.

Shiva: And with respect to Unichem, obviously, there was a steady progress and the margins have done way better than expectation. So I just wanted to understand for the next 1 year how are you looking at

during the acquisitions time. So how are you looking at Unichem's growth and margin for the next 1 year or what are the kind of the levers that have you played and what are left, if you could give more color to that?

A.K. Jain: So right now, all operations all. It's synergetic benefits and your and other developed markets and all.

basically all improvements what we could brought about in the overall in Unichem's operations and buying efficiencies we have created, that is what is reflecting in their overall margin.

And we are also asking our U.S. team to be a little more aggressive and all, and we are monitoring that part. And we see a much better business which is coming now in U.S. also. Ipca Laboratories Limited February

Page 5 of 19 institution any kind of cancellation of orders. But we have calculated our internal number that what kind of business on a year basis we were doing with, where the aids were given by the U.S. aid to the concerned donor.

So that business is around INR40 crores, yes. So how much of that will impact, right now it's difficult to say, but yes, that is the number which we have, which is relating to the U.S. aids business. And we didn't even know how much U.S. aid is giving funds to the global fund. global fund is also receiving the U.S. aid and how global fund will thereafter take up, that number is not known to us. So I will not like to comment on that. But there would be some U.S. aid to the global fund. So that is not known to me right now.

Sure, sir. Thank you.

Thank you. The next question is from the line of Shiva from Purnartha Investment Advisors Please go ahead.

Firstly, congratulations on a great set of numbers, essentially with respect to the margins. My first question is with respect to generics. This quarter, there was a slight bit of weakness. Could you just say any particular reason or what was the reason behind that kind of slightly lower numbers in generics?

By and large, this lower generic numbers are mainly because of South Africa. We were doing a business of around INR120 crores in South Africa in a year. I think this year, the number round INR40 crores-or-so. So there will be almost around INR 80 crore 75 crores to INR 80 crores kind of decline in South Africa business because of some tender orders are lost and all those kind of things are there.

But we are working on next year's plan, and there will be significant improvements are likely to be there in South Africa business in the next financial year. But in current financial year, that's the one reason that which has overall impacted our overall generic number.

And with respect to Unichem, obviously, there was a steady progress and the margins have done way better than expectation. So I just wanted to understand for the next 1 year how are you looking at -- because the margins have improved better than what we have during the acquisitions time. So how are you looking at Unichem's growth and margin for the next 1 year or what are

the kind of the levers that have you played and what are left, if you could give more color to that?

So right now, all the improvements, which is coming is basically the improvement in operations all. It's synergetic benefits and your -- extending the product range to other markets and other developed markets and all. That's a little long-term game. So right now, it is basically all improvements what we could brought about in the overall in Unichem's operations and buying efficiencies we have created, that is what is reflecting in their overall margin.

And we are also asking our U.S. team to be a little more aggressive and all, and we are monitoring that part. And we see a much better business which is coming now in U.S. also. Laboratories Limited February 13, 2025

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, yes. So how much of that will impact, right now it's

difficult to say, but yes, that is the number which we have, which is relating to the U.S. aids business. And we didn't even know how much U.S. aid is giving funds to the global fund. So if global fund is also receiving the U.S. aid and how global fund will thereafter take up, that there would be some

Shiva from Purnartha Investment Advisors .

Firstly, congratulations on a great set of numbers, essentially with respect to the margins. My

first question is with respect to generics. This quarter, there was a slight bit of weakness. Could behind that kind of slightly lower

By and large, this lower generic numbers are mainly because of South Africa. We were doing in South Africa in a year. I think this year, the number 80 crores kind of --

80 crores kind of decline in South Africa business because of some tender

next year's plan, and there will be significant improvements are likely

to be there in South Africa business in the next financial year. But in current financial year, that's the one reason that which has overall impacted our overall generic number.

With respect to Unichem, obviously, there was a steady progress and the margins have done way better than expectation. So I just wanted to understand for the next 1 year how are because the margins have improved better than what we have expected

during the acquisitions time. So how are you looking at Unichem's growth and margin for the next 1 year or what are the kind of the levers that have you played and what are left, if you the improvements, which is coming is basically the improvement in

extending the product range to other markets

term game. So right now, it is

basically all improvements what we could brought about in the overall in Unichem's operations

and buying efficiencies we have created, that is what is reflecting in their overall margin.

And we are also asking our U.S. team to be a little more aggressive and all, and we are monitoring that part. And we see a much better business which is coming now in U.S. also.

And overall, it's basically improvement in operation that has got the results

long way to go, I would say that, the margin will keep on improving as far as Unichem is concerned.

A lot of work is happening on API side. It's in work in progress because the API efficiencies are one where it will also reduce the captive

not able to sell the APIs to, let's say, the Indian market or other markets where the

the price-sensitive markets and all that is because their overall production cost is higher.

So they are most

start improving efficiencies on that and all. So that will also bring a lot of continuous

improvement. And these improvement numbers will start reflecting in the next 1 or 2 quarter because one of their

quarter somewhere.

So that will start reflecting after a quarter

coming in, filing happens from there and some

of those materials, the cost of API production will go down. So there will be continuous improvements will happen

in Unichem's operation further.

Moderator: The next question is from the line of Tushar from ahead.

Tushar: Sir, just extending your comment now with backward integration of Unichem's formulations and subsequently, chronic share increasing in India formulation business. Qualitatively, at least, if you can

one can think for FY '26?

A.K. Jain: So right now, the budget exercise is going on. So once the budget numbers are finalized and overall -- so normally, we give those kind of guidelines

quarter results. So around that time, we will give the guidelines. But I would say that the

margins are improving and will continue to improve, but the guidelines we will be able to give along with our annual

Tushar: Sir, secondly, just on the API products portfolio level, is the inventory now more or less getting normalized at industry level or we are still seeing pricing pressure?

A.K. Jain: Right now, we have not noticed any kind of pricing pressure

have moved, other solvent prices have come down. I think on the chemical side, there are

hardly any kind of movement. And intermediate side, we have seen slight improvement in few, but we have seen reduction in many more.

So overall basis, I would say this is a neutral. And I don't foresee that in next 2 quarters also,

there could be any kind of further improvements in the overall, let's say, increase in the prices.

So more or less the similar trend will continue.

Tushar: And just lastly, the effective tax rate, how much do you think about for full year '25? Ipca Laboratories Limited February

Page 6 of 19 And overall, it's basically improvement in operation that has got the results

long way to go, I would say that, the margin will keep on improving as far as Unichem is

A lot of work is happening on API side. It's in work in progress because the API efficiencies

are one where it will also reduce the captive consumption cost and also right now, Unichem is

not able to sell the APIs to, let's say, the Indian market or other markets where the

sensitive markets and all that is because their overall production cost is higher.

So they are mostly consuming the API for their own production for U.S. and all. So once we start improving efficiencies on that and all. So that will also bring a lot of continuous improvement. And these improvement numbers will start reflecting in the next 1 or 2 quarter because one of their -- the bigger plant, which is likely to be operational maybe in the next quarter somewhere.

So that will start reflecting after a quarter -or-so once the regulatory approvals and all start coming in, filing happens from there and some kind of -- once they start captive consumptions of those materials, the cost of API production will go down. So there will be continuous improvements will happen in Unichem's operation further.

The next question is from the line of Tushar from Motilal Oswal Financial Services.

Sir, just extending your comment now with backward integration of Unichem's formulations and subsequently, chronic share increasing in India formulation business. Qualitatively, at least, if you could share, compared to FY '25 consol EBITDA margin, what kind of margins one can think for FY '26?

So right now, the budget exercise is going on. So once the budget numbers are finalized and so normally, we give those kind of guidelines along with our -- the first quarter quarter results. So around that time, we will give the guidelines. But I would say that the margins are improving and will continue to improve, but the guidelines we will be able to give along with our annual results.

Sir, secondly, just on the API products portfolio level, is the inventory now more or less getting normalized at industry level or we are still seeing pricing pressure?

Right now, we have not noticed any kind of pricing pressure. Somewhere some solvent prices have moved, other solvent prices have come down. I think on the chemical

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Oswal Financial Services. Please go

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there could be any kind of further improvements in the overall, let's say, increase in the prices.

And just lastly, the effective tax rate, how much do you think about for full year '25?

A.K. Jain: Overall tax rate for us is 25%, but some kind of disallowances on CSR and also on the marketing cost and all wise, I think overall tax will remain around 27% to

Tushar: All right. Thank you. That's it.

Moderator: Thank you The next question is from the line of Nitin Agarwal from DAM Capital Advisors.

Please go ahead.

Nitin Agarwal: Sir, on the generic business, sir, can you provide an update on how have they sort of done so far in 9 months and how are you looking at it going forward?

A.K. Jain: Overall, U.K. was also very fiercely competitive market. So overall, I think U.K. numbers are muted more or less in the line with

EU numbers is

But overall, South Africa is a little down, and also Australia and New Zealand numbers are down.

Australia numbers are down mainly because of some supply chain issues on ACI, which we were using for formulations. So now that issues are resolved. So in this quarter, Australia numbers have improved, and I think overall in next quarter also those numbers will. So that's the broad reason for overall lower growth on generic side.

Nitin Agarwal: And then looking forward, is the U.K. business, how are you looking expecting a turnaround in the

business that I think is coming slower than expected

we looking at the business now, sir, when you look at

A.K. Jain: Let's say, I think second quarter was very bad. But third quarter onwards, the prices have again started improving there and business has of launches also in pipeline. So I think in U.K. numbers, we will see around 15% to 17% kind of overall growth in next financial year.

Nitin Agarwal: And sir, Europe will continue to grow at these double

A.K. Jain: Yes.

Nitin Agarwal: And then lastly, on branded formulations, what was quarter?

A.K. Jain: It's only, let's say, last quarter

because the shipment in that quarter was low. And now it has come to the normalized level. So this quarter's number is broader the other quarter.

So more or less, that impact is a onetime impact

Q3 number last year was low, so it's appearing to be high growth. But overall, on this promotional market business, we are looking for around 8% to 9% growth for the whole of the financial year. Ipca Laboratories Limited

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Page 7 of 19 Overall tax rate for us is 25%, but some kind of deductions on CSR and also on the marketing cost and all wise, I think overall tax will remain around 27% to 28% kind of thing. All right. Thank you. That's it.

The next question is from the line of Nitin Agarwal from DAM Capital Advisors.

Please go ahead.

Sir, on the generic business, sir, can you provide an update on the EU and the U.K. market?

How have they sort of done so far in 9 months and how are you looking at it going forward?

Overall, U.K. was also very fiercely competitive market. So overall, I think U.K. numbers are muted more or less in the line with what we had previous year 9 months. So it has not grown.

EU numbers is -- we had good growth in EU. So around 14%, 15% is the overall growth there.

But overall, South Africa is a little down, and also Australia and New Zealand numbers are

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were using for formulations. So now that issues are resolved. So in this quarter, Australia

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And then looking forward, is the U.K. business, how are you looking --

expecting a turnaround in the business that I think is coming slower than expected

we looking at the business now, sir, when you look at -- take a 2- year view on the business?

Let's say, I think second quarter was very bad. But third quarter onwards, the prices have again started improving there and business has started improving overall. And I think we have a lot of launches also in pipeline. So I think in U.K. numbers, we will see around 15% to 17% kind of overall growth in next financial year.

And sir, Europe will continue to grow at these double-digit growth rates?

And then lastly, on branded formulations, what was -- what drove such high growth this

It's only, let's say, last quarter -- last year on the same quarter, the number was very low

because the shipment in that quarter was low. And now it has come to the normalized level. So this quarter's number is broader -- more or less is similar to the plus/minus 5%, 7% compared to the other quarter.

So more or less, that impact is a onetime impact because the number of last quarter

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your year view on the business?

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promotional market business, we are looking for around 8% to 9% growth for the whole of the

Nitin Agarwal: Okay. And sir, lastly...

A.K. Jain: And gross number is looking muted is also because of your depreciation of r

Nitin Agarwal: And then lastly, on the API business, sir, how should we now think about the API business going forward?

A.K. Jain: 8% to 10 % growth.

Nitin Agarwal: And sir, the newer capacities in both Dewas and all, Dewas have come through now, they are

- you start using the Dewas capacities?

A.K. Jain: Yes, Dewas capacity we have started already, yes. But capacity utilization is around 35%

40%. So it is still too

are pending. So once that happens, then capacity utilizations will pick up.

Nitin Agarwal: Okay. Thank you.

Moderator: Thank you. The next question is from

(India) Private Limited.

Surya Narayan Patra: Yes, sir. So this is an extended question about APIs. In fact, sir, API export particularly, that was one of the key earning driver also for

effectiveness there. But if I see that, okay, during the COVID period, the kind of run rate, what

we have been seeing even after 4, 5 years, we have not touched that number.

So obviously, there was the is

seen from the U.K. side, post that we have seen the re is a kind of a moderated performance

only. So if you can give some sense of what is currently

are currently the drivers? And going ahead, what should drive the growth for us?

Whether it is a new product or it is a new capacity that will drive the APIs? Could you give

some sense about the API portfolio as a whole and the export market particularly?

A.K. Jain: Let's say, on COVID period, the major

and hydroxychloroquine because they were required for COVID and that has also come with

good pricing and all. So that has given overall high numbers around that

subsequently, we have faced the problem on certain business. So that has resulted in overall

lower growth and also, we were carrying higher inventories and

intermediate pricings and all.

And pricing has slashed down to ar

So around \$50 now. So that has also resulted in overall turnover number coming lower on that

account and prices of intermediates also of those API has significantly declined.

So that has resulted i

the APIs and also on portfolio approach now all these things are of things of past, we also lost Ipca Laboratories Limited

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Page 8 of 19 kay. And sir, lastly...

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going forward?

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And sir, the newer capacities in both Dewas and all, Dewas have come through now, they are you start using the Dewas capacities?

Yes, Dewas capacity we have started already, yes. But capacity utilization is around 35% 40%. So it is still too -- because a lot of regulatory approvals has yet to come and inspections are pending. So once that happens, then capacity utilizations will pick up.

Okay. Thank you.

The next question is from the line of Surya Narayan Patra from PhillipCapital (India) Private Limited. Please go ahead.

Yes, sir. So this is an extended question about APIs. In fact, sir, API export particularly, that was one of the key earning driver also for us for a longer period of time because of our cost effectiveness there. But if I see that, okay, during the COVID period, the kind of run rate, what we have been seeing even after 4, 5 years, we have not touched that number.

So obviously, there was the issues post the impurities in the couple of key APIs, what we've seen from the U.K. side, post that we have seen the re is a kind of a moderated performance only. So if you can give some sense of what is currently -- or which are the key products which currently the drivers? And going ahead, what should drive the growth for us?

Whether it is a new product or it is a new capacity that will drive the APIs? Could you give some sense about the API portfolio as a whole and the export market particularly?

Let's say, on COVID period, the major -- the API business buildup was around chloroquine and hydroxychloroquine because they were required for COVID and that has also come with good pricing and all. So that has given overall high numbers around that subsequently, we have faced the problem on certain business. So that has resulted in overall lower growth and also, we were carrying higher inventories and -- which were at higher intermediate pricings and all.

And pricing has slashed down to around from \$100 level to almost around \$40, \$50 level now.

So around \$50 now. So that has also resulted in overall turnover number coming lower on that account and prices of intermediates also of those API has significantly declined.

So that has resulted in overall lower number. And overall portfolio-wise, we are also adding the APIs and also on portfolio approach now all the things are of things of past, we also lost Laboratories Limited February 13, 2025

ouble.

And then lastly, on the API business, sir, how should we now think about the API business

And sir, the newer capacities in both Dewas and all, Dewas have come through now, they are -

Yes, Dewas capacity we have started already, yes. But capacity utilization is around 35%, because a lot of regulatory approvals has yet to come and inspections

the line of Surya Narayan Patra from PhillipCapital

Yes, sir. So this is an extended question about APIs. In fact, sir, API export particularly, that us for a longer period of time because of our cost

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the APIs and also on portfolio approach now all the things are of things of past, we also lost

a significant business in Iran. We were doing almost around

of business in Iran.

And today, that business is 0. So that has also resulted in overall lower

have dollars or currencies to pay and therefore, th at market, we are not able to sell anything right now. So that business has also co
Iran is no longer there with us. So that has also i mpacted overall business. And now since portfolio is also increasing and we have Ratlam cap acity, by and large, the incremental capacities will be used

Dewas capacity is available and all that will resul t in around 8% to 10% kind of overall API business increase. More specific numbers I'll be ab le to give after the quarter number, where

give the proper guidelines on that.

Surya Narayan Patra: Is the Sartans still kind of the largest product se gment for our API business, sir?

A.K. Jain: Yes. Individual number

number. But --

sales number is not moving up. Some market prices h ave started moving up. But overall, on a mix basis, I w

Surya Narayan Patra: Okay. Just on the U.S. business side, from the pers pective of Unichem, now since they are having the integrated operation at their end, so we know that pre making business because of the whatever, kind of not so si gnificant integrated portfolio as well as not so complex generic products there in the por tfolio.

So here onwards that Unichem as a whole, it's a kin d of significant chunk of the consolidated business. So

basis and how should one think about that, particul arly regards to U.S.? Also considering the concern of the tariff and all that, so how should o ne really position about Unich portion of the business, which is U.S.?

A.K. Jain: So if you look at Unichem business, the product por tfolio is of the order products only, and they are continuously launching 3 to 4 kind of new products every year. And probably in the next few years, at least 5 to 6 kind of launches can happen year portfolio, and Ipca portfolio also the launches wou ld happen.

With consolidation with Unichem the business overal l, so what kind of expenditure duplicate expenditure was ther

coming because standalone Bayshore was having this again marketing operations and cost, and they were not able to recover those costs because b usiness operation around that time and when we wer e not having FDA approval. Ipca Laboratories Limited

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Page 9 of 19 a significant business in Iran. We were doing almos t around INR75 crores, INR of business in Iran.

And today, that business is 0. So that has also res ulted in overall lower -- because they don't have dollars or currencies to pay and therefore, th at market, we are not able to sell anything right now. So that business has also co me down. So that consistent business what we have on Iran is no longer there with us. So that has also i mpacted overall business. And now since portfolio is also increasing and we have Ratlam cap acity, by and large, the incremental capacities will be used for our U.S. captive consumptions and all.

Dewas capacity is available and all that will resul t in around 8% to 10% kind of overall API business increase. More specific numbers I'll be ab le to give after the -- along with the fourth quarter number, where -- after our annual budget exercise is complete, and w e will be able to give the proper guidelines on that.

Is the Sartans still kind of the largest product se gment for our API business, sir?

Yes. Individual number -wise, yes , this is giving the highest growth, yes, highest o verall

-- and we are also seeing that with even volume number s going up, overall, your sales number is not moving up. Some market prices h ave started moving up. But over

all, on a

mix basis, I w ould say that number is still muted, yes.

Okay. Just on the U.S. business side, from the pers pective of Unichem, now since they are having the integrated operation at their end, so we know that pre -acquisition, it was loss business because of the whatever, kind of not so si gnificant integrated portfolio as well as not so complex generic products there in the por tfolio.

So here onwards that Unichem as a whole, it's a kin d of significant chunk of the consolidated going ahead, what is the strategy there for the U.S . business on a consolidated basis and how should one think about that, particul arly regards to U.S.? Also considering the concern of the tariff and all that, so how should o ne really position about Unich portion of the business, which is U.S.?

So if you look at Unichem business, the product por tfolio is of the order products only, and they are continuously launching 3 to 4 kind of new products every year. And probably in the years, at least 5 to 6 kind of launches can happen year -on-year on Unichem's portfolio, and Ipca portfolio also the launches wou ld happen.

With consolidation with Unichem the business overal l, so what kind of expenditure duplicate expenditure was ther e that we have already eliminated and that benefit has started

coming because standalone Bayshore was having this again marketing operations and cost, and they were not able to recover those costs because business operation around that time and not having FDA approval. Laboratories Limited
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INR 80 crores kind because they don't have dollars or currencies to pay and therefore, at market, we are not able to sell anything. So that consistent business what we have on Iran is no longer there with us. So that has also impacted overall business. And now since portfolio is also increasing and we have Ratlam capacity, by and large, the incremental Dewas capacity is available and all that will result in around 8% to 10% kind of overall API along with the fourth after our annual budget exercise is complete, and we will be able to. Is the Sartans still kind of the largest product segment for our API business, sir? , this is giving the highest growth, yes, highest overall and we are also seeing that with even volume numbers going up, overall, your sales number is not moving up. Some market prices have started moving up. But overall, on a Okay. Just on the U.S. business side, from the perspective of Unichem, now since they are acquisition, it was loss - business because of the whatever, kind of not so significant integrated portfolio as well. So here onwards that Unichem as a whole, it's a kind of significant chunk of the consolidated going ahead, what is the strategy there for the U.S. business on a consolidated basis and how should one think about that, particularly regards to U.S.? Also considering the concern of the tariff and all that, so how should one really position about Unichem's larger. So if you look at Unichem business, the product portfolio is of the order products only, and they are continuously launching 3 to 4 kind of new products every year. And probably in the year on Unichem's. With consolidation with Unichem the business overall, so what kind of expenditure -- that we have already eliminated and that benefit has started coming because standalone Bayshore was having this again marketing operations and cost, and they were not able to recover those costs because business operation around that time and

So that cost was a burden. So that cost has gone up has those kind of people and they don't need to hire additional people to do the Bayshore and also Ipca business. So that is resulting in. Surya Narayan Patra: Okay. And just last one, sir, about the subsidiaries. How do Moderator: Sir, I just request you to rejoin the queue, please. Surya Narayan Patra: Sure. Moderator: Thank you. The next question is from

the line of ASK Investment Managers. Gagan Thareja: Sir, the first question is on the gross debt levels. If you could give out the gross debt levels and how should we think of it going ahead? A.K. Jain: Overall, I think gross debt is around And we have almost around crores kind of debt overall, practically that number will become nil because debt repayment and all, overall cash holding and if you see, Gagan Thareja: Sir, this is on the standalone level. A.K. Jain: Standalone level. Gagan Thareja: On the consolidated level, what could Harish Kamath: Consolidated level, there are hardly any borrowings in Unichem. It's not a about \$ 12 million. Gagan Thareja: All right, sir. And on your domestic portfolio? And how have And what do A.K. Jain: Overall, if you look at the pain portfolio, overall for the first 9 months of current year, on pain portfolio, we have grown by around 14%, which includes osteoarthritis and rheumatoid arthritis both. So in both the market segment, we have leadership and that portfolio has grown by around 14%. So that portfolio continues to do very well for us. But certain markets like antimalarial this year Antibacterial have just grown by 1%. Cough and cold has grown by 4%. So these are the portfolios where we have lagging. Our cardiovascular portfolios are now doing better. Our urology, then dermatology and nutraceuticals and also gastrointestinal portfolio, too better. So overall, we have around

portfolio, we have around 12% internal growth. Ipca Laboratories Limited
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Page 10 of 19 So that cost was a burden. So that cost has gone up -- gone out now because Unichem already has those kind of people and they don't need to hire additional people to do the Bayshore and also Ipca business. So that is resulting in overall in operational cost decrease for us. Okay. And just last one, sir, about the subsidiaries. How do you see their performance... request you to rejoin the queue, please.

The next question is from the line of Gagan Thareja from ASK Investment
ASK Investment Managers. Please go ahead.

Sir, the first question is on the gross debt levels. If you could give out the gross debt levels and how would we think of it going ahead?

Overall, I think gross debt is around INR 900 crores in the balance sheet for Ipca standalone. And we have almost around INR 600 crores of cash. So net of cash, we have around crores kind of debt overall, cash what is available with us. And I think next financial year, practically that number will become nil because debt repayment and all, overall cash holding and if you see, net debt would be practically zero.

Sir, this is on the standalone level, on the consolidated level?

Standalone level.

consolidated level, what could be gross debt be?

Consolidated level, there are hardly any borrowings in Unichem. It's not a -- 12 million, \$13 million -- \$30 million overall.

All right, sir. And on -- can you also give the salience of Zerodol and its line extensions in your domestic portfolio? And how have -- how has that franchise grown for you year
And what do you think of that particular brand going forward?

Overall, if you look at the pain portfolio, overall for the first 9 months of current year, on pain portfolio, we have grown by around 14%, which includes osteoarthritis and rheumatoid both. So in both the market segment, we have leadership and that portfolio has grown by around 14%. So that portfolio continues to do very well for us. But certain markets like antimalarial this year has not grown, so practically zero growth on there. Antibacterial have just grown by 1%. Cough and cold has grown by 4%. So these are the portfolios where we have lagging. Our cardiovascular portfolios are now doing better. Our urology, then dermatology and nutraceuticals and also gastrointestinal portfolio, they are doing better. So overall, we have around -- if you look at first 9 months of current year, on overall portfolio, we have

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Gagan Thareja from ASK Investment from

Sir, the first question is on the gross debt levels. If you could give out the gross debt levels and 900 crores in the balance sheet for Ipca standalone.

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can you also give the salience of Zerodol and its line extensions in

how has that franchise grown for you year-to-date?

Overall, if you look at the pain portfolio, overall for the first 9 months of current year, on pain portfolio, we have grown by around 14%, which includes osteoarthritis and rheumatoid both. So in both the market segment, we have leadership and that portfolio has grown by around 14%. So that portfolio continues to do very well for us. But certain markets like antibacterial have just grown by 1%. Cough and cold has grown by 4%. So these are the portfolios where we have lagging. Our cardiovascular portfolios are now doing better. Our urology, then dermatology and nutraceuticals and also gastrointestinal portfolio, they are doing better. So overall, we have around -- if you look at first 9 months of current year, on overall

Gagan Thareja: Okay. And on the subsidiaries, if you could give some flavor of the subsidiary both at a P&L level and also at a balance sheet level, if some details can be given out?

Harish Kamath: Except Pisgah and our associate company Krebs, other all companies are profitable as on date. Bayshore, as Mr. Jain has said, we were incurred
has gone from the

Other than that all subsidiary and associates, they are profit in the consolidated level.

Gagan Thareja: Okay. All right. But potentially, there would be room for further improvement in margins in all

of those?

Harish Kamath: Yes, definitely, definitely. Everywhere, there is potential room to improve margins. Especially PISG, we are working on long

Gagan Thareja: Okay. Thank you, sir. I will get back in the queue. Thanks for taking my questions.

Moderator: Thank you. The next question is from the line of Pulkit Management.

Pulkit Singhal: Congrats on a good set of numbers. My first question is on the U.S. portfolio for Ipca that's going to be marketed by Unichem. What is the potential revenue opportunity for you over the next 3 to 5 years as per your own

Harish Kamath: See, before our U.S. FDA issue started, maybe in the year 2012 dollar was about

products. So out of those 10 products, w

other products are on the verge of getting manufactured. So gradually, we will build our business through Unichem on those initial products, which were earlier selling in the market in the U.S. market

And we have very good cost benefit because of backward integration, our own API and all. In most of those APIs, I'm also maybe one of the largest manufacturers in the world.

Pulkit Singhal: Understood. So the level you crossed, let's say, kind of percentage margins are then recorded at Unichem level for the marketing?

Harish Kamath: Unichem, whatever

Those marketing partners are

profit, for sharing cost of distribution, everything is on paper. It will be beneficial to both Unichem as well as Ipca.

Pulkit Singhal: Yes. I'm just trying to understand what is the dilutive

Harish Kamath: We have not spent any money for doing business. Whatever plans earlier we were manufacturing U.S. products, they were as good as not manufacturing anything. Then we started gradually using them for other

capacity utilization was very less. Ipca Laboratories Limited

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Page 11 of 19 Okay. And on the subsidia

ries, if you could give some flavor of the subsidiary

both at a P&L level and also at a balance sheet level, if some details can be given out?

Except PISG and our associate company Krebs, other all companies are profitable as on date.

Bayshore, as Mr. Jain has said, we were incurring losses because of administrative costs that has gone from the -- our books now. So only PISG and Krebs are little cause of concern.

Other than that all subsidiary and associates, there are profit in the consolidated level.

ght. But potentially, there would be room for further improvement in margins in all

Yes, definitely, definitely. Everywhere, there is potential room to improve margins. Especially

PISG, we are working on long-term plan and all, it should turn around in a couple of quarters.

Okay. Thank you, sir. I will get back in the queue. Thanks for taking my questions.

The next question is from the line of Pulkit Singhal from Dalmus Capital

Management. Please go ahead.

Congrats on a good set of numbers. My first question is on the U.S. portfolio for Ipca that's going to be marketed by Unichem. What is the potential revenue opportunity for you over the next 3 to 5 years as per your own estimation, a rough range?

See, before our U.S. FDA issue started, maybe in the year 2012-'13, when exchange rupee dollar was about INR60, we did about INR250 crores formulation business with about 10 products. So out of those 10 products, we have just manufactured and shipped 4 products. Few other products are on the verge of getting manufactured. So gradually, we will build our business through Unichem on those initial products, which were earlier selling in the market in the U.S. market . .

And we have very good cost benefit because of backward integration, our own API and all. In most of those APIs, I'm also maybe one of the largest manufacturers in the world.

Understood. So the level you crossed, let's say, INR100 crores or INR 200 crores of size, what kind of percentage margins are then recorded at Unichem level for the marketing?

Unichem, whatever -- see, earlier also we were doing business through marketing partner.

Those marketing partners are now replaced with the Unichem. There is a formula for sharing profit, for sharing cost of distribution, everything is on paper. It will be beneficial to both Unichem as well as Ipca.

Yes. I'm just trying to understand what is the dilutive effect it has because Unichem is at...

We have not spent any money for doing business. Whatever plans earlier we were manufacturing U.S. products, they were as good as not manufacturing anything. Then we started gradually using them for other markets like Europe and all. In spite of that, their capacity utilization was very less. Laboratories Limited

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Okay. And on the subsidiaries, if you could give some flavor of the subsidiary performance both at a P&L level and also at a balance sheet level, if some details can be given out? Except PISGAH and our associate company Krebs, other all companies are profitable as on date. Incurring losses because of administrative costs that are in our books now. So only PISGAH and Krebs are little cause of concern. Other than that all subsidiary and associates, there are profits in the consolidated level. Right. But potentially, there would be room for further improvement in margins in all. Yes, definitely, definitely. Everywhere, there is potential room to improve margins. Especially it should turn around in a couple of quarters.

Okay. Thank you, sir. I will get back in the queue. Thanks for taking my questions.

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other products are on the verge of getting manufactured. So gradually, we will build our business through Unichem on those initial products, which were earlier selling in the market -- And we have very good cost benefit because of backward integration, our own API and all. In most of those APIs, I'm also maybe one of the largest manufacturers in the world. 200 crores of size, what kind of percentage margins are then recorded at Unichem level for the marketing? see, earlier also we were doing business through marketing partner. now replaced with the Unichem. There is a formula for sharing profit, for sharing cost of distribution, everything is on paper. It will be beneficial to both effect it has because Unichem is at...

We have not spent any money for doing business. Whatever plans earlier we were manufacturing U.S. products, they were as good as not manufacturing anything. Then we markets like Europe and all. In spite of that, their

Once we do progression in our U.S. business through Unichem, whatever overhead recovery will also improve. That will also indirectly benefit me as well as my API add production. So all those benefits will come over a period of time as and we go on improving our U.S. business.

Pulkit Singhal: Understood. And when it comes to Unichem's own facilities, I think they are at 50% to 60% utilization. Is my understanding

Harish Kamath: That is also gradually improving. Goa, too, which was newly commissioned, there also they have started gradually ramping up the production. So all Unichem productivity also. That is also one of the because of higher production. So all verticals, wherever operational efficiency can be encashed, everything is being worked on.

Pulkit Singhal: Understood. And sir, in how many years do you see that you would be the Unichem facilities...

Harish Kamath: So next 4 to 5 years, I don't think they will need any further capacity other than routine capacity improvement plans and all. And whatever API they want to produce going forward that capex is capacity available. So API there were a little bit bottlenecks, which are being now addressed.

Pulkit Singhal: Thank you for answering my questions. All the best.

Moderator: Thank you. The Services. Please go ahead.

Tushar: Sir, just again on Unichem, given that they are also now primarily into U.S. business and Ipca also has. So any thoughts on sort of merging Un

Harish Kamath: No, no. There is no currently any such plans. But the product portfolio of Unichem and Ipca except few products which are common, rest are all different products. And as Mr. Jain has said, we are already having a plan to

Australia and New Zealand, most of the Europe and a large ROW market, that action plan is already on, product registration, document generation, all work is happening.

Tushar: And of course, separate listed entities?

Harish Kamath: We have not thought on that so far. Just we are trying to now consolidate and improve Unichem performance. That is our focus.

Tushar: And sir, just secondly on domestic formulation, if you could share price volume new launches data for the quarter and for 9 months?

A.K. Jain: See one particular reason for not taking up consolidation is also because we are looking for a strategy of hedging. In Ipca Laboratories Limited

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Page 12 of 19 Once we do progression in our U.S. business through Unichem, whatever overhead recovery will also improve. That will also indirectly benefit me as well as my API additional production. So all those benefits will come over a period of time as and we go on improving our U.S. business.

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ductivity also. That is also one of the reasons why operating cost is coming down because of higher production. So all verticals, wherever operational efficiency can be enhanced, everything is being worked on.

Understood. And sir, in how many years do you see that you would be almost fully utilizing the Unichem facilities...

So next 4 to 5 years, I don't think they will need any further capacity other than routine capacity improvement plans and all. And whatever API they want to produce going forward is already happening at Pithampur API site. Formulation, they have adequate capacity available. So API there were a little bit bottlenecks, which are being now addressed. Thank you for answering my questions. All the best.

you. The next question is from the line of Tushar from Motilal
Please go ahead.

Sir, just again on Unichem, given that they are also now primarily into U.S. business and Ipca also has. So any thoughts on sort of merging Unichem along with Ipca?

No, no. There is no currently any such plans. But the product portfolio of Unichem and Ipca except few products which are common, rest are all different products. And as Mr. Jain has said, we are already having a plan to take their products to other markets they were hitherto not present, Australia and New Zealand, most of the Europe and also ROW market, that action plan is already on, product registration, document generation, all work is happening.

And of course, the business-wise integration is very much happening, but then why to have 2 separate listed entities?

We have not thought on that so far. Just we are trying to now consolidate and improve Unichem performance. That is our focus.

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See one particular reason for not taking up consolidation is also because we are looking for a strategy of hedging. If anything happens to Ipca or anything happens to Unichem like we have Laboratories Limited
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if anything happens to Ipca or anything happens to Unichem like we have

burned our fingers in past, so we don't want that situation to have.

keeping quality and manufacturing everything separate. And

happening, you can produce product utilizing other capacities and all.

So business disturbance doesn't happen. And therefore, currently, there is no such idea of merging both of them. Because at the top of the mind of management is always there, that it should operate as a hedging for each other.

Tushar: Sure, sir. Sir, if you could address the domestic formulation questions, price volume, new launches.

Harish Kamath: Pardon, Tushar, what was your question?

Tushar: Sir, price volume and new launches for the

Harish Kamath: Most of the growth was because of volume. New launches are hardly anything. Price may be overall 5% to 6%, not more than that. And as you recollect, last year, there was hardly any price increase in NLEM products.

Tushar: Understood. That's it.

Moderator: Thank you. Thank you.

Please go ahead.

Shiva: And with respect to margins at standalone level, just wanted to understand going ahead, how do we -- I mean, are there any other, as you said raw materials, we did not get much of but you're saying it's only by the mix. So how do you look at going ahead? Is there any other operational levers at standalone level that we can show any improvement or you kinds of more improvement will be slower?

Harish Kamath: Other than material cost, there was some increase in manpower cost because of addition of people. So as you recollect, the last 1, 1.5 years, we have added a lot of people in the domestic market. Now they are slowly becoming productive for the company. So going forward, there will be some benefit out of growth or they will bring. So overall, our guidance stays going forward also maybe next 3, 4 years, 100 to 150 basis point margin improvement.

A.K. Jain: See, normally, our material costs used to be around 20% of overall sales. Currently, it is around 21.5% or near about, it's largely because of addition of people. And a lot of those additions, which we have made in the past are

takes time, somewhere in normal therapies, it takes around 3 years' time.

Chronic is sometimes it takes a little more. So some of the people have become productive in very second year

is yet to become productive. And as their productivity moves up, we'll have overall good set of numbers. Ipca Laboratories Limited

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Page 13 of 19 burned our fingers in past, so we don't want that situation to have. And therefore, we are keeping quality and manufacturing everything separate. And -- so in the event of anything

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Thank you. The next question is from the line of Shiva from Purnatha Investment Advisors

Please go ahead.

And with respect to margins at standalone level, just wanted to understand going ahead, how

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So business disturbance doesn't happen. And therefore, currently, there is no such idea of merging both of them. Because at the top of the mind of management is always there, that it Sure, sir. Sir, if you could address the domestic formulation questions, price volume, new Most of the growth was because of volume. New launches are hardly anything. Price may be overall 5% to 6%, not more than that. And as you recollect, last year, there was hardly any Shiva from Purnartha Investment Advisors.

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. But on chronic side, whatever numbers we added, that is yet to become productive. And as their productivity moves up, we'll have overall good set of

Currently, in current financials, we are seeing that permanent productivity has gone up by almost around 20,000, on an average on a total around 6,700 people. So that's overall productivity improvement in the field. And this productivity improvement will keep on happening because we have added a significant number of people in last few years.

Shiva: Okay. So to understand correctly, if there is no much change in the raw materials, the most of the production or the margin benefit will flow through from the employee cost is what you're saying?

A.K. Jain: Yes, employment cost also will happen, then over capacity utilizations will also help in overall better improvement...

Shiva: Operating leverage. Okay. And you're saying about the MR. So if you could just give some details about the present MR and what is the divisions, like 2 years ago, we made additional 4 divisions, how are their productivity?

A.K. Jain: Overall, I think we have around 6,700 people currently. And overall productivity per month is around 4,45,000.

Shiva: 4,35,000, for this quarter?

A.K. Jain: 4,45,000.

Shiva: This is for

this quarter?

A.K. Jain: Yes, up to 9 months current year.

Shiva: Okay, 9 months. Okay. And how does that compare to the last year?

A.K. Jain: It was around 4,25,000 with 6,300 people

Shiva: Okay. And what do you new divisions? How will that look like once they settle down in 1.5 year 1 or 2 years?

A.K. Jain: Productivity each 25,000, 30,000 average productivity improvements will be there, on a continuous basis. In terms of current improvement, what we are seeing in current year, that improvement will continue even after addition of people.

Shiva: Understood. And how is your initial experience? I mean you said that you've sent it to U.S. market last quarter, how was the initial feedback and how are you finding it right now in this quarter in hand?

Harish Kamath: See, Unichem team has already started bidding for the products in which we have a cost competency. So slowly and steadily, they are gaining orders. But it will take time because there are already other players in the market and the sellers are people. So it works on contracts, 3 months, 6 months. So as and when people come for bidding that time we participate. So there will be some gestation period from the day the goods is Ipca Laboratories Limited
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Page 14 of 19 Currently, in current financials, we are seeing that permanent productivity has gone up by

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Yes, up to 9 months current year.

Okay, 9 months. Okay. And how does that compare to the last year?

It was around 4,25,000 with 6,300 people. Currently, 6,700 and 4,45,000 per month.

Okay. And what do you -- once they settle down what kind of number do they hit, I mean the new divisions? How will that look like once they settle down in 1.5 year 1 or 2 years?

Productivity each year, even if there is 300, 400 people additions will continue to have around 25,000, 30,000 average productivity improvements will be there, on a continuous basis. In terms of current improvement, what we are seeing in current year, that improvement will continue even after addition of people.

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people. So it works on contracts, 3 months, 6 months. So as and when people come for bidding that time we participate. So there will be some gestation period from the day the goods is

received and your sales commence. And then this quarter.

Shiva: And the growth guidance you're sticking with the guidance that you've given?

Harish Kamath: Yes. So it is in line with whatever we are expecting.

Shiva: Okay. Thank you. I will get back.

Moderator: Thank you. Th ahead.

Saion Mukherjee: On the EBITDA margin

it be fair that presume the domestic business

some color given the fact that the employee productivities are rising, raw material prices have come down. Qualitatively, if you can talk about the profitability or EBITDA margin for the domestic business?

Harish Kamath: See, Mr. Jain has already explained, the major reason for this number is because of product mix change. So if you see business wise, there is hardly any change in whatever we have been telling from the beginning gross margin

margins and when the margins better business improves, the overall EBITDA and gross margin improves, it is that way.

And wherever there is better margin, those businesses

example, domestic and branded formulation business, ROW market. Typically, they have the highest margin in the company's overall top line.

A.K. Jain: If you look at, let's say, current year, antimalarials has not grown

antimalarial. Antibacterial is also a low

growth. Cough and cold is also generally a low

and that cost of packaging is high on

other products margin, business has grown faster and better where margins are better. So that is also reflecting in the overall EBITDA margin.

Saion Mukherjee: Yes. So basically, sir, what I was trying

24% margin, your business has API, institutional on the lower side and ROW India business

are probably higher than the company average. So I'm just wondering if it is significantly higher or margin

the domestic business?

A.K. Jain: Domestic margin will further improve. As the productivity improve, margins will keep on improving and margins are definitely higher.

Saion Mukherjee: And sir, the other question I wanted to ask is now since the businesses have stabilized on a growth path, what are the new areas the management is thinking about investing whether it is Ipca Laboratories Limited February

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19 received and your sales commence. And then there will be a gradual progress quarter after

And the growth guidance you're sticking with the guidance that you've given?

So it is in line with whatever we are expecting.

Okay. Thank you. I will get back.

Thank you. The next question is from the line of Saion Mukherjee from Nomura.

On the EBITDA margin front, I think on a stand alone basis, you are already 23%, 24%. Would

it be fair that presume the domestic business margins are materially higher, if you can give

some color given the fact that the employee productivities are rising, raw material prices have

come down. Qualitatively, if you can talk about the profitability or EBITDA margin for the

domestic business? And what are your expectations on that going forward?

See, Mr. Jain has already explained, the major reason for this number is because of product mix change. So if you see business wise, there is hardly any change in whatever we have been

telling from the beginning gross margin-wise. So only business-wise, there are different

margins and when the margins better business improves, the overall EBITDA and gross

margin improves, it is that way.

And wherever there is better margin, those businesses, we are growing year after year. For

example, domestic and branded formulation business, ROW market. Typically, they have the highest margin in the company's overall top line.

If you look at, let's say, current year, antimalarials has not grown. We have lowest margin in

antimalarial. Antibacterial is also a low-margin business, that has not grown. It's just 1%

growth. Cough and cold is also generally a low-margin business because it's all bottle packings

and that cost of packaging is high on the products, so that business has just grown by 4%. All

other products margin, business has grown faster and better where margins are better. So that

is also reflecting in the overall EBITDA margin.

Yes. So basically, sir, what I was trying to get at is the fact that -- I mean, if I look at 23%,

24% margin, your business has API, institutional on the lower side and ROW India business

are probably higher than the company average. So I'm just wondering if it is significantly

higher or marginally higher than where you -- where standalone margins are, particularly for the domestic business?

Domestic margin will further improve. As the productivity improve, margins will keep on

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growth path, what are the new areas the management is thinking about investing whether it is Laboratories Limited February 13, 2025

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And the growth guidance you're sticking with the guidance that you've given from Nomura. Please go alone basis, you are already 23%, 24%. Would gross margins are materially higher, if you can give some color given the fact that the employee productivities are rising, raw material prices have come down. Qualitatively, if you can talk about the profitability or EBITDA margin for the See, Mr. Jain has already explained, the major reason for this number is because of product mix change. So if you see business wise, there is hardly any change in whatever we have been wise, there are different margins and when the margins better business improves, the overall EBITDA and gross sales, we are growing year after year. For example, domestic and branded formulation business, ROW market. Typically, they have the own. We have lowest margin in margin business, that has not grown. It's just 1% margin business because it's all bottle packings the products, so that business has just grown by 4%. All other products margin, business has grown faster and better where margins are better. So that I mean, if I look at 23%, 24% margin, your business has API, institutional on the lower side a

and ROW India business are probably higher than the company average. So I'm just wondering if it is significantly where standalone margins are, particularly for Domestic margin will further improve. As the productivity improve, margins will keep on And sir, the other question I wanted to ask is now since the businesses have stabilized on a growth path, what are the new areas the management is thinking about investing whether it is

India or U.S. if you can share any plans that you want to new initiatives that you are taking?

A.K. Jain: See, the new areas at number one is, let's say, we are leaders in pain management. And as far as the orthopedics and dentals are concerned, we have significant leadership there kind of products. And now we are trying to leverage those relationships and now started a new division called Flexicare for adding the people orthopedics for other indications because pain is one area, products.

So gradually, we are ramping up. Right now, division is people. Recruitment of people is going on. So maybe another 200 people will be added in. I think next year that division will reach to the breakeven point because we have a strong relationship in this therapy area. So we should be able to looking at. Another area we're looking at cardiovasculars, now we have started beating the market growth and significantly compared to the market and all. And this is the further time for us to further consolidate our offering in the market.

So next financial year, cardiology. Then another area is dermatology that we have done well and build the business on dermatology in the last few years. And we are missing on cosmetic dermatology. So we have lined up the products

And I think one more division we will add in next financial year, from there in the mid of the next financial year on cosmetic dermatology. So wherever areas, like say, urology, we are doing well. So giving us almost around 20% kind of 22% kind of growth. So some people additions will happen in urology area. So all these therapy areas where we are continuously consolidating, which are the high areas. So that's a continuous journey.

Saion Mukherjee: And anything on the U.S., sir, in terms of ANDA filing across Unichem and Ipca? Any product category segment? And how should we think about the research and development expenditure, what is it

A.K. Jain: Let's say, our business philosophy is that we, by and large, use our captive product for the ANDA developments and all. So now last, I think, 10, 12 years, Ipca has not filed anything but right now, there are a good

and all. So I think every year, we should be able to now file 5, 6 kinds of Ipca ANDAs, so Unichem will also continue to do that kind of number. And more or less, it's going to remain from, let's say, captive API. Some of the products we may outsource also.

But broadly, so it's not that we have to file end number of products because our strategy is to always keep backward integrated products for forward integrations and all. So more or less, are not changing that strategy. So it will remain in that line. Ipca Laboratories Limited

February

Page 16 of 19 India or U.S. if you can share any plans that you want to -- that you can share at this point on

new initiatives that you are taking?

See, the new areas at number one is, let's say, we are leaders in pain management. And as far as the orthopedics and dentals are concerned, we have significant leadership there on those kind of products. And now we are trying to leverage those relationships and now started a new division called Flexicare for adding the people -- adding the product for which are used by orthopedics for other indications because pain is one area, but they prescribe a lot of other So gradually, we are ramping up. Right now, division is -- we have just added around 150 people. Recruitment of people is going on. So maybe another 200 people will be added in. I

think next year that division will be end, we expect that turnaround and faster which should reach to the breakeven point because we have a strong relationship in this therapy area. So we should be able to -- so we are leveraging those relationships. So that one area we are Another area we're looking at cardiovasculars, now we have started beating the market growth and significantly compared to the market and all. And this is the further time for us to further consolidate our offering in the market.

So next financial year, we will, again, adding 1 more division with around 300 people in cardiology. Then another area is dermatology that we have done well and build the business on dermatology in the last few years. And we are missing on cosmetic dermatology. So we have the products -- a lot of products under development and all.

And I think one more division we will add in next financial year, from there in the mid of the next financial year on cosmetic dermatology. So wherever areas, like say, urology, we are So giving us almost around 20% kind of 22% kind of growth. So some people additions will happen in urology area. So all these therapy areas where we are continuously consolidating, which are the high-growth areas for us. So we are further investing on areas. So that's a continuous journey.

And anything on the U.S., sir, in terms of ANDA filing across Unichem and Ipca? Any product category segment? And how should we think about the research and development expenditure, what is it now and how much can increase?

Let's say, our business philosophy is that we, by and large, use our captive product for the ANDA developments and all. So now last, I think, 10, 12 years, Ipca has not filed anything but right now, there are a good number of product pipelines, which are there under development and all. So I think every year, we should be able to now file 5, 6 kinds of Ipca ANDAs, so Unichem will also continue to do that kind of number. And more or less, it's going to remain let's say, captive API. Some of the products we may outsource also.

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February 13, 2025

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Saion Mukherjee: And R&D spend, sir?

A.K. Jain: Currently, both Ipca and Unichem put together, it's around 3%, 3.25% kind of R&D cost. That cost is likely to move to around 4%.

Saion Mukherjee: Okay. Thank you.

Moderator: Thank you. The
Please go ahead.

Harsh Bhatia: Sir, in the second quarter, you had mentioned that there was some U.S. sales at was shipped out,

Harish Kamath: Sorry, you're not audible now, Harsh. What was your question?

Harsh Bhatia: So we were saying that there were some U.S. sales in second quarter that we they were shipped out, the third quarter?

Harish Kamath: You are not audible.

Moderator: Sir, I just request you to rejoin, please. The next question is from the line of B Equirus. Please go ahead.

Bharat: So sir, we have done phenomenally well in the past years in domestic business. So how do you see this business behaving as compared to IPM in the at least next 2, 3 years, if you talk a bit about it?

Harish Kamath: So more or less, whatever our growth, 1.5x IPM growth, hopefully, we should continue with that coming few years.

Bharat: And how big our pain management therapy would be in the overall business?

Harish Kamath: About 52%.

Bharat: Sir, somewhere the largest product would be Zerodol and if I'm not wrong that product is almost INR 750 crores,

Harish Kamath: In spite of that, the pain therapy has grown by 14% in the 9 months of the current financial year.

Bharat: Are we calling out how big is Zerodol for us at this moment?

Harish Kamath: So 2 Zerodol SKUs are amongst the top 300 selling country.

Bharat: Right. So are you expecting pain management to stay at almost like at 13%, 14% forward as well? Is it possible to... Ipca Laboratories Limited
February

Page 17 of 19 And R&D spend, sir?

Currently, both Ipca and Unichem put together, it's around 3%, 3.25% kind of R&D cost. That cost is likely to move to around 4%.

Okay. Thank you.

Thank you. The next question is from the line of Harsh Bhatia from Bandhan Mutual Fund.
Please go ahead.

Sir, in the second quarter, you had mentioned that there was some U.S. sales at was shipped out, but not booked. Have we booked those sales this quarter?

Sorry, you're not audible now, Harsh. What was your question?

So we were saying that there were some U.S. sales in second quarter that we they were shipped out, but not booked in the second quarter. Those sales have been booked in the third quarter?

You are not audible.

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Right. So are you expecting pain management to stay at almost like at 13%, 14% growth going

Harish Kamath: Yes, definitely, unless pain management grows 13%, 14%, I can't grow 1.5x the market growth. So that is almost 52% of my overall business.

Bharat: But what is driving this growth in the

growth will be maintained? Because we'll be covering large part of the market, doctor access

will be also one of the foremost when it comes to the pain management. So how we are

looking to maintain the

A.K. Jain: Let's say, not only osteoarthritis product, but theumatoid arthritis products are also growing

faster. And if more penetration of disease presence in the country is very high. It's all we had

to create enabling m

rheumatologist to the other areas and educating doctors and all.

So rheumatology portfolio, is last 10, 15 years, also, we have seen continuously it's growing

1.5x the market growth.

down. Significant work is still to be done to make all these therapies available in any nook and corner of the country.

And as far as the pain is concerned, Zerodol is continuously growing.

It is growing faster than the overall IPM, it's almost around 1.5x the market is growing. And

we don't see any kind of problem in growing this therapy also in next 3, 4 years at current pace.

So we are not seeing any kind of chal

concerned, there are not much on particularly on osteoarthritis side. On rheumatoid arthritis

side, yes, there are a lot of opportunities and of the new patented products, and we are working on everything

continue to add the new product portfolios as and when the patent expiry happens and all.

So we -- and also, we are further augmenting our ortho offering by addition of new d

which we are currently in the process of doing that so that we can leverage those relations in

the -- particularly in ortho segment. So that segment will continue to remain focus for us, and

we will -- we don't foresee any kind of difficulty in g

faster than the overall company growth.

Harish Kamath: And every major product I'm selling in pain category, I'm the market leader and my growth is higher than the market growth.

Bharat: Okay. Sure. Thanks a lot,

Moderator: Thank you. As there are no further questions from the participants, I will hand the conference over to the management for closing comments. Over to you, sir.

Harish Kamath: No, more or less most of the a

anything further to be added. Thank you. Thank you all the participants. Thank

you very much. Ipca Laboratories Limited

February

Page 18 of 19 Yes, definitely, unless pain management grows 13%, 14%, I can't grow 1.5x the market growth. So that is almost 52% of my overall business.

But what is driving this growth in the overall pain management? If you could talk and how this

growth will be maintained? Because we'll be covering large part of the market, doctor access

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looking to maintain this growth going forward as well?

Let's say, not only osteoarthritis product, but theumatoid arthritis products are also growing

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to create enabling more number of rheumatologists practicing in the market and taking those

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So rheumatology portfolio, is last 10, 15 years, also, we have seen continuously it's growing

1.5x the market growth. And we don't foresee next 5 years also that growth rate can come

down. Significant work is still to be done to make all these therapies available in any nook and

corner of the country.

And as far as the pain is concerned, Zerodol is continuously growing. Even in this market, also it is growing faster than the overall IPM, it's almost around 1.5x the market is growing. And we don't see any kind of problem in growing this therapy also in next 3, 4 years at current So we are not seeing any kind of challenge. And as far as the new product offerings are concerned, there are not much on particularly on osteoarthritis side. On rheumatoid arthritis side, yes, there are a lot of opportunities and of the new patented products, and we are working on everything of that. So we are keeping our complete hold on that kind of things, and we will continue to add the new product portfolios as and when the patent expiry happens and all. and also, we are further augmenting our ortho offering by addition of new divisions which we are currently in the process of doing that so that we can leverage those relations in particularly in ortho segment. So that segment will continue to remain focus for us, and we don't foresee any kind of difficulty in growing this business. In fact, it will grow faster than the overall company growth.

And every major product I'm selling in pain category, I'm the market leader and my growth is higher than the market growth.

Okay. Sure. Thanks a lot, sir.

As there are no further questions from the participants, I will hand the conference over to the management for closing comments. Over to you, sir.

No, more or less most of the areas we have covered in the call. I don't think there is anything further to be added. Thank you. Thank you all the participants. Thank you very much. Laboratories Limited
February 13, 2025

Yes, definitely, unless pain management grows 13%, 14%, I can't grow 1.5x the market overall pain management? If you could talk and how this growth will be maintained? Because we'll be covering large part of the market, doctor access will be also one of the foremost when it comes to the pain management. So how we are Let's say, not only osteoarthritis product, but rheumatoid arthritis products are also growing faster. And if more penetration of disease presence in the country is very high. It's all we had more number of rheumatologists practicing in the market and taking those So rheumatology portfolio, is last 10, 15 years, also, we have seen continuously it's growing And we don't foresee next 5 years also that growth rate can come down. Significant work is still to be done to make all these therapies available in any nook and Even in this market, also it is growing faster than the overall IPM, it's almost around 1.5x the market is growing. And we don't see any kind of problem in growing this therapy also in next 3, 4 years at current level

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Moderator: Thank you, sir

Thank you for joining us, and you may now disconnect your lines. Thank you. Laboratories Limited
February

Page 19 of 19, sir. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you. Laboratories Limited
February 13, 2025

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Call: Jun 2025

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June 2, 2025
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Dalal Street
Mumbai 400 023
Scrip Code – 524494 National Stock Exchange India Limited,
Exchange Plaza, C-1, Block-G,
Bandra Kurla Complex, Bandra – (East).
Mumbai-400051.
Scrip Code : IPCALAB
D

Dear Sirs,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith transcript of our Conference Call which was held on Friday, 30th May, 2025 to discuss the Company's Q4 FY25 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

Encl: a/a

"Ipca

Q4 FY '25

MANAGEMENT : M R. AJIT

LABORATORIES

MR. HARISH

COMPANY

LIMITED

MODERATOR : M R. NITIN

LIMITED

Page 1 of 14 Ipca Laboratories Limited

5 Earnings Conference Call"

May 30, 2025

JIT KUMAR JAIN– MANAGING DIRECTOR

LABORATORIES LIMITED

HARISH KAMATH – CORPORATE COUNSEL AND

COMPANY SECRETARY – IPCA LABORATORIES

LIMITED

NITIN AGARWAL – DAM CAPITAL ADVISORS

LIMITED

DIRECTOR – IPCA

COUNSEL AND

LABORATORIES

ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to Ipca Labs Q4 FY '25 Earnings Conference Call hosted by DAM Capital Advisors.

The call will be in audio only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please dial the pressing star then zero on a touchtone phone. The call will be recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors. Thank you, and over to you, sir.

Nitin Agarwal: Thank you,

Ipca Laboratories Q4 FY '25 Earnings Call, hosted by DAM Capital Advisors Limited. On the call today representing Ipca management, we've got Mr. A.K. Jain, Managing Director; and Mr. Harish Kamath, Corporate Counsel and Company Secretary.

I will hand over the call to Mr. Jain to make the opening comments, and we will open the floor for questions. Mr. Jain, please go ahead, sir.

Ajit Kumar: Thanks, Nitin, and DAM Capital Advisors for organizing this call, and welcome to all participants. Today's earnings call and discussions and answers given may include some forward-looking statements based on our current business expectation. This must be viewed

conjunction with risks that pharmaceutical business faces. Our actual financial performance may differ from
 You may use your own judgment on information given during the call. Our domestic business for Q4 has delivered around 12% business growth.
 Mid-March '25, Ipca is ranked at the 16th as per IQVIA as fastest top 20 players. Ipca continued to improve its market share by around 9 basis points to almost around 2. mid-March '24.
 Both on acute and chronic segment, we had delivered better growth compared to the market. As per IQVIA, overall 13.2%. On acute segment, the market growth was 6.9%. Ipca delivered around 10.9%. On chronic, market growth was around 9.8%. Our growth is tracked by IQVIA as 17.9% overall. Compared to up. The market gets around 61% from acute and in case of chronic, it is 39%. For Ipca, it's around 66% for acute and 34% for chronic. Market is not identifying rheumatoid arthritis chronic segment, but this is more chronic than any other segment because it's all disease modifying agents, which are to be taken for life. But if you include that, then our chronic segment contribution would be much higher. Ipca Laboratories Limited

Page 2 of 14 Ladies and gentlemen, good day, and welcome to Ipca Labs Q4 FY '25 Earnings Conference hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that

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 I will hand over the call to Mr. Jain to make the opening comments, and we will open the floor for questions. Mr. Jain, please go ahead, sir.
 Thanks, Nitin, and DAM Capital Advisors for organizing this call, and welcome to all participants. Today's earnings call and discussions and answers given may include some looking statements based on our current business expectation. This must be in conjunction with risks that pharmaceutical business faces. Our actual financial performance may differ from what is perceived or projected.
 You may use your own judgment on information given during the call. Our domestic business for Q4 has delivered a growth of around 11%. And overall, for the whole of the year, it has delivered around 12% business growth.
 March '25, Ipca is ranked at the 16th as per IQVIA as fastest-growing company among the top 20 players. Ipca continued to improve its market share. In last quarter of Q4 also, we have improved our market share by around 9 basis points to almost around 2.07% from 1.8% in March '24.
 Both on acute and chronic segment, we had delivered better growth compared to the market. As per IQVIA, overall market growth was around 8%, Ipca delivered at a growth of around 13.2%. On acute segment, the market growth was 6.9%. Ipca delivered around 10.9%. On chronic, market growth was around 9.8%. Our growth is tracked by IQVIA as 17.9% overall. Compared to industry, our contribution of chronic segment is lower, but we are fast catching up. The market gets around 61% from acute and in case of chronic, it is 39%. For Ipca, it's around 66% for acute and 34% for chronic. Market is not identifying rheumatoid arthritis chronic segment, but this is more chronic than any other segment because it's all disease modifying agents, which are to be taken for life. But if you include that, then our chronic segment contribution would be much higher. Laboratories Limited
 May 30, 2025

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today representing Ipca management, we've got Mr. A .K. Jain, Managing Director; and Mr. I will hand over the call to Mr. Jain to make the opening comments, and we will open the floor Thanks, Nitin, and DAM Capital Advisors for organizing this call, and welcome to all participants. Today's earning call and discussions and answer given may include some looking statements based on our current business expectation. This must be viewed in conjunction with risks that pharmaceutical business faces. Our actual financial performance You may use your own judgment on information given during the call. Our domestic business had a growth of around 11%. And overall, for the whole of the year, it has growing company among the share. In last quarter of Q4 also, we have 07% from 1.8% in

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You will recall that has helped our company to get better share from metro market. For market, let's say, from 2022 to 2025. The chronic 30 metro cities are giving a contribution of around around 32.66%, which has moved around a 34.19% in '25. So there is cities contribution to the market has gone up by 1. 53%. But as far as Ipca is concerned, our market share in '22 was around 32.65% for all 30 metro cities. It has now moved to around 37.52%. So there is a significant increase of almost around 4.67% contribution, which is coming from metro. So that is helped by our overall metro city coverage, which post the reasons that we are also growing faster in the market. Our export formulation business around 10% for FY '25 from formulation business has delivered a growth of around 3%. Generic business delivered a growth of around 15% from And for full financial year, the business has grown to around crores.

So there is a growth of around 7% in overall branded business, which includes the institutional business. The lower growth for the financial year in generic business is mainly due to decline in business in South Africa from around 74%, that's mainly on account of the loss of certain tenders in South African market. Our API business has delivered a growth of 2% for the quarter whole of the financial

current year, improved our margins trend. Overall, if you look at stand margins is at around 21.19% as against 18.5% in Q4 '24. There is an improvement of almost around 2.66% and absolute term your EBITDA margin has gone up from around INR 347

Stand-alone FY '25 EBITDA margins is around 22.66% as against 19.29% for FY '24. There's an improvement of almost around INR1,189 crores 27%.

Consolidated EBITDA margins for Q4 is at around 18. 24% as against 14.98% in Q4 FY '24. There is again improvement of almost around 3.26%. And overall EBITDA has gone from INR 305 crores to

EBITDA margin for FY '25 is at around 18.94% as against 16.72% in FY '24, an improvement of around 2.22%. And overall EBITDA margins has gone up from INR1,693 crores

31%. And we have delivered better margins as against the guidelines given for the year. Our overall guidance for the year was around 18% kind of consolidated EBITDA margin as against that, we have delivered around 18.94% overall. Our subsidiary Unich Ipca Laboratories L

Page 3 of 14 You will recall that post- COVID, we have increased our coverage to the metro cities, and that has helped our company to get better share from metro market. For market, let's say, from 2022 to 2025. The chronic 30 metro cities are giving a contribution of around around 32.66%, which has moved around a 34.19% in '25. So there is an

cities contribution to the market has gone up by 1.53%.

But as far as Ipca is concerned, our market share in '22 was around 32.65% for all 30 metros now moved to around 37.52%. So there is a significant increase of almost around 4.67% contribution, which is coming from metro. So that is helped by our overall metro city coverage, which post-COVID, we have changed that and that has given us -- the reasons that we are also growing faster in the market. Our export formulation business -- the branded formulation business has delivered a growth of around 10% for FY '25 from INR527 crores to around INR 582 crores. For Q4, branded business has delivered a growth of around 3%. Generic business delivered a growth of around 15% from INR312 crores to around INR 357 crores for the quarter FY '25. And for full financial year, the business has grown to around INR 1,336 crores from 1,248 crores. So there is a growth of around 7% in overall branded business, which includes the institutional business. The lower growth for the financial year in generic business is mainly due to decline in business in South Africa from INR113 crores to around INR39 crores, a decline of almost around 74%, that's mainly on account of the loss of certain tenders in South African market. Our API business has delivered a growth of 2% for the quarter -- for the Q4 2025. And for the whole of the financial year, there is just a 1% growth in the API business. So we have, in the current year, improved our margins trend. Overall, if you look at stand-alone Q4 EBITDA margins is at around 21.19% as against 18.5% in Q4 '24. There is an improvement of almost 2.66% and absolute term your EBITDA margin has gone up from 347 crores, an increase of almost around 24%.

alone FY '25 EBITDA margins is around 22.66% as against 19.29% for FY '24. There's an improvement of almost around 3.37%. And overall EBITDA margins has gone up from 347 crores to around INR1,533 crores, and there is an overall increase of almost around 43%. Consolidated EBITDA margins for Q4 is at around 18.24% as against 14.98% in Q4 FY '24. There is again improvement of almost around 3.26%. And overall EBITDA has gone from 305 crores to INR 410 crores. There is an increase of almost around 35%. Consolidated EBITDA margin for FY '25 is at around 18.94% as against 16.72% in FY '24, an improvement of around 2.22%. And overall EBITDA margins has gone up from INR 347 crores. There is an improvement of almost around -- an increase of almost a 31%. And we have delivered better margins as against the guidelines given for the year. Our overall guidance for the year was around 18% kind of consolidated EBITDA margin as against that, we have delivered around 18.94% overall. Our subsidiary Unichem has delivered Laboratories Limited May 30, 2025

COVID, we have increased our coverage to the metro cities, and that has helped our company to get better share from metro market. For market, let's say, from 2022 to 2025. The chronic 30 metro cities are giving a contribution of around -- in 2022, it was increase of metro

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EBITDA margin for FY '25 is at around 18.94% as against 16.72% in FY '24, an improvement INR 1,288 crores to an increase of almost a round 31%. And we have delivered better margins as against the guidelines given for the year. Our overall guidance for the year was around 18% kind of consolidated EBITDA margin as we have delivered

a consolidated growth of around 18% from business, an improvement in EBITDA margin from crores. And in percentage term from 4.87% to around 12.55%. And if you look at last 2 quarters, EBITDA margin, it was in the range of around 14% to 16%. With overall improvement in business as well as improvement in operational efficiencies, we could deliver the overall better EBITDA margins for Unichem. The guidance for next financial year around 8% to 10% in the FY '25 and we expect our EBITDA margins to further improve by around 1% consolidated basis for the year.

Having given the broad numbers, now I'll request participants to ask for questions.

Moderator: Thank you very much.

PhillipCapital.

Surya Narayan Patra: Sir, my first question about the U.S. business potential, see have done. So now since we have integrated Unichem fully, so what is the U.S. revenue that we would have reported in the consolidated number for that market? And also, if you some sense now since it is integrated, part of our U.S. business is getting routed through them also.

So like -- in terms of the product that you would have added. So if you can give some U.S. sales that we have added this year because of our own

U.S. number that we have seen for the group as a whole? And what is our outlook that we would be having for FY '26, sir

Ajit Kumar: As far as Ipca is concerned, U.S. has not made any significant overall contribution to the overall generic business, I think we have stand worth around

quarter, very small shipment has happened in the earlier quarters. So overall, and as transit time and all put together, I think on a consolidated basis, it is just contributing around crores or INR

So it has not contributed a significant business in the current financial year. We have just, I think, in last financial year, we have shipped around the 3 products and fourth product was shipped in the month of March. And I think in current year, we will have 7 more products.

So I think overall, the current year, I think overall U.S. business should contribute around INR100 crores for U.S. business Ipca Laboratories Ltd

Page 4 of 14 a consolidated growth of around 18% from INR1,785 crores to around INR 2,211 business, an improvement in EBITDA margin from INR87 crores to almost around . And in percentage term from 4.87% to around 12.55%.

And if you look at last 2 quarters, EBITDA margin, it was in the range of around 14% to 16%. With overall improvement in business as well as improvement in operational efficiencies, we could deliver the overall better EBITDA margins for Unichem.

Guidance for next financial year -- current financial year is that we'll continue to grow around 8% to 10% in the FY '25 and we expect our EBITDA margins to further improve by around 1% consolidated basis for the -- from 18.94% to around 20% for the current financial year. Having given the broad numbers, now I'll request participants to ask for questions.

Thank you very much. First question is from the line of Surya Narayan Patra from PhillipCapital. Please go ahead.

question about the U.S. business potential, see -- and U.S. business that we would have done. So now since we have integrated Unichem fully, so what is the U.S. revenue that we would have reported in the consolidated number for that market? And also, if you some sense now since it is integrated, part of our U.S. business is getting routed through them in terms of the product -- new product introductions and the incremental business that you would have added. So if you can give some sense that, okay, what is the incremental U.S. sales

that we have added this year because of our own product? And what is the overall U.S. number that we have seen for the group as a whole? And what is our outlook that we would be having for FY '26, sir?

As far as Ipca is concerned, U.S. has not made any significant overall contribution to the overall generic business, I think we have stand-alone basis, I think we have shipped goods worth around INR65 crores, but most of the shipment has happened in the third and fourth quarter, very small shipment has happened in the earlier quarters. So overall, and as transit time and all put together, I think on a consolidated basis, it is just contributing around INR 23 crores kind of business.

So it has not contributed a significant business in the current financial year. We have just, I think, in last financial year, we have shipped around the 3 products and fourth product was shipped in the month of March. And I think in current year, we will be shipping almost around 7 more products.

So I think overall, the current year, I think overall U.S. business should contribute around crores for us in the current financial year. That is what is our internal budgets are there for U.S. business for final sales in U.S. market. And as far as Unichem is concerned, Unichem Laboratories Limited May 30, 2025

2,211 crores overall

to almost around INR265

if you look at last 2 quarters, EBITDA margin, it was in the range of around 14% to 16%.

With overall improvement in business as well as improvement in operational efficiencies, we current financial year is that we'll continue to grow

around 8% to 10% in the FY '25 and we expect our EBITDA margins to further improve by from 18.94% to around 20% for the current financial

Having given the broad numbers, now I'll request participants to ask for questions.

First question is from the line of Surya Narayan Patra from and U.S. business that we would

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had achieved a U.S. business of around previous financial year.

So they have delivered overall growth of around 22% , but this also includes the business of Bayshore, which was earlier group with Ipca and now it is grouped with Unichem now. So around 22% growth they have delivered. And overall, Unichem has delivered a the financial year, a growth of almost around 19% in the overall turnover. And I think including other income, it's around 18% overall delivered.

Surya Narayan Patra: Sure, sir. Sir, just an extended point

integrated, our R&D also should have seen some kind of integration because at the time of acquisition itself that you have been talking about rationalizing

the consolidated R&D spend

by -- so -- what is

witnessing. So going ahead, what would be your spend for the group as a whole or for let's say, on a consolidated level basis? And what R&D priorities that you would be having going a in terms of ANDAs in terms of APIs.

Ajit Kumar: I think Ipca has already started filing. I think first filing has been done in the month of April in current year. And I think in current year, we should file almost around 6 to 7 products. And overall, we have capacity to develop almost around 20 products, so which globally for India, ROW and all these other developed markets. So overall, that's the kind of development will happen. As far as R&D expenditures are concerned, we are at all currently around 3.25% as far as the Ipca concerned . And the stand

And this also includes the biotech, and this expenditure is likely to be around 4% in the current financial year. And as far as Unichem is concerned, their business development cycle because initially, their focus was shifted towards overall let's say, market extensions and filings in the various markets of their existing products going on.

And I think they will also be

done is, whatever duplications was there, that has been avoided. But rest, Unichem team is independently doing their work and Ipca team is independent. So nobody from Ipca, let's say, the senior management is, let's say, our operating management of R&D of Ipca is not supervising the Unichem R&D. Unichem R&D is completely independent.

Surya Narayan Patra: Okay. Just last 1 question from my side, sir. So in fact, the export growth generally is because our export was considered to be the growth engine for Ipca some time back. But in the recent period that obviously we have seen

impurity issue in a couple of products and initiated by the Euro

And this year, FY '25 numbers are also kind of similarly weak, so like how should one really think about it? The

in the South African market. Is it because of the cost issue

about your overall export growth plans because that used to be the kind of a real driver for us. Ipca Laboratories Limited

Page 5 of 14 had achieved a U.S. business of around INR1,317 crores as against INR previous financial year.

So they have delivered overall growth of around 22% , but this also includes the business of Bayshore, which was earlier group with Ipca and now it is grouped with Unichem now. So around 22% growth they have delivered. And overall, Unichem has delivered a the financial year, a growth of almost around 19% in the overall turnover. And I think including other income, it's around 18% overall -- is the overall growth Unichem has Sure, sir. Sir, just an extended point on the U.S. business itself. So now since Unichem is integrated, our R&D also should have seen some kind of integration because at the time of acquisition itself that you have been talking about rationalizing the consolidated R&D spend what is the kind of -- because there is no greater filing momentum that we are witnessing. So going ahead, what would be your spend for the group as a whole or for let's say, on a consolidated level basis? And what R&D priorities that you would be having going a in terms of ANDAs in terms of APIs.

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And this year, FY '25 numbers are also kind of similarly weak, so like how should one really think about it? The -- and you also mentioned about a couple of this thing contract getting lost in the South African market. Is it because of the cost issue or so could you give some sense

about your overall export growth plans because that used to be the kind of a real driver for us. Laboratories Limited May 30, 2025

INR 1,077 crores in

So they have delivered overall growth of around 22% , but this also includes the business of Bayshore, which was earlier group with Ipca and now it is grouped with Unichem now. So around 22% growth they have delivered. And overall, Unichem has delivered a -- for whole of the financial year, a growth of almost around 19% in the overall turnover. And I think is the overall growth Unichem has

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integrated, our R&D also should have seen some kind of integration because at the time of acquisition itself that you have been talking about rationalizing the consolidated R&D spend because there is no greater filing momentum that we are witnessing. So going ahead, what would be your spend for the group as a whole or for let's say, on a consolidated level basis? And what R&D priorities that you would be having going ahead I think Ipca has already started filing. I think first filing has been done in the -- I think, in the month of April in current year. And I think in current year, we should file almost around 6 to 7 products. And overall, we have capacity to develop almost around 20 products, so which globally for India, ROW and all these other developed markets. So overall, that's the kind of development will happen. As far as R&D expenditures are concerned, we are at almost around alone I'm talking. And this also includes the biotech, and this expenditure is likely to be around 4% in the current business development, overall development cycle because initially, their focus was shifted towards overall let's say, market. So that journey is filing around 3 to 4 products in current year. So what we have done is, whatever duplications was there, that has been avoided. But rest, Unichem team is independently doing their work and Ipca team is independent. So nobody from Ipca, let's say, for management is, let's say, our operating management of R&D of Ipca is not Okay. Just last 1 question from my side, sir. So in fact, the export growth generally is been -- our export was considered to be the growth engine for Ipca some time back. But in the recent they have faced challenges because of, let's say, the And this year, FY '25 numbers are also kind of similarly weak, so like how should one really and you also mentioned about a couple of this thing contract getting lost or so could you give some sense about your overall export growth plans because that used to be the kind of a real driver for us.

Ajit Kumar: And let's say, overall export formulation business will continue to have a growth of around 10% to 11% for us. And

is gearing up and already as I talked that we should be able to do almost around development of around 20 products in a year. So that is what is currently happening and I think the U.S. market and Europe market and all. Now a number of filings are all increasing now.

Surya Narayan Patra: Okay. But the guidance showcasing any kind of synergy benefit of acquisition or the c It is a normalized growth possibly which we just maintained.

Ajit Kumar: So Unichem's portfolio, I think, let's say, filings have started happening, but approvals will take some more time. So till the time those approvals guidelines. So as and when those approvals will come, we will start adding those products to our overall --

Surya Narayan Patra: Is it more about non

Ajit Kumar: Yes, it's a non

Moderator: Next question is from the line of Damayanti Kerai from HSBC.

Damayanti Kerai: My question is again on export market. So if you can talk a bit more about performance in key markets like U.S., Australi

And for these markets, specifically the bigger one, like on an overall basis, you mentioned 10% to 11%, but if you can also talk like how should we look at growth in these bigger market in both generics and branded parts.

Harish Kamath: As far as the branded formulation business is concerned, we have grown this year by around 10%. CIS, which is the large branded promotional market, the growth is muted at around 2%.

And for the current financial business. Apart from CIS market, all other markets have grown well in the branded generic business of ROW market.

West Africa has grown by 34%. Latin America has grown by 17%. And Southeast Asia has grown by 24%. Only in case of Middle East, Africa, there is a degrowth of about 21%. It is a small market contributing around

As far as the generic business is concerned, Europe has grown by 12% grown by 10%. And U.S. is a new market. Last year, there was no sale this year, the sale is around INR 65 crores. Australia and New Zealand, there is some inventory so there is a degrowth of around 11% from

INR268 crores

Canada, there is hardly any growth,

INR113 crores

products, there is a degrowth of around 65%. So overall, generic business is flat Ipca Laboratories L

10% to 11% for us. And we are now working on to say, expediting our filings I think R&D is gearing up and already as I talked that we should be able to do almost around development of around 20 products in a year. So that is what is currently happening and I think the U.S. market and Europe market and all. Now a number of filings are all increasing now.

Okay. But the guidance -- growth guidance that you have mentioned 10%. So that is in no way showcasing any kind of synergy benefit of acquisition or the cross-selling benefit or anything. It is a normalized growth possibly which we just maintained.

So Unichem's portfolio, I think, let's say, filings have started happening, but approvals will take some more time. So till the time those approvals come, we are not including them in our guidelines. So as and when those approvals will come, we will start adding those products to our basket, yes. So that is taking some time.

Is it more about non-U.S. market, sir?

Yes, it's a non-U.S. market. Yes.

Next question is from the line of Damayanti Kerai from HSBC.

My question is again on export market. So if you can talk a bit more about performance in key markets like U.S., Australia and New Zealand, et cetera, as well as in some branded market.

And for these markets, specifically the bigger one, like on an overall basis, you mentioned 10% to 11%, but if you can also talk like how should we look

at growth in these bigger market

th generics and branded parts.

As far as the branded formulation business is concerned, we have grown this year by around 10%. CIS, which is the large branded promotional market, the growth is muted at around 2%.

And for the current financial year, we are guiding a growth of around 10% from the CIS business. Apart from CIS market, all other markets have grown well in the branded generic business of ROW market.

West Africa has grown by 34%. Latin America has grown by 17%. And Southeast Asia has grown by 24%. Only in case of Middle East, Africa, there is a degrowth of about 21%. It is a small market contributing around INR70 crores.

As far as the generic business is concerned, Europe has grown by 12% --

grown by 10%. And U.S. is a new market. Last year, there was no sale this year, the sale is 65 crores. Australia and New Zealand, there is some inventory

there is a degrowth of around 11% from INR 301 crores, the market has come down to around crores.

Canada, there is hardly any growth, INR 116 crores was last year. This year, it is around

crores. And South Africa, Mr. Jain has already said, because of loss of certain tender

products, there is a degrowth of around 65%. So overall, generic business is flat Laboratories Limited May 30, 2025

And let's say, overall export formulation business will continue to have a growth of around

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growth guidance that you have mentioned 10%. So that is in no way

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sorry, Europe has

grown by 10%. And U.S. is a new market. Last year, there was no sale this year, the sale is

65 crores. Australia and New Zealand, there is some inventory rationalization. So

301 crores, the market has come down to around

116 crores was last year. This year, it is around

has already said, because of loss of certain tender

products, there is a degrowth of around 65%. So overall, generic business is flat INR981 crores

last year. This year also have grown to a

So including institutional business, overall generic business there is a growth of 7%. The total export business there is a growth of 8%. So 10% is promotional market, and generic market, including institutional business, there is a growth of about 10%.

Damayanti Kerai: Okay. Sir, just a question, CIS, like why we saw a 2% growth? What has happened there?

Harish Kamath: It is mainly because of the INR 90, now it has come down to

Damayanti Kerai: Okay. Okay. And then my second question is...

Harish Kamath: Even though the

re i

currency fluctuation.

Damayanti Kerai: Okay. So volumes were healthy, but because of this currency fluctuation on a reported basis...

Harish Kamath: That is right. Yes, yes.

Damayanti Kerai: Okay. That's helpful. My second question is if you can update on some of the newer projects, which Ipca was working on, so some new plants, etc etc, where work has been ongoing for last year or so. So if you can update on those.

Harish Kamath: Four of the manufacturing the current financial year, that include monoclonal antibody facility, which is coming up at Pithampur, Madhya Pradesh. So one intermediate API manufacturing facility Wardha near Nagpur.

One new formulation facility for domestic market is coming up at Dewas. So these are the 3 manufacturing facilities that are coming up in India, and 1 more greenfield manufacturing facilities being set up by PISGAW facility will also start trial production in the current financial year. It will be injectable and oral liquids.

Damayanti Kerai: So all the plants, they will start...

Harish Kamath: Trial production will start in the current financial year.

Damayanti Kerai: Okay. And then scale up should be more visible in coming years, right? So this year mainly...

Harish Kamath: That is right. FY '27 and '28 onwards, you will see some scale up in the business.

Damayanti Kerai: Okay. And my last question is on Unichem, although like margins have moved up substantially. But when do we see it moving closer to the consolidated average because during, I guess, the deal, there was talk about cross Ipca Laboratories Ltd

Page 7 of 14 last year. This year also INR981 crores, whereas institutional business from INR have grown to a round INR355 crores, a growth of around 33%.

So including institutional business, overall generic business there is a growth of 7%. The total export business there is a growth of 8%. So 10% is promotional market, and generic market, including institutional business, 7%. So overall, generic business, there is a formulation business, there is a growth of about 10%.

Okay. Sir, just a question, CIS, like why we saw a 2% growth? What has happened there?

It is mainly because of this is currency fluctuation because dollar versus rupee rate. So it crossed 90, now it has come down to INR 79. So we feel this year, the growth will be better.

Okay. Okay. And then my second question is...

Even though there is a volume growth in the market. Value growth is only 2% because of the currency fluctuation.

Okay. So volumes were healthy, but because of this currency fluctuation on a reported basis... That is right. Yes, yes.

Okay. That's helpful. My second question is if you can update on some of the newer projects, which Ipca was working on, so some new plants, etc etc, where work has been ongoing for last year or so. So if you can update on those.

Four of the manufacturing -- new manufacturing greenfield plant will start trial production in the current financial year, that include monoclonal antibody facility, which is coming up at Pithampur, Madhya Pradesh. So one intermediate API manufacturing facility Wardha near Nagpur.

One new formulation facility for domestic market is coming up at Dewas. So these are the 3 manufacturing facilities that are coming up in India, and 1 more greenfield manufacturing facilities being set up by PISGAW which is our step-down subsidiary in North Carolina. So that facility will also start trial production in the current financial year. It will be injectable and oral So all the plants, they will start...

tion will start in the current financial year.

Okay. And then scale up should be more visible in coming years, right? So this year mainly...

That is right. FY '27 and '28 onwards, you will see some scale up in the business.

Okay. And my last question is on Unichem, although like margins have moved up substantially. But when do we see it moving closer to the consolidated average

rage because during,

I guess, the deal, there was talk about cross-market selling, et cetera. So I understand on the Laboratories Limited May 30, 2025

INR 267 crores, we

So including institutional business, overall generic business there is a growth of 7%. The total export business there is a growth of 8%. So 10% is promotional market, and generic market, I business, 7%. So overall, generic business, there is a formulation

Okay. Sir, just a question, CIS, like why we saw a 2% growth? What has happened there?

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Okay. So volumes were healthy, but because of this currency fluctuation on a reported basis...

Okay. That's helpful. My second question is if you can update on some of the newer projects, which Ipca was working on, so some new plants, et cetera, where work has been ongoing for new manufacturing greenfield plant will start trial production in

the current financial year, that include monoclonal antibody facility, which is coming up atility is coming at

One new formulation facility for domestic market is coming up at Dewas. So these are the 3 manufacturing facilities that are coming up in India, and 1 more greenfield manufacturing down subsidiary in North Carolina. So that

facility will also start trial production in the current financial year. It will be injectable and oral

Okay. And then scale up should be more visible in coming years, right? So this year mainly...

That is right. FY '27 and '28 onwards, you will see some scale up in the business.

Okay. And my last question is on Unichem, although like margins have moved up substantially. But when do we see it moving closer to the consolidated average because during, etera. So I understand on the

raw material also procurement part, a lot of synergies has been achieved, but what about other margin drivers for the Unichem portfolio.

Harish Kamath: No, no, whatever guidance we gave at the time of acquisition of Unichem, is work in progress. Since it is a regulated business, everywhere, there are issues relating to those year application, registration, all those things are going on. The benefit of all this integration, what we spoke at the time of acquisition, current financial year onwards.

Damayanti Kerai: Okay. So '26 onwards, we should be seeing some more ...

Harish Kamath: Yes, you will start seeing the benefit.

Ajit Kumar: See we were talking around [

of its operation. And I think we already achieved a round INR264 crores overall in Unichem.

That is without, let's say, not a single API of Ipca is qualified as still in the Unichem because they are work in progress. And not a single product of Unichem has been approved in other markets. So all those synergies are yet to

on continuously keep on improving.

Damayanti Kerai: Okay, sir. And as some

onwards, we should be seeing a better pickup in the margins?

Ajit Kumar: Yes.

Moderator: Next question is from the line of Chintan Doshi, an individual investor.

Chintan Doshi: Sir, I see a lot of activities are going at the Pithampur facility that has belonged to the Unichem laboratory, right? So as you already mentioned...

Harish Kamath: That is API facility.

Chintan Doshi: Right. So can you give us a light like are we

start or how it is like it is going to contribute from this year onwards? Or we are looking just the number will be going to contribute next year onwards?

Harish Kamath: It will be some next financial year onwards.

will happen only in the next financial year.

Moderator: Next question is from the line of Shiva from Purnatha Investment Advisors.

Shiva: So my first question is with respect to the crores. If you could just throw some light on the breakup of where we spend the amount and for the next year, what will be the total

Har

ish Kamath: Apart from routine maintenance

level. I told you 4 projects are currently under implementation, which will start trial production in the current financial year. Ipca Laboratories Limited

Page 8 of 14 raw material also procurement part, a lot of synergies has been achieved, but what about other margin drivers for the Unichem portfolio.

No, no, whatever guidance we gave at the time of acquisition of Unichem, is

work in progress. Since it is a regulated business, everywhere, there are issues relating to those year application, registration, all those things are going on. The benefit of all this integration, what we spoke at the time of acquisition, hopefully, we'll start yielding some benefit from the current financial year onwards.

Okay. So '26 onwards, we should be seeing some more ...

Yes, you will start seeing the benefit.

See we were talking around [INR300 crores kind of 24:07] EBITDA margins after 2 full year of its operation. And I think we already achieved a round INR264 crores overall in Unichem.

That is without, let's say, not a single API of Ipca is qualified as still in the Unichem because work in progress. And not a single product of Unichem has been approved in other markets. So all those synergies are yet to -- yet to be. But still, let's say, the margins will keep on continuously keep on improving.

Okay, sir. And as some of these factors start delivering, as you mentioned, maybe this year onwards, we should be seeing a better pickup in the margins?

Next question is from the line of Chintan Doshi, an individual investor.

See a lot of activities are going at the Pithampur facility that has belonged to the Unichem laboratory, right? So as you already mentioned...

That is API facility.

Right. So can you give us a light like are we -- like it is a start -- trial production is going to start or how it is like it is going to contribute from this year onwards? Or we are looking just the number will be going to contribute next year onwards?

It will be some next financial year onwards. This year, trial production will start, but scale up will happen only in the next financial year.

Next question is from the line of Shiva from Purnatha Investment Advisors.

So my first question is with respect to the capex. We've spent somewhere about crores. If you could just throw some light on the breakup of where we spend the amount and for the next year, what will be the total capex of our company.

Apart from routine maintenance capex, which will be around INR250 crores, level. I told you 4 projects are currently under implementation, which will start trial production in the current financial year. Laboratories Limited

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raw material also procurement part, a lot of synergies has been achieved, but what about other No, no, whatever guidance we gave at the time of acquisition of Unichem, many things are work in progress. Since it is a regulated business, everywhere, there are issues relating to those year application, registration, all those things are going on. The benefit of all this integration, hopefully, we'll start yielding some benefit from the

] EBITDA margins after 2 full year

of its operation. And I think we already achieved a round INR264 crores overall in Unichem.

That is without, let's say, not a single API of Ipca is qualified as still in the Unichem because work in progress. And not a single product of Unichem has been approved in other yet to be. But still, let's say, the margins will keep

some of these factors start delivering, as you mentioned, maybe this year

see a lot of activities are going at the Pithampur facility that has belonged to the Unichem trial production is going to

start or how it is like it is going to contribute from this year onwards? Or we are looking just

This year, trial production will start, but scale up

somewhere about INR775

crores. If you could just throw some light on the

breakup of where we spend the amount and

0 crores, INR300 crores

level. I told you 4 projects are currently under implementation, which will start trial production

Shiva: Okay. And the breakup of what

Harish Kamath: So around \$20 million is for the injectable and oral liquid facility that is coming up at North Carolina, U.S. around

at Dewas, another

at Nagpur, plus monoclonal antibody facility another around

major capexes, which will get capitalized in the current financial year, and all those facility will start trial production. In this financial year

Shiva: Okay. So biosimilar one, you had something in Pithampur that is the same?

Harish Kamath: That is the same one, which we'll start trial production in the current financial year.

Shiva: Okay. And you've given the overall guidance

How are the Unichem and the stand

mean, at the stand

level?

Harish Kamath: Unichem current

margin. So whatever guidance we gave at the time of acquisition of Unichem, they achieved that 1 year before our guidance. Hopefully, current year also, this should improve their EBITDA margin

But whatever

market where they are not present as of now, Australia and New Zealand, Europe, that work in progress, that benefit will come perhaps a year after next year. So dossiers are getting filed, it will get registered, then we will slowly start marketing their product.

Shiva: Understood. And as of now that the Bayshore is only INR 2,011 crores that they...

Harish Kamath: No, no, Bayshore is about 1st of October.

Shiva: Okay. You said we had only

Harish Kamath: No, no, that is generic formulation through Unichem in the U.S. So from our side...

Shiva: Unichem also use Bayshore's...

Harish Kamath: Bayshore, I don't manufacture anything for Bayshore other facilities, including from Bangladesh and all.

Shiva: Okay. Okay. And with respect to the stand institution with respect to the funding issues that U.S. has cut down that for the next year? What kind of institutional growth are you looking at? Ipca Laboratories L

Page 9 of 14 Okay. And the breakup of what -- where we are spending in.

So around \$20 million is for the injectable and oral liquid facility that is coming up at North Carolina, U.S. around INR 250 crores for a formulation facility for domestic market coming up at Dewas, another INR 200 crores, INR 250 crores for API and intermediate facility coming up at Nagpur, plus monoclonal antibody facility another around INR 250 crores. These are the , which will get capitalized in the current financial year, and all those facility will start trial production. In this financial year, that is FY '26.

Okay. So biosimilar one, you had something in Pithampur that is the same?

That is the same one, which we'll start trial production in the current financial year.

Okay. And you've given the overall guidance of 8% to 10% and EBITDA margin of 20%.

How are the Unichem and the stand-alone breakup? Like if you could just throw some light? I mean, at the stand-alone level, how do you look at the growth and the margin at Unichem Unichem currently around INR 2,000 crores annual sales and around 14%, 15% EBITDA margin. So whatever guidance we gave at the time of acquisition of Unichem, they achieved that 1 year before our guidance. Hopefully, current year also, this should improve their EBITDA margin by about 1% and about 8% to 10% growth in the top line.

But whatever -- the synergy of our acquisition of Unichem, their products we are taking to the market where they are not present as of now, Australia and New Zealand, Europe, that work in , that benefit will come perhaps a year after next year. So dossiers are getting filed, it will get registered, then we will slowly start marketing their product.

Understood. And as of now that the Bayshore is only INR 22 crores in Unichem's revenue 2,011 crores that they...

No, no, Bayshore is about INR 150 crores, you could say top li

ne. Unichem acquired that from 1st of October.

Okay. You said we had only INR 22 crores of sales in U.S.

No, no, that is Ipca. So we also post our -- yes, yes, facility clearance, we started marketing our generic formulation through Unichem in the U.S. So from our side...

Unichem also use Bayshore's...

Bayshore, I don't manufacture anything for Bayshore. Bayshore is acquiring products from other facilities, including from Bangladesh and all.

Okay. Okay. And with respect to the stand-alone, we had something about the institution with respect to the funding issues that U.S. has cut down. How are we looking at that for the next year? What kind of institutional growth are you looking at? Laboratories Limited May 30, 2025

So around \$20 million is for the injectable and oral liquid facility that is coming up at North 250 crores for a formulation facility for domestic market coming up intermediate facility coming up 250 crores. These are the , which will get capitalized in the current financial year, and all those facility will That is the same one, which we'll start trial production in the current financial year. of 8% to 10% and EBITDA margin of 20%.

alone breakup? Like if you could just throw some light? I alone level, how do you look at the growth and the margin at Unichem annual sales and around 14%, 15% EBITDA margin. So whatever guidance we gave at the time of acquisition of Unichem, they achieved that 1 year before our guidance. Hopefully, current year also, this should improve their the synergy of our acquisition of Unichem, their products we are taking to the market where they are not present as of now, Australia and New Zealand, Europe, that work in , that benefit will come perhaps a year after next year. So dossiers are getting filed, it 2 crores in Unichem's revenue in , you could say top line. Unichem acquired that from yes, yes, facility clearance, we started marketing our . Bayshore is acquiring products on from alone, we had something about the -- in the . How are we looking at

Harish Kamath: There is no exact clarity in that. Having said this , we are hoping we should grow that institutional business in the current financial year more because a year before our injectable line was undergoing some modernization and all, that is why the sales were less in FY '24. That is why you feel current year that is FY '25 growth is higher in the in should grow that business maybe around 8% to 10%.

Shiva: Okay. And how do you look at the API things sizes wise? Are there any stability that is coming? Or how do you look at your API, volume

Harish Kamath: API business and pricing was at peak during COVID time. From that time onwards, there is a consistent downward trend in the API pricing. So even though we have improved our volume compared to what we sold in

the prices continuously coming down. But now there is a stability slowly, we feel it will start slightly improving from this level. So in the current financial year...

Shiva: The volume growth will be the

Harish Kamath: That is correct. Yes. So FY '26, you will see volume growth as well as price growth when it comes to the API business.

Shiva: And how are you looking at it after like in the second growth? Or you look gradually...

Harish Kamath: We are seeing some picking up in the market in the fourth quarter itself.

Shiva: Okay. And the domestic one. So consistently, we've been doing share, and we've done quite good in the domestic arena. So you feel that will be will I keep winning market share in [domestic?

Harish Kamath: Next 3 to 4 years, we will That is what is our guidance.

Moderator: Next question is from the line of Kunal Randeria from Axis Capital.

Kunal Randeria: Sir, you have, I think, around 7,000 marketing reps in India. So which means the PCPM is just over 4 lakhs. So with your current portfolio, what do you think will be the optimum

Harish Kamath: See, now the business is growing

g around 12%. If

man productivity also increased by 12%. But having said that, every year, we add in the normal circumstances, 400 to 500 people just to take care of increase in the medical practitioners and all. So that trend will

much per man productivity because of our nature of products, what we market, anti where volumes are very high, value is very low. So that also has some impact on this per man productivity. Ipca Laboratories Ltd

Page 10 of 14 There is no exact clarity in that. Having said this , we are hoping we should grow that institutional business in the current financial year also. That is FY '26. This year, the growth is more because a year before our injectable line was undergoing some modernization and all, that is why the sales were less in FY '24. That is why you feel current year that is FY '25 growth is higher in the institutional business. From that level also, we see this year also we should grow that business maybe around 8% to 10%.

Okay. And how do you look at the API things sizes wise? Are there any stability that is coming? Or how do you look at your API, volume and the price.

API business and pricing was at peak during COVID time. From that time onwards, there is a consistent downward trend in the API pricing. So even though we have improved our volume compared to what we sold in -- during COVID time, you don't see that in the value because of the prices continuously coming down. But now there is a stability slowly, we feel it will start slightly improving from this level. So in the current financial year...

The volume growth will be the top line growth because there will be stability in the prices.

That is correct. Yes. So FY '26, you will see volume growth as well as price growth when it comes to the API business.

And how are you looking at it after like in the second half onwards, it will be a slightly higher growth? Or you look gradually...

We are seeing some picking up in the market in the fourth quarter itself.

Okay. And the domestic one. So consistently, we've been doing -- we've been gain share, and we've done quite good in the domestic arena. So you feel that will be

I keep winning market share in [inaudible 0:32:28] and how are you seeing the position in Next 3 to 4 years, we will beat the market growth, and we should grow 1.5x market growth.

That is what is our -- historically, we have done. And going forward 3, 4 years, that is our

Next question is from the line of Kunal Randeria from Axis Capital.

Sir, you have, I think, around 7,000 marketing reps in India. So which means the PCPM is just over 4 lakhs. So with your current portfolio, what do you think will be the optimum

See, now the business is growing around 12%. If we don't add any PSR in the market, our per man productivity also increased by 12%. But having said that, every year, we add in the normal circumstances, 400 to 500 people just to take care of increase in the medical practitioners and all. So that trend will continue. So even though value-wise, you don't see much per man productivity because of our nature of products, what we market, anti where volumes are very high, value is very low. So that also has some impact on this per man

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There is no exact clarity in that. Having said this, we are hoping we should grow that also. That is FY '26. This year, the growth is

more because a year before our injectable line was undergoing some modernization and all, that is why the sales were less in FY '24. That is why you feel current year that is FY '25 institutional business. From that level also, we see this year also we

Okay. And how do you look at the API things sizes wise? Are there any stability that is

API business and pricing was at peak during COVID time. From that time onwards, there is a consistent downward trend in the API pricing. So even though we have improved our volume ID time, you don't see that

in the value because of

the prices continuously coming down. But now there is a stability slowly, we feel it will start top line growth because there will be stability in the prices.

That is correct. Yes. So FY '26, you will see volume growth as well as price growth when it ends half onwards, it will be a slightly higher

we've been gaining market

share, and we've done quite good in the domestic arena. So you feel that will be -- state -- you and how are you seeing the position in

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Sir, you have, I think, around 7,000 marketing reps in India. So which means the PCPM is just over 4 lakhs. So with your current portfolio, what do you think will be the optimum PCPM?

we don't add any PSR in the market, our per

man productivity also increased by 12%. But having said that, every year, we add in the

normal circumstances, 400 to 500 people just to take care of increase in the medical

wise, you don't see

much per man productivity because of our nature of products, what we market, anti-malarial,

where volumes are very high, value is very low. So that also has some impact on this per man

Kunal Randeria: Sure, but there's still scope to increase at to get it to maybe 5 lakhs, 5.5 lakhs in 4 to 5 years?

Harish Kamath: So currently, it is around 4 lakh and 4.3 lakhs. It should grow around 8%, maybe compounding next 3 to 4 years. With the addition

Kunal Randeria: Got it. So that will continue for the next 2 years. Got it. Sir, secondly, on the U.S. business, your -- I mean now that you are kind of ramping up your filings and everything, do you think realistically the ki

crores, INR 400 crores business, excluding Unichem, your own business?

Harish Kamath: That is Ipca product, manufactured at Ipca India facility, correct?

Kunal Randeria: Yes, sir.

Harish Kamath: So whatever figure we have given is possible. So 10 years back, we were doing about crores with only around 8 products. So we just started. Some products have reached U.S.

another 5 to 6 products will get commercialized in the current

is a pipeline for new product commercialization year after year. And we have also ramped up

now development of products for the U.S. market.

Kunal Randeria: Right. But just to clarify, your strategy has been to back it with

we have the DMF filing

Harish Kamath: Most of the filings are backed by my own APIs.

Moderator: Next question is from the line of Dharmil Shah from Dalmus Capital Management.

Dharmil Shah: I have more specific questions on Unichem. We've seen the fourth quarter results. Gross margin sharply declined from 64% in 3Q to 55%. Was there any one

Or what was the reason for...

Harish Kamath: No, no, it is major

Dharmil Shah: Okay. I mean, and any specific therapy that we shift

Harish Kamath: No, no, nothing like that, depending on market situation, market demand, market growth, plus minuses will happen

products give slightly lower margin. So majorly, the impact is because of that. There is nothing one-off or anything in this.

Ajit Kumar: In fact, fourth quarter, the contract manufa

crores. So there, the margins are lower yes because material cost is higher there. There is no marketing and other costs involved.

Dharmil Shah: Understood. And on the guidance, you give 1 year guidance of abo

1% improvement in EBIT margin. But once we assume the synergies come in, in the next 2 to 3 years, geographical synergies or maybe API coming in from it. What do you expect the revenue growth and margins for Unichem 2 to 3 years from now? Laboratories Limited

Page 11 of 14 Sure, but there's still scope to increase at to get it to maybe 5 lakhs, 5.5 lakhs in 4 to 5 years?

So currently, it is around 4 lakh and 4.3 lakhs. It should grow around 8%, maybe compounding next 3 to 4 years. With the addition of around 400, 500 people.

Got it. So that will

continue for the next 2 years. Got it. Sir, secondly, on the U.S. business,

I mean now that you are kind of ramping up your filings and everything, do you think realistically the kind of filings here in the next 3 to 4 years, this business could be a 400 crores business, excluding Unichem, your own business?

That is Ipca product, manufactured at Ipca India facility, correct?

So whatever figure we have given is possible. So 10 years back, we were doing about

crores with only around 8 products. So we just started. Some products have reached U.S.

another 5 to 6 products will get commercialized in the current financial year. Thereafter, there is a pipeline for new product commercialization year after year. And we have also ramped up now development of products for the U.S. market.

Right. But just to clarify, your strategy has been to back it with your own APIs. So wherever we have the DMF filings, you use that DMF filing for [inaudible 0:35:27].

Most of the filings are backed by my own APIs.

Next question is from the line of Dharmil Shah from Dalmus Capital Management.

I have more specific questions on Unichem. We've seen the fourth quarter results. Gross margin sharply declined from 64% in 3Q to 55%. Was there any one-off in these 2 quarters?

Or what was the reason for...

No, no, it is majorly because of the product mix change.

Okay. I mean, and any specific therapy that we shift -- tilted towards or...

No, no, nothing like that, depending on market situation, market demand, market growth, plus minuses will happen in the therapies some therapies, some products give better margins. Some products give slightly lower margin. So majorly, the impact is because of that. There is nothing off or anything in this.

In fact, fourth quarter, the contract manufacturing has gone up from INR 58

. So there, the margins are lower yes because material cost is higher there. There is no marketing and other costs involved.

Understood. And on the guidance, you give 1 year guidance of about 10% revenue growth and 1% improvement in EBIT margin. But once we assume the synergies come in, in the next 2 to

3 years, geographical synergies or maybe API coming in from it. What do you expect the revenue growth and margins for Unichem 2 to 3 years from now? Laboratories Limited

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Sure, but there's still scope to increase at to get it to maybe 5 lakhs, 5.5 lakhs in 4 to 5 years?

So currently, it is around 4 lakh and 4.3 lakhs. It should grow around 8%, maybe compounding

Got it. So that will continue for the next 2 years. Got it. Sir, secondly, on the U.S. business,

I mean now that you are kind of ramping up your filings and everything, do you think

kind of filings here in the next 3 to 4 years, this business could be a INR300

So whatever figure we have given is possible. So 10 years back, we were doing about INR240 crores with only around 8 products. So we just started. Some products have reached U.S.

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is a pipeline for new product commercialization year after year. And we have also ramped up with your own APIs. So wherever

Next question is from the line of Dharmil Shah from Dalmus Capital Management.

I have more specific questions on Unichem. We've seen the fourth quarter results. Gross off in these 2 quarters?

No, no, nothing like that, depending on market situation, market demand, market growth, plus in the therapies some therapies, some products give better margins. Some products give slightly lower margin. So majorly, the impact is because of that. There is nothing 58 crores to INR90

. So there, the margins are lower yes because material cost is higher there. There is not 10% revenue growth and

1% improvement in EBIT margin. But once we assume the synergies come in, in the next 2 to 3 years, geographical synergies or maybe API coming in from it. What do you expect the

Harish Kamath: See, ideally, our in

tention, the margin should grow to around 18%, 18% to 20%. That is the maximum what we can achieve because they are into only generic business, and API business. I'm talking about Unichem.

Dharmil Shah: Understood. Revenue growth over the next 2 to 3 years?

Harish Kamath: Around 10% to 12%. Only silver lining, they have a lot of capacity available to grow their business. So there is no need for any fresh investment in facility creation in the immediate future.

Dharmil Shah: Understood. So what could be the utilization right now as on date?

Harish Kamath: So their major formulation facility, Goa, just last year commenced commercial production. So there, they can do a lot of production. There is a lot of capacity available not a constraint for Unichem.

Dharmil Shah: Understood. And lastly, I mean are there any effects of U.S. tariffs on pharma, very broad question, but are you seeing any effects...

Harish Kamath: Whatever guidance we have given will be definitely a variation in whatever guidance we have given.

Moderator: Next question is from the line of Rashmi Shetty from Dolat Capital.

Rashmi Shetty: Couple of clarification. How much how much are you guiding for FY '26, the total number?

Ajit Kumar: Currently is around

Harish Kamath: So FY '24 plus FY '25 put together INR 1,000 crores.

Rashmi Shetty: INR 1,000 crores. And how much of that we have already spent in '25?

Harish Kamath: Around INR 600 crores, we have already spent.

Rashmi Shetty: So INR 400 crores in

Harish Kamath: That is correct, yes.

Rashmi Shetty: Okay. And sir, in the API segment, what is the growth guidance for FY '26, sir?

Harish Kamath: Around 6%, 7%, Rashmi, not beyond that.

Rashmi Shetty: 6% to 7%. And last one clarification, which I wanted. Earlier, you mentioned that institutional business plus generic business will give a growth of around 7%. So in case of the generic business is growing flat for FY '26 also then your institutional 24%, 25%, right? Ipca Laboratories Ltd

Page 12 of 14 See, ideally, our intention, the margin should grow to around 18%, 18% to 20%. That is the maximum what we can achieve because they are into only generic business, and API business. I'm talking about Unichem.

d. Revenue growth over the next 2 to 3 years?

Around 10% to 12%. Only silver lining, they have a lot of capacity available to grow their business. So there is no need for any fresh investment in facility creation in the immediate

Understood. So what could be the utilization right now as on date?

So their major formulation facility, Goa, just last year commenced commercial production. So there, they can do a lot of production. There is a lot of capacity available there. So capacity is not a constraint for Unichem.

Understood. And lastly, I mean are there any effects of U.S. tariffs on pharma, very broad question, but are you seeing any effects...

Whatever guidance we have given without considering what you spoke. So if that comes, there will be definitely a variation in whatever guidance we have given.

Next question is from the line of Rashmi Shetty from Dolat Capital.

Couple of clarification. How much capex have we spent in total capex spend in FY '25? And how much are you guiding for FY '26, the total number?

Currently is around INR400 crores.

So FY '24 plus FY '25 put together -- sorry, FY '25 plus FY '26 put together, it will be around 1,000 crores.

1,000 crores. And how much of that we have already spent in '25?

600 crores, we have already spent.

400 crores more is expected to be in FY '26?

That is correct, yes.

Okay. And sir, in the API segment, what is the growth guidance for FY '26, sir?

Around 6%, 7%, Rashmi, not beyond that.

6% to 7%. And last one clarification, which I wanted. Earlier, you mentioned that institutional business plus generic business will give a growth of around 7%. So in case of the generic business is growing flat for FY '26 also then your institu

tional business growth will be around

24%, 25%, right? Laboratories Limited

May 30, 2025

See, ideally, our intention, the margin should grow to around 18%, 18% to 20%. That is the maximum what we can achieve because they are into only generic business, and API business.

Around 10% to 12%. Only silver lining, they have a lot of capacity available to grow their

business. So there is no need for any fresh investment in facility creation in the immediate

So their major formulation facility, Goa, just last year commenced commercial production. So

ilable there. So capacity is

Understood. And lastly, I mean are there any effects of U.S. tariffs on pharma, very broad

without considering what you spoke. So if that comes, there

spend in FY '25? And

sorry, FY '25 plus FY '26 put together, it will be around

Okay. And sir, in the API segment, what is the growth guidance for FY '26, sir?

6% to 7%. And last one clarification, which I wanted. Earlier, you mentioned that institutional business plus generic business will give a growth of around 7%. So in case of the generic

tional business growth will be around

Harish Kamath: No, no, no. FY '26, we are projecting a growth of 1.0% in the generic business, including institutional business, both put together.

Rashmi Shetty: Okay. So your generic...

Harish Kamath: The planned generic business or in the current financial year, excluding institutional business.

Rashmi Shetty: Got it. So your generic segment, excluding institutional business will also grow around 8% to 10% and your institutional will also grow in that

Harish Kamath: Around that line, yes.

Moderator: Next question is from the line of Tushar Manudhane from Motilal Oswal Financial Service.

Tushar Manudhane: Just on this product filings from Ipca side for U.S. market. So the one which you report for '26, these are like what refiling of the already approved product for U.S. market or...

Harish Kamath: No, no. They are fresh development, fresh filing Tushar.

Tushar Manudhane: Understood. So 67 new filing...

Harish Kamath: Everything got over in the

Tushar Manudhane: Got it. And sir, any particular reason you would like to highlight where the business with products being shipped but still taking longer is the competition pressure so much that it's a little difficult to push our pr

Harish Kamath: It is nothing like that as and when the inquiry gets quoted, we do participate. But already, people are with somebody else in contract and all. So it will be a gradual progres

U.S. generic business is concerned. Having said this, whatever benefit we have cost, other thing, own API that remain today also.

Tushar Manudhane: Understood. Understood. And just lastly, how many to be added for FY '26?

Harish Kamath: Around 400.

Moderator: Next question is from the line of Rahul Jeewani from IIFL Securities Limited.

Rahul Jeewani: Yes. Sir, this revenue guidance which you gave of 8% to 10% for FY '26, Isn't that a bit conservative num

300, 400 basis points every year. And for the export businesses as well, we have generally

indicated about a 10%, 11% kind of growth excluding the API business. So are we a bit

conservative in terms of the overall revenue growth guidance for next year?

Harish Kamath: If you see our business segment and turnover, API grows by 6%, 7%, and all formulation business, excluding India business grew by around 1.0% and India grows by around 1

overall growth will be 8% to 10% only. Ipca Laboratories Limited

Page 13 of 14 No, no, no. FY '26, we are projecting a growth of 1.0% in the generic business, including institutional business, both put together.

Okay. So your generic...

The planned generic business or in the current financial year, excluding institutional business.

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Around that line, ye

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No, no. They are fresh development, fresh filing Tushar.

Understood. So 67 new filing...

Everything got over in the last financial year.

Got it. And sir, any particular reason you would like to highlight where the business with products being shipped but still taking longer is the competition pressure so much that it's a little difficult to push our product after like after getting into this market after many years.

It is nothing like that as and when the inquiry gets quoted, we do participate. But already, people are with somebody else in contract and all. So it will be a gradual progress

U.S. generic business is concerned. Having said this, whatever benefit we have cost, other thing, own API that remain today also.

Understood. Understood. And just lastly, how many -- I missed that number, how many MRs added for FY '26?

Next question is from the line of Rahul Jeewani from IIFL Securities Limited.

Yes. Sir, this revenue guidance which you gave of 8% to 10% for FY '26, Isn't that a bit conservative number given that -- in the domestic business, we are beating market growth by 300, 400 basis points every year. And for the export businesses as well, we have generally indicated about a 10%, 11% kind of growth excluding the API business. So are we a bit conservative in terms of the overall revenue growth guidance for next year?

If you see our business segment and turnover, API grows by 6%, 7%, and all formulation business, excluding India business grew by around 10% and India grows by around 10% overall growth will be 8% to 10% only. Laboratories Limited

May 30, 2025

No, no, no. FY '26, we are projecting a growth of 10% in the generic business, including The planned generic business or in the current financial year, excluding institutional business.

Got it. So your generic segment, excluding institutional business will also grow around 8% to 10%. Next question is from the line of Tushar Manudhane from Motilal Oswal Financial Service.

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It is nothing like that as and when the inquiry gets quoted, we do participate. But already, people are with somebody else in contract and all. So it will be a gradual progress as far as the U.S. generic business is concerned. Having said this, whatever benefit we have cost, other

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If you see our business segment and turnover, API grows by 6%, 7%, and all formulation business, excluding India business grew by around 10% and India grows by around 12%. The

Rahul Jeewani: Okay, sir. So this is including Unichem as well. You were talking about.

Harish Kamath: Yes, yes. Even Unichem business also will grow around 8% to 10%. So overall, company as a whole group level also, we should grow around 8% to 10%.

Rahul Jeewani: Sure, sir. And sir, once the integration benefits of Unichem start

playing out going into the

next couple of years, when do you think that this growth of 8% to 10% would accelerate going forward? And which...

Harish Kamath: Around -- That time, the top line should grow around 12%

Rahul Jeewani: Okay. Sure, sir. And sir, on the U.S. business, I missed the number for it. So at 1 point, you said INR22 crores

What is the U.S., sales...

Harish Kamath: In our stand -

Whereas in the consolidated account what actually got sold by Unichem market is that they sold is INR

Rahul Jeewani: Okay, sure sir, last question on Unichem. You indicated about a 100 basis point margin expansion for Unichem going into next year. Now would this margin expansion be on the full year margins of Unichem or the 14%, 16% margins which Unichem had in the second half of last year?

Harish Kamath: No, no, it is on the whole year, we are talking.

Moderator: As there are no further questions from the participants, I would now like to hand the conference over to the management for the closing comments.

Harish Kamath: Hopefully, we have answered all the questions. I don't think there is anything further to add.

Thank you very much all the participants. Thank you.

Moderator: On behalf of DAM Capital Advisors, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Harish Kamath: Thank you. Bye. Ipca Laboratories Ltd

Page 14 of 14 Okay, sir. So this is including Unichem as well. You were talking about.

Yes, yes. Even Unichem business also will grow around 8% to 10%. So overall, company as a level also, we should grow around 8% to 10%.

Sure, sir. And sir, once the integration benefits of Unichem start playing out going into the next couple of years, when do you think that this growth of 8% to 10% would accelerate going And which...

That time, the top line should grow around 12% -- 12%, 13%.

Okay. Sure, sir. And sir, on the U.S. business, I missed the number for it. So at 1 point, you crores to INR23 crores. And at some other point, you also indicated

What is the U.S., sales...

-alone accounts, what we have built to Unichem U.S. is INR

Whereas in the consolidated account what actually got sold by Unichem U.S. in the U.S. market is that INR23 crores. So it is INR25 crores, yes. So what we ship is INR INR 25 crores.

Okay, sure sir, last question on Unichem. You indicated about a 100 basis point margin for Unichem going into next year. Now would this margin expansion be on the full year margins of Unichem or the 14%, 16% margins which Unichem had in the second half of No, no, it is on the whole year, we are talking.

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Thank you. Bye. Laboratories Limited

May 30, 2025

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Okay. Sure, sir. And sir, on the U.S. business, I missed the number for it. So at 1 point, you

. And at some other point, you also indicated INR65 crores.

INR 65 crores. Okay.

em U.S. in the U.S.

INR 65 crores, what

Okay, sure sir, last question on Unichem. You indicated about a 100 basis point margin

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Call: Aug 2025

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August 14, 2025

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Mumbai 400 023

Scrip Code – 524494 National Stock Exchange India Limited,

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Mumbai-400051.

Scrip Code : IPCALAB

Dear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find transcript of our Conference Call which was held on Tuesday, 12th August, 2025 to discuss the Company's Q1 FY26 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

"Ipca Laboratories Limited

Conference Call"

MANAGEMENT : M R. A. K.

LABORATORIES

MR. HARISH

COMPANY

LIMITED

MODERATOR : M R. NITIN

Ipca Laboratories Limited Q1 FY '26 Earnings

Conference Call"

August 12, 2025

K. JAIN – MANAGING DIRECTOR , IPCA

LABORATORIES LIMITED

ARISH KAMATH – CORPORATE COUNSEL AND

OMPANY SECRETARY – IPCA LABORATORIES

IMITED

ITIN AGARWAL – DAM CAPITAL

Earnings

PCA

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ABORATORIES

Ipca Laboratories Limited

August 12, 2025

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Moderator: Ladies and gentlemen, good day and welcome to the Ipca Labs Q1 FY '26 Earnings Conference Call hosted by DAM Capital.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Nitin Agarwal from DAM Capital. Thank you and over to you.

Nitin Agarwal: Thank you. Hi, good afternoon, everyone and a very warm welcome to Ipca Labs Q1 FY '26 Earnings Call hosted by DAM Capital Advisors Limited.

On the call today, we have representing Ipca Labs management, Mr. A. K. Jain - Managing Director and Mr. Harish Kamath - Corporate Counsel and Company Secretary.

I will hand over the call to Mr. Jain for the opening comments and then we will open the floor for questions. Please go ahead, sir.

A. K. Jain: Thanks, Nitin and Dam Capital for organizing this call. Today's hearing calls and discussions and answer given may include some forward-looking statements based on our current business expectations. This must be viewed in conjunction with risk that pharmaceutical business faces.

Our actual and future financial performance may differ from what is projected or perceived. You may take your own judgments on information given during the call.

Our domestic business in the 1st Quarter of the current financial year has grown by around 10%. Ipca on mid-June 2025 has maintained its rank as 16th as per IQVIA. Overall, Ipca continued to improve its market share. Compared to the 1st Quarter last financial year, mid-June 2024, there is around 7 bps increase in the overall market share from 2.01%-2.08% in mid-June 2025. Six brands of Ipca continue to remain in around top 30 brands in the country. Both in acute chronic segments, we have delivered better growth compared to the market in mid-June 2025 as per IQVIA.

Overall, for the export business, our branded formulation business has grown by 10% in this particular quarter to around Rs. 124 crores from around Rs. 113 crores in last financial year in the 1st Quarter. Generic business in the quarter has delivered around 15% growth. Generic business has around Rs. 326 crores as against Rs. 283 crores in last financial year. API business has delivered around 12% growth. There is some decline in the domestic business, but export business more particularly from Europe and Latin America, has done well and that has resulted in around 12% kind of growth.

On margin fronts:

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Q1 FY '26 standalone Ipca has improved its margin from 23.82% as against 22.22% in Q1 FY '25. However, the consolidated EBITDA margins are at around 18.39% in Q1 FY '26 as against 18.52% in Q1 FY '25. There is a marginal decline in that and overall, our standalone net profit is up by around 26% to around Rs. 262 crores and consolidated net profit is up by 18% to around Rs. 234 crores.

Given the broad numbers, now I will request participants to ask questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Saion Mukherjee from Nomura. Please go ahead.

Saion Mukherjee: Yes. Thank you for taking my question. So, on Unichem, we have seen decline in gross margin in this quarter. Also, the overhead expenses for the consolidated business has gone up, which seem to have impacted the overall EBITDA margin. So, if you can explain the dynamics which is impacting the margin and in the backdrop of this quarter's results, how are you seeing for the full year? What will be your guidance with respect to consolidated EBITDA margins?

A. K. Jain: As far as Unichem is

concerned, Unichem US business has grown by around 12% and overall, the Unichem business has grown, consolidated number is around 9% growth. Some business has declined in their Asia and African markets, more particularly Asia market because of issue ongoing in Myanmar. From Rs. 23 crores, the business has come down to around Rs. 8 crores because certain import licenses are not received and the shipments could not happen during this particular period. The Brazil business is also down from Rs. 21 crores to around Rs. 14 crores. So, these are the two numbers where some decline is there. Asia business has good margins, but that business has declined in the quarter. Overall, European business has done well. So, that has grown by around 37% from Rs. 26 crores to around Rs. 36 crores. But as far as US is concerned, on 4 major products, they have lost the market share in this quarter where the profitability was better and on other products, they have gained the market again. So, overall number-wise, the overall business growth is appearing to be 12%, but overall margin-wise, there is a decline because some of the profitable products, the market shares are lost. And that is one of the reasons that overall margins has declined and also Asia business declined and Brazil business some declined. That has resulted in overall lower margins for the quarter. In addition to that, in Unichem's accounts, there is an additional provision of around Rs. 12 crores because of currency fluctuation because of this European Competition Commission's provision which is made last in March last financial year. And because of adverse movement of Euro compared to the cross-currency level has gone up and as a result of that around Rs. 12 crores additional provisions are made. And there are almost around Rs. 10 crores additional expenditure debited to the P&L account because of closer announce at the facility which they have in Ireland. And so around Rs. 10 crores provision was made in the books of accounts. So, that has resulted in the overall lower profit as far as Unichem is concerned. And overall, if you look at the whole of the financial year, our guidance for the consolidated number was around 9%-10% overall growth and overall margin increased by around 1% EBITDA margin. More or less, I think the topline would remain in the similar kind of range, but EBITDA margin may

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not improve by 1%, it may be around 0.75% or so. So, that will be slight change in the overall

margin guidelines for the current year.

Saion Mukherjee: And my second question, on the India business, there is a 10% growth which is still better than the market, but seem to be a little slower than what we had seen in the past. Anything you would like to call out as far as India business and demand environment is concerned?

A. K. Jain: In the India business, let us say most therapies we have done well, except cardiovascular therapy, because in this therapy, we have done the reorganization of business. We have added two more marketing divisions in this therapy. And because of the disturbance of product to people and shifting of people and products to various new divisions and all, it took some time to recruit the manpower, all the additional manpower. So, that has resulted in cardiovascular business in this quarter has not grown to our expectations. The growth has come down to around 8% in this particular quarter. But there is faster recovery is happening and we are hopeful that we will do much better than we were doing earlier as far as cardiovascular therapies are concerned.

Saion Mukherjee: Thank you.

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Yes, sir. Thanks for the opportunity. So, just again on domestic formulation, if you could also share

how the chronic and the acute growth has been for the quarter compared to IPM?

A. K. Jain: If you look at the overall IPM has grown by around 8%. And our growth is tracked by IQVIA as 11.6%. Acute growth was 6.8%. We have recorded a growth of 9.8%. And chronic IQVIA growth is around 9.9%. And IQVIA has recorded our growth as around 15.1%.

Tushar Manudhane: So, 15.1% for Ipca and 9.9% for industry? Correct?

A. K. Jain: No, I said 9.9% for industry and Ipca is 15.1%.

Tushar Manudhane: Chronic?

A. K. Jain: Yes, chronic. But our internal growth is low because of the overall, in case of cardiovascular therapy, there is a two more divisions are added in current years. And that has resulted in little bit lesser business. Overall, at the secondary level, prescription-wise, that has not impacted much. That is what I see.

Tushar Manudhane: Sure, got that. How much manpower are we adding in this division and then overall MR addition?

A. K. Jain: Almost around 400 people are added in cardiovascular market.

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Tushar Manudhane: And any other therapy, any more MRs to be added in this year, just to complete that?

A. K. Jain: Broadly, that entire expansion exercise is over here.

Tushar Manudhane: Just one more from my side, on Unichem, while products had impacted the current performance, but where are we in terms of having the synergy in place? And subsequently, what would be the overall US sales for Ipca, including Unichem for the quarter?

A. K. Jain: Let us say, overall, as far as Unichem is also concerned, we are hopeful that there will be recovery. Even on the products there in the 1st Quarter, we have lost some kind of market share. But we expect those kinds of recoveries to happen in the coming quarters.

Tushar Manudhane: And sir, the business from the Ipca side, when do we see that scaling up?

A. K. Jain: Let us say, we have started shipping the products and overall, I think, whatever current deal wins, which has happened so far, I think that could translate around \$15-\$16 million kind of business and still there is, we are in 1st Quarter, so business will further move up.

Tushar Manudhane: And sir, lastly on this, when do we start filing or let us say, increase the phase of filing from our side, as in Ipca side?

A. K. Jain: We have already initiated the filing, I think one filing has happened in this quarter and almost around 15-16 products are under various stages of development here.

Tushar Manudhane: Got it, sir. That is it. Thanks.

Moderator: Thank you. The next question is from the line of Surya Narayan Patra from Phillip Capital. Please go ahead.

Surya Narayan Patra: Yes, thanks for this opportunity, sir.

Moderator: Sorry to interrupt you, Mr. Surya Narayan. Actually, there is a lot of disturbance from your line, from your background.

Surya Narayan Patra: Yes. Is it, I am audible?

Moderator: Yes, you are audible.

Surya Narayan Patra: Yes. Thank you, sir. So, basically about the US business, so we had seen in the previous quarter around Rs. 20-Rs. 22 odd crores kind of incremental business for Ipca. So, how is the trend moving from that level and are we seeing any kind of incremental kind of visibility from our interaction what we would be having with the bulk buyers in the US market? See, in fact, I am seeing there is a relatively stronger generic growth. So, if you can go both the point I was connecting, so if you can give some clarity to those aspects?

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A. K. Jain: Let us say, I have already indicated that whatever deal wins, which has happened so far, that indicates that almost around the annual turnover could be almost around \$16 million as far as Ipca is concerned. And more number of products are being shipped there and there is almost around 3 quarters more are there. So, we will win definitely more number

number of deals and

hopefully the business will move up further as far as Ipca is concerned.

Moderator: Sorry to interrupt you, sir. The participant line has been dropped. I will take the next question. The next question is from the line of Chirag from D SP Mutual Fund. Please go ahead.

Chirag: Yes, sir, thank you for the opportunity. So, just a clarification, what you are broadly indicating is that the 10% India formulations growth that we saw in the 1st Quarter seems like an aberration and that this would accelerate as we go along. Is that understanding correct, sir?

A. K. Jain: Yes, because our other therapies are growing faster and our main therapy, like say even with the pain management in this quarter, we have recorded a growth of around 13%.

Chirag: Understood. And sir, any sense on how the UK business has done for us for both the Ipca business as well as the Unichem business? And is there any change that is happening post the FDA that has been signed? How do you look at this development, positively, negatively? Just how are you thinking about this one?

A. K. Jain: As far as FDA is concerned, that doesn't impact pharmaceuticals because there is hardly any change as far as the business environment is concerned. And as far as the UK business is concerned, it is very fast competitive and I think this quarter was not good for us also because there was excess inventory in the market and some of the players were offloading the short dated expiries and with that the most product prices were coming down. And we have seen in the market that some of the products were even selling below cost. What has been shipped from India, the sales prices in UK was lower than that. So, overall, it was a very tough kind of market scenario was there in UK as far as the 1st Quarter is concerned. As far as Unichem is concerned, in 1st Quarter, some of their product had a shortage in that market. So, they had a good business overall in UK in the 1st Quarter of the current year. And therefore, their European business had moved up.

Chirag: Understood. Thank you, sir.

Moderator: Thank you. The next question is from the line of Rashmi from Dolat Capital. Please go ahead.

Rashmi: Yes, thanks for the opportunity. Sir, can you just revisit your guidance for each segment? You have already given EBITDA margin guidance for full year, but for all your domestic business as well as each of your export business and Unichem numbers for this full year?

A. K. Jain: Rashmi, as far as the topline guidance is concerned, there is no change. So, this quarter also the business has grown and hopefully by the end of the year also, we should be somewhere between 9%-10% topline growth. Only if you have consolidated EBITDA margin, there would

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be a little bit lower than what the guidance was given. Instead of 100 bps increase, it will be about 75 bps. But topline, we are not changing any guidance.

Rashmi: Understood. And that is only because of basically lower margin from the Unichem?

A. K. Jain: That is right. If you see our standalone business, the EBITDA margin is better than what we guided. Only because of lower Unichem EBITDA margin, we are reducing guidance by about 25 bps.

Rashmi: And so, if we consider Unichem numbers, so in Unichem also, whatever you had guided earlier that we would be crossing around Rs. 300 crores of EBITDA this year. That still remains intact in the subsequent quarters.

Harish Kamath: No, I don't think looking at 1st Quarter what has happened, it won't be possible this year. But hopefully going forward in the next 3 quarters, they should do better than what they have done in the 1st Quarter.

Rashmi: Got it, sir. Thank you. That is it from my side.

Moderator: Thank you. The next question is from the line of Saion Mukherjee from Nomura. Please go ahead.

Saion Mukherjee: Thanks for the follow up. Just on

the clarification on Unichem. You called out Rs. 12 crores

currency fluctuation and Rs. 10 crores additional impact because of the Euro provision. So, this Rs. 20 odd crores that you mentioned, this is as part of other expenses? And also, is there any onetime like shell stock adjustment, etc., because of the competition?

Harish Kamath: It is part of the other expenses. What happened, there was a 14 million EU penalty for which

we provided in the last financial year, 14 million Euro. But the penalty demand has not come so far. In the intervening period between last year and current year, the Euro has appreciated. So, that is the reason we have to make additional provision of another Rs. 12 crores. The penalty was already provided in the books. Today also demand has not come. Unless there is a demand, we can't pay and that liability was open. And because Euro appreciated, we were forced to make additional provision.

Saion Mukherjee: Right, sir. That is clear, sir.

Harish Kamath: Ireland, we are closing down that facility. So, the amount Rs. 8-Rs. 10 crores is all redundancy amount which we have to pay to employees who are going out.

Saion Mukherjee: Sir, I was also asking about, because you had some competitive pressure in the US, was there any sort of shell stock adjustment or any such additional provisions that came in the quarter?

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Harish Kamath: No, nothing like that, Saion. What happened, 2-3 products where they were having very good market share and their own API and good margin, they lost business to some competition. So, they have gained market share in other products, but that business has yet to come.

Saion Mukherjee: Thank you.

Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Sir, just on API side, what do we see in terms of pricing trends now? Are they stable or are they further still on the downtrend? And subsequently, what is happening on the dollar side?

Harish Kamath: Positively stable. It is not downtrend. And demand is gradually improving in export market.

Tushar Manudhane: And then any addition of product that can come up for us or we would be largely existing portfolio is what will drive growth?

Harish Kamath: Every year, 2-3 new products come into the market.

Tushar Manudhane: Understood, sir. Thank you, sir. That is it from my side.

Harish Kamath: Yes. Thanks, Tushar.

Moderator: Thank you. The next question is from the line of Surya Narayan Patra from Phillip Capital. Please go ahead.

Surya Narayan Patra: Yes. Thanks for the opportunity, again, sir. So, sir, if you can just elaborate about the subsidiary performance, how are they really doing? Is there any kind of impact that you are seeing there or things are normal?

A. K. Jain: Only one subsidiary which was always doing better, Onyx Scientific. This year, they have not done that well because all these not necessary expenses are being reduced by all multinational companies. So, their, whatever businesses were coming for projects and all, it has reduced. So, they were making consistent profits during the last one decade. But this year, the situation is difficult. Other than that, Pisgah continues to be incurring losses, but in line with what it was incurring last year. The injectable project is ongoing and should get commercially ready by second half of this financial year. Post that, only some improvement can be seen in the Pisgah financials.

Surya Narayan Patra: And the institutional sales, see, in fact?

A. K. Jain: It is stagnant, same as last year, 1st Quarter.

Surya Narayan Patra: This is a seasonality factor, sir?

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Harish Kamath: No, mostly due to funding. But this year, we do not see any growth in the institutional business. First quarter,

what we did last year, we did this year. Going forward also, we believe we should be able to do, but there won't be any growth.

Surya Narayan Patra: And regards to recently expanded capacity, sir, if you just can give an update that, let us say, Dewas or the upgraded plant of Ramdev, how are those facilities really?

A. K. Jain: No, all new facilities, what we told will get commercialized in the current financial year.

Nothing recently got commercialized. Dewas is an old facility, commercialized 3 years back.

Surya Narayan Patra: No, in fact, the regulatory inspection and all that, that you are thinking about?

Harish Kamath: Regulatory inspections, one agency came and inspected, others are expected. So, we have started filing dossiers from Dewas and export business to some market have also already commenced.

Surya Narayan Patra: Sure. Thank you, sir.

Moderator: Thank you. The next question is from the line of Kunal Randeria from Axis Capital. Please go ahead.

Kunal Randeria: Hello, sir. Thanks for the opportunity. Sir, your standalone gross margins are very strong, around 74%. It was something similar last quarter also. So, I am just wondering, what is

driving this margin expansion used to be in mid 60s earlier? And is there any more headroom to it or you see some downside in the short term?

A. K. Jain: No, whatever improvement is there mostly because of the product mix. There is no fundamental change otherwise. So, this year, in the 1st Quarter season, products which were not having better margin, the sales were less. So, if you see therapeutic growth also where margins are better, those therapies have grown better than what it was last year. That is the only reason. Nothing beyond that. There is no other fundamental change either in procurement price or selling price.

Kunal Randeria: Right, sir. But you did also mention India business should kind of pick up growth. So, you should be able to at least maintain these margins, right?

A. K. Jain: Our guidance was also to increase overall standalone margin by almost around 1.5%. So, that has happened in 1st Quarter and that trend will continue overall in the current financial year.

And in 1st Quarter current year, we did better business in a lot of markets like Canada.

Australia and New Zealand, there was a significant shipment, maybe exceeding 100% of their growth. And there the margins were better. So, overall material cost has little come down.

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Kunal Randeria: All right. Just maybe, second question is on Sales force. I think there were just over 7000 people. What are your plans for expansion for the next 2-3 years? Maybe 200-300 people annually or you think this is enough now for the next few years?

A. K. Jain: Maybe around 3%-4% field additions will keep on happening every year.

Kunal Randeria: Right. And would it be across your therapies or anything in particular that we should be looking at?

A. K. Jain: More towards the specialty segment, not towards the generalist segment. More towards the specialty, yes.

Kunal Randeria: Right.

A. K. Jain: Derma, we would like to add more people. Urology, we would like to add more people. CNS, we would like to add more people in time to come. Cardiac, we have recently added, so there will not be much of addition.

Kunal Randeria: Sure. So, see, some of the smaller therapies which are actually growing very fast, we are doubling down on those. Got it, sir.

A. K. Jain: Yes.

Kunal Randeria: And just one more, you touched upon some of your subsidiaries' performance. Now, these have been a big drag on your financials. So, taking a slightly longer-term view, when should we expect these subsidiaries to kind of contribute meaningfully to the bottomline? In this quarter, they have kind of a negative contribution. So, maybe 1 year, 2 years, 3 years, how many years will it take for them to

contribute?

A. K. Jain: Let us say, these subsidiaries are mainly to overall, say, increase our international business, like say, Europe, UK, we have started subsidiaries. Current year, 1st Quarter, it has given loss, but there is a long way to go with business and we definitely expect much greater, maybe around more than Rs. 300 crores business in UK in time to come with all the products in pipeline which getting the matured and having registration in those markets. So, it is the beginning. So, for some quarter, some kind of losses may happen. Last year, Europe, UK has given good profit, but current year, yes, the market conditions were bad and they resulted in lower profit. As far as Onyx is concerned, again, Harish has already told that this company was always giving us 25%-27% kind of EBITDA margins and by and large, they are serving to the innovator companies or the large pharma companies in terms of initial, let us say, new chemical entities, initial all these solid state chemistry and developing the manufacturing processes for them and all that. That kind of services they are doing. They are not in generic kind of therapies and all. So, that company was doing well, but in the 1st Quarter current year, they have also reported a loss of almost around 300,000 sterling pound as a loss. And lastly, because that new product initiations or the new project initiation by all these, let us say, either

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by big pharma or by the virtual pharma companies are very less. And funding availability because of all these disturbed market and uncertainties are creating that kind of market scenario. So, that trend we are seeing in last 6 months that is happening. Still, we are not seeing any kind of change. So, probably, this year is going to be a difficult year as far as Onyx is concerned. As far as Unichem is concerned, Unichem, after our takeover, things were working better and we are hoping that things would be far better in time to come. We have yet to do a lot of things there and business expectations of expanding their businesses in other

markets and all, that is all work in progress. So, overall, I think in shorter period, yes, there could be some quarters here and there, these kind of things could happen, but long-term visibility and all that would be very good. We look that yes, kind of Ipca business model is there, similar kind of business model we should, except domestic market, they will not be there, but all other markets, we are looking to expand their businesses and all. So, in future, they should also do better. And as far as your Pisgah is concerned, one facility is under installation there, it may take some more time, another 5-6 months, 6 months more. And once they commercialize, yes, initial period, they may also incur some kind of losses because it will take time to build the businesses there, but that will also result. So, I think 2-3 years period is a good, 2 years period is a good number to see that. We scale up all these kind of subsidiaries. We are also setting up another subsidiary in Germany and initiating the registration of the company. So, for some time, that company also may incur losses, but we see that now we will aggressively participate in the German markets and register our products and start. So, it is a journey, maybe 1 or 2 years journey may happen of initial losses and then building up the business. So, that is bound to happen when we are scaling up our businesses in various markets.

Kunal Randeria: All right, sir. That is very helpful. Thank you, sir.

Moderator: Thank you. The next question is from the line of Nikhil Mathur from HDFC Mutual Fund. Please go ahead.

Nikhil Mathur: Hello, sir. Good evening. Sir, I just wanted to revisit the overall guidance that you have given. So, did I hear it right that you are expecting 19% growth in FY '26 and console EBITDA

margin to improve by 75 basis points versus 1% basis points that was the earlier guidance?

A. K. Jain: Yes, that is correct.

Nikhil Mathur: Got it. But sir, you are at 18% in 1Q. So, the incremental improvement that the margins will see, it will be majorly from the domestic business or from Unichem. So, which all parts of the businesses do you expect margin expansion in 9 months of remainder of the year?

Harish Kamath: Nikhil, the Q2 business in the domestic market is always highest. So, you will see some improvement in Q2 itself. Historically, Q2 business gives the maximum quarter business in the domestic market. Plus, as we told you, the operation and financial performance of Unichem also should improve going forward.

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Nikhil Mathur: Understood. Sir, on the domestic profitability front, can you give some directional sense as to where the domestic margins are today versus the console level? And do you foresee margin expansion in domestic business every year going forward or there can be some years, let us say, next year could be a build-up year and then again, there could be some decline. So, how does one think about the domestic profitability over 2-3 year period from now?

A. K. Jain: If you don't add too many people, margins will definitely keep on expanding because your productivity keeps on building up. And in the last few years, we have added a lot of people.

And once they start adding to the overall business, then margins keep on improving. And in the current financial year, if also in the 1st Quarter, if you look, from 22.25% in last year 1st Quarter, we had reported a standalone margin of 23.82%. So, there is more than 1.5% increase in overall margin in the 1st Quarter itself. And that trend would continue.

Nikhil Mathur: So, you are in the middle of margin expansion in the domestic business as well, and that should continue?

A. K. Jain: Yes.

Nikhil Mathur: Understood. And sir, one final question on the Unichem side. I understand the moving parts here, what you called out for 1Q. Just wanted to check on both FY '26 and beyond FY '26. So, do we expect any sort of EBITDA growth in FY '26? And what is your take on FY '27 and '28? I know a lot of synergy benefits are yet to play out. When do they start kicking in? And when do we see that hockey stick kind of improvement in Unichem numbers going forward?

A. K. Jain: I think synergy business will still take around one year time. That is what we are hoping because we have started now filing the products in various markets. Once registration starts coming in, then we will initiate the marketing and all that kind of thing. And in current Financial Year, in 1st Quarter, it is all because of product mix changes and some kind of deal lost in the US market for some of the products. That has resulted in the overall lower margin and also some one-time provisions in the balance sheet that has also resulted in some kind of debits to the P&L account. But we are hopeful for the next 9 months of the current financial year.

Nikhil Mathur: So, Unichem, can see EBITDA growth in FY '26 on a full year basis?

Harish Kamath: No. Growth, I don't think it is possible because of Q1, what has happened.

Nikhil Mathur: Got it, sir. And sir, if I may, one final question. On the Ipca standalone US business, can you call out the margin drag that is there? And secondly, any large-size launches can we expect in

the next 12-15 months, large-size launches can be a few tens of millions of dollars. Anything of that sort are you expecting in the Ipca standalone US business?

Harish Kamath: See, we have already launched 4 products of Ipca in the US market. Those products, as Mr. Jain said, has a visibility of about \$15-\$16 million business in the current financial year.

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Another 4-5 products also

should get launched during the current financial year. But immediately after launch, you get market share, the business actually starts. There will be some gap. But going forward, every year, 5-6 Ipca products will go on getting launched in the US market.

Nikhil Mathur: And sir, how do you account it in the standalone books of the US business?

Harish Kamath: Whatever transfer price from Ipca to Unichem, we book in the standalone and actual sale, what is happening in the US, we book in consolidated.

Nikhil Mathur: Any ballpark, thumb rule number that let us say if X million dollars is the revenue from a product, this much is booked in standalone and this much in Unichem?

Harish Kamath: Actually, our business with Unichem is on profit sharing. Earlier, our business with other partners also on the same footing. So, whatever US sales is there, certain percentage will go to them as selling and distribution cost. And whatever profit is remaining, that will be shared between Ipca and Unichem. So, that is the same model what we were following in the earlier version when we were there in the US market. And for doing this US Ipca business, they are not going to add any people, same people will be handling also Ipca business. So, whatever selling and distribution, whatever margin they get, plus share of profit is their margin.

Nikhil Mathur: Got it, sir. Thank you so much and all the best.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand the conference over to the management for closing comments.

Harish Kamath: Yes, thank you. Since all the questions are asked and there is no more further questions, we will close this call. Thank you all for participating in our concall. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of DAM Capital Advisors and Ipca Labs, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

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November 17, 2025

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Scrip Code – 524494 National Stock Exchange India Limited,

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Mumbai-400051.

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Dear Sirs,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find transcript of our Conference Call which was held on Thursday, 13th November, 2025 to discuss the Company's Q2 FY26 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

"Ipca

Q2 FY '26

November 13

MANAGEMENT : M R. A.K.

LABORATORIES

MR. HARISH

COMPANY

LIMITED

MODERATOR : M R. NITIN

LIMITED

Page 1 of 15 pca Laboratories Limited

Q2 FY '26 Earnings Conference Call"

November 13 , 2025

A.K. JAIN – MANAGING DIRECTOR – IPCA

LABORATORIES LIMITED

HARISH KAMATH – CORPORATE COUNSEL AND

COMPANY SECRETARY – IPCA LABORATORIES

LIMITED

NITIN AGARWAL – DAM CAPITAL ADVISORS

LIMITED

IPCA

COUNSEL AND

LABORATORIES

ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to Ipca Laboratories Earnings Conference Call Q2 FY '26 hosted by DAM Capital.

The call will be in audio conference mode, and there will be an opportunity for you to ask questions after the

conference concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch screen. The call will be recorded.

I now hand over the call to Mr. Nitin Agarwal

Nitin Agarwal: Thank you. Hi, good afternoon, everyone, and a very warm welcome to Ipca Labs Q2 FY '26 Earnings Call hosted by DAM Capital Advisors Limited.

I am representing Ipca Lab management:

Kamath, Corporate Counsel and Company Secretary.

I will hand over the call to Mr. Jain to make the opening comments, and we will open the floor for questions subsequently. Please go ahead, sir.

A.K. Jain: Thank you. Thanks, Nitin, and DAM Capital for organizing this call. Today's hearing call and discussions and answers given may include some forward-looking statements about the company's current business expectations. This must be viewed in conjunction with risks to the pharmaceutical business faces. Our actual financial performance may differ from what is projected and perceived. You may use your own judgment on the information given during the call.

Domestic formulation business for Q2 FY '26 has delivered a growth quarter. Business of the quarter has impacted due to GST rate rationalizations, rate structure correction made during the month of September 2025. And we have seen that subsequent to that in October month, we had a very good business recovery on domestic market.

Ipca's MAT September 2025, rank continued to remain around 16 as per IQVIA. Compared to MAT- September 2024, market share of Ipca has improved from 2.3% to 2.8% in MAT September 2025. Both on acute and chronic segment, we have outpaced the IPM as per IQVIA data for the quarter. Overall market growth in this period has been around 7.8% and Ipca has grown in Q2 around 11.6%.

On acute side, market has grown by around 6.2%. Ipca's growth was around 8.2%. On chronic side, market has grown by around 10.3% and Ipca growth tracked by IPI is around 14.2%.

Both chronic and acute business both have delivered better growth.

And overall share of chronic business in overall Ipca business has moved up from 34% in last quarter to around 35% now. For market, it is around 40%. So we are continuously now increasing our business share from chronic business now.

On export formulation business for the quarter is around INR493 crores as against

crores in last financial year. That has declined by around -- almost around 9% for the quarter.

And for H1, it is around INR941 crores as against INR 937 crores in H1 '25, almost flat. But

Laboratories Limited
November 13

Page 2 of 15 Ladies and gentlemen, good day, and welcome to Ipca Laboratories Earnings Conference Call Q2 FY '26 hosted by DAM Capital. As a reminder, all participant lines will be in listen mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being I now hand over the call to Mr. Nitin Agarwal.

Thank you, and over to you, sir.

Thank you. Hi, good afternoon, everyone, and a very warm welcome to Ipca Labs Q2 FY '26 Earnings Call hosted by DAM Capital Advisors Limited. On the call today, we have representing Ipca Lab management: Mr. A.K. Jain, Managing Director; and Mr. Harish Kamath, Corporate Counsel and Company Secretary.

I will hand over the call to Mr. Jain to make the opening comments, and we will open the floor for questions subsequently. Please go ahead, sir.

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November 13, 2025

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Mr. A.K. Jain, Managing Director; and Mr. Harish

I will hand over the call to Mr. Jain to make the opening comments, and we will open the floor

Thank you. Thanks, Nitin, and DAM Capital for organizing this call. Today's hearing call and looking statements based on our current business expectations. This must be viewed in conjunction with risks that pharmaceutical business faces. Our actual financial performance may differ from what is projected and perceived. You may use your own judgment on the information given during the quarter. Business of the quarter has impacted due to GST rate rationalizations, rate structure correction made during the month of September 2025. And we have seen that subsequent to recovering on domestic market.

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we are expecting a business growth of around almost around 8% to 9% on generic formulations in H2 '26.

On API front, for API business, Q2 FY '26 has delivered a growth of around 28% from INR 319 crores to around

America. Overall API business of current financial year is expected to grow around 14-15%.

For Q2 FY '26, R&D spend has increased to around 3.91% of the turnover from 2.7% for Q2 FY '25. Higher R&D spend of around 4% of turnover will continue in the for the current financial year.

On margin front, our stand

'26 as against 22.89% in Q2 FY '25, an improvement of almost around 2.57%. Consolidated EBITDA margin for Q2 FY '26 is at around 21.68% as against 19.1% for Q2 FY '25. That consolidated EBITDA margin for the quarter has also

And looking at overall the margin improvements in the Q2 of the current financial year, we see that from our guidance of around 20% consolidated margin, the margin are expected to be better by almost around 1% in the second quarter.

Having given the broad numbers, now I request participants to ask the questions.

Moderator: Thank you. We will now begin the question and answer session. of Saion Mukherjee

Saion Mukherjee: I just wanted to know, sir, your comments on GST impact. If you can quantify and also if you can throw some light around various therapy dynamics in India, how those are growing in the secondary market, please?

A.K. Jain: Overall, let's say, the pain is our biggest segment that continues to grow around 10% to 11% kind of growth is there on that segment. In Q2, we have around 10% growth. And for H1 '26, we have 11% growth.

As far as cardiovascular segment is concerned, the first quarter of current year, we had a major restructuring in cardiovascular business because we have added two more divisions and that the first quarter business because of that.

But in second quarter, we see good recovery around

And for consolidated for H1, the growth is around 10% on cardiovascular business.

antimalarials has seen decline in this quarter also and the H1 '26. This quarter by around 8% and overall decline is around 2%. Anti-bacterial in this quarter, the growth was around 4%.

Overall for the half year, it is around 5%. CNS segment, we had around 18% kind of growth and for H1, it is around 14%. Co Ipca Laboratories Limited

November 13

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grown by almost around 17% and for first half, it has grown by around 18%. Derma business in this quarter has grown by around 11%, and urology business was also around 11%. This is in spite of -- there is an impact in

the month of September because that growth was very, very low for us.

Saion Mukherjee: So, sir, what was the impact? And what is your guidance for the full year for India growth now?

A.K. Jain: Let's say, overall, our guidance was

Saion Mukherjee: Okay. And the other question I would like to understand from you is on Unichem. So if you can just take us through what we should expect? You talked about synergies before, part is realized, part will be. So if you can talk about the time lines and the quantum there? And what is your guidance on EBITDA margin for Unichem this year or next year, please?

A.K. Jain: Let's say, as far as Unichem is concerned, let's say, we were talking about reductions we need to work to do as far as their shipping, logistics and that was already done. Their energy cost reductions was already done. In last financial year itself, that was done.

As far as the business issues are concerned, number one was that we should extend their product to the various markets. So that work has started. And I think around 12 product dossiers are filed in European market and other markets, that filing has started. So that work and after this filing, probably

And then we'll start extending their product businesses to the other markets. So that work is going on.

As far as qualifying whatever API they are buying from outside and there the Ipca is one major source. That qualification applications are already say data are generated and fed with regulatory authorities once, let's say, that's clear. So far, no sourcing has started from Ipca. So once that approvals come, so that there is some

kind of delay may happen.

But thereafter, probably from next financial year, some of our major APIs, we should start supplying to them after the regulatory approvals are there. So that's the overall journey, which is currently happening.

As far as Unichem margins are concerned, first quarter was largely impacted because of some restructuring, which has happened in Europe because one of their facility manufacturing facilities which was there in Europe, there we had hands

that facility. That business

So overall, they were incurring around

expenditure. So that expenditure will be cut now. And that manufacturing

and all approvals has received. And I think the normal business has already started from their Baddi facility, which has all those kind of approvals and all customers and all regulatory approvals and everything is in place. Ipca Laboratories Limited

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Page 4 of 15 grown by almost around 17% and for first half, it has grown by around 18%. Derma business in this quarter has grown by around 11%, and urology business was also around 11%. This is there is an impact in the month of September because that growth was very, very

So, sir, what was the impact? And what is your guidance for the full year for India growth

Let's say, overall, our guidance was around 10% to 11%. And broadly, we will be in that line.

Okay. And the other question I would like to understand from you is on Unichem. So if you can just take us through what we should expect? You talked about synergies before, part is realized, part will be. So if you can talk about the time lines and the quantum there? And what is your guidance on EBITDA margin for Unichem this year or next year, please?

Let's say, as far as Unichem is concerned, let's say, we were talking about whatever cost reductions we need to work to do as far as their shipping, logistics and that was already done. Their energy cost reductions was already done. In last financial year itself, that was done.

As far as the business issues are concerned, number one was that we should extend their product to the various markets. So that work has started. And I think around 12 product dossiers are filed in European market and other markets, that filing has started. So that work and after this filing, probably approval may take around 1 year to 1.5 years. That's

the time.

And then we'll start extending their product businesses to the other markets. So that work is

As far as qualifying whatever API they are buying from outside and there the Ipca is one major source. That qualification applications are already say data are generated and fed with regulatory authorities once, let's say, that's clear. So far, no sourcing has started from Ipca. So once that approvals come, so that there is some -- may be around six months to nine months kind of delay may happen.

But thereafter, probably from next financial year, some of our major APIs, we should start supplying to them after the regulatory approvals are there. So that's the overall journey, which is currently happening.

As far as Unichem margins are concerned, first quarter was largely impacted because of some restructuring, which has happened in Europe because one of their facility manufacturing facilities which was there in Europe, there we had handshake with people, and we were closing that facility. That business is transferred to their Baddi.

So overall, they were incurring around EUR3.5 million to EUR 4 million every year, the expenditure. So that expenditure will be cut now. And that manufacturing and all the sources

and all approvals has received. And I think the normal business has already started from their Baddi facility, which has all those kind of approvals and all customers and all regulatory affairs and everything is in place. Laboratories Limited
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So Ireland facility is being

were there. And I think that cost has settled their first quarter account.

nt.

On European Union kind of penalties and all that payments were made. And I think since euro has moved adversely, so that provision was also there in the first quarter of exchange difference of around

Second quarter was normal.

They had a good business growth in U.S. around 12%

done well. And therefore, I think over

which is around 1

So more improvements will start coming in once, let's say, dossier filing, which

and there their approvals start coming in from the various markets and we start extending their product to the other markets. So that advantage will still going to take some more time.

So, I think overall, their business margins are expected

the second quarter, but larger improvement may take place only after the various approvals, what we are expecting.

Saion Mukherjee: And then, sir, we could get to what, 15%, 20% kind of levels? What would be after all approvals and benefits?

A.K. Jain: The business also has to mature because business starts, so it will take time. So, let's say, I would say it may

Moderator: The next question is from the

Aanchal: Yes. So I just wanted some clarity around the synergies from Unichem. So we see that the R&D has increased in this quarter. But say, going ahead, if, for example, the R&D from Ipca is around INR 200 crores, while

consolidated level comes to around

say that this expense from

crores?

A.K. Jain: No, that expenditure reduction will not happen because Unichem has to do a lot of work in terms of, let's say, extending their dossier to the various markets. And a lot of places, there are repeat bioequivalent study need to be done for filing in other markets

Zealand, Canada, all those markets, Europe filing a nd all and all are required, then somewhere trade dress ne eds to be matched because somewhere colors of the tablet may be different and other So a lot of those kind of work or incremental work need to be done in order to align the product portfolio and getting those kind of approva ls. So, in fact, those expenditures are going to remain. What we have eliminated is that So there will be no duplication. But as far as work is concerned, in fact, that cost has already Ipca Laboratories Limited November 13

Page 5 of 15 d facility is being -- getting closed down. And so these are the major cha nges which were there. And I think that cost has settled their first quarter account.

On European Union kind of penalties and all that pa yments were made. And I think since euro moved adversely, so that provision was also there i n the first quarter of exchange difference of around INR10 crores to INR 12 crores, which has also impacted the first quar Second quarter was normal.

They had a good business growth in U.S. around 12% , and their European business has also done well. And therefore, I think over INR60 crores kind of EBITDA margins they have, which is around 1 1% or so of the second quarter.

So more improvements will start coming in once, let 's say, dossier filing, which and there their approvals start coming in from the various markets and we start extending their product to the other markets. So that advantage wil I still going to take some more time.

So, I think overall, their business margins are exp ected to remain around what is in line with the second quarter, but larger improvement may take place only after the various approvals, what we are expecting.

And then, sir, we could get to what, 15%, 20% kind of levels? What would be after all approvals and benefits?

The business also has to mature because business st arts, so it will take time. So, let's say, I would say it may -- for that margins to go up, it may be around 1.5 to 2 years. stion is from th e line of Aanchal from Lotus Wealth.

Yes. So I just wanted some clarity around the syner gies from Unichem. So we see that the R&D has increased in this quarter. But say, going a head, if, for example, the R&D from Ipca is 200 crores,

whil e the R&D from Unichem is around INR 100 crores. This at the consol level comes to around INR 300 crores, correct? So going ahead in the next yea r, can we say that this expense from INR300 crores can come to around INR 150 crores or

No, that expenditure reduction will not happen beca use Unichem has to do a lot of work in terms of, let's say, extending their dossier to the various markets. And a lot of places, there are repeat bioequivalent study need to be done for fili ng in other mar kets like Australia, New Zealand, Canada, all those markets, Europe filing a nd all -- and so those bioequivalent studies and all are required, then somewhere trade dress ne eds to be matched because somewhere colors of the tablet may be different and other size shapes are different.

So a lot of those kind of work or incremental work need to be done in order to align the product portfolio and getting those kind of approva ls. So, in fact, those expenditures are going to remain. What we have eliminated is that both the teams will not work on a common product.

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On European Union kind of penalties and all that pa yments were made. And I think since euro moved adversely, so that provision was also there i n the first quarter of exchange 12 crores, which has also impacted the first quar ter.

, and their European business has also kind of EBITDA margins they have,

So more improvements will start coming in once, let 's say, dossier filing, which has happened and there their approvals start coming in from the various markets and we start extending their product to the other markets. So that advantage wil I still going to take some more time.

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So there will be no duplication. But as far as work is concerned, in fact, that cost has already
increased and will keep on remain at that level because a lot of incremental work needs to be
done in order

Aanchal: Okay, sir. And also around the ANDA synergies. So say, if Unichem already has an approved
ANDA, can Ipca use the same molecule ANDA and gain any synergy around here?

A.K. Jain: Let's say, Unichem is marketing all Ipca products. So Unichem, if it is producing, they have
ANDA, they will continue to produce. Ipca will not disturb that part. Only thing what will
happen that future development, it will all depend on whether Unichem
Unichem will develop that product.

If Ipca has API, Ipca will develop the product. There will not be a common product
development at both the places. But both the team will continue to work on

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development. So both the

Aanchal: Okay, sir. Understood. And just one last thing. I just wanted to understand your pipeline for
the 505(b)(2) in Ipca as well as for Unichem?

A.K. Jain: We don't have any pipeline of that nature.

Moderator: The next question is from the line of Tushar from Motilal Oswal Financial Services.

Tushar: Sir, just on the generics exports, while you have guided for 8% to 9% growth in the second
half, what is it that will drive this? Do we have certain p

Because first half ha

A.K. Jain: First half, basically, it was basically on account of one product because in the market, there
was a good amount of higher inventories were there, and there was
otherwise, the European business has
done well.

And overall, the kind of orders we have and kind of whatever interaction with customer and
our business expectations sug
growth on generics in H2 '26, yes.

Tushar: Got it. And similarly, on the branded export side as well, I mean, the first h
pretty soft?

A.K. Jain: First quarter, we had a good gr

there could be variation. That business also will have around 9% to 10% kind of growth on the
full financial year basis. So

fluctuations happens on ROW market and all. But overall, for the year, I have no doubt that,
that kind of growth will not be achieved.

Tushar: Got it, sir. And just lastly, on the API side, while this quarter was pretty strong, but we are sort
of guiding for a

business which is not going to sort of recur in the subsequent quarters?Ipca Laboratories Limited
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Page 6 of 15 increased and will keep on remain at that level because a lot of incremental work needs to be
done in order to get better certification of their product range from other markets.

Okay, sir. And also around the ANDA synergies. So say, if Unichem already has an approved
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development. So both the teams will be working on their respective range, yes.

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Sir, just on the generics exports, while you have guided for 8% to 9% growth in the second
half, what is it that will drive this? Do we have certain p roduct approvals or traction?

Because first half ha s been pretty flat for generics?

First half, basically, it was basically on account of one product because in the market, there
was a good amount of higher inventories were there, and there was no production of that. So,
otherwise, the European business has -- if I look from the ranges point of v iew and all that has

And overall, the kind of orders we have and kind of whatever interaction with customer and our business expectations suggest that we should be able to have around 8% to 9% kind of growth on generics in H2 '26, yes.

Got it. And similarly, on the branded export side as well, I mean, the first half, again has been First quarter, we had a good growth. I think it's only second quarter and quarter there could be variation. That business also will have around 9% to 10% kind of growth on the full financial year basis. So -- and quarter-to-quarter in this kind of business, always some variations happens on ROW market and all. But overall, for the year, I have no doubt that, that kind of growth will not be achieved.

Got it, sir. And just lastly,

on the API side, while this quarter was pretty strong, but we are sort of guiding for a little lower growth rate for the full year. So does it mean that we had certain business which is not going to sort of recur in the subsequent quarters? Laboratories Limited November 13, 2025

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And overall, the kind of orders we have and kind of whatever interaction with customer and suggest that we should be able to have around 8% to 9% kind of half, again has been

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variations happens on ROW market and all. But overall, for the year, I have no doubt that,

Got it, sir. And just lastly, on the API side, while this quarter was pretty strong, but we are sort of little lower growth rate for the full year. So does it mean that we had certain

A.K. Jain: Let's say, some of our APIs, which we were selling, but on which our volumes were low, certain APIs has gone to European customers and there, I think there was a bulk procurement was there for their businesses and all, which was a lot

And that business will continue, but there may not be third quarter buying to an once they consume, and then again, they come up. So looking at all those kind of things, API business overall guidance we have given is around 14% to 15% kind of growth overall.

Tushar: Got it. And just lastly, if I may, progress on the U.S. bus

A.K. Jain: More or less, business is spreading very well. I think last quarter also, we have said that the current businesses which are happening is translating into almost around INR 15 crores. And I think we have ship six products are under manufacturing.

So once those product goes, probably the business may start on the fourth quarter of the current year or maybe some business maturing may take a little longer time there in the market for such a long time. It is taking some time to cover up those kind of business. And overall, that's why we are more conservative on that part.

Tushar: Got it. So, this 2Q, we made

Management: Overall, H1, we have made about

Moderator: The next question is from the line of Raja

Rajakumar: Sir, my question is on the cash situation in Unichem. After this payment of this penalty, would you need any cash infusion in Unichem?

A.K. Jain: No, Unichem doesn't require cash. In fact, they have surplus right now also. And current quarter also, they have generated cash from businesses, and they will continue to do that. So I don't think --

after, I think this overall

payment of tax also, there will be surplus.

Rajakumar: Okay. And that money is already

A.K. Jain: Jogeshwari sales, yes

, money is realized, yes. That is realized in the third quarter.

Rajakumar: Sorry, we are in second quarter, right?

Management: Transaction happened in the month of October. So it will get

A.K. Jain: Third quarter. That's what I said.

Rajakumar: Okay. Okay. Got it. Got it. Sir, and also why there is a huge inventory situation in Unichem compared to --

very high in Unichem as compared to Ipca? Ipca Laboratories Limited

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Page 7 of 15 Let's say, some of our APIs, which we were selling, but on which our volumes were low, in APIs has gone to European customers and there, I think there was a bulk procurement was there for their businesses and all, which was at a higher margins was there.

And that business will continue, but there may not be third quarter buying to an extent once they consume, and then again, they come up. So looking at all those kind of things, API business overall guidance we have given is around 14% to 15% kind of growth overall.

Got it. And just lastly, if I may, progress on the U.S. business from Ipca side?

More or less, business is spreading very well. I think last quarter also, we have said that the current businesses which are happening is translating into almost around

15 crores. And I think we have shipped around 6 products there and almost around five to six are under manufacturing.

So once those products go, probably the business may start on the fourth quarter of the current year or maybe some business maturing may take a little longer time.

It's been there in the market for such a long time. It is taking some time to cover up those kind of business. And overall, that's why we are more conservative on that part.

Got it. So, this 2Q, we made INR14 crores, INR15 crores is what you highlighted?

Overall, H1, we have made about INR55 crores.

The next question is from the line of Rajakumar from RK Invest.

Sir, my question is on the cash situation in Unichem. After this payment of this penalty, would you need any cash infusion in Unichem?

No, Unichem doesn't require cash. In fact, they have surplus right now also. And current quarter also, they have generated cash from businesses, and they will continue to do that. So I and we already sold their Jogeshwari land. And I think overall proceeds of that after, I think this overall -- this payment also will leave some surplus with Unichem. And after payment of tax also, there will be surplus.

Okay. And that money is already realized Jogeshwari sale?

Jogeshwari sales, yes, money is realized, yes. That is realized in the third quarter.

Sorry, we are in second quarter, right?

Transaction happened in the month of October. So it will get reflected in the third quarter.

Third quarter. That's what I said.

Okay. Okay. Got it. Got it. Sir, and also why there is a huge inventory situation in Unichem -- if the business between Ipca and Unichem is similar, the inventory is

very high in Unichem as compared to Ipca? Laboratories Limited

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Let's say, some of our APIs, which we were selling, but on which our volumes were low, in APIs has gone to European customers and there, I think there was a bulk procurement at a higher margins was there.

And that business will continue, but there may not be third quarter buying to an extent. So once they consume, and then again, they come up. So looking at all those kind of things, API business overall guidance we have given is around 14% to 15% kind of growth overall. business from Ipca side?

More or less, business is spreading very well. I think last quarter also, we have said that the current businesses which are happening is translating into almost around INR14 crores to shipped around 6 products there and almost around five to

So once those products go, probably the business may start on the fourth quarter of the It's -- we were not

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No, Unichem doesn't require cash. In fact, they have surplus right now also. And current quarter also, they have generated cash from businesses, and they will continue to do that. So I have already sold their Jogeshwari land. And I think overall proceeds of that this payment also will leave some surplus with Unichem. And after

Jogeshwari sales, yes, money is realized, yes. That is realized in the third quarter. reflected in the third quarter.

Okay. Okay. Got it. Got it. Sir, and also why there is a huge inventory situation in Unichem if the business between Ipca and Unichem is similar, the inventory levels are

A.K. Jain: Unichem business is more or less U.S. business, almost around 80% is U.S. business. And their cycle is such that they need to keep around three months inventory at the U.S. and transit inventories and all that kind of thing. And since there are a lot of their products is also from their own API basket.

So there are API inventories and all. inventory. You will notice that in this quarter around INR 150 crores in the system.

Rajakumar: Okay. Sir, Lastly, can you comment on your other listed subsidiary, Lyka Labs, even there is some deterioration in that performance?

A.K. Jain: Lyka Labs as such, all that, a lot of customers have said because you don't produce now in the month of September because that will be can't take batches and hold. So I think that business got impacted.

And I think they had some kind of some rejections and that impact was there of around crores, INR 7 crores on their overall numbers. So that has impacted the business, yes otherwise, their critical care business, which they are building up and also their animal health care business, what they are building up, that journey is going on as planned, yes.

Rajakumar: So the last story is impacting Lyka, right?

A.K. Jain: Yes.

Moderator: The next question is from the line of Kunal from Axis Capital.

Kunal: Sir, my question is on R&D. Sir, you have around seven biosimilar projects in the pipeline, three of which are expected to go to clinical trials next year. So as it is your slightly this year. So should we assume that even next year, the R&D increase will be even sharper than this?

A.K. Jain: I think overall, the R&D spend in the current financial year is going to remain around 4% of our turnover because a lot markets is also getting

also increasing. And also your biosimilar expenditures are there. Once the clinical trials start that cost will be extra. So this 4% may go to around 4.5% or 4.75% in next financial year.

Kunal: Got it, sir. And sir, secondly, if I were to look at your up by only mid deferment of some costs? Or there's some cost optimization you have done, if you can just throw some light?

A.K. Jain: It's basically all other costs remain in control. So there are overheads are clpca Laboratories Limited

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Page 8 of 15 Unichem business is more or less U.S. business, almost around 80% is U.S. business. And their cycle is such that they need to keep around three months inventory at the U.S. and transit inventories and all that kind of thing. And since there are a lot of their products is also from their own API basket.

So there are API inventories and all. We are working also on reduction of those kind of inventory. You will notice that in this quarter, we have reduced overall inventory by almost 150 crores in the system.

Okay. Sir, Lastly, can you comment on your other listed subsidiary, Lyka Labs, even there is some deterioration in that performance?

Lyka Labs as such, let's say, they do a lot of P2P business because of this GST rationalizations, all that, a lot of customers have said because you don't produce now in the month of September because that will be -- once the price is changed, then only they wanted productio can't take batches and hold. So I think that business got imp

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I think overall, the R&D spend in the current financial year is going to remain around 4% of our turnover because a lot of filing and bioequivalence studies and our filing in various

markets is also getting -- that pipeline is also becoming very strong. So those expenditures are also increasing. And also your biosimilar expenditures are there. Once the clinical trials start, that cost will be extra. So this 4% may go to around 4.5% or 4.75% in next financial year.

Got it, sir. And sir, secondly, if I were to look at your opex, which includes R&D, that's gone up by only mid-single digits and the fact that R&D has gone up quite a bit. Is it some deferment of some costs? Or there's some cost optimization you have done, if you can just throw some light?

It's basically all other costs remain in control. So there are -- as far as the manufacturing overheads are concerned, let's say, your fuel cost is down. My power cost has gone up by just 1% because we have a lot of renewable power, power project installation, so that savings are coming.

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Unichem business is more or less U.S. business, almost around 80% is U.S. business. And their cycle is such that they need to keep around three months inventory at the U.S. and transit inventories and all that kind of thing. And since there are a lot of their products is also from We are working also on reduction of those kind of

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, which includes R&D, that's gone

up quite a bit. Is it some

deferment of some costs? Or there's some cost optimization you have done, if you can just as far as the manufacturing

concerned, let's say, your fuel cost is down. My power cost has gone up by just

1% because we have a lot of renewable power, power project installation, so that savings are coming.

And overall other costs, by and large, except the testing cost

st, which has moved

by and large, remains same. So there are not much of escalation in the manufacturing costs.

Marketing cost has moved up by almost around 6% to 7% in this quarter.

Kunal: Got it, sir. And is it

couple of years expanding. So that was also kind of hitting your P&L. Now it's more of a steady-state growth number. Is that what we should assume going forward too?

A.K. Jain: Let's say, this year also, we have expanded the fleet

almost around 7,000 now medical reps. So two more cardiac divisions were added in the current financial year. And in time to come, we will add one more division on cosmetic dermatology and -- so some kind of those

And also one division was added about one division named Flexicare was added to extend our equity on, let's say, on pain management because we are very strong with orthos and we have leadership there. But we

that division right now, last year, it has started. It is still incurring the losses. So in time to come, that productivity will also build up.

So we have almost around 7,000 people and

around 400 to 500 people annually can be added. But beyond that number addition is not going to be there in next two, three years' time.

Kunal: Got it, sir. That is helpful. And just one more, if you don't mind

this quarter, the growth was driven by AI and the subsidiaries

which I assume are lower gross margin businesses, while your Indian branded was slightly softer. Despite that, the gross margin is

been managed to

A.K. Jain: Let's say, in the

moved up by around 7%. But at the same

to 4% kind of reduction there in material cost. So what we are finding that there is no increase

in material cost as such, procurement cost.

But since our product mix is improving, let's say, my chronic

other product mix is improving, where we have higher margins. So that is resulting in the overall margin. And also on the API side, certain businesses have started happening, which are also at a higher margin level.

So that margin has also improved, and that has resulted in almost around EBITDA margin improvement in

improvement in the stand Ipca Laboratories Limited

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Page 9 of 15 1% because we have a lot of renewal power, power project installation, so that savings are

And overall other costs, by and large, except the testing cost, which has moved

by and large, remains same. So there are not much of escalation in the manufacturing costs.

Marketing cost has moved up by almost around 6% to 7% in this quarter.

Got it, sir. And is it -- are you kind of have stopped expanding the sales force because last

couple of years expanding. So that was also kind of hitting your P&L. Now it's more of a

state growth number. Is that what we should assume going forward too?

Let's say, this year also, we have expanded the field force. And overall, if you look, we have

almost around 7,000 now medical reps. So two more cardiac divisions was added in the current

financial year. And in time to come, we will add on more division on cosmetic dermatology

so some kind of those expenditures were there is likely to be there.

And also one division was added about one division named Flexicare was added to extend our

equity on, let's say, on pain management because we are very strong with orthos and we have

leadership there. But we have only pain products. So we have launched a range of products. So

that division right now, last year, it has started. It is still incurring the losses. So in time to

come, that productivity will also build up.

So we have almost around 7,000 people and now additions are not going to be much, maybe

around 400 to 500 people annually can be added. But beyond that number addition is not going

to be there in next two, three years' time.

Got it, sir. That is helpful. And just one more, if you don't mind. On the margin front. So, in

this quarter, the growth was driven by AI and the subsidiaries -- the top line growth

that is,

which I assume are lower gross margin businesses, while your Indian branded was slightly

softer. Despite that, the gross margin is very robust. So I just want to understand how you have

been managed to have like 69%, 70% gross margin?

Let's say, in the -- if you look at the current quarter numbers, the overall, let's say, top line has

moved up by around 7%. But at the same time, the material cost is down by almost around 3%

to 4% kind of reduction there in material cost. So what we are finding that there is no increase

cost as such, procurement cost.

But since our product mix is improving, let's say, my chronic product mix is improving, my

other product mix is improving, where we have higher margins. So that is resulting in the

overall margin. And also on the API side, certain businesses have started happening, which are

also at a higher margin level.

margin has also improved, and that has resulted in almost around EBITDA margin

improvement in -- in spite of lower growth in the quarter, we have almost around 2.57%

improvement in the stand-alone EBITDA margin from 22.89% to almost around 25.46%. Laboratories Limited

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if you look at the current quarter numbers, the overall, let's say, top line has time, the material cost is down by almost around 3% to 4% kind of reduction there in material cost. So what we are finding that there is no increase product mix is improving, my other product mix is improving, where we have higher margins. So that is resulting in the overall margin. And also on the API side, certain businesses have started happening, which are margin has also improved, and that has resulted in almost around EBITDA margin in spite of lower growth in the quarter, we have almost around 2.57% alone EBITDA margin from 22.89% to almost around 25.46%.

And in consolidated margin for the quarter has also improved to around 21.68% from 19.1%. By and large, it's largely driven by Ipca margins here. And that trend will continue. The trend will continue.

Kunal: Right. So you are saying there's more headroom to

A.K. Jain: So margins are improving, I would say that. And this quarter is a peak quarter. Next quarter, some businesses are domestic businesses comes down and fourth quarter domestic business is low. So depending on the mix, but to last financial year.

Moderator: The next question is from the line of

Dharmil Shah: My questions are more on Unichem with regards to the generic business. So what about the other Indian generic companies about the

price erosion in the U.S. market. So what has been the trend for us for our molecules for last two to three years with regards to price erosion, what is the current situation? And how do you see three years?

Management: Actually, during our Q1 con call, we had said Unichem has lost market share in certain of its products. That is also because of the lower prices for that product and increase in the competition. At the same time, they have also gained market share in a few other products, but that convert into business will take some time.

So going forward, we are confident two, three new products will also get added each year and their U.S. business should grow they will be also marketing Ipca products.

Dharmil Shah: Understood. So 8% to 10% growth is considering all the factors that you had considered.

Management: That is correct, yes. This year, the certain market share in two of their major products. That is the reason, nothing else.

Dharmil Shah: And what was the reason for losing the market share? Is it purely based on price?

Management: It was that the competition increased and people quoted lower prices and they took a certain market share.

Dharmil Shah: Understood. So is it more like a tendering business for us where each year the tenders.

Management: It is not exactly a tendering companies, other companies also come into business, and it happens. Whatever they have lost, they may recover in the next cycle. So it's a routine thing in generic business.

Dharmil Shah: Understood. But do you expect the price erosion to continue maybe quantify single digit, lower single digit... Ipca Laboratories Limited

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By and large, it's largely driven by Ipca margins here. And that trend will continue. The trend will continue.

Right. So you are saying there's more headroom to 25.2% stand-alone EBITDA margin?

So margins are improving, I would say that. And this quarter is a peak quarter. Next quarter, some businesses are domestic businesses comes down and fourth quarter domestic business is low. So depending on the mix, but I would say that margin will continue to improve compared to last financial year.

Next question is from the line of Dharmil Shah from Dalmus Capital.

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So going forward, we are confident two, three new products will also get added each year and their U.S. business should grow on a stand-alone basis about 8% to 10%. In addition to that, they will be also marketing Ipca products.

Understood. So 8% to 10% growth is considering all the factors that you had considered.

That is correct, yes. This year, the growth has been slightly lower because, as I said, they lost certain market share in two of their major products . That is the reason, nothing else. And what was the reason for losing the market share ? Is it purely based on price? It was that the competition increased and people quoted lower prices and they took a certain

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I mean, if you can

Management: It all depends product to product. If competition increases, price reduction will happen.

Otherwise, there could be

can guess that correctly. It all depends on competition. How many new players come into that molecule.

A.K. Jain: Currently, we are not seeing any kind of shortages in U.S. market. So price definitely there. So sometime buying opportunities are a little lower currently. So that used to translate into more margins, but that business opportunity, we are not seeing to that an extent in current year.

Dharmil Shah: Understood. So

of the market, I mean, the other geographies you mention

Management: That we also explained, we have started filing dossiers of Unichem in rest of the dossier registration process takes anywhere between 12 to 18 months. Once the dossiers are registered, we will be taking their product in so many other markets where they are not present today, Europe, Australia, New Zealand and Canada. and

on. But because there is a regulatory involvement, there is a two to three years period, all these processes take.

Dharmil Shah: Understood. Yes, I understand that it's a very long process to get the approvals and start marketing the new products. But just to understand more on that, currently, the U.S.

contribution to the Unichem business is around 60%, 65% of...

Management: Almost 70% you can say.

Dharmil Shah: Yes. Yes. So assuming, I mean, these new products and newer

expect -- I mean, U.S. contribution to come down to what levels maybe next three to five years later?

Management: Then it will also come down gradually. Once you get registration, you start marketing, then gain market share. So it

continuously grow quarter after quarter. That only we can say. But it is a gradual process.

You

can't expect something to happen drastically in shorter period of time.

Dharmil Shah: Understood. And gross margins for last three quarters has been around 54%, 55%. So is this purely based on the market share loss you mentioned in the key products? Or is it something...

Management: Yes, the gross margin has come down mainly because of that loss

Dharmil Shah: Okay. It has nothing to do with the contract manufacturing business, right?

Management: No, no, no, nothing to do with that. And unfortunately, the products where they lost market share, it was also huge volume. So because

has also impacted to some extent. Ipca Laboratories Limited

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Page 11 of 15 It all depends product to product. If competition increases, price reduction will happen.

Otherwise, there could be a chance price may also increase also. So it is a cycle. So nobody can guess that correctly. It all depends on competition. How many new players come into that Currently, we are not seeing any kind of shortages in U.S. market. So pricing pressures are definitely there. So onetime buying opportunities are a little lower currently. So that used to translate into more margins, but that business opportunity, we are not seeing to that an extent in current year.

Understood. So, 8% to 10% growth for the U.S. business. But how do you expect for the rest of the market, I mean, the other geographies you mentioned that you would be marketing?

That we also explained, we have started filing dossiers of Unichem in rest of the dossier registration process takes anywhere between 12 to 18 months. Once the dossiers are registered, we will be taking their product in so many other markets where they are not present today, Europe, Australia, New Zealand and Canada. and also ROW market. So that process is on. But because there is a regulatory involvement, there is a two to three years period, all these processes take.

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70% you can say.

Yes. Yes. So assuming, I mean, these new products and newer geographies, what do you I mean, U.S. contribution to come down to what levels maybe next three to five years

Then it will also come down gradually. Once you get registration, you start marketing, then gain market share. So it is a slow and gradual process. But once that process starts, you will continuously grow quarter after quarter. That only we can say. But it is a gradual process. You can't expect something to happen drastically in shorter period of time.

Understood. And gross margins for last three quarters has been around 54%, 55%. So is this purely based on the market share loss you mentioned in the key products? Or is it something...

Yes, the gross margin has come down mainly because of that loss of market share.

Okay. It has nothing to do with the contract manufacturing business, right?

No, no, no, nothing to do with that. And unfortunately, the products where they lost market share, it was also huge volume. So because of the reduction in volume, their overhead recovery has also impacted to some extent. Laboratories Limited

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There is a chance price may also increase also. So it is a cycle. So nobody

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No, no, no, nothing to do with that. And unfortunately, the products where they lost market of the reduction in volume, their overhead recovery

Dharmil Shah: Understood. And right now, I mean, given that we have added so much capacities in Munich and both in formulation...

Moderator: Should you have any follow line of Surya Narayan Patra

Surya Narayan Patra: The first question is that the growth for us, which has been kind of relatively muted in the recent past, obviously, because we have seen that Europe as a market, it has emerged as one of the best performing market for many of the larger players also.

And we have seen some price appreciation there that has been helping Europe being one of the largest market for us, the growth has not been in any manner supported. So what could be impacting our Europe growth

Management: No, Mr. Jain has already explained, it is because of one single product the sales in all other products are good. And the products where sales were good were having better margins. So margin did not get impacted. Only that particular product, except that product, everything is fine. Plus we are doing

Many products are registered, getting registration also in Germany, where going forward, we shall also participate in tender. We have already incorporated a subsidiary. So Europe is a focused market, market. Plus we are also started filing Unichem dossiers in the European market. So basket will also increase.

Surya Narayan Patra: Okay. Okay. So we have so far not been seeing the cross-mentioned.

Management: No, no, nothing so far. So far, nothing. Okay. Only two dossiers are registered for which now we are in the market started talking to customers.

Surya Narayan Patra: Okay. Regards to the margin in terms of growth compared to the IPM. Now we are kind of started tracking almost similar to the market growth momentum, slightly better though. Going ahead, see, there are two -- obviously, two trends are emerging for the domestic market. One is some moderation in the growth generally. That is one.

And secondly, a bigger growth trigger like GLP that is upcoming. So considering these two aspects, what is our expectation? And what is GLP opportunity also? And beyond this, how should one think about the domestic overall growth for Unichem

Management: So we are very confident our growth will be higher than the market growth. There is no doubt on that. So we are also addressing the therapies where earlier growth was not good like cardiac and all of which we have now started seeing the result. So we are in Ipca Laboratories Limited November 13

Page 12 of 15 Understood. And right now, I mean, given that we have added so much capacities in Munich and both in formulation...

Should you have any follow-up questions please join the queue. The next question is from the Surya Narayan Patra from PhillipCapital. The first question

is that the growth for us, which has been kind of relatively muted in the recent past, obviously, because of the kind of underperformance in the export side. While we have seen that Europe as a market, it has emerged as one of the best performing market for the larger players also.

And we have seen some price appreciation there that has been helping people. But despite Europe being one of the largest market for us, the growth has not been in any manner supported. So what could be impacting our Europe growth for us, sir?

No, Mr. Jain has already explained, it is because of one single product. Excluding that product, the sales in all other products are good. And the products where sales were good were having better margins. So margin did not get impacted. Only that particular product, except that product, everything is fine. Plus we are doing so many other things to expand our European footprint. Many products are registered, getting registration also in Germany, where going forward, we shall also participate in tender. We have already incorporated a subsidiary. So Europe is a focused market, and we are hopeful our growth should be good going ahead in the European market. Plus we are also started filing Unichem dossiers in the European market. So basket will also increase.

Okay. Okay. So we have so far not been seeing the cross-selling benefit. That is what you No, no, nothing so far. So far, nothing. Okay. Only two dossiers are registered for which now we are in the market started talking to customers.

Okay. Regards to the domestic market, sir, see, we have always been outpacing with big margin in terms of growth compared to the IPM. Now we are kind of started tracking almost

similar to the market growth momentum, slightly better though. Going ahead, see, there are obviously, two trends are emerging for the domestic market. One is some moderation in growth generally. That is one.

And secondly, a bigger growth trigger like GLP that is upcoming. So considering these two aspects, what is our expectation? And what is our preparedness and thought process about the GLP opportunity also? And beyond this, how should one think about the domestic overall growth for Unichem -- sorry, Ipca?

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Surya Narayan Patra: Okay. About GLP, anything that you can talk about, sir? What is your preparedness? When do you think that it will be there in the market?

A.K. Jain: See as far as GLP is concerned, we didn't have R&D of that kind for GLP. So E. coli R&D, we didn't have. So now we have already in process of putting the facility for R&D, biotech R&D for E. coli that kind of race for it comes, we'll be there. We are already synthesizing the clones and other things are already going on.

And as far as market opportunities are concerned, we are also looking to buy the product from other manufacturers and that. So that opportunity we are evaluating. Nothing is finalized right now, but we are

Surya Narayan Patra: Okay. Just last one bit from my side, sir. In fact, can you talk about your R&D pipeline, whether it is for U.S. market or whichever emerging market opportunities? See, what is the core focus of the R&D currently and which way that we are taking

A.K. Jain: R&D has current capacity of filing almost around 30 to 35 products. So it will include of the same product, there are different markets, and this is number. So current capacity is around

And earlier, we were not, let's say, utilizing that to the fullest extent because we were not there in the U.S. market. So U.S. filing has also started. I think the two filings have already happened and their pipeline is there of a

So -- and we have also expedited now a lot of developments for Europe and Australia, New Zealand, Canada market. So that's also happening. And you will notice that R&D cost is also moving up, not only in the biotech development. So we are building a very strong pipeline for future growth.

Moderator: The next follow

Saion Mukherjee: Sir, just follow up on this filing question. So you made two filings already and you have 5 to 6 which are under development. If you can take us through from a slightly longer perspective, let's say, over the next five years, how should we think about the U.S. business sort of scaling up over the next five years?

A.K. Jain: We are not a company which will be doing too much of filing based on somebo By and large, what is there in our pipeline, either current pipeline or expected to be there in the pipeline. Only those products are being developed and filed for the U.S. market. Ipca Laboratories Limited November 13

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The next follow -up question is from the line of Saion Mukherjee from Nomura Securities.

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Okay. Just last one bit from my side, sir. In fact, can you talk about your R&D pipeline, whether it is for U.S. market or whichever emerging market opportunities? See, what is the hinking at this moment?

R&D has current capacity of filing almost around 30 to 35 products. So it will include of the each filing is taken as number one

And earlier, we were not, let's say, utilizing that to the fullest extent because we were not there in the U.S. market. So U.S. filing has also started. I think the two filings has already happened and we have also expedited now a lot of developments for Europe and Australia, New Zealand, Canada market. So that's also happening. And you will notice that R&D cost is also bioequivalence and formulation from Nomura Securities.

wing up on this filing question. So you made two filings already and you have 5 to 6 which are under development. If you can take us through from a slightly longer -term perspective, let's say, over the next five years, how should we think about the U.S. business in terms of filing, the charac

teristics of those files, the products? And how should we think about

We are not a company which will be doing too much of filing based on somebody else API.

By and large, what is there in our pipeline, either current pipeline or expected to be there in the pipeline. Only those products are being developed and filed for the U.S. market.

So our -- compared to other companies, our filings are, by an

but it all depends on our API capacity because ultimately, unless you have API, you cannot be a long-term player because you all depend on the price given by other parties and that limits your ability to compete in the m

business philosophy will remain for longer term.

Saion Mukherjee: So, I ask, how many

A.K. Jain: Yes, yes.

Saion Mukherjee: Right. And so these APIs would be like about the kind of product...

A.K. Jain: Current capacity is around five to six APIs we can develop. So it's only those development would happen on formulation side. Some

going to be a significant number. If API is constituting a very small part of overall product cost, then we may outsource or maybe it's a general type of API with so many products people are producing, then

Moderator: The next question is from the line of Raja

Rajakumar: Sir, the first question is, can you comment on the monetization opportunity with reference to the tech transfer deal that you did with biosimilars Puerto Rico?

A.K. Jain: It's one of the old product and still having very relevance and U.S. business of government is also bigger and the party wanted to take kind of, let's say, our technology for your drug substance as well as the drug product, both.

So we have milestone

expert on and is filing

development and all. So c

plant from U.S.

So his assistance would be available to us because he's already consulting a large number of companies in India, China and Europe also on very experienced person.

So -- and -- on that particular product, he will also, let's say, his focus more and more is likely to be the government business and other. We will also do some private business. And simultaneously, we will also have

both the facilities will have an approval. That's the

And on that, we will also get the market share in U.S. So from whatever

almost around 25% is the market share, which will come to us on that particular. So that's the broad understanding we have with the party.

Rajakumar: Okay. And no monetization opportunity in this financial year with respect to the deal? Ipca Laboratories Limited November 13

Page 14 of 15 compared to other companies, our filings are, by and large, likely to remain low only,

but it all depends on our API capacity because ultimately, unless you have API, you cannot be term player because you all depend on the price given by other parties and that limits your ability to compete in the market and all. So that's the business philosophy and that business philosophy will remain for longer term.

So, I ask, how many -- so these -- so you would be developing new APIs, right, for this?

. And so these APIs would be like -- is there a number? I mean, how should about the kind of product...

Current capacity is around five to six APIs we can develop. So it's only those development would happen on formulation side. Some API, we can outsource and also file, but it's not going to be a significant number. If API is constituting a very small part of overall product cost, then we may outsource or maybe it's a general type of API with so many products people are producing, then those kind of API we may not take up. So that's the overall thinking.

The next question is from the line of Raja kumar from RK Invest.

Sir, the first question is, can you comment on the monetization opportunity with reference to tech transfer deal that you did with biosimilars Puerto Rico?

It's one of the old product and still having very relevance and U.S. business of government is also bigger

and the party wanted to take kind of, let's say, our technology for your drug well as the drug product, both.

So we have milestone -based payment and royalty- based system. At the same time, that party is expert on and is filing -- it's a regulatory consultant to so many companies on biosimilar development and all. So collaborating with him will also help us in your qualification of that plant from U.S. FDA and other markets and all.

So his assistance would be available to us because he's already consulting a large number of companies in India, China and Europe also on the biosimilar kind of development and all. So very experienced person.

on that particular product, he will also, let's say, his focus more and more is likely to be the government business and other. We will also do some private business. And simultaneously, we will also have -- we will also be participating in clinical trial with him and both the facilities will have an approval. That's the kind of working we are doing.

And on that, we will also get the market share in U.S. So from whatever almost around 25% is the market share, which will come to us on that particular. So that's the broad understanding we have with the party.

Okay. And no monetization opportunity in this financial year with respect to the deal? Laboratories Limited
November 13, 2025

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on that particular product, he will also, let's say, his focus more and more is likely to be the government business and other. We will also do some private business. And we will also be participating in clinical trial with him and the kind of working we are doing.

And on that, we will also get the market share in U.S. So from whatever business he does, almost around 25% is the market share, which will come to us on that particular. So that's the Okay. And no monetization opportunity in this financial year with respect to the deal?

A.K. Jain: No, it's not our focus to do the technology transfer, but we want U.S. approvals and experience of that person for the

almost all companies, is a consultant. Very, very rich

utilize that also. It's not our focus that we keep on transferring those technologies and monitoring. We will be utilizing those technologies for building up our pipeline.

Rajakumar: Okay. Got it, sir. Sir, and second this

last quarter, you said your margin will be down by 25 basis points. And now you are telling with a better Q2 performance, you're upping your margin by 100 basis points. Is that correct understanding

A.K. Jain: Yes, because the product mix is improving, and

that's giving the better margin. So we are

giving that guideline. And around that time, first quarter result of Unichem was not that good.

Their business is also improving. So hit which was there in third and fourth quarter.

So that is also taken into consideration while giving the margin. So Ipca's margins are improving. Unichem's performance is also improving as far as EBITDA is concerned compared to the

quarter. And overall, looking into all that, we are increasing the overall margin guideline.

Moderator: Thank you. Ladies and gentlemen, that was the last question for end of the question

over to the management for the closing comments.

Management: Madam, we can conclude the con call. I don't think there is any more question to conclude. Thank you, everyone, for participating in this con call. Thank you.

Moderator: Thank you. On behalf of Ipca Laboratories and DAM Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your Ipca Laboratories Limited November 13

Page 15 of 15 No, it's not our focus to do the technology transfer, but we want U.S. approvals and experience of that person for the -- because he has very -- practically each and every company in India, almost all companies, is a consultant. Very, very rich experience. So -- and we wanted to utilize that also. It's not our focus that we keep on transferring those technologies and monitoring. We will be utilizing those technologies for building up our pipeline.

Okay. Got it, sir. Sir, and second thing is on the clarification on the margin guidance. So the last quarter, you said your margin will be down by 25 basis points. And now you are telling with a better Q2 performance, you're upping your margin by 100 basis points. Is that correct understanding ?

Yes, because the product mix is improving, and that's giving the better margin. So we are giving that guideline. And around that time, first quarter result of Unichem was not that good. Their business is also improving. So hit which was there in first quarter is not likely to be the in third and fourth quarter.

So that is also taken into consideration while giving the margin. So Ipca's margins are improving. Unichem's performance is also improving as far as EBITDA is concerned compared to the first quarter. And overall Ipca margins, we have seen the better margins in this quarter. And overall, looking into all that, we are increasing the overall margin guideline.

Thank you. Ladies and gentlemen, that was the last question for today. We have reached to the end of the question -and-answer session. On behalf -- now I would like to hand the conference over to the management for the closing comments.

Madam, we can conclude the con call. I don't think there is any more que conclude. Thank you, everyone, for participating in this con call. Thank you.

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Call: Feb 2026

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February 18, 2026
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Dear Sirs,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find transcript of our Conference Call which was held on Monday, 16th February, 2026 to discuss the Company's Q3 FY26 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited

Harish P. Kamath

Corporate Counsel & Company Secretary

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Q3 FY '26 Earnings Conference Call"

February 16, 2026

MANAGEMENT : M R. AJIT KUMAR JAIN – MANAGING DIRECTOR AND

CHIEF FINANCIAL OFFICER – IPCA LABORATORIES

LIMITED

MR. HARISH KAMATH – CORPORATE COUNSEL AND

COMPANY SECRETARY – IPCA LABORATORIES

LIMITED

MODERATOR : M R. NITIN AGGARWAL – DAM CAPITAL ADVISORS

LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Ipca Laboratories earnings conference call of Q3 and FY '26. hosted by DAM Capital. As a reminder, all participants' line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Aggarwal from DAM Capital. Thank you, and over to you.

Nitin Aggarwal: Thank you, Iqra. Good afternoon, everyone, and a very warm welcome to Ipca Lab's Q3 FY '26 post-earnings call hosted by DAM Capital Advisors Limited. On the call today, we have representing Ipca Labs management, Mr. A.K. Jain, Managing Director; and Mr. Harish Kamath, Corporate Counsel and Company Secretary.

I will hand over the call to Mr. Jain to make the opening comments, and then we'll open the floor for questions. Please go ahead, sir.

Ajit Kumar Jain: Good afternoon. Thanks, Nitin, and DAM Capital for organizing this call. Today's hearing call and discussions and answer given may include some forward-looking statements based on our current business expectations that must be viewed in conjunction with the risk that pharmaceutical business faces. Our actual future financial performance may differ from what is projected and perceived. You may use your own judgment on information given during the call. Our domestic business for Q3 FY '26 has delivered a growth of around 12% for the quarter.

MAT December '26, our rank continued to remain at 16th as per IQVIA. On both chronic and acute segments, we have outperformed the IPM. On overall, IPM has grown by around 8.9%. Ipca has grown by around 10.6%.

On acute segment, the IPM growth was around 6.9%. Our growth is around 8.4%. On chronic segment, IPM growth was around 12%, and we have grown this business by around 15% as per IQVIA. Ipca's market share for the quarter continue to be remaining at around 2.08% MAT December 2025.

Our export formulation business in Q3 has delivered a growth of around 17%. And for 9 months period, export formulations has delivered growth around 6% from INR1,395 crores to around INR1,477 crores. API business during the quarter was flat at around INR317 crores. For 9 months of the current financial year, that business has grown by around 14% to around INR1,051 crores from INR924 crores.

Q3 consolidated business has delivered a growth of around 6.5% to around INR2,245 crores from INR2,393 crores. And for 9 months of the current financial year, consolidated business has grown by around 8.44% from INR6,993 crores to INR7,258 crores.

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Our stand-alone EBITDA margin for the quarter has improved to 26.09% from Q3 FY '26 margin of around 24.25%, an overall improvement of around 1.81%. Consolidated EBITDA margin for Q3 FY '26 is at around 22.5% as against 19.87% in Q3 '25, an improvement of around 2.28%. And for first 9 months of current financial year, EBITDA margin is at around 20.79% as against 19.18% for first 9 months of last financial year, an improvement of almost around 1.61%. Having given the broad numbers, now I request participants to ask questions.

Moderator: The first question is from the line of Aanchal Jalan from Lotus Wealth.

Aanchal Jalan: Sir, around Unichem, our current cost of goods sold is 45%. And assuming it to stay the same in upcoming quarters, suppose the company aims to reach 18% to 20% EBITDA margins in, say, around 18 to 24 months with operating leverage and some further cost cutting, can you provide a road map around the same?

Ajit Kumar Jain: Unichem business in last current financial year has faced some problem because they have lost

certain businesses in U.S. and gained certain businesses. So overall, Unichem, the business had grown by -- I think, basic business, what they were doing, other than Ipca portfolio, has just grown by around 2% in current financial year.

And the business where it is lost is mainly which is high-volume business, where the plant was also recovering a good amount of overhead. So that business loss has impacted a little of Unichem's overall margins. And their EBITDA margins in this quarter is almost close to around 8% in the current financial year.

Their European business is improving now, and now more and more filings are also happening. So in time to come, we hope to do better there. And as far as U.S. business also, their overall business growth is good because of, let's say, the portfolio which they have got from Ipca. So overall, I think first 9 months of the current year, U.S. business has grown by almost around 15%. And for the quarter, U.S. business has grown by around 17%.

Aanchal Jalan: But sir, for EBITDA improvement, can we have any road map around the same? Do you have any plans for it, for improvement in EBITDA margin?

Ajit Kumar Jain: Improvement in EBITDA margins will come from, let's say, higher utilization of capacity, better U.S. business, which we hope to do in time to come, and also implement the business which is currently happening in Europe.

Aanchal Jalan: Okay, sir. And regarding the proceeds that the company has of around INR275 crores from the land sale. Can you provide some color around that? Are there any plans around it?

Ajit Kumar Jain: Let's say that their cash flow was also impacted because of payment of European Union, that fine which was to be paid on past issue of parent appeal, some issues. So almost around INR181 crores has gone there. So they have healthy cash flow right now. They are sitting with almost around more than INR250 crores of cash in the bank.

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And currently, there are hardly any expansion plan except some solar project, which is currently going on to use more green energy. And that will have a capital outlook of almost around INR50 crores. So other than that, they don't have any kind of major capital expenditure plan.

Moderator: The next question is from the line of Surya Narayan Patra from PhilipCapital.

Surya Narayan Patra: Sir, my first question is on the promotional brands growth, what we have seen. I think this is such a strong growth after many quarters that we are witnessing. Anything that can be attributed to this growth? Or is it to some extent led by the rupee depreciation factor?

Ajit Kumar Jain: I think West Africa has done very good business in this quarter. And overall, I think for the

whole of the year, which is more of a French-speaking African market and all, that business has grown by almost around 41% for the first 9 months. And in Q3, that has gone up by almost around 69%. So that's one business.

Latin America has grown by 20%; Middle East, Africa, by around 27%; East Asia is almost around 36%. CIS business during the quarter has remained by and large flat. So overall business growth is good. For first 9 months, it has grown by almost around 14%. But for whole of the year, we don't expect business growth to remain at even 14%. It's likely to be around 11% or so for the first 9 months of the current year.

Surya Narayan Patra: Okay. Sir, relating to the domestic formulation business, so we have been outpacing the industry growth and we have been 1 of the top 5 or top 10 player in terms of the growth. But it looks like that from the pharma track, the growth would have, to some extent, moderated for us also. And going ahead, if we see the GLP as a kind of key growth driver for the industry as a whole but we are not there on the first wave of the commercialization of the GLP, so given that, is it likely

that we would underperform to kind of our larger peers in terms of growth in the domestic market?

Ajit Kumar Jain: We are also working for in-licensing so we can come with the GLP. It's not that in-house we will not be manufacturing, but yes, we are looking for those kind of opportunities. And overall, let's say, for us, this growth is going to remain better because the trend, whatever we are seeing, that is better.

Let's say, our pain segment, which is over 50% now, is continuously driving the business. In this quarter also, pain has grown by around 13%. Our cardiovascular business, because last year -- in the beginning of current year, we have done the reorganization, so first few months that growth was a little lower because of restructuring. Now that business has also started delivering good growth. And I think for current quarter, cardiovascular domestic business has grown by around 16%. And the diabetes business has grown by 14%. So overall, that business is also good.

In spite of antimalarial declining by almost around 21% in this quarter, other business has done really very well. Like CNS business has grown by around 19%; derma business has grown by around 22%; neurology has grown by around 17%; and other businesses, small businesses,

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which has also grown by 13%. So overall, let's say, business is good. And we expect to continue to beat the market.

Surya Narayan Patra: Okay. In terms of the gross margin, sir, there is a kind of a meaningful positive surprise that we have seen in this quarter. Any quarter-specific factor that is there? Or it is the rupee depreciation factor? Or it is the product mix factor? What would have played this? And how sustainable you think this gross margin that we can see going ahead?

Ajit Kumar Jain: Let say, overall gross margin is the function of overall top line growth. When domestic grows, when branded business grows, where we have good margins, even in generic businesses, we have very good margins, and that business growth was also very good. Institutional business in this quarter has declined. But other businesses has grown very well, and we have very good margins there.

So overall, for stand-alone, if you look at material cost-to-sales ratio has come down to around 24%. Material prices are by and large stable, slightly upward movement but not very significant. It's all the product mix change and higher-margin business is growing higher in this quarter that has also resulted in higher margin.

And for first 9 months of the current year also, if you look at, we have improved by almost around -- stand-alone I'm talking, by around 3.36 basis points. From 28.73% material costs in last year in the first 9 months, material cost ratio is around 25.37%, so almost around 3.36 percentage point improvement. And then this quarter, improvement is a little more. It is around 3.64%.

But overall, I think it will remain, for whole of the year, maybe 3.3% or 3.4% kind of overall improvement in the material cost-to-sales ratio standalone for Ipca.

Surya Narayan Patra: Okay. Just last one point, sir, from my side. See, going ahead, in terms of our focus, what would be the key areas, like, say, whether it is the integrated manufacturing or optimizing the U.S. or Unichem integration? Or it is like capability build up in terms of the biosimilar, injectables, hormones? So what would be the kind of a couple of key focus area which should drive growth for, let's say, over next 2 years?

Ajit Kumar Jain: All that are our focus areas because, let's say, there are different, different teams. And this is the focus area for, let's say, domestic continue to remain focus area, branded business is also a focus area and also your generic businesses because there are different teams who looks after that business.

And our overall filing is also building up in all these markets.

ets. R&D output has now increased.

So in future, that will also have a better impact on overall generic businesses. And also ROW filings are moving up. So we hope to do on all these businesses good in the time to come.

And as far as your biosimilar business is concerned, we have now 5 candidates. And now we already started process of technology transfer for two products. And hopefully, that manufacturing will start shortly.

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Surya Narayan Patra: That is even targeting advanced market, sir?

Ajit Kumar Jain: That will target all global markets. I think we have already taken opinion on our regulatory framework from U.K. MHRA. We have taken from Europe an authorities and also from U.S. FDA. So all the three agencies, we have taken that opinion on protocols and everything. So everything is going on in that line.

Moderator: The next question is from the line of Shashank Krishnakumar from Emkay Global.

Shashank Krishnakumar: Sir, my first one was on the domestic API business. I think in our export API, broadly realizations have started stabilizing. But in the domestic API, just wanted to get some sense if the Y-o-Y decline is still largely a function of realizations remaining under pressure. Or have volumes also sort of come down? Just wanted to get some sense around it.

Ajit Kumar Jain: I think overall domestic business; we also do a lot of antimalarial business. That business has little come down. That impact is there. And also some businesses on Shirasho peptides, which we're getting it manufactured from CRAMS facility, and now, so that has declined. So other than that, there is no meaningful difference overall.

Shashank Krishnakumar: Got it. Sir, secondly, just on the margin expansion that we have seen this quarter on a Y-o-Y basis. So I think the consol margin expansion is a bit higher versus what you have seen on a stand-alone basis, though Unichem margins, I think, have come down.

So wanted to get some color around what is driving that. And is it also sort of linked to the fact that ex of Unichem revenue, if I look at it from others, that is a bit lower this quarter. So is that linked to that? I wanted to get some color around it?

Ajit Kumar Jain: Basically, it's Ipca's stand-alone business that is driving and also the nutraceutical business, which we have in Trophic Wellness. That is also doing very well. So both these businesses have done well and that is what is driving the margins.

Moderator: The next question is from the line of Dharmil Shah from Dalmus Capital Management.

Dharmil Shah: My questions are more specific on Unichem. In the quarter, our revenues have declined by 2%, and you've already mentioned that it's largely on a account of market share loss in the key products. But that was already a part of H1 challenges. So is there any incremental market share loss in Q3 that we have seen?

Harish Kamath: No. Actually that decline started from Q2. It will perhaps continue for 1 or 2 more quarters.

Dharmil Shah: Okay. Understood. And how do you plan to regain the market share? Is it like a yearly thing, that you get the business for the molecule?

Harish Kamath: We're also launching 4, 5 more molecules in the U.S. market, and we are also taking necessary steps to regain the market share where the market is lost for 2, 3 major molecules. So suddenly, because of increase in the competition and price reduction, they lost some business. So we will recover that business. It may take another 1 or 2 more quarters.

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Dharmil Shah: These contracts usually are for 1 year? Or I mean, how frequent...

Harish Kamath: Not necessarily, not necessarily. 3 months, 6 months. It's not hard and fast, everything is for a 12-month contract level.

Dharmil Shah: Understood. And what gives you confidence? Is it gaining market share

are in the same molecule?

Or is it the new product launches you're banking on, sir?

Harish Kamath: No. In the existing molecule also, we will recover our market share, whatever we have lost, albeit at a lower price. Plus new products also, they continue to launch in the marketplace.

Dharmil Shah: Understood. So should we assume that gross margins and overall EBITDA margins should be under pressure, although we might gain...

Harish Kamath: Maybe 1 or 2 more quarters, it will be definitely under pressure. From there on, it should improve.

Dharmil Shah: Understood. And post that as well, if you are bidding at lower prices, then gross margin should be under pressure, right?

Harish Kamath: No, but they will be also doing some Ipca business, which is shaping up and growing well. So Unichem is our marketing partner in U.S. and we have already launched 5 molecules, in which

over a period of, say, 1, 1.5 years, they now have a lot of market share. And another 4 or 5 more Ipca molecule will also get launched in the U.S. market. So Unichem U.S. will also have that benefit going forward.

Dharmil Shah: Understood. And these Ipca molecules, how big the business would be in the next 1 or 2 years, just to get a sense of...

Harish Kamath: We were doing about 10 molecule business in the U.S. 7, 8 years back. We were doing about INR300 crores. So out of that, we have currently launched around 5 molecules, which are all backward integrated. Another 4 to 5 molecules will get launched in the next 6- to 12-month period.

Dharmil Shah: Understood. Got it. Got it. And just a broad sense, how do you see Unichem's growth for next 2 years, FY '27 and FY '28, now that FY '26 is almost over?

Harish Kamath: Unichem growth and margin will improve once whatever filing they are doing currently in Europe and all will get registered and those products will come in the marketplace. They are also being many registration in the ROW branded space. So all this will cumulatively help them in growing their business and margin over a period of next 2 to 3 years.

Dharmil Shah: Maybe if you were to give the guidance, how much growth do you expect from Unichem's business on the top line or EBITDA margin, sir?

Harish Kamath: See, once this -- whatever market loss they have in the U.S. gets recovered, then over a period of time, they should grow their top line anywhere between 8% to 10%. And our aim is to reach

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EBITDA margin to begin with around 15% maybe in 2, 3 years' time and gradually improve it to about 20% when all their filing and registrations will come in the European market and that business will grow.

Dharmil Shah: Understood. But that European business...

Harish Kamath: See, they have a lot of capacity in their manufacturing plant. Once that starts getting utilized, their margins will automatically improve.

Dharmil Shah: Understood. But the Europe business will take time, right? Because you have just filed 3 applications.

Harish Kamath: Registration takes anywhere between 1 to 2 years. So filings are happening. Few are already filed. A few more are getting filed. So it will take some time.

Dharmil Shah: Understood. Got it. Got it. And 8% to 10%, you mean it for U.S. business or the overall revenue growth?

Harish Kamath: No, no. Overall, I am talking.

Moderator: The next question is from the line of Nikhil Mathur from HDFC Mutual Funds.

Nikhil Mathur: Sir, two, three questions. So first, I wanted to ask on the branded formulations in exports. I'm talking about Ipca ex Unichem. So you have given some sort of guidance for this year at around 11% growth. Do you mind giving some outlook for FY '27, '28 as well? And how do we see the business shaping up from a 3, 5-year perspective?

Ajit Kumar Jain: Let's say, our promotional branded business is a very stable business except when the currency goes for a toss in the market

. It's only around that time this business get impacted. So I think, overall, this promotional branded market should continue to have around 10% to 12% kind of growth over a longer period of time.

As far as generics are concerned, I think we will now grow faster in Europe, and U.S. also, growth will be faster. So overall generic businesses, we expect similar kind of around 10% to 12% kind of growth. API business will have a slightly little lower growth. And domestic business is also around 10% to 12% kind of growth. So overall the company growth is around 10% to 11%. That is what is the overall broadly.

And detailed guidelines, we will provide on the overall business and margins once our current year's budget exercise. And that is complete by March. And thereafter, we will give you the detailed guidelines.

Nikhil Mathur: Sir, promotional branded, I understand. On the generics side, sorry, I didn't understand. So you are saying only a 10%, 12% growth despite the U.S. from Ipca's standpoint coming back, right, of that INR300 crores business that were discontinued 6, 7 years back. So any particular reason why the softness on the generic formulation side despite U.S. coming back?

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Ajit Kumar Jain: It's basically uncertainties on the institutional business. That is what we are keeping in mind.

Nikhil Mathur: Okay. Ex of institutional, what will be the outlook, if I keep aside the tender business?

Ajit Kumar Jain: Maybe 1% or 2% more growth.

Nikhil Mathur: Okay. Got it. Okay. Sir, if I look at the EBITDA margin trajectory now, I think EBITDA margin this year, if I again exclude Unichem, it is kind of trending better than what you have been guiding in the last couple of quarters. So any particular reasons why the margins are coming in better, especially on the gross side?

And given that there's a big improvement now over the last 2 years on the EBITDA margin side, is there still scope for margin improvement in FY '27 and FY '28? I'm talking about ex Unichem.

Ajit Kumar Jain: So it's a function of top line growth. If top line growth is around 10% to 12%, margin will definitely improve by 1.5% plus.

Nikhil Mathur: 1.5% per year or over a 2-year period?

Ajit Kumar Jain: Every year.

Nikhil Mathur: Every year. Okay.

Ajit Kumar Jain: Yes.

Nikhil Mathur: So there is a potential of 300 basis point margin improvement in the next 2 years provided the growth remains at 10%, 11%?

Ajit Kumar Jain: Yes.

Moderator: The next question is from the line of Chirag from DSP Investment Managers.

Chirag: Sir, where are we on the U.S. business? If you can talk about the third quarter run rate. I understand that this is subsumed in the Unichem revenue, but you don't give it out. You don't give us the regional split for Unichem. So for our Ipca U.S. business, where is that number? And if you can talk about 9 months and 3 months and what is the outlook there over the next couple of years.

Ajit Kumar Jain: In last quarter, Q3, the U.S. business was almost a round INR395 crores, consolidated I'm talking, Ipca and Unichem put together. And Q3 '25, that business was around INR339 crores. So there is a growth of around 17%. All this growth in the U.S. business is largely because of Ipca portfolio, Ipca portfolio of its own product and Ipca portfolio, which was there of Bayshore, for which third-party products which we were trading around that time. So put together, that business has grown by around 17%.

Overall, if you look at first 9 months of the current year, that business is almost around INR1,140 crores. And last year, that business was around INR 990 crores. So there is a growth of almost

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around 15% in the U.S. business. And most of this business growth is by and large because of either Ipca portfolio and Bayshore portfolio which has

gone to Unichem.

Chirag: Sir, can you talk about the Ipca-manufactured product portfolio, please? Similar number?

Ajit Kumar Jain: That 5 products, I think, overall, around 10 million to 11 million kind of business they have already done.

Chirag: In 9 months.

Ajit Kumar Jain: In 9 months, yes.

Chirag: Correct. And what is the exit run rate, sir, in the third quarter?

Ajit Kumar Jain: Business is going to be better.

Chirag: Understood. And how are we thinking about this business in the next couple of years, sir?

Ajit Kumar Jain: Mr. Kamath has already spoken on this matter.

Harish Kamath: Chirag, we have about 35 registrations, out of which 5 we have commercialized. Another 5 to 7 molecules will get commercialized over the next 12 to 15 months. So gradually, every year, we will be adding 5 or 6 new products in the U.S. market of Ipca portfolio.

Chirag: But you don't want to give a revenue number.

Harish Kamath: See, the thing is; to get a market share after launch of product, it takes a very long time. See, whatever five products I am today marketing, it is almost now 2 years and now we have reached a market share. Most of the molecule is 25% plus because they are all our backward-integrated molecules. And there is further scope to improve market share on these molecules itself, the five, what we are now marketing. So there is an opportunity, and we are working towards that.

Chirag: Understood. And just one feedback, sir. Incrementally, sir, if you can also for Unichem provide the geographic mix of top line, that will help us evaluate the business better on a quarterly basis.

If you can do that, that will be helpful, sir?

Harish Kamath: See, almost two third of their business is from U.S. Other than that, they have a small ROW branded formulation business, some API business and generic business, especially in the U.K. and one or two countries of Europe. That's all.

Moderator: The next question is from the line of Kunal Randeria from Axis Capital.

Kunal Randeria: Sir, I still don't understand the gross margin. Excluding Unichem, it's already in mid-70s. I think very few pharma companies report these kind of margins and also given the fact that the API business would be facing lower gross margins. So just want to understand, because I think a

couple of years back, it would have been high 60s. So what is driving it besides currency? And secondly, what is the ceiling to this number?

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Harish Kamath: It is pure product mix, nothing else. Wherever margins are better, those businesses are growing faster. For example, in the domestic business, our chronic segment is growing faster than the acute segment where margin is less because most of them are antimalarial business. Similar thing in the international ROW market also and generic business also.

Kunal Randeria: I understand the product mix. Sorry, sir, to push you, but I mean, mid-70s margin, it seems like very few...

Harish Kamath: Hello?

Moderator: Kunal, your voice is muffled.

Kunal Randeria: Sorry. Is it...

Harish Kamath: Hello?

Kunal Randeria: I will rejoin the queue.

Moderator: The next question is from the line of Sai Om Mukherji from Nomura.

Sai Om Mukherji: Just one question I had. Have we started making filings for the U.S. market from the Ipca side? If you can share how many filings have been made and if any opportunity there you see over the next 2, 3 years?

Ajit Kumar Jain: I think current year, we already made 4 filings. And I think annual basis also, around 5 to 6 filings would happen every year.

Sai Om Mukherji: Okay. And when do you see these new filings getting commercialized? If you have any timeline in mind.

Ajit Kumar Jain: It will all depend on approval timeline. But let's say, we have over 30 filings, and we still have around 8, 10 approvals still pending past approval. And thereafter, the new filing approval.

So

it will all depend on how the filing approvals start coming in. Based on that, it's difficult to give right now the numbers. But yes, it all will depend on that.

Sai Om Mukherji: Okay. Sir, any color you can give on your European business? There was some issue in the past. How do you see growth in the unbranded generic outside of U.S.? Can you give some color?

Ajit Kumar Jain: Let's say, most of our businesses are happening in smaller geographies in Europe, Australia, New Zealand, Canada. And that business is good business. We have very good margins and all. We have some business in U.K. That business was fiercely competitive. And practically, in that market, there was a blood bath on pricing vertically. A lot of products we're selling at losses in that market.

But last 1 month, we have started seeing a sharp recovery again in prices, and the recoveries are as high as 30%, 40% kind of recoveries are seen. So it's only that kind of -- sometimes probably in the market, when the inventories become large, people just try and dispose of the material, short-expiry materials and all that, which kills the pricing. So I think last financial year, most of

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our portfolios were facing that kind of problem. But now we are seeing that much better recovery, and we hope to do better business there.

But that's the lowest margin business we have in generic market, by and large, the business which are coming from Scandinavian countries and other smaller European countries. We are not there currently in Germany. We are not there in France or Italy or those kind of markets. But we have good presence in Spain and other markets and the overall margin profile is far better.

Sai Om Mukherji: Okay. Sir, just one last question, if I can ask. I mean, you talked about your margins have improved. You have seen an improvement. Also, you mentioned like you should see 150 basis point expansion in EBITDA margin.

Sir, the steady business that you have in India, I don't know, you don't spell out the margin number for India. But if you can talk about -- if you can give that number, it would be great. Otherwise, qualitatively, you can talk about how the margin in the domestic business has been faring. Has it improved significantly steady? Or if you can give some color around how the domestic business margin is faring.

Ajit Kumar Jain: If you look at overall, our highest EBITDA margins come from promotional branded business in international markets. The second level there is the domestic business. Third will be generic business which we do other than U.K. Then comes is the institutional business. Then last will be U.K. business and, thereafter, API business. So margin-wise, if you look at the domestic business, the branded business would be second for us.

Sai Om Mukherji: And how is it trending, sir? I mean if you can give some color there. And what is your expectation? Because that's a pretty steady business, right? You would continue to grow at 10%, 12%, you mentioned.

Ajit Kumar Jain: Let's say, in promotional branded business, our material cost is very, very low. It's maybe 10%, 12% kind of material cost. So any improvement in that business -- similarly, since our domestic business is also now antimalarials and all these, antibiotics are very small part of it.

And we are more going towards CNS, neurology, cardiology, that's the kind of business which is growing faster. So margin profile on that is also increasing, improving significantly. So overall, the 10% to 12% growth, it's very easy to improve overall EBITDA margin by 1.5%. The quality of business is that way.

Moderator: The next question is from the line of Harsh Bhatia from Bandhan Mutual Fund.

Harsh Bhatia: Sir, in terms of the comments for the European market on the pricing part and the recovery, most of the pricing deterioration -- there could

be multiple reasons, but most of it was like because of tariff-related issues and dumping? Or was there anything particularly one-off to that angle? If you could spell out some reasons as to why there was significant pricing deterioration in the European market. And is it more sustainable in terms of the recovery that we have seen in the last 1 month?

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Ajit Kumar Jain: My comment was only for the U.K. business, not on European business. European business is very steady and all. Absolutely no problem. My comment was only on the U.K. business.

Harsh Bhatia: Sure. In terms of the clarification for one of the comments you made, this is for the U.S. business.

When we are guiding for the Unichem growth, I think, 8% to 10% or 9% to 10% for the next 2, 3 years, this is pure Unichem growth, right? Are we building in or are we assuming Ipca U.S. sales driving the U.S. growth for the Unichem business? Is that the case? Or we are just assuming pure Unichem U.S. division to grow by itself?

Harish Kamath: We've already said, current financial year, first 9 months, Unichem U.S. business, their own portfolio is lower because of loss of market share in 1 or 2 molecules, which they also regain maybe in another 2 to 3 quarters' time. So on a stand-alone basis, once they regain that particular market share loss, they should also grow in their portfolio by 7% to 8% annually going forward with launch of 4 to 5 new molecules next 2 to 3 years. And over and above that, whatever growth will come in the Ipca U.S. business also will be their growth in the U.S. market.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Harish Kamath: No, madam. We can close the call. We have answered all the questions. There is nothing more to add.

Moderator: Okay. Thank you. On behalf of Ipca Laboratories and DAM Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Harish Kamath: Thank you.

Call: Jun 2026

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Scrip Code – 524494 National Stock Exchange India Limited,
Exchange Plaza, C-1, Block-G,
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Mumbai-400051.
Scrip Code : IPCALAB
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Dear Sirs,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find the transcript of our Conference Call which was held on Monday, 1st June, 2026 from 15:30 hrs IST to discuss the Company's Q4FY26 earnings and business update.

Thanking you

Yours faithfully

For Ipca Laboratories Limited
Harish P. Kamath
Corporate Counsel & Company Secretary
ACS 6792
Encl: a/a

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Q4 FY26 Earnings Conference Call"
June 01, 2026

MANAGEMENT : M R. A.K. JAIN – MANAGING DIRECTOR AND CHIEF
FINANCIAL OFFICER – IPCA LABORATORIES LIMITED
MR. HARISH KAMATH – CORPORATE COUNSEL AND
COMPANY SECRETARY – IPCA LABORATORIES
LIMITED
MODERATOR : M R. NITIN AGARWAL – DAM CAPITAL ADVISORS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Ipca Labs Earnings Call Q4 FY26, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors Limited.

Thank you, and over to you, sir.

Nitin Agarwal: Thank you, Rico. Hi, good afternoon, everyone, and a very warm welcome to Ipca Labs Limited's Q4 FY26 Post Results Earnings Call, hosted by DAM Capital Advisors Limited. On the call today, we have representing Ipca Labs management, Mr. A.K. Jain, Managing Director; and Mr. Harish Kamath, Corporate Counsel and Company Secretary.

I will hand over the call to Mr. Jain to make the opening comments, and we'll open the floor for questions. Please go ahead, sir.

A.K. Jain: Thanks, Nitin, and DAM Capital for organizing this call. Today's hearing call and discussion answer given may include some forward-looking statements based on our current business expectations. This must be viewed in conjunction with the risk that pharmaceutical business faces. Our actual future financial performance may differ from what is projected, perceived. You may take your own judgment on information given during the call.

Our domestic formulation business in Q4 FY26 has delivered a growth of around 12%. Business was at around INR853 crores as against INR764 crores in Q4 2025. MAT March '26, Ipca rank continue to remain at 16. However, we have marginally improved our market share to 2.09% as against 2.08% in MAT December '25. Six of our brands are featuring among the top 300 brands in the industry. In both chronic and acute segment, we are continuously beating the market. Overall, for financial year FY26, our domestic business has grown by around 10% to around INR3,817 crores as against INR3,455 crores in FY25. Our export formulation business has

delivered a growth of around 9% for the financial year '26 to around INR2,083 crores from INR1,919 crores. The promotional business for the quarter has delivered a growth of around 14%. And for whole of the year also, this business has delivered a growth of around 14%. Overall business for the financial year has remained around -- is around INR664 crores on promotional business, promotional branded export business as against INR582 crores in last financial year. Generic business, excluding tenders, has delivered growth of around 17% for the financial year to around INR1,149 crores from INR982 crores in FY25. Our Institutional business has declined during the year to around INR270 crores from around INR355 crores in last financial year. Even in the last quarter of the current year also, business has declined to around INR74 crores as against INR111 crores in Q4 FY25. API business for the whole of the year has delivered business growth of around 10%.

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The business now stands at around INR1,396 crores as against INR1,266 crores for FY26. Overall consolidated business for the company in FY 26, March '26, has grown by around 6% to around INR2,388 crores from around INR2,274 crores and consolidated revenue for whole of the year has grown by around 8% to around INR9,646 crores against INR8,940 crores for the financial year '25.

Stand-alone EBITDA margins for the Ipca in Q4 has improved by around 25.27%, as against 21.19% in Q4 FY25. This is an improvement of almost around 4.08%. And for the financial year March '26, overall EBITDA margin stand-alone for company has gone up to around 25.18% as against 22.66% in March '26, an overall improvement

of around 2.52% and we have significantly

overall improved the margins as against our guidelines for the financial year.

The consolidated Ipca Q4 FY26 EBITDA margin has improved around 20.52% as against 18.24% in Q4 FY25, an improvement of around 2.28%. And for all of the financial year, March '26, EBITDA margins has improved to around 20.72% as against 19.94% in March '25, an improvement of around 1.78%. We have delivered better margins as against our guidelines of 20% for FY26 overall.

Having given the broad numbers, now I'll request questions from the participants.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Aanchal Jalan with Lotus Wealth.

Aanchal Jalan: Sir, if you want to grow at 15% to 20% for the next 2 to 3 years, how many molecules do you think we should be launching at a yearly level because old molecules will have higher competition and price erosion is also happening there. So how many launches do you think we should be doing in a year? And secondly, what is our product pipeline for Q1 and Q2 of FY27? Yes, that's my question.

A.K. Jain: As far as we are concerned on the old molecules, we don't see any kind of price erosions as such. And normally, our policy is to take the price rise of around 5% to 6% in a year, depending on what kind of price rise competitors are also taking at the marketplace. So that policy will continue that way. And as far as domestic market are concerned, we don't launch too many products in a year.

Each division has around 2 or 3 power brands and then there are support brands in each division. And at the most in each division, we may launch one product or some line extension in here and there. So if we have 20 divisions in the year, we should be launching in domestic market around 18 to 20 products.

So that has been our business philosophy because more number of products you launch, the attention of the people get diluted and that results in the overall defocus from the main power brands. So we normally don't launch too many products in the marketplace. As far as generics are concerned, let's say, currently, we are marketing around 8 products in U.S.

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And I think this year also maybe around 6 to 8 products will be commercialized in the current financial year. And as far as European and other markets are concerned, each market situations are different. But normally, we launch 3 to 4 products in each market in every year in generics. That is our overall position.

Aanchal Jalan: Okay. And sir, specifically for Unichem, 6 to 8 products, right?

A.K. Jain: Unichem has also a good pipeline, and I think they should also be launching at least 5 to 6 products in the current year.

Aanchal Jalan: And then FY27?

A.K. Jain: Yes, that's apart from Ipca.

Moderator: Our next question comes from the line of Surya Patra with PhillipCapital.

Surya Patra: Congrats for the good set of numbers. Sir, first question is on the U.S. business. Is it possible since it is a full year financials, what was the U. S. revenue that we would have generated out of Ipca and what outlook that we are providing for next year?

A.K. Jain: Overall, if you look at the consolidated numbers for the overall business, Ipca USA and Unichem USA put together, I think in the quarter, U.S. has done business of around INR428 crores as against INR388 crores in Q4 last year. So there is a growth of around 10%. And overall, for the whole of the financial year, U.S. business is around INR1,567 crores as against INR1,379 crores last year. So U.S. has given a growth of around 14% on a consolidated basis.

Surya Patra: Okay. Similarly, sir, if you can just give some sense about the kind of growth that you have seen for the full of the -- for FY26 basically for the key markets like, let's say, Europe, Africa, CIS, Australia

like that?

A.K. Jain: Let's say, India should be growing around 12% to 13 % in the current financial year. CIS market will have around 10% to 11%. Overall promotional market, we expect almost around 12% to 13% kind of growth. Then overall generic market will also have around 12% to 13% kind of growth, which will include the U.S. also.

So overall company as a whole, we should be able to, including Unichem and put together around 12% to 13% kind of growth on a consolidated basis. And on EBITDA side from 20.7% currently on a consolidated basis, I think it should be almost around 22% or 22.3% something more or less on that line.

Surya Patra: Okay. Yes. So next point was about the gross margin. In fact, we have seen strong improvement. And for the full of the year also, there is a kind of improved performance that we have seen. But see, what can be attributed for this improved performance, whether it is a currency advantage or it is the synergy or it is the product mix improvement, U.S. picking it up. So what would have contributed to this margin improvement? And how sustainable the gross margin be?

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A.K. Jain: I'd say cash stand-alone, if you look at against growth of around 10%, our overall material cost has declined by around 2%. Overall, for the whole of the year, except from February onwards, earlier, the overall price was -- prices of materials has remained steady. So there was not much of fluctuations as far as the material cost was concerned around for the first 11 months, for the whole of the financial year because we maintain certain stocks.

So as far as consumptions are concerned, not much except in the March, certain solvent prices and February and March, the solvent prices and some other materials, which was supply chain disturbance like ammonia and so many other things, [acid/alkali 0:13:28], there are many of those materials has moved up. So little material cost has moved up in the month of February and March in Q4 of the current financial year on a stand-alone basis, if you look at the numbers. The improvement in overall margins is by and large because of product mix changes.

Domestic business is doing good. ROW market business is doing good. Cardiac business proportions has moved up. And overall, the generic business, which is happening in most markets has also given us the better overall margins. So -- and even on the API side, we have improved overall margins.

So that has resulted in overall margin improvement on a stand-alone basis. But as far as Unichem is concerned, their overall EBITDA margins has declined from 12% to around 8% and their turnover has not moved up. So that has resulted in overall otherwise EBITDA margins improvement for consolidated business would have been further higher.

Surya Patra: Okay. Just last one point, sir, whether it is supply chain disruption or any impact on the raw material availability or the price rise. So that situation is kind of already behind us or even the current quarter subsequent period could see some impact in the FY27?

A.K. Jain: There is a significant improvement increase in the prices now. Let's say, if you look at packaging material, aluminum has moved up, PVC, PVDC has significantly moved up. On solvent price, if you look at prices are still 40% to 50% higher than what we were paying in the month of January or earlier in the whole of the financial year.

And let's say, prices of a lot of other API has moved up because of, again, some or other things in the supply chain is disturbed. And overall, I see if current end of petroleum prices remain, overall material costs should rise by almost around 10% to 12%. So that looks like that that's the kind of price rise is there in the -- currently in the market.

Like say, simple product like paracetamol has moved up significantly. Metformin has moved up significantly. And t

that moment is much higher than what number I'm talking. I'm talking of overall. Overall is around 10% to 12% kind of overall increase is there in the marketplace. Surya Patra: So practically, the product prices have gone up higher than the input prices? A.K. Jain: I would say that these inputs have gone up. As against that, what is happening on our output. Like say, as far as API is concerned, what we are selling today, entire cost increase, we are passing on to the consumer or to the buyers. So there are no issues. As far as the domestic market is

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concerned, products which are in price control, the prices remain at the same level. You can't increase even a paisa on that. And overall, the other decontrolled products as against 5% kind of price rise, which we are taking. Looking at the overall input cost increase, we -- this year price rise a little higher, may be around 6% to 7% to offset the kind of price increase which has happened at the marketplace. That will completely offset the entire overall cost rise, which are there in the marketplace. As far as generic market are also concerned, there the arrangements are a little longer term. So we are taking up with the buyers and increasing the prices wherever they are possible. So I don't foresee much of that impact coming, there could be maybe 0.5% point increase in the -- or maybe 0.75% increase in the material cost. But I don't think so that will disturb my EBITDA margin significantly in the current year because, again, the product mix change and that's playing so overall, your margin. And therefore, I have given the projections also of guidelines for the EBITDA margin for whole of the year that it should -- it will move by around 1% to 1.25% in the current financial year. As against earlier, we were always talking of around 1.5% or a little more EBITDA margin improvement. That's a little lower guidelines is only on account of material cost. But if the petroleum prices again are moving up lower, then probably margins could still be better. Moderator: Our next question comes from the line of Rajakumar Vaidyanathan with RK Investments. Rajakumar Vaidyanathan: Sir, I just want to know what is the outlook for the Unichem business? When do you think the margins will improve? A.K. Jain: Unichem last financial year had -- their U.S. business has not grown up, mainly because on certain high-volume businesses, they have lost certain market share. They again started gaining the market share. And I think in current financial year, their U.S. business should grow by around 10%. So hopefully, with that, the margins will also move up. They have done well in European market in last financial year. And we also see from further from that point of view that business will improve and margins will improve there. Plus they have also incurred some certain additional costs in last financial year because of their Ireland facility, there were -- manufacturing was happening. So that is closed. And some -- those people were also given your package on severance and all those kind of things. So that cost also got debited. And all those productions are shifted back to India. So that is also will result in better margins overall on production of those products here. And also the overhead costs, they were incurring and incurring in at Ireland facility may be around EUR 4 million to EUR 5 million. So that expenditure will also stop in the current financial year. So overall, there will be better improvement in the Unichem also in the current year. We foresee that I think Unichem margin may become around 12% to 13% in the current financial year from that level. And from that level, again in future years as our filings in other markets

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start coming up and then we start launching products in other markets. Margins will keep on improving. Rajakumar Vaidyanathan: Okay. Sir, this 12% to 13% that you mentioned, that is the overall margin for FY26-'27? A.K. Jain: For Unichem, yes. Rajakumar Vaidyanathan: Overall, the full year margin, right? A.K. Jain: Yes. Rajakumar Vaidyanathan: Okay. And sir, the second question is, this inventory at Unichem seems to be on the higher side. Last quarter also, I raised this question, you said there are some actions being taken, but the inventory remains more or less at the same level as '25? A.K. Jain: Overall, I think inventory-wise, a lot of actions have been taken. And -- but if you look at the nature of business itself in case of Unichem because it's a U.S. business and supply chain disturbances, all were happening. So certain kind of inventory, the movement was taking longer time by ship and all that. They have started shipping everything from ships instead of air

shipment. Significant amount of air shipment was there in Unichem maybe a year back to almost around 40% kind of shipment was moving by air.

Now it's hardly around 4%, 5% kind of shipments are moving it. And that's for the whole transit time has improved and increase in all that. So that has little inventory has gone up on that account. But overall, we don't see any kind of concern on that account. The U.S. cycle itself is a little longer, and their business is mainly U.S.

As far as Ipca is concerned, if you look at overall last 2 years, if you look at '25 and '26 by large, put together, our inventory is at the inventory and receivables entire -- there's hardly any money has been put in overall in working capital. The entire -- your cash generation is overall, there is accruals are there, and there is hardly any kind of money has gone in working capital in last 2 financial year. We have perfect control as far as your overall inventory cycles are concerned.

Rajakumar Vaidyanathan: Okay, sir. Sir, lastly, the question is on the Lyka Labs subsidiary. So the performance has been deteriorating. So because lastly, you took an impairment for Krebs Bio. So will it also lead the same way because the performance is really deteriorating quarter-on-quarter?

A.K. Jain: Let's say, I should not be speaking for Lyka Lab, I think you should be talking, but to Lyka Lab on that part. But otherwise, I see broadly, if you look at they have started marketing their injectables and animal health care products in the market, and they have recruited a lot of field force. And it takes time. Last 2 years, a significant amount of expenditures has gone in creating the more sustainable business because of that. Because of addition of addition of field people, there is on P&L account, there are pressures.

But I think journey is going very well as far as those -- the animal health care and team, which has launched and also the critical care team they have launched, they are progressing well, and we don't foresee much of concern on that account. Maybe the profitability is currently lower.

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But as the time goes, these teams start maturing and business start building up, margins will start moving up there also.

Moderator: Our next question comes from the line of Shashank Krishnakumar with Emkay Global.

Shashank Krishnakumar: My first one was on the other expenses for Unichem, which sort of saw a sharp increase this quarter. So was it primarily driven by an increase in R&D? And if you could also share what the R&D spend was for both for Unichem and Ipca stand-alone as a percentage of sales in FY26?

A.K. Jain: I think Unichem that other expenditure has moved up is largely because of R&D because they are looking at some kind of institutional business in U.S. So around 4 to 5 products has been -- technology transfers are given to third-party manufacturers so that from -- we can manufacture those products

products for the U.S. itself to supply to -- for the government purposes.

And therefore, this quarter had around INR10 crores to INR12 crores of additional expenditure on account of those technologies transfers to the U.S. are supporting manufacturer. So other than that, there's hardly any kind of exceptional cost. The other expenditures by and large, moved only on that account.

Shashank Krishnakumar: Got it. So what was the R&D for Unichem and Ipca this year, FY26 as a percentage of sales?

A.K. Jain: It's around 3.71%.

Shashank Krishnakumar: Got it. Sir, just secondly, if you could just share the market-wise growth trends for the year gone by for both branded formulations and generics, particularly because this quarter, we saw an increase in generic revenue, for which market primarily drove that. If you could just share some color around how the individual markets have performed?

A.K. Jain: Domestic has grown by 12% for Ipca. Branded formulations has grown by 14%. Institution has declined by 33%. Generic market in this quarter has grown by around 39%. So that's overall Ipca is concerned. And as far as the whole of the financial year is concerned, domestic has grown by around 10%, branded by 14%. Institutional, there is a decline of around 24% and generics has gone up by around 17%, yes. So that is already given in press release. If you go through our press release, yes, all those numbers are very well displayed there.

Shashank Krishnakumar: So I'm looking for more market-specific trends, which you usually share any particular market which drove growth this quarter or during this financial year?

A.K. Jain: Let's say, branded is by and large driven by, let's say, our CIS market and French-speaking African market. India is by and large driven by our pain and cardiac and derma and neuro and CNS portfolio what we have. Institutional has by and large declined because of funding constraints currently being faced by the institution. And generics are -- both Europe has done well. Australia and New Zealand has done well. So it's broadly all markets and also the U.S. launches, which has happened current year. So overall, the business has been good as far as generics are concerned.

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Shashank Krishnakumar: Got it, sir. And just the last one, if I could squeeze in. Could you just comment on the performance of subsidiaries except of Unichem this quarter and for the full year?

A.K. Jain: As far as Unichem are concerned, I think current year was tough for them. I think -- and I have already shared the guidelines as far as Unichem is concerned that how they will be performing in current financials. They should be growing around 10% in current financial year, and they will improve their EBITDA margins also.

Other than that, we have domestic subsidiary, which is called Trophic Wellness. They have done well. I think they have significantly contributed. They are marketing nutraceuticals with business around, maybe around INR125 crores, and I think they're generating profit of almost around INR40 crores plus overall profit. So that's that. Lyka already talked, but it's not our subsidiary, it's an associate company.

As far as the Krebs are concerned, their performance is improving now. One of their plant, which is at Nellore has started EBITDA positive. Other plant, there are certain concerns going on right now as far as polishing departments are concerned. So once that is resolved, I think hopefully, we should be able to put that plant also on EBITDA positive kind of number.

As far as the U.S. -- European subsidiaries are concerned, we have 2 subsidiaries in U.S. One is Ipca formulation marketing company and another is Onyx Scientific, which is doing your business of rendering the research services to the other formulation company. Onyx is facing some kind of issues there because of overall inquiry level

Is for those kind of projects has gone

down because of current overall environment. This subsidiary has been last 8, 10 years has been doing very well.

But the last 1, 1.5 years, there are certain issues. But we are now seeing sign of improvement there. And Ipca subsidiary which is marketing the formulation in -- particularly in U.K., that has given a loss of almost around 2 million to 3 million kind of bonds. And largely because of last financial year, the pricing scenario in that market was very, very bad. But we are seeing now, again, there are a lot of shortages and overall improvement in the prices. So we hope to do better there also.

As far as U.S. subsidiary is concerned, Ipca is only one, which is a major one, which is Pisgah Labs. So there also there is a formulation facility is under construction there. I think probably I think in the fourth quarter of the current financial year, they should be able to ready to commission the plant. So any meaningful turnover coming from there will be, I think, in next financial year only, not in current financial year. And their API facility is also seeing now good order position now. So hopefully, there will be further improvement in that operations also.

Moderator: Our next question comes from the line of Tushar Manudhane with Motilal Oswal Financial Services.

Tushar Manudhane: Sir, on the export exports front, you have guided for broadly 12% to 13% revenue growth. Is this considering the currency depreciation as well? Or is this in INR terms?

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Harish Kamath: No. The guidance given is in INR terms, Tushar.

Tushar Manudhane: Okay. Got it. And as far as domestic formulation is concerned, given the raw material linked price hike, but if you could at least -- if you could share what could be the price volume new launches growth that we can expect for FY27?

Harish Kamath: No, the guidance given for domestic branded businesses is around 12%. Maybe out of that 1% to 2% could be new product and balance price increase and volume.

A.K. Jain: And Tushar, if you look at our overall material cost to sales ratio of Ipca is only 25%. Even if there is an increase, that will get offset by overall your overall increase in the top line and also overall the profitability of your products in domestic ROW and all those kind of things. So we don't foresee that this ratio will significantly alter. Maybe it's only 0.5% here and there.

Tushar Manudhane: How has been the freight cost trending? Or will that -- maybe like at the gross margin level, I understood like the -- it's possible to pass it on the increase in the raw model. But how to think about the freight or the logistics costs?

A.K. Jain: Normally, let's say, our branded formulation businesses and certain API business, that all happens through, let's say, C&F basis. There are a lot of other generic businesses that happens on where the freight are borne by the party. So overall, I think our freight cost has moved up by almost, I think, in the fourth quarter by almost around 25%. And that trend is continuing currently also. So that will have some impact on the overall number on the profitability till the time this issue of -- issue remains of Iran-U.S. kind of conflict, which is currently happening, the Strait of Hormuz and all that kind of thing.

The oil prices are elevated. Wherever air shipment s are concerned, the freight has multiplied now. And even getting the sometimes the cargo availability of space also, it takes a lot of time. So sometimes material remain for 10, 15 days. So availability itself is becoming an issue now to the various destinations. So that issue remaining, yes.

Tushar Manudhane: So then effectively, will this have impact on Q1, but overall, we think that subsequently in the coming quarters, we'll sort of come back.

A.K. Jain: There will be some impact, but if business improves

it is also there, but like say, last year, we

have grown by 10%. This year, we are guiding for 12 % to 13% kind of growth. So that growth will offset everything because the material cost to sales ratio is around 25%. So if you take your overall gross margin addition itself will be high. So all these costs should get offset.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Harish Kamath: Yes. Since all questions are answered, I think we can close this conference call. Thank you, everyone, for participation.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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A.K. Jain: Thank you.